CHAPTER – 1 : THEORETICAL FRAMEWORK
UNIT – 1 : MEANING AND SCOPE OF ACCOUNTING

ACCOUNTING THEORY

Question: 1

Define accounting. What are the sub-fields of accounting?

Answer.

Meaning of Accounting :

- Accounting is the art of **recording**, **classifying**, and **summarising** in a **significant manner** and
- in **terms of money**, **transactions and events** which are of a **financial character**, and
- **interpreting** the result thereof.

Subfields of accounting are : Financial Accounting; Management Accounting; Cost Accounting; Social Responsibility Accounting and Human Resource Accounting.

SUB-FIELDS OF ACCOUNTING

Financial Accounting

- It covers preparation of F.S.
- It primarily helps in determination of P/L and the position of Assets & Liabilities of an entity.

Management Accounting

- It relates to internal reporting to the management.
- Management needs various information to run the co. efficiently.
- Under this approach, all informations are prepared from management's point of view.
- It is recording technique of the management related transactions.

Cost Accounting

- All the manufacturing entities wants to know – what is the Cost of Production?
- To ascertain COP, they must keep proper accounting records.

Social Responsibility Accounting

- This accounting is concerned with accounting for social costs (Pollution) incurred by the enterprises; and
- Social benefits (Employment) created.

Human Resource Accounting

- In this Accounting it is ascertained that how many investments have been made in human resources of an organization. For Ex. Valuation of Employees.

Inflation Accounting

- The problems relating to price rise are handled under this accounting.

Question: 2

Who are the users of accounts?

Answer.

Various Users of Accounting are as follows :

I. Internal User :
- i) Investor / Shareholder
- ii) Employee / Director / Manager / Officers

II. External User :
- i) Lenders
- ii) Creditors / Suppliers
- iii) Customers / Debtors
- iv) Government
- v) Public
- vi) Vendor

Question: 3

Discuss briefly the relationship of accounting with

(i) Economics (ii) Statistics (iii) Law

Answer.

Accounting is closely related with several other disciplines. Therefore, to acquire a good knowledge in accounting one should be working knowledge of relevant portions of such disciplines and apply the knowledge of other disciplines in his own work wherever possible, or he can take the expert advice.

(i) Accounting and Economics:

- Economics is a science of rational decision-making about efficient use of scarce resources for satisfying human wants.
- Accounting is a system, which provides data to the users to permit informed judgement and decisions.
- Some non-accounting data are also relevant for decision-making.
- Accounting contributes a lot in improving the management decision-making process. But, economic theories used as an aid in decision-making tools to be used in accounting.
- Accountants got the ideas of value, income and capital maintenance from economists.

(ii) Accounting and Statistics:

- Accounting information is very precise. But, for decision-making purposes such precision is not necessary and hence, the statistical approximations are sought.
- In accounts, all values are important individually because they relate to business transactions. But statistics is concerned with the typical value, behaviour or trend over a period of time. Therefore, wherever a need arises for only broad generalisations or the average of relationships, statistical methods have to be applied in accounting data.
- Accounting records generally take a short-term view of events and are limited to a year while statistical analysis is more useful if a longer view is to be taken.
- In accountancy, a number of financial and other ratios are based on statistical methods.
- Several accounting and financial calculations are based on statistical formulae.
- Statistical methods are helpful in developing accounting data and in their interpretation. For example, time series and cross-sectional comparison of accounting data is based on statistical techniques.

(iii) Accounting and Law:

- An economic entity operates within a legal environment. All transactions with suppliers and customers are governed by the Contract Act, the Sale of Goods Act, the Negotiable Instruments Act, etc.
- The entity itself is created and controlled by laws. For example, a company is created by the Companies Act and also controlled by Companies Act.
- Similarly, every country has a set of economic, fiscal and labour laws. Transactions and events are always guided by laws of the land. Very often the accounting system to be followed has been prescribed by the law. For example, the Companies Act has prescribed the format of financial statements for companies.
- Banking, insurance and electric supply undertakings may also have to prepare financial statements as prescribed by the respective legislations controlling such entities.
- However, legislation about accounting system cannot be enacted unless there is a corresponding development in the accounting discipline.
- Therefore, accounting influences law and is also influenced by law.

Question. 4 **[Nov-18 (4 Marks)]**

Discuss the limitations which must be kept in mind while evaluating the Financial Statements.

Answer.

Limitations which must be kept in mind while evaluating the Financial Statements are as follows:

(i) **Non financial transactions :** The factors which may be **relevant in assessing the worth** of the enterprise not recorded if they cannot be measured in terms of money.

(ii) **Future position not shown :** Balance Sheet **shows the position of the business on the day of its preparation and not on the future date** while the users of the accounts are interested in knowing the position of the business in the near future and also in long run and not for the past date.

(iii) **Ignore Inflation :** Accounting ignores changes in some money factors like inflation etc.
(iv) **Conflicting principles :** There are occasions when accounting principles conflict with each other.
(v) **Accounting Estimates :** Certain accounting estimates depend on the **personal judgement** of the accountant.
(vi) **Probability of manipulations :** Different accounting policies for the treatment of same item adds to the probability of manipulations.

Question: 5 **[Nov-20 (4 Marks)]**

What services can a Chartered Accountant provide to the society?

Answer.

Services provided by Chartered Accountant to the society :

The practice of accountancy is not limited to the preparation of financial statements, interpretation of such statements and audit thereof. Accountants are presently taking active role in company laws and other corporate legislation matters, in taxation laws matters (both direct and indirect) and in general management problems.

Some of the services rendered by accountants to the society are briefly mentioned hereunder:

(i) **Maintenance of Books of Accounts:** An accountant maintains a systematic record of financial transactions in order to find out net profit or loss for a period and financial position at a particular date.

(ii) **Statutory Audit:** Every **company and many organizations** like proprietorship firms, partnership firms, cooperative societies, trust etc. are required to **appoint a chartered accountant** or a firm of chartered accountants as their auditor. The auditor has to **report** each year whether in their opinion the balance sheet shows a true and fair view of the state of affairs on the balance sheet date, and the profit and loss account shows a true and fair view of the profit or loss for the year.

(iii) **Internal Audit:** Management also appoints an internal auditor to examines the accounting transactions and also the system of recording to ensure that the accounts are being properly maintained and the system contains adequate safeguards to check any leakage of revenue or misappropriation of property or assets.

(iv) **Taxation:** An accountant can handle taxation matters of a business or a person and he can represent that business or person before the tax authorities and settle the tax liability under the statute. He can also assist in avoiding or reducing tax burden by proper planning of tax affairs.

(v) **Management Accounting and Consultancy Services:** Management accountant performs an advisory function. He is responsible for internal reporting to the management for planning and controlling current operations, decision-making on special matters and for formulating long-range plans.

(v) **Financial Advice:** Many people need help and guidance in planning their personal financial affairs. Some of the areas in which an accountant can render financial advice are: Investment, Insurance, Business expansion etc.

(vi) **Other Services**

a) Secretarial work
b) Share Registration Work
c) Company Formation
d) Liquidation work
e) Arbitrations work
f) Cost Accounting

Question: 6 **[PEQ-JAN.25 - 4 Marks]**

Explain four main functions of accounting.

Answer.

The main functions of accounting are as follows:

(a) Measurement: Accounting measures past performance of the business entity and depicts its current financial position.
(b) Forecasting: Accounting helps in forecasting future performance and financial position of the enterprise using past data and analyzing trends.
(c) Decision-making: Accounting provides relevant information to the users of accounts to aid rational decision-making.

(d) Comparison & Evaluation: Accounting assesses performance achieved in relation to targets and discloses information regarding accounting policies and contingent liabilities which play an important role in predicting, comparing and evaluating the financial results.

(e) Control: Accounting also identifies weaknesses of the operational system and provides feedback regarding effectiveness of measures adopted to check such weaknesses.

(f) Government Regulation and Taxation: Accounting provides necessary information to the government to exercise control on the entity as well as in collection of tax revenues.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. There is no difference between book keeping and accounting, both are same.
2. Management Accounting covers the preparation and interpretation of financial statements and communication to the users of accounts.
3. Financial accounting is concerned with internal reporting to the managers of a business unit.
4. Customers of business should not be considered as users of accounts prepared by business. They are not interested to know performance of the business
5. Summarising is the basic function of accounting. All business transactions of a financial characters evidenced by some documents such as sales bill, pass book, salary slip etc. are recorded in the books of account.
6. Balance sheet shows the position of the business on the day of its preparation and not on the future date.
7. Objectives of book-keeping are complete recording of transactions & ascertainment of financial effect on the business.

Answer:

1. **False:** Book-keeping and accounting are different from each other. Accounting is a broad subject. It calls for a greater understanding of records obtained from book- keeping and an ability to analyse and interpret the information provided by book- keeping records.
   Book-keeping is the recording phase while accounting is concerned with the summarizing phase of an accounting system.
2. **False:** Financial accounting covers the preparation and interpretation of financial statements and communication to the users of accounts.
3. **False:** Management accounting is concerned with internal reporting to the managers of a business unit.
4. **False:** Customers are also concerned with the stability and profitability of the enterprise because their functioning is more or less dependent on the supply of goods
5. **False:** Recording is the basic function of accounting. Summarising is concerned with the preparation and presentation of the classified data in a manner useful to the internal as well as the external users of financial statements
6. **True:** Balance Sheet is a statement of the financial position of an enterprise at a given date.
7. **True:** Book-keeping is concerned with complete recording and combined effect of transactions made during the accounting period.

MULTIPLE CHOICE QUESTIONS (SM)

1. Which of the following is not a subfield of accounting?
   (a) Management accounting. (b) Cost accounting. (c) Book-keeping

2. Purposes of an accounting system include all the following except
   (a) Interpret and record the effects of business transaction.
   (b) Classify the effects of transactions to facilitate the preparation of reports.
   (c) Dictate the specific types of business enterprise transactions that the enterprises may engage in.

3. Book-keeping is mainly concerned with
   (a) Recording of financial data.
   (b) Designing the systems in recording, classifying and summarising the recorded data.
   (c) Interpreting the data for internal and external users.

4. All of the following are functions of Accounting except
(a) Decision making. (b) Ledger posting. (c) Forecasting.

5. Financial statements are part of
(a) Accounting. (b) Book-keeping. (c) Management Accounting.

6. Financial position of the business is ascertained on the basis of
(a) Records prepared under book-keeping process.
(b) Trial balance.
(c) Balance Sheet.

7. Users of accounting information include
(a) Creditors/Suppliers (b) Lenders/ Customers (c) Both (a) and (b)

8. Financial statements do not consider
(a) Assets expressed in monetary terms.
(b) Liabilities expressed in monetary terms.
(c) Assets and liabilities expressed in non-monetary terms

9. On January 1, Sohan paid rent of Rs. 5,000. This can be classified as
(a) An event.
(b) A transaction.
(c) A transaction as well as an event.

10. On March 31, 2022 after sale of goods worth Rs. 2,000, he is left with the closing inventory of Rs. 10,000. This is
(a) An event.
(b) A transaction.
(c) A transaction as well as an event.

11. Which of the following is not a business transaction?
(a) Bought a machine of Rs. 10,000 for business
(b) Paid towards salaries of employees Rs. 5,000
(c) Paid son's fees from her personal bank account Rs. 8,000

12. Which qualitative characteristics of accounting information is reflected when accounting information is clearly presented?
(a) Understandability (b) Relevance (c) Comparability

Answer:

1.	(c)	2.	(c)	3.	(a)	4.	(b)	5	(a)	6	(c)
7.	(c)	8.	(c)	9.	(b)	10.	(a)	11.	(c)	12.	(a)

UNIT – 2 : ACCOUNTING CONCEPTS, PRINCIPLES AND CONVENTIONS

Question: 1

Explain Accounting Concept.

Answer:

Accounting Concept : It defines the **assumption** on the basis of which financial statements of a business entity are prepared.

Certain concepts are perceived, assumed and accepted in accounting **to provide uniformity to accounting process.**

Entity Concept

- It states that business and businessman is a separate person.
- Only business transactions are recorded in the books of business.

Note :

1. Due to this concept **personal expenses** of proprietor or partners should **not be recorded** in the books.
2. Due to this concept **proprietor is also treated as an outsider** i.e. creditor. When he introduce cash in business then capital account is credited.
3. Entries of **Drawing, Capital, Interest on Drawing/Capital** are recorded due to this concept.

Money Measurement Concept **[PEQ-MAY.22 - 2 Marks][PEQ-DEC.23 - 1 Marks]**

- Money is a **scale to measure transactions**.
- Money means **"currency"**. Money has no universal denomination. In different country there will be different denomination of money like Rupees (India), Dollars (USA) etc.
- In books only those **transactions are recorded** which can be **expressed in terms of money.** Non-financial transactions are not recorded in the books.
- **Human resources are not shown in balance sheet** due to this concept. Ex. Employees are however assets of the business but not recorded in books.

Periodicity Concept **[PEQ-MAY.22 - 2 Marks]**

- It is also called as concept of definite accounting period.
- As per this concept financial statements should be prepared after a certain period but not after the end of life of entity.
- Usually the period is for 12 M.

Accrual Concept (Revenue Recognition concept)

- As per this concept, transactions are recorded **on mercantile basis**.
- Transactions are recorded in the **period to which they relate** whether the payment is made or not and amount is received or not.
- Due to this concept entries of **outstanding & prepaid income and expenses are recorded**.

Matching concept

- This concept is based on Accrual system.
- In this concept all **expenses should be matched with the revenue of that period**.
- I.e. in financial statement, if any revenue is recognized then expenses relating to earn revenue shall also be booked.
- Due to this concept **stock is shown in the credit side of trading account**.
- As per this concept **Profit = Revenue - Expense**

Going Concern Concept

- F.S. are generally prepared on this **assumption** that entity **will continue its operation in future also.**
- It is assumed that the entity has neither intention nor need to materially curtail its operation (i.e. close its business).
- Due to this concept fixed assets and current assets are separately disclosed.

Cost concept (Historical cost)

- As per this concept, value of asset is recognized on the basis of historical cost / acquisition cost (purchase price + expenses)
- **Market price of assets is ignored**.
- In balance sheet fixed assets are shown at Net Block i.e. Gross Block (Cost) Less Accumulated Depreciation or Provision for Dep.

Realisation Concept **[PEQ-DEC.23 - 1 Marks]**

- Any change **in value of asset** should be **recorded** only when the business realised the assets.
- This concept is similar to Cost concept.
- Due to this concept **profit should not be recognized until the stocks are sold**.
- If going **concern concept is no longer valid** then assets should be valued at Realisable value and not at cost price.
- If **market value of stock is reduced below the cost price,** realization **concept is followed**.

Dual Aspect concept

- Every transaction will have 2 effects.
- So, the total of assets will always be equal to total of liabilities.
- i.e. Accounting equation is based on dual aspect concept.

Materiality Concept **[PEQ-JUNE.23 - 1 Marks]**

- As per this concept, **all the material items** (i.e. which may affect the user) must be **recorded** in the books.
- Insignificant items may be ignored.
- Ex. While preparing financial statement, paise is omitted. (figures are rounded off).
- Calculator, Staplers etc. are not shown in balance sheet although these are assets.
- Word "Misc. Exp." is written for various small expense.

Consistency Concept

- The **accounting policies & principles** used by the entity must be **consistent** every year.
- Ex. Charging depreciation by same method every year.
- If this concept is followed, the **comparison of the financial statement** of one accounting period with another accounting period is possible.
- This concept suggests **similar items should be given similar accounting treatment**.

Conservatism or Prudence concept **[PEQ-JUNE.23 - 1 Marks]**

- Revenue should be realised in the books only when its realisability is certain. It means **profit should not** be **anticipated**.
- **Provisions** should be made **for all possible expenses / liabilities.** It means all probable loss must be provided for. Ex. Provision for depreciation, provision for tax, provision for bad debts etc.
- Due to this approach **stock is valued at cost or NRV, whichever is lower**.
- When this concept is followed, the **assets and profits are under stated**.

Disclosure concept

- As per this concept the financial statement must disclose all the **reliable and relevant information** about the business enterprises.
- Due to this concept although entries of **contingent liabilities** are not recorded in books but it is **disclosed** by way of foot note.

Question: 2 **[RTP-May-18 & Nov-19]**

Distinguish between:

(i) Money measurement concept and matching concept

(ii) Going concern and cost concept

Answer:

(i) Distinction between Money measurement concept and matching concept

Money Measurement concept :

- As per this concept only those transactions, which can be measured in terms of money are recorded.
- Since money is the medium of exchange, this concept requires that only those transactions that are capable of being measured in terms of money be only recorded in the books of accounts.
- Transactions and events that cannot be expressed in terms of money are not recorded in the business books.

Matching concept :

- As per this concept all expenses matched with the revenue of that period should only be taken into consideration.
- In the financial statements of the organization if any revenue is recognized then expenses related to earn that revenue should also be recognized.

(ii) Distinction between Going concern and Cost concept :

Going Concern Concept

- ❖ F.S. are generally prepared on this assumption that entity will continue its operation in foreseeable future also.
- ❖ It is assumed that the entity has neither intention nor need to materially curtail its operation (i.e. close its business).
- ❖ The valuation of assets of a business entity is dependent on this assumption. That's why fixed assets are shown at historical cost.
- ❖ If this concept is followed, increase/decrease in the value of assets in the short run is ignored.
- ❖ This concept indicates that assets are kept for generating benefit in future, not for immediate sale. Therefore, current change in the asset value is not realizable and so it should not be recorded.

Cost concept (Historical cost)

- ❖ As per this concept, value of asset is recognized on the basis of historical cost i.e. acquisition cost (purchase price + expenses)
- ❖ Although there are various measurement bases, traditionally we prefer this concept in the interest of objectivity (i.e. free from bias).
- ❖ For ex. If we purchase machine for Rs. 1 lac and we follow cost concept then its value is taken Rs. 1 lac.

Question: 3

Write short notes on:

(i) Fundamental accounting assumptions.

(ii) Periodicity concept.

(iii) Accounting conventions.

Answer:

(i) Fundamental accounting assumptions: There are three fundamental accounting assumptions:

- **Going Concern; Consistency and Accrual.**
- If nothing has been written about the fundamental accounting assumption in the financial statements then it is **assumed** that they have already been followed in their preparation of financial statements. But if it is **not followed** then it must be stated in financial statement.

(ii) Periodicity concept:

- It is also called as concept of definite accounting period.
- As per this concept financial statements should be prepared after a certain period but not after the end of life of entity.
- Usually the period is for 12 months from 1st April to 31st March.
- This concept facilitates in :
  - i) **Comparison** of financial statement of different periods.
  - ii) **Uniform and consistent accounting treatment** for ascertaining financial performance and financial position of business.
  - iii) **Matching** periodic revenue with expense to get correct results of entity.

(iii) Accounting conventions:

- ❖ Accounting conventions emerge out of accounting practices, commonly known as **accounting principles, adopted by various organizations over a period of time**.
- ❖ These conventions are **derived by usage and practice**.
- ❖ The accounting bodies of the world **may change** any of the convention to improve the quality of accounting information.
- ❖ Accounting conventions **need not have universal application**.

Question: 4

Briefly explain the qualitative characteristics of the financial statements:

Answer:

Qualitative characteristics are the attributes that make the information provided in financial statements useful to users. Some important **characteristics** are as follows :

i) **Understandability** : It must be easily understandable by users.

ii) **Relevance :** All relevant information must be given to users to make decisions. It must help them to evaluate past, present or future events.

iii) **Reliability :** To be useful, information must be reliable. It must be free from material error and bias. If the information is relevant but not reliable, it will give misleading results.

iv) **Comparability :** Users must be able to compare the financial statements of an enterprise for different periods to identify the trends in financial position, performance and cash flow. Further Users must also be able to compare financial statements of different enterprises in order to compare them.

v) **Materiality :** The relevance of information is affected by its materiality. Information is material if its misstatement could influence the economic decisions of users.

vi) **Substance over form :** Information must be recorded and presented in accordance with their substance and economic reality and not merely their legal form. For ex. If rights in property is transferred but some legal formalities are pending. These transaction shall be recorded as per substance.

vii) **Full, fair and adequate disclosure :** All the information disclosed should be full and final so that users can correctly assess the financial position of the enterprise. All major accounting policies and other information are to be provided in the form of footnotes, annexures etc.

viii) **Completeness :** Financial statement shall be reliable only if complete information is given. If any information is omitted then the statement shall be false or misleading thus unreliable in terms of its relevance.

Question: 5 **[Dec-21 (4 Marks)]**

Define following terms:

1. Accrual Basis of Accounting
2. Amortisation
3. Contingent Asset
4. Contingent Liability

Answer:

1. **Accrual Basis of Accounting**
   The method of recording transactions by which **revenues, costs, assets and liabilities** are reflected in the accounts in the period in which they accrue, is called Accrual basis of accounting.
2. **Amortisation**
   The gradual and systematic **writing off** of an Intangible asset or an account over an appropriate period.
3. **Contingent Asset**
   An **asset** the existence, ownership or value of which may be known or determined only on the occurrence or non-occurrence of one or more uncertain future events.
4. **Contingent Liability**
   An **obligation** relating to an existing condition or situation which may arise in future depending on the occurrence or non-occurrence of one or more uncertain future events.

Question: 6 **[PEQ-JUNE.23 - 1 Marks] [Jan-21 (4 Marks)]**

Define the following terms:

(i) Capital Commitment
(ii) Expired Cost
(iii) Floating Charge
(iv) Obsolescence

Answer:

(i) **Capital commitment:** Future liability for capital expenditure in respect of which contracts have been made. Eg. company signs contract for purchase of fixed Assets, Construction of Buildings or infrastructure, Intangible Asset under development eg. company ने 10/4 को 50 Lakh की Plant/Machinery purchase करने का contract किया। इसकी delivery & Payment 6 Month बाद किया जाएगा। 10/4 को इसे Capital Commitment बोलेंगे no entry on 10/4. It will be disclosed on foot note.

(ii) **Expired cost:** The portion of the expenditure from which no further benefit is expected. Also termed as expense.

(iii) **Floating charge:** A general charge on some or all assets of an enterprise which are not attached to the specific assets and are given as security against a debt.

(iv) **Obsolescence:** Diminution in the value of an asset by reason of its becoming out-of-date or less useful due to technological changes, improvement in production methods, change in market demand for the product or service output of the asset, legal or other restrictions.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. **The concept helps in keeping business affairs free from the influence of the personal affairs of the owner is known as the matching concept.**
2. Entity concept means that the enterprise is liable to the owner for capital investment made by the owner.
3. Accrual means recognition as money is received or paid and not of revenue and costs as they are earned or incurred.
4. **The Conservatism Concept states that no change should be counted unless it has materialized.**
5. **The concept of consistency implies non-flexibility as not to allow the introduction of improved method of accounting.**
6. The materiality depends only upon the amount of the item and not upon the size of the business, nature and level of information, level of the person making the decision etc.
7. Accrual basis of accounting is the method of recording transactions by which revenues and costs and assets and liabilities are reflected in the accounts in the period in which actual receipts or actual payments are made.

Answer:

1. **False:** Under **matching concept all expenses matched with the revenue** of that period should only be taken into consideration. In the financial statements of the organization if any revenue is recognized then expenses related to earn that revenue should also be recognized.
2. **True:** Since the owner invested capital, he has claim on the profits of the enterprise.
3. **False:** Under accrual concept, the effects of transactions and other events are recognised on mercantile basis i.e., when they occur (and not as cash or a cash equivalent is received or paid) and they are recorded in the accounting records and reported in the financial statements of the periods to which they relate.
4. **False:** The **Realisation Concept** states that no change should be counted unless it has materialised.
5. **False:** The concept of consistency does not imply non-flexibility as not to allow the introduction of improved method of accounting.
6. **False:** As per materiality principle, all the items having significant economic effect on the business of the enterprise should be disclosed in the financial statements.
7. **False:** Cash Basis of Accounting is the method of recording transactions by which revenues and costs and assets and liabilities are reflected in the accounts in the period in which actual receipts or actual payments are made.

MULTIPLE CHOICE QUESTIONS (SM)

1. (i) All the following items are classified as fundamental accounting assumptions except
   (a) Consistency. (b) Business entity. (c) Going concern.

   (ii) Two primary qualitative characteristics of financial statements are
   (a) Understandability and materiality.
   (b) Relevance and reliability.
   (c) Neutrality and understandability.

(iii) Kanika Enterprises follows the written down value method of depreciating machinery year after year due to
(a) Comparability. (b) Convenience. (c) Consistency.

(iv) A purchased a car for Rs. 5,00,000, making a down payment of Rs. 1,00,000 and signing a Rs. 4,00,000 bill payable due in 60 days. As a result of this transaction
(a) Total assets increased by Rs. 5,00,000.
(b) Total liabilities increased by Rs. 4,00,000.
(c) Total assets increased by Rs. 4,00,000 with corresponding increase in liabilities by Rs. 4,00,000.

(v) Mohan purchased goods for Rs. 15,00,000 and sold 4/5th of the goods amounting Rs. 18,00,000 and met expenses amounting Rs. 2,50,000 during the year, 2022. He counted net profit as Rs. 3,50,000. Which of the accounting concept was followed by him?
(a) Entity. (b) Periodicity. (c) Matching.

(vi) A businessman purchased goods for Rs. 25,00,000 and sold 80% of such goods during the accounting year ended 31st March, 2022. The market value of the remaining goods was Rs. 4,00,000. He valued the closing Inventory at cost. He violated the concept of
(a) Money measurement. (b) Conservatism. (c) Cost.

(vii) Capital brought in by the proprietor is
(a) Increase in asset and increase in liability
(b) Increase in liability and decrease in asset
(c) Increase in asset and decrease in liability

(viii) During the life-time of an entity, accounting provides financial statements in accordance with which basic accounting concept:
(a) Conservatism (b) Matching (c) Accounting period

(ix) A concept that a business enterprise will not be liquidated in the near future is known as :
(a) Going concern (b) Economic entity (c) Monetary unit

2. (i) Assets are held in the business for the
(a) Resale. (b) Conversion into cash (c) Earning revenue.

(ii) Revenue from sale of products, is generally, realised in the period in which
(a) Cash is collected.
(b) Sale is made
(c) Products are manufactured.

(iii) The concept of conservatism when applied to the balance sheet results in
(a) Understatement of assets.
(b) Overstatement of assets.
(c) Overstatement of capital.

(iv) Decrease in the amount of trade payables results in
(a) Increase in cash.
(b) Decrease in bank over draft account.
(c) Decrease in assets.

(v) The determination of expenses for an accounting period is based on the principle of
(a) Objectivity. (b) Materiality. (c) Matching.

(vi) Economic life of an enterprise is split into the periodic interval to measure its performance is as per
(a) Entity. (b) Matching. (c) Periodicity.

3. (i) If an individual asset is increased, there will be a corresponding
(a) Increase of another asset or increase of capital.
(b) Decrease of another asset or increase of liability.
(c) Decrease of specific liability or decrease of capital.

(ii) Purchase of machinery for cash
(a) Decreases total assets.
(b) Increases total assets.
(c) Retains total assets unchanged.

(iii) Consider the following data pertaining to Alpha Ltd.:

Particulars	**Rs.**
Cost of machinery purchased on 1st April, 2021	**10,00,000**
Installation charges	**1,00,000**
Market value as on 31st March, 2022	**12,00,000**

While finalizing the annual accounts, if the company values the machinery at Rs. 12,00,000. Which of the following concepts is violated by the Alpha Ltd.?
(a) Cost.
(b) Matching.
(c) Accrual.

MCQ's Answer:

1. (i)	(b)	(ii)	(b)	(iii)	(c)	(iv)	(c)	(v)	(c)	(vi)	(b)
(vii)	(a)	(viii)	(c)	(ix)	(a)	**2.** (i)	(c)	(ii)	(b)	(iii)	(a)
(iv)	(c)	(v)	(c)	(vi)	(c)	**3.** (i)	(b)	(ii)	(c)	(iii)	(a)

UNIT 3:- CAPITAL AND REVENUE EXPENDITURES AND RECEIPTS

Question: 1

What do you mean by Revenue Expenditure & Capital Expenditure?

Answer.

I. Revenue Expenditure : Revenue Expense relates to –

- the **operations of the business** of an accounting period, or
- to the **revenue earned** during the period, or
- the items of **expenditure**, benefits of which do **not extend beyond that** period.

Presentation in Financial Statement : Revenue expenditures are shown in the **profit and loss account** as their benefits are for one accounting period i.e. in which they are incurred.

Conclusion : The revenue expenses either occur in direct relation with the revenue or in relation with accounting periods, for example cost of goods sold, salaries, rent, etc. Cost of goods sold is directly related to sales revenue whereas rent is related to the particular accounting period.

II. Capital Expenditure : Capital Expenditure generates enduring **benefits** and helps in revenue generation over **more than one** accounting period.

Capital expenditure may represent acquisition of any tangible or intangible fixed assets for enduring future benefits. Therefore, the benefits arising out of capital expenditure last for more than one accounting period.

Presentation in Financial Statement : Capital expenditures are placed on the a**sset side of the balance sheet** as they will generate benefits for more than one accounting period and will **be transferred to profit** and loss account of the year **on the basis of utilisation** of that benefit in particular accounting year.

Conclusion : Both capital and revenue expenditures are **ultimately transferred to profit and loss account.**

Question: 2 **[PEQ-JULY.21 - 4 Marks] [Jan-21(4 Marks)]**

What are the basic considerations in distinction between capital and revenue expenditures?

Answer.

The basic considerations in distinction between capital and revenue expenditures are:

(a) **Nature of business:**

For a trader **dealing in furniture**, purchase of furniture is **revenue expenditure** but for any other trade, the purchase of furniture should be treated as capital expenditure and shown in the balance sheet as asset.

(∴ Nature of Business is important criteria in seperation of Capital & Revenue Expenditure)

(b) **Recurring nature of expenditure:**

- If the **frequency** of an expense is **quite often** in an accounting year then it is **revenue** expenditure while **non-recurring expenditure** is treated as **capital expenditure**.
- Ex. Monthly salary or rent is the example of revenue expenditure as they are incurred every month while purchase of assets is non recurring expense, classified as capital expenditure.

(c) **Purpose of expenses:**

- Expenses for **repairs of machine** may be incurred in course of **normal maintenance** of the asset. Such expenses are revenue in nature.
- However, expenditure incurred for **major repair** of the asset so as to increase its productive capacity is capital in nature.

(d) **Effect on revenue generating capacity of business:**

- The expenses which help to generate income/ revenue in the **current period are revenue** in nature and should be matched against the revenue earned in the current period.
- However if expenditure helps to generate revenue **over more than one accounting** period, it is generally called capital expenditure.

(e) **Materiality of the amount involved:** If the amount is **immaterial** then it may be treated as **Revenue** expenditure for. Ex. Purchase of Stapler, Calculator etc.

Illustration: 1 **(SM)**

Example of Capital Expenditures and Revenue Expenditures:

State with reasons whether the following statements are 'True' or 'False'.

(1) Overhaul expenses of second-hand machinery purchased are Revenue Expenditure.
(2) Money spent to reduce working expenses is Revenue Expenditure.
(3) Legal fees to acquire property is Capital Expenditure.
(4) Amount spent as lawyer's fee to defend a suit claiming that the firm's factory site belonged to the plaintiff's land is Capital Expenditure.
(5) Amount spent for replacement of worn out part of machine is Capital Expenditure.
(6) Expense incurred on the repairs and white washing for the first time on purchase of an old building are Revenue Expenses.
(7) Expenses in connection with obtaining a license for running the cinema is Capital Expenditure.
(8) Amount spent for the construction of temporary huts, which were necessary for construction of the Cinema House and were demolished when the cinema house was ready, is Capital Expenditure.

Answer:

(1) **False:** Overhaul expenses are incurred to put second-hand machinery in working condition to derive endurable long-term advantage. So it should be capitalised.
(2) **False:** It may be reasonably **presumed** that money spent for reducing revenue expenditure would have **generated long-term benefits** to the entity. It becomes **part of intangible fixed assets** if it is in the form of **technical know-how** and **tangible fixed assets** if it is in the form of **additional replacement of any of the existing tangible fixed assets.** So this is capital expenditure.
(3) **True:** Legal fee paid to acquire any property is part of the cost of that property. It is incurred to possess the ownership right of the property and hence a capital expenditure.
(4) **False:** Legal expenses incurred to defend a suit claiming that the firm's factory site belongs to the plaintiff is **maintenance expenditure** of the asset. By this expense, **neither any endurable benefit** can be obtained **in future** in addition to that what is presently available **nor the capacity of the asset** will be **increased.** Maintenance expenditure in relation to an asset is revenue expenditure.
(5) **False:** Amount spent for replacement of any worn out part of a machine is revenue expense since it is part of its **maintenance cost**.
(6) **False:** Repairing and white washing expenses for the first time of an old building are incurred **to put the** building in **usable condition**. These are the part of the cost of building. Accordingly, these are capital expenditure.
(7) **True:** The Cinema Hall could **not be started without license.** Expenditure incurred to obtain the license is **pre-operative expense** which is capitalised. Such expenses are **amortised over a period of time.**
(8) **True:** Cost of temporary huts constructed which were necessary for the construction of the cinema house is **part of the construction cost of the cinema house.** Therefore such costs are to be capitalised.

Illustration: 2 **(SM)**

State with reasons whether the following are Capital or Revenue Expenditure:

(1) Expenses incurred in connection with obtaining a license for starting the factory for ₹ 10,000.
(2) ₹ 1,000 paid for removal of Inventory to a new site.
(3) Rings and Pistons of an engine were changed at a cost of ₹ 5,000 to get fuel efficiency.
(4) Money paid to Mahanagar Telephone Nigam Ltd. (MTNL) ₹ 8,000 for installing telephone in the office.
(5) A factory shed was constructed at a cost of ₹ 1,00,000. A sum of ₹ 5,000 had been incurred in the construction of temporary huts for storing building material.

Solution:

(1) Money paid ₹ 10,000 for obtaining license to start a factory is a **capital expenditure**. This is an item of expenditure incurred to **acquire the right to carry on business.**
(2) ₹ 1,000 paid for removal of Inventory to a new site is **revenue expenditure**. This is **neither bringing enduring benefit nor enhancing the value of the asset.**
(3) ₹ 5,000 spent in changing Rings and Pistons of an engine to get fuel efficiency is **capital expenditure**. This is an expenditure on **improvement of a fixed asset**. It results in **increasing profit-earning capacity** of the business by cost reduction.
(4) Money deposited with MTNL for installation of telephone in office is **not expenditure**. This is **treated as an asset** and the same is **adjusted over a period of time** against actual telephone bills.

(5) Cost of construction of building including cost of temporary huts is **capital expenditure**. Building is fixed asset which will **generate enduring benefit to the business over more than one accounting period.**
Construction of temporary huts is incidental to the main construction. Such cost is also capitalised with the cost of building.

Illustration: 3 **(SM)**

Best Tech Solutions buys and sells computers as a part of its business. It purchased 20 computers for resale to its customers. Cost of each computer is Rs. 20,000. It also purchased a computer costing Rs. 24,000 for its accountant to be able to maintain the accounting records and printing of invoices. Suggest whether above transactions qualify as capital expenditure or revenue expenditure transactions?

Solution:

Best Tech Solutions is in the business of buying and selling of computers. Any computers purchased for resale to its customers will qualify as revenue expenditure. Hence, a purchase of **20,000 x 20 = Rs. 4,00,000 will be a part of revenue expenditure.**

At the same time, the computer purchased for maintaining the records and invoicing is to be able to operate the business for a longer period of time. Therefore, the purchase of **Rs. 24,000 qualifies as a capital expenditure.** This amount will be a part of assets in the Balance Sheet.

Illustration: 4 **(SM)**

Good Pictures Ltd., constructs a cinema house and incurs the following expenditure **during the first year** ending 31st March, 2016.

(i) Second-hand furniture worth ₹ 9,000 was purchased; repainting of the furniture costs ₹ 1,000. The furniture was installed by own workmen, wages for this being ₹ 200.
(ii) Expenses in connection with obtaining a license for running the cinema worth ₹ 20,000. During the course of the year the cinema company was fined ₹ 1,000, for contravening rules. Renewal fee ₹ 2,000 for next year also paid.
(iii) Fire insurance, ₹ 1,000 was paid on 1st October, 2015 for one year.
(iv) Temporary huts were constructed costing ₹ 1,200. They were necessary for the construction of the cinema. They were demolished when the cinema was ready.
Point out how you would classify the above items.

Solution.

1. The total cost of the furniture should be treated as ₹ 10,200 i.e., all the amounts mentioned should be **capitalised** since without such expenditure the furniture would not be available for use.
2. **License** for running the cinema house is necessary, hence its cost should be **capitalised**. But the fine of ₹ 1,000 is **revenue expenditure**. The **renewal fee** for the next year is also **revenue expenditure** but pertains to the next year; hence, it is a **prepaid expense.**
3. Half of the insurance premium pertains to the year beginning on 1st April, 2016. Hence such amount should be treated as **prepaid expense**. The remaining amount is **revenue expense** for the current year.
4. Since the temporary huts were necessary for the construction, their cost should be added to the cost of the cinema hall and thus **capitalised.**

Illustration: 5 **(SM)**

State with reasons, how you would classify the following items of expenditure:

1. Overhauling expenses of ₹ 25,000 for the engine of a motor car to get better fuel efficiency.
2. Inauguration expenses of ₹ 25 lacs incurred on the opening of a new manufacturing unit in an existing business.
3. Compensation of ₹ 2.5 crores paid to workers, who opted for voluntary retirement.

Solution.

1. Overhauling expenses are incurred for the engine of a motor car to derive better fuel efficiency. These expenses will **reduce the running cost in future** and thus the **benefit is in form of endurable long-term advantage**. So this expenditure should be **capitalised**.
2. Inauguration expenses incurred on the opening of a new unit may help to explore more customers This expenditure is in the nature of **revenue expenditure**, as the expenditure may not generate any enduring benefit to the business over more than one accounting period.
3. The amount paid to workers on voluntary retirement is in the nature of **revenue expenditure**. Since the magnitude of the amount of expenditure is very significant, it **may be better to defer** it over future years.

Illustration: 6 **(SM)**

Are the following expenditures capital in nature?

(i) M/s ABC & Co. run a restaurant. They renovate some of the old cabins. Because of this renovation some space was made free and number of cabins was increased from 10 to 13. The total expenditure was ₹ 20,000.

(ii) M/s New Delhi Financing Co. sold certain goods on installment payment basis. Five customers did not pay installments. To recover such outstanding installments, the firm spent ₹ 10,000 on account of legal expenses.

(iii) M/s Ballav & Co. of Delhi purchased a machinery from M/s Shah & Co. of Ahmedabad. M/s Ballav & Co. spent ₹ 40,000 for transportation of such machinery. The year ending is 31st Dec, 2015.

Solution.

(i) Renovation of cabins increased the number of cabins. This has an **effect on the future revenue generating capability** of the business. Thus the renovation expense is **capital expenditure** in nature.

(ii) Expense incurred to recover installments due from customer **do not increase the revenue generating capability in future**. It is a normal recurring expense of the business. Thus the legal expenses incurred in this case is **revenue expenditure** in nature.

(iii) Expenses incurred on account of transportation of fixed asset is **capital expenditure** in nature.

Question: 3

Explain Capital and Revneue Receipts.

Answer.

CAPITAL RECEIPTS AND REVENUE RECEIPTS

- Receipts which are **obtained in course of normal business activities** are revenue receipts (e.g. receipts from sale of goods or services, interest income etc.).
- Revenue receipts **should not be equated with the actual cash receipts.**
- Revenue receipts are **credited to the Profit and Loss Account.**
- However, receipts which are not revenue in nature are **capital receipts** (e.g. receipts from sale of fixed assets or investments, secured or unsecured loans, owners' contributions etc.).
- Capital receipts are not directly credited to Profit and Loss Account. For example, when a fixed asset is sold for ₹ 92,000 (cost ₹ 90,000), the capital receipts ₹ 92,000 is not credited to Profit and Loss Account. Profit/Loss on sale of fixed assets is calculated and credited to Profit and Loss Account as follows:

Sale Proceeds	₹ 92,000
Cost	(₹ 90,000)
Profit	₹ 2,000

Question: 4 **[RTP- May-18 & Nov. 19]**

Define revenue receipts and give examples. How are these receipts treated?

Answer.

Meaning of Revenue Receipt and its Example :

- Receipts which are obtained in course of normal business activities are revenue receipts
- **Examples : Receipts from sale of goods or services, interest income, Discount recd. etc.**
- Revenue receipts should not be associated with the actual cash receipts. Revenue receipts are **credited to the Profit and Loss Account**.

Illustration: 7 **(SM)**

State with reasons whether the below items relating to the business of AB td are capital or revenue receipts?

(a) A machine with a book value of Rs. 10 lakh is sold for Rs.12 lakh.

(b) Premium amounting to Rs. 1 Lakh received on issue of shares

(c) An amount of Rs. 20,000 received from goods sold in cash.

(d) An amount of Rs. 5 lac received on the maturity of fixed deposit from bank. Also, an interest of Rs. 40,000 was received in addition to the maturity amount of the fixed deposits.

Solution:

(a) The amount of Rs. 12 lac is a **capital receipt**. There is a profit on sale of the machine to the extent of Rs. 2 lac (12 – 10)

(b) Premium received on issue of shares is an example of **capital receipt**.

(c) Amount received from cash sale is a **revenue receipt**.
(d) Amount received on the maturity of fixed deposit is the recovery of the deposit amount, and is a capital **receipt. Interest income** is an example of **revenue receipt.**

Illustration: 8 **(SM)**

Classify the following expenditures and receipts as capital or revenue:
(i) ₹ 10,000 spent as travelling expenses of the directors on trips abroad for purchase of capital assets.
(ii) Amount received from Trade receivables during the year.
(iii) Amount spent on demolition of building to construct a bigger building on the same site.
(iv) Insurance claim received on account of a machinery damaged by fire.

Solution.
(i) Capital expenditure.
(ii) Revenue receipt.
(iii) Capital expenditure.
(iv) Capital receipt.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. The nature of business is not an important criteria in separating an expenditure between capital and revenue.
2. Expenditure incurred for major repair of the asset so as to increase its productive capacity is Revenue in nature.
3. Amount spent as lawyer's fee to defend a suit claiming that the firm's factory site belonged to the plaintiff's land is Capital Expenditure.
4. Amount spent for replacement of worn-out part of machine is Capital Expenditure.
5. Legal fees to acquire property is Capital Expenditure.
6. Amount spent for the construction of temporary huts, which were necessary for construction of the cinema house and were demolished when the cinema house was ready, is Capital Expenditure.

Answer:
1. **False:** The nature of business is a very important criteria in separating an expenditure between capital and revenue. For example - For a trader dealing in furniture, purchase of furniture is revenue expenditure but for any other trade, the purchase of furniture should be treated as capital expenditure and shown in the balance sheet as asset. .
2. **False:** Expenditure incurred for major repair of the asset so as to increase its productive capacity is capital in nature.
3. **False:** Legal expenses incurred to defend a suit claiming that the firm's factory site belongs to the plaintiff is maintenance expenditure of the asset. By this expense, neither any endurable benefit can be obtained in future in addition to that what is presently available nor the capacity of the asset will be increased. Maintenance expenditure in relation to an asset is revenue expenditure.
4. **False:** Amount spent for replacement of any worn out part of a machine is revenue expense since it is part of its maintenance cost.
5. **True:** Legal fee paid to acquire any property is a part of cost of that property. It is incurred to possess the ownership right of the property and hence a capital expenditure.
6. **True:** Since temporary huts were necessary for the construction, their cost should be added to the cost of the cinema hall and thus capitalised.

MULTIPLE CHOICE QUESTIONS (SM)

1. Money spent ₹ 10,000 as traveling expenses of the directors on trips abroad for purchase of capital assets is
   (a) Capital expenditures (b) Revenue expenditures (c) Prepaid revenue expenditures

2. Amount of ₹ 5,000 spent as lawyers' fee to defend a suit claiming that the firm's factory site belonged to the plaintiff's land is
   (a) Capital expenditures (b) Revenue expenditures (c) Prepaid revenue expenditures

3. Entrance fee of ₹ 2,000 received by Ram and Shyam Social Club is
   (a) Capital receipt (b) Revenue receipt (c) Capital expenditures

4. Subsidy of ₹ 40,000 received from the government for working capital by a manufacturing concern is
   (a) Capital receipt (b) Revenue receipt (c) Capital expenditures

5. Insurance claim received on account of machinery damaged completely by fire is
   (a) Capital receipt (b) Revenue receipt (c) Capital expenditures

6. Interest on investments received from UTI is
   (a) Capital receipt (b) Revenue receipt (c) Capital expenditures

7. Amount received from IDBI as a medium term loan for augmenting working capital is
   (a) Capital expenditures (b) Revenue expenditures (c) Capital receipt

8. Revenue from sale of products, ordinarily, is reported as part of the earning in the period in which
   (a) The sale is made. (b) The cash is collected. (c) The products are manufactured.

9. If repair cost is ₹ 25,000, whitewash expenses are ₹ 5,000, (both these expenses relate to presently used building) cost of extension of building is ₹ 2,50,000 and cost of improvement in electrical wiring system is ₹ 19,000; the amount to be expensed is
   (a) ₹ 2,99,000. (b) ₹ 44,000. (c) ₹ 30,000.

Answers/Hints MCQs

1.	**A**	**2.**	**B**	**3.**	**A**	**4.**	**B**	**5.**	**A**	**6.**	**B**	**7.**	**C**	**8.**	**A**	**9.**	**C**

(ADDITIONAL QUESTIONS FOR SELF PRACTICE)

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. Pre-operative expenses are revenue expenses.
2. An expenditure intended to benefit the current period is a revenue expenditure.
3. Expenditure which results in acquisition of a permanent asset is a capital expenditure.
4. Expenses incurred to keep the machine in working condition is a capital expenditure.
5. Wages paid to workers to bring newly purchased asset into current location is a capital expenditure.
6. Amount paid for acquiring goodwill is revenue expenditure.
7. Overhaul expenses of a second-hand machinery purchased are revenue expenditure.
8. Amount spent for replacement of worn out parts of a machine is a capital expenditure.
9. Expenditure incurred on white washing of factory building done after every six months is revenue expenditure.
10. Amounts written off from the cost of fixed assets is capital expenditure.
11. Legal fees paid to acquire a property is capital expenditure.
12. Expenditure on renovation of a theatre which has increased the seating capacity by 10% is revenue expenditure.

13. Temporary shed put up at project site to house materials is a capital expenditure.
14. Overhauling expenses of ₹ 25,000 for the engine of a motor car to get better fuel efficiency are revenue expenses.
15. Inauguration expenses of ₹ 25 lacs incurred on the opening of a new manufacturing unit in an existing business are capital expenditure.
16. Compensation of ₹ 2.5 crores paid to workers, who opted for voluntary retirement in capital expenditure.
17. Wages incurred by a factory in manufacturing a part for its plant, is a revenue expense.
18. Sale of land & buildings by a real estate dealer is a Capital receipt.
19. Expenditure incurred on repairs and whitewashing at the time of purchase of an old building in order to make it useable is a Revenue Expenditure.
20. Registration fees paid at the time of purchase of a building is a Revenue Expenditure.
21. The expenditure incurred in erecting a platform on which a machine will be fixed is a Revenue Expenditure.
22. Advertising expenditure, the benefits of which a machine will last for five years is a Capital Expenditure.
23. Cost of ₹ 80,000 for dismantling, removing and reinstalling plant by a Cotton mill incurred in connection with the removal of works to a more suitable locality is a Capital Expenditure.
24. A sum of ₹ 50,000 spent for alternation of existing plant incorporating thereby new devices which could affect substantial reduction in power consumption is a Revenue Expenditure.
25. Imported goods worth Rs. 1,00,000 confiscated by Customs Authorities for non-disclosure of material facts is a capital loss.
26. Expenditure of ₹ 20,000 for advertisement in newspapers is a Capital Expenditure.
27. ₹ 1,00,000 spent on renewal fee of patent rights is a Capital Expenditure.
28. Expenses incurred in connection with obtaining a licence for starting the Factory are Revenue Expenditure.
29. Rings and Pistons of an engine were changed at a cost of ₹ 5,000 to get fuel efficiency. This is Revenue Expenditure.
30. ₹ 2,00,000 spent as lawyer's fee to defend a suit claiming that the firm's factory site belonged to the plaintiff. The suit was not successful. This is Capital Expenditure
31. ₹ 1,00,000 paid as compensation to the two employees who were retrenched is a Capital Expenditure.
32. ₹ 10,000 Customs Duty paid on import of a machinery for modernisation of the factory production during the current year is a Revenue Expenditure.
33. ₹ 5,000 paid on Import Duty for purchase of Raw Materials is a Capital Expenditure.
34. ₹ 12,000 Interest had accrued during the year on term loan obtained and utilised for the construction of factory Building and purchase of machineries, however the production has not commenced till the last date of the accounting year .It is a Revenue Expenditure.
35. Any expenditure which is unreasonably large is capital expenditure.
36. Premium received on issue of shares is a revenue receipt.

Answer:

1. **False:** Pre-operative expenses are incurred prior to commencement of commercial production and hence are generally capitalized.
2. **True:** Revenue expenditure is that expenditure the benefit of which does not extend beyond the current accounting period.
3. **True:** Expenditure which result in acquisition of a permanent asset is a capital expenditure since it will generate enduring benefits and help in revenue generation over more than one accounting period.
4. **False:** It is a revenue expenditure because it is not increasing the benefits but only keeping the machine in working condition.
5. **True:** All Exp. in current to bring asset into present location is treated as capital expenditure.
6. **False:** Amount paid for acquiring goodwill is capital expenditure because it involves acquisition of an intangible asset which is classified as fixed asset.
7. **False:** Such expenses are capital expenditure because these are incurred to put second-hand machinery in good/working condition to derive long term benefits of enduring nature.
8. **False:** Amount spent for replacement of any worn out part of a machine is revenue expenditure because it is part of its maintenance cost.
9. **True:** These expenses are revenue expenditure because these are incurred in the course of normal maintenance of the asset.
10. **False:** Amount written off from the cost of fixed assets is treated as revenue expenditure and charged to profit and loss account. Depreciation is an example of such write-off.

11. **True:** Legal fees paid to acquire a property is a part of the cost of that property. Hence it is taken as capital expenditure.
12. **False:** It is a capital expenditure because it has increased the revenue earning capacity of the business over more than one accounting period.
13. **True:** Temporary shed put up at a project site to house materials is necessary to the main construction and the expenditure on it, is a part of construction cost and hence, it is a capital expenditure.
14. **False:** These expenses should be capitalised because these are incurred for the engine of a motor car to derive better fuel efficiency. These expenses will reduce the running cost in future and thus the benefit is in form of endurable long term advantage.
15. **False:** Such expenses are revenue expenditure because such expenditure may not generate any enduring benefit to the business over more than one accounting period.
16. **False:** Such compensation is revenue expenditure. Since the magnitude of the amount of expenditure is very significant, it may be better to treat it as deferred revenue expenditure.
17. **False:** Wages incurred by a factory in manufacturing a part of its plant, is a capital expenditure. This expenditure will be included in the cost of plant.
18. **False:** Sale of land & buildings by a real estate dealer is a Revenue receipt since such receipt is in ordinary course of business. It is not a Capital receipt.
19. **False:** Expenditure incurred on repairs and white washing at the time of purchase of an old building in order to make it useable is a Capital Expenditure.
20. **False:** Registration fees paid at the time of purchase of a building is a Capital Expenditure.
21. **False:** The expenditure incurred in erecting a platform on which a machine will be fixed is a Capital Expenditure.
22. **False:** Advertising expenditure, the benefits of which a machine will last for five years is a Revenue Expenditure
23. **False:** Cost of ₹ 80,000 for dismantling, removing and reinstalling plant by a Cotton mill incurred in connection with the removal of works to a more suitable locality is a Revenue Expenditure.
24. **False:** A sum of ₹ 50,000 spent for alternation of existing plant incorporating thereby new devices which could affect substantial reduction in power consumption is a Capital Expenditure
25. **False:** Imported goods worth ₹ 1,00,000 confiscated by Customs Authorities for non¬disclosure of material facts is a revenue loss.
26. **False:** Expenditure of ₹ 20,000 for advertisement in newspapers is a Revenue Expenditure.
27. **False:** ₹ 1 ,00,000 spent on renewal fee of patent rights is a Revenue Expenditure.
28. **False:** Expenses incurred in connection with obtaining a licence for starting the Factory are Capital Expenditure.
29. **False:** Rings and Pistons of an engine were changed at a cost of ₹ 5,000 to get fuel efficiency. This is Capital Expenditure
30. **False:** ₹ 2,00,000 spent as lawyer's fee to defend a suit claiming that the firm's factory site belonged to the plaintiff. The suit was not successful. This is Revenue Expenditure
31. **False:** ₹ 1,00,000 paid as compensation to the two employees who were retrenched is a Revenue Expenditure.
32. **False:** ₹ 10,000 Customs Duty paid on import of a machinery for modernisation of the factory production during the current year is a Capital Expenditure.
33. **False:** ₹ 5,000 paid on Import Duty for purchase of Raw Materials is a Revenue Expenditure.
34. **False:** It is a Capital Expenditure. Exp. incurred till commercial production is a capital exp.
35. **False:** Any expenditure which is unreasonably large need not be capital expenditure. For example, ₹ 20,00,000 paid as arrears of salaries & wages will be Revenue Expenditure although the amount is large.
36. **False:** Premium received on issue of shares is a capital receipt.

UNIT – 4 : CONTINGENT ASSETS AND CONTINGENT LIABILITIES

Question: 1 **[PEQ-DEC.21 - 5 Marks]**

What do you mean by Contingent Assets ?

Answer.

CONTINGENT ASSET :

1. **Defination :** A contingent asset may be defined as a **possible asset** that arises from **past events** and whose **existence** will be **confirmed** only after occurrence or non-occurrence of one or more **uncertain future** events **not wholly within** the **control of the** enterprise.
2. There is a **possibility of an inflow of economic benefits** to the business entity.
3. For **example,** An enterprise filed a suit against any person, is a contingent asset.
4. As per the **concept of prudence** as well as the present **accounting standards**, an enterprise should **not recognise** a contingent asset.
5. A contingent asset need **not be disclosed in the financial statements**. A contingent asset is usually **disclosed in the report of the approving authority** (Board of Directors in the case of a company, and the corresponding approving authority in the case of any other enterprise), **if an inflow of economic benefits is probable.**
6. However, if it has become **virtually certain** that an inflow of economic benefits will arise, then it is **no longer a contingent asset** hence the **asset** and the **related income** are recognised in the financial statements.

Question: 2 **[PEQ-DEC.21 - 5 Marks]**

What do you mean by Contingent Liabilities ?

Answer.

CONTINGENT LIABILITIES

Defination : The term 'Contingent liability' is -

(a) a **possible obligation** that arises from past events and the **existence** of which will be **confirmed** only by the occurrence or non-occurrence of one or more uncertain **future events not wholly** within the control of the enterprise; or

(b) a **present obligation** that arises from past events but is **not recognised** because:

(i) it is **not probable** that an **outflow of** resources will be required to settle the obligation; or

(ii) a **reliable estimate** of the amount of the obligation **cannot be made**.

Comments :

1. An enterprise should not recognise a contingent liability.
2. A Contingent liability is required to be **disclosed.** But the possibility of outflow of a resource embodying economic benefits is **remote,** then it should **not be disclosed.**
3. If in future these liabilities has **become probable** that an outflow will be required then **provisions should be made** in financial statements.

Question: 3 **[PEQ MAY 25- 2 Marks]**

What is the distinction between Contingent liabilities and Liabilities ?

Answer.

DISTINCTION BETWEEN CONTINGENT LIABILITIES AND LIABILITIES

- The distinction between a liability and a contingent liability is generally **based on the judgement of the management.**
- **Liability:** A **liability** means the **present financial obligation** of an enterprise, which **arises from past events**. It **results in an outflow** from the enterprises of resources embodying economic benefits.
- **Contingent Liability :** In the case of contingent liability, either **outflow** of resources to settle the obligation is **not probable** or the amount expected to be paid to settle the liability **cannot be measured with sufficient reliability**. For Example, **Claims against** the **enterprise not acknowledged as debts, guarantees given in** respect **of third parties**, **liability in** respect of bills discounted and statutory liabilities under dispute etc.
- **Presentation in Financial Statement :** Liabilities are recognized in the balance sheet whereas contingent liability is **disclosed in balance sheets by way of notes**.

Question: 4 **[PEQ-NOV.22 - 4 Marks] [May- 18 (4 Marks)]**

State the meaning of Provisions. Also state the distinction between Contingent liability and Provisions.

Answer.

Provision means :

- "any amount written off or retained by way of providing for depreciation, renewal or diminution in the value of assets, or eg. Provision for Deprication/Repairs.
- retained by way of providing for any known liability of which the amount cannot be determined with substantial accuracy". Provision for Gratuity etc.

The distinction between both of them is as follows:

	Provision	Contingent liability
(1)	Provision is a **present liability** of uncertain amount, which **can be measured reliably** by using a substantial degree of estimation.	A Contingent liability is a **possible obligation** that **may or may not crystallise** depending on the occurrence or non-occurrence of one or more uncertain future events.
(2)	A provision meets the **recognition criteria**.	A contingent liability **fails to meet** the same.
(3)	Provision is recognised when (a) an enterprise has a **present obligation** arising from past events; an **outflow** of resources embodying economic benefits is **probable**, and (b) a **reliable estimate** can be made of the amount of the obligation.	Contingent liability does not recognize because either it is **not probable** that settlement of those obligations will require **outflow** of economic benefits, or the **amount cannot be reliably estimated**.
(4)	Provision are shown in the **balance sheet**.	Contingent liability shall be disclosed in **foot notes**.

Question: 5

State one example to understand the distinction between provision and contingent liability.

Ans.

Example to understand the distinction between provisions & contingent liabilities :

- The **Central Excise Officer imposes a penalty** on Alpha Ltd. for violation of a provision in the Central Excise Act.
- The **company goes on an appeal.**
- If the management of the company **estimates** that it is **probable** that the company will have **to pay the penalty**, it **recognises a provision** for the liability.
- But if the management **anticipates** that the **judgement** of the appellate authority **will be in its favour** and it is **less likely** that the company will have **to pay** the penalty, it will disclose the obligation as a **contingent liability**

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. A contingent liability need not be disclosed in the financial statements.
2. A Provision fails to meet the recognition criteria.
3. A claim that an enterprise is pursuing initiate through legal process, where the outcome is uncertain, is a contingent liability.
4. When it is probable that the firm will need to pay off the obligation, this gives rise to Contingent liability.
5. Present financial obligation of an enterprise, which arises from past event is termed as contingent liability.

Answer:

1. **False:** A Contingent liability is required to be disclosed **unless** possibility of outflow of a resource embodying economic benefits is **remote**.
2. **False:** A contingent liability fails to meet the recognition criteria.
3. **False:** A claim that an enterprise is pursuing through legal process, where the outcome is uncertain, is a **contingent asset**
4. **False:** When it is probable that the firm will need to pay off the obligation, this gives rise to **provision.**
5. **False:** Present Financial obligation of an enterprise, which arises from past events is termed as **liability,**

MULTIPLE CHOICE QUESTIONS (SM)

1. Contingent asset usually arises from unplanned or unexpected events that give rise to
   (a) The possibility of an inflow of economic benefits to the business entity.
   (b) The possibility of an outflow of economic benefits to the business entity.
   (c) Either (a) or (b).

2. If an inflow of economic benefits is probable then a contingent asset is disclosed
   (a) In the financial statements.
   (b) In the report of the approving authority (Board of Directors in the case of a company, and the corresponding approving authority in the case of any other enterprise).
   (c) In the cash flow statement.

3 In the case of , either outflow of resources to settle the obligation is not probable or the amount expected to be paid to settle the liability cannot be measured with sufficient reliability.
   (a) Liability (b) Provision (c) Contingent liabilities

4. Present liability of uncertain amount, which can be measured reliably by using a substantial degree of estimation is termed as .
   (a) Provision. (b) Liability. (c) Contingent liability.

5. In the financial statements, contingent liability is
   (a) Recognised. (b) Not recognised. (c) Adjusted.

Answer:

1.	(a)	2.	(b)	3.	(c)	4.	(a)	5.	(b)

UNIT - 5 : ACCOUNTING POLICIES

Question. 1 **[PEQ-JUNE.24 – 1 Marks]**

Define Accounting Policies in brief. Identify few areas wherein different accounting policies are frequently encountered. Can Accounting Policy be changed ?

Answer.

Accounting Policies refer to specific **accounting principles and methods of applying these principles** adopted by the enterprise in the preparation and presentation of financial statements.

Area in which diff. Accounting Policy may be adopted -

- **Methods of Depreciation**
- **Valuation of Inventory**
- **Treatment of Goodwill**
- **Valuation of Investment**
- **Valuation of Assets**

Change in accounting policies : Change should be made in the following conditions :

- If required by law
- To comply A.S.
- If change would result in more appropriate presentation of F.S.

Note : Whenever accounting policies are changed, its effect should be **quantified and disclosed in financial statement**. For Ex. Method of inventory valuation is changed from LIFO method to FIFO method. In that case we have to show the effect of such change in profit, assets etc.

Question. 2 **[RTP-May-18]**

"Change in accounting policy may have a material effect on the items of financial statements." Explain the statement with the help of an example.

Answer.

Change in accounting policy may have a **material effect** on the items of financial statements.

For example, if **depreciation method is changed** from straight-line method to written-down value method, or if cost formula used for **inventory valuation** is changed from weighted average to FIFO.

The effect of such change in accounting policy should be **quantified** in the financial statements so that users of accounts can get reliable information.

Question. 3 **[RTP-May-22]**

Distinguish between Fundamental Accounting Assumptions and Accounting Policies.

Answer:

Basis of Distinction	Fundamental Accounting Assumptions	Accounting Policies
Number	There are only three fundamental accounting assumptions viz. Going Concern, Consistency and Accrual.	There is no single list of accounting policies which are applied in all circumstances. As a result, there may be different accounting policies adopted by different enterprises.
Disclosure if followed	No disclosure is required if all the fundamental assumptions have been followed.	Disclosure is required if a particular accounting policy has been followed.
Disclosure if not followed	In case the fundamental assumptions are not followed; the fact has to be disclosed in the financial statements together with the reasons.	In case, the policy is changed in subsequent year, the reasons for such change and the resulting financial consequences have to be disclosed.
Choice	There is no choice.	The firm has a choice to select a particular policy.

Question. 4 **[RTP- May-19]**

Define Accounting Policies in brief. Identify few areas wherein different accounting policies are frequently encountered.

Answer.

- Accounting Policies refer to specific accounting principles and methods of applying these principles adopted by the enterprise in the preparation and presentation of financial statements.
- Policies are based on various accounting concepts.
- There is no single list of accounting policies, which are applicable to all enterprises in all circumstances. Enterprises operate in diverse and complex environmental situations and so they have to adopt various policies.
- The choice of specific accounting policy appropriate to the specific circumstances in which the enterprise is operating, calls for considerate judgement by the management.
- Different accounting policies are frequently encountered in the areas like valuation of inventory and investments etc.

Question. 5 **[RTP NOV.1, MTP.19, PEQ-JUNE.24- 4 Marks]**

Explain Cash and Mercantile system of accounting.

Answer.

Cash and mercantile system:

Cash system of accounting :

- It is a system by which a transaction is recognized only if cash is received or paid.
- In cash system of accounting, entries are made only when cash is received or paid, no entry being made when a payment or receipt is merely due.
- Cash system is normally followed by professionals, educational institutions or non-profit making organizations.

Mercantile system of accounting :

- It is a system of classifying and summarizing transactions into assets, liabilities, equity (owner's fund), costs, revenues and recording thereof.
- A transaction is recognized when either a liability is created/ impaired and an asset is created /impaired.
- A record is made on the basis of amounts having become due for payment or receipt irrespective of the fact whether payment is made or received actually.
- Mercantile system of accounting is generally accepted accounting system by business entities.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. There is a single list of accounting policies, which are applicable to all enterprises in all circumstances.
2. Selection of accounting policy doesn't impact financial performance and financial position of the business
3. A change in accounting policies should be made as and when business like to show result as per their choice.
4. Choosing FIFO or weighted average method for inventory valuation is selection of accounting policy.
5. Selection of an inappropriate accounting policy decision will overstate the performance and financial position of a business entity every time.

Answer:

1. False: There cannot be single list of accounting policies, which are applicable to all enterprises in all circumstances. There would always be different policies chosen by different industries under different circumstances.
2. False: Accounting policy has big impact on value of items goes under financial statements, hence it impacts financial performance and financial position of the business.
3. False: A change in accounting policies should be made in the following conditions:
   (a) It is required by some statute or for compliance with an Accounting Standard.
   (b) Change would result in more appropriate presentation of financial statement.

4. True: An enterprise may adopt FIFO or weighted average method for inventory valuation and the method selected for valuation is called an accounting policy.
5. False: It could understate/overstate the performance and financial position of a business entity.

MULTIPLE CHOICE QUESTIONS (SM)

1. A change in accounting policy is justified
   (a) To comply with accounting standard and law.
   (b) To ensure more appropriate presentation of the financial statement of the enterprise.
   (c) Both (a) and (b).

2. Accounting policy for inventories of Xeta Enterprises states that inventories are valued at the lower of cost determined on weighted average basis or net realizable value. Which accounting principle is followed in adopting the above policy?
   (a) Materiality.
   (b) Prudence.
   (c) Substance over form.

3. The areas wherein different accounting policies can be adopted are
   (a) Providing depreciation.
   (b) Valuation of inventories.
   (c) Both the option.

4. Selection of an inappropriate accounting policy decision may
   (a) Overstate the performance and financial position of a business entity.
   (b) Understate/overstate the performance and financial position of a business entity.
   (c) Overstate the performance of a business entity.

5. Accounting policies refer to specific accounting
   (a) Principles.
   (b) Methods of applying those principles.
   (c) Both (a) and (b).

Answer:

1.	(c)	2.	(b)	3.	(b)	4.	(b)	5.	(c)

UNIT – 6 : ACCOUNTING AS A MEASUREMENT DISCIPLINE – VALUATION PRINCIPLES, ACCOUNTING ESTIMATES

Question. 1

Define Measurement in brief. Explain the significant elements of measurement.

Answer.

Measurement is vital aspect of accounting. Primarily **transactions and events are measured in terms of money**. **Three elements** of measurement are:

(1) Identification of objects and events to be measured;
(2) Selection of standard or scale to be used;
(3) Evaluation of dimension of measurement standard or scale.

Question. 2 **[PEQ-SEP.25, MAY.25 – 4 Marks]**

Describe in brief, the alternative measurement bases, for determining the value at which an element can be recognized in the balance sheet or statement of profit and loss.

Answer.

Alternative measurement bases are :

1. **Historical Cost** : It means acquisition price. According to this base, assets are recorded at an amount of cash or cash equivalent paid at the time of acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation.

2. **Current cost** : According to this base, Assets are carried out at the amount that would have to be paid if the same assets was acquired currently and liabilities are recorded at the amount that would be required to settle the obligation currently.

3. **Realisable value** : According to this base, Assets are carried out at the amount that could currently be obtained by selling the assets. Liabilities are carried at their settlement values i.e. amount to be paid to satisfy the liabilities in the normal course of business..

4. **Present value** : According to this base, An asset is carried at the present discounted value of the future net cash inflows that the item is expected to generate in the normal course of business. Liabilities are carried at the present discounted value of the future net cash outflow that are expected to be required to settle the liabilities in the normal course of business.

Practical Example :

Mr. X purchased a machine on 1st January 2000 at Rs. 7 lakh. As on 1.1.2011 he found that it would cost Rs. 25 lakh to purchase that machine. Mr. X took loan from a bank as on 1.1.2000 for Rs. 5 lakh repayable at the end of 15 years with interest. As on 1.1.2011 the bank announces 1% prepayment penalty on the loan amount, if it is paid within 15 days starting from that day.

Suppose Mr. X found that he can get 20 lakh if he would sell the machine purchased on 1.1.2000.

He also find that he had no money to pay off the bank loan of Rs. 5 lakh currently.

Suppose we are taking loan on 1.1.2011. Machine purchased can work for another 10 years and is supposed to generate cash @ Rs. 1 lakh p.a. Also take that bank loan of Rs. 5 lakh taken by X is to be repaid on 31.12.2015. Annual interest is Rs. 90000.

Particulars	Historical Cost	Current Cost	Realisable value	Present value
Asset	7 lakh	25 lakh	20 lakh	419246
Liability (Loan)	5 lakh	5.05 lakh	5 lakh	470094

Note :

1. PV of Asset : Rs. 1 lakh is recd. Each year (Inflow). Calculate its Present Value. Sum of PV will be PV of Asset. Taking i = 20%

   Formula : PV = Ann. $\left(\frac{(1+i)^n - 1}{i\,(1+i)^n}\right)$ $= 100000 \left(\frac{(1+0.2)^{10} - 1}{0.2\,(1+0.2)^{10}}\right) = 419246$

2. PV of Loan : In this case he has to pay interest and Principal of bank loan – these are cash outflows.
(1.1.2011) PV on Loan to be Repaid on 31.12.15
$A = PV\ (1 + i)^n$
$5,00,000 = PV\ (1 + .20)^5$
PV = 2,00,938.79

(A) Say 2,00,939

PV of interest (90,000 each year)

PV = Ann. $\left(\frac{(1+i)^n - 1}{i\ (1+i)^n}\right)$

PV = 90,000 $\left(\frac{(1+.20)^5 - 1}{.20\ (1+.20)^5}\right)$

(B) = 2,69,155

TOTAL AMOUNT = (A+B) = 470094

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. There are four generally accepted measurement bases.
   (i) Historical Cost;
   (ii) Current Cost;
   (iii) Realizable Value;
   (iv) Future Value.
2. Historical Cost means price paid at time acquisition.
3. As per future value, assets are carried at the amount of cash or cash equivalents that could currently be obtained by selling the assets in an orderly disposal.
4. At Present value, liabilities are carried at the value of future net cash outflows that are expected to be required to settle the liabilities in the normal course of business.
5. ABC purchased a machinery amounting Rs. 10,00,000 on 1st April, 2001. On 31st March, 2022, similar machinery could be purchased for Rs. 20,00,000. Historical cost of machine is 20,00,000
6. ABC purchased a machinery amounting Rs. 10,00,000 on 1st April, 2001. On 31st March, 2022, similar machinery could be purchased for Rs. 20,00,000. Current cost of machine is Rs. 20,00,000
7. Change in accounting estimate has to be given retrospective effect.

Answer:

1. **False:** There are four generally accepted measurement bases .
   (i) Historical Cost;
   (ii) Current Cost;
   (iv) Realizable Value;
   (iv) Present Value.
2. **True:** Historical cost means the acquisition price.

3. **False:** At Realisable value, assets are carried at the amount of cash or cash equivalents that could currently be obtained by selling the assets in an orderly disposal.

4. **False:** Liabilities are carried at the present discounted value of future net cash outflows that are expected to be required to settle the liabilities in the normal course of business.
5. **False:** Historical cost is Rs. 10,00,000.
6. **True:** Since similar machine is purchased at 20,00,000, the current cost of machine is Rs. 20,00,000.
7. **False:** Change in accounting estimate has not to be given retrospective effect.

MULTIPLE CHOICE QUESTIONS (SM)

1. (i) Measurement discipline deals with
(a) Identification of objects and events.
(b) Selection of scale.
(c) Both (a) and (b)

(ii) All of the following are valuation principles except
(a) Historical cost. (b) Present value. (c) Future value.

(iii) Book value of machinery on 31st March, 2022 Rs. 10,00,000
Market value as on 31st March, 2022 if sold Rs. 11,00,000
As on 31st March, 2022, if the company values the machinery at Rs. 11,00,000, which of the following valuation principle is being followed?
(a) Historical Cost. (b) Present Value. (c) Realisable Value.

2. Mohan purchased a machinery amounting Rs. 10,00,000 on 1st April, 2001. On 31st March, 2022, similar machinery could be purchased for Rs. 20,00,000 but the realizable value of the machinery (purchased on 1.4.2001) was estimated at Rs. 15,00,000. The present discounted value of the future net cash inflows that the machinery was expected to generate in the normal course of business, was calculated as Rs. 12,00,000.

(i) The current cost of the machinery is
(a) Rs. 10,00,000. (b) Rs. 20,00,000. (c) Rs. 15,00,000.

(ii) The present value of machinery is
(a) Rs. 10,00,000. (b) Rs. 20,00,000. (c) Rs. 12,00,000.

(iii) The historical cost of machinery is
(a) Rs. 10,00,000. (b) Rs. 20,00,000. (c) Rs. 15,00,000.

(iv) The realizable value of machinery is
(a) Rs. 10,00,000. (b) Rs. 20,00,000. (c) Rs. 15,00,000.

Answer:

1.	(i)	(c)	(ii)	(c)	(iii)	(c)		
2.	(i)	(b)	(ii)	(c)	(iii)	(a)	(iv)	(c)

UNIT – 7 : ACCOUNTING STANDARDS

Question. 1 **[MTP JAN. 25, PEQ -MAY .25 - 5 Marks]**

Explain in brief objective and advantages of setting Accounting Standards.

Answer.

Objective and Advantages of Accounting Standards:

- An Accounting Standard is a **selected set of accounting policies or broad guidelines** regarding the principles and methods to be chosen out of several alternatives.
- The **Accounting Standards Board formulates** Accounting Standards to be **established by the Council** of the Institute of Chartered Accountants of India.
- The **main objective** of Accounting Standards is to **establish standards** which have to be complied with to ensure that **financial statements are prepared in accordance with generally accepted accounting standards.**
- Accounting Standards seek to suggest rules and criteria of accounting measurements. These standards **harmonize the diverse accounting policies and practices** at present **in use in India**.
- The **main advantage** of setting accounting standards is that the adoption and application of Accounting Standards **ensure uniformity, comparability and qualitative improvement** in the preparation and presentation of financial statements. The **other advantages** are as follows:
  (i) Reduction in variations.
  (ii) Disclosure beyond that required by law.
  (iii) Facilities comparison.

Question. 2

State the limitations of AS.

Answer.

Limitations of AS :

- The **choice** between different accounting treatment is **difficult**.
- **AS can't override statute**
- There may be trend towards **rigidity**.

Question. 3

Explain the need of convergence rather adoption of IFRS as Global Standards.

Answer.

Adoption of IFRS :-

- The **Government** of India in consultation with the **ICAI decided to converge** (to make similar) and not to adopt International Financial Reporting Standards i.e. **IFRSs** issued by the International Accounting Standard Board i.e. IASB.
- The decision of convergence rather than adoption was taken after the detailed analysis of IFRSs requirements and extensive discussion with various stakeholders.
- Accordingly, while formulating IFRS- converged **Indian Accounting Standards (Ind AS)**, efforts have been made to keep these Standards, as far as possible, **in line with** the corresponding IAS (International Accounting Standards) /IFRS and departures have been made where considered absolutely essential.

Question. 4

What is the significance of issue of Indian Accounting Standards? Explain in brief.

Answer.

Significance of issuing Ind AS :-

- Global Standards facilitate **cross border flow** of money, **global listing** in different stock markets and **comparability** of financial statements.
- The convergence of financial reporting and accounting standards is a valuable process that contributes to the **free flow of global investment** and achieves substantial benefits for all capital market stakeholders.
- It improves the ability of investors to **compare investments on a global basis** and thus lowers their risk of errors of judgment.
- It facilitates accounting and reporting for companies with global operations and **eliminates some costly requirements** say reinstatement of financial statements.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. Accounting standards are written policy documents issued by the expert accounting body or by the government or other regulatory body covering the aspects of recognition, measurement, presentation and disclosure of accounting transactions and events in the financial statements.
2. Accounting standards can override the statute.
3. Difficulties in making choice between different treatments is one of the benefits of accounting standards.
4. Requirements for additional disclosures is limitation of accounting standards.
5. ASB stands for Accounting standardisation benchmarking.
6. There are no limitation to accounting standards.

Answer:

1. True: Accounting standards are documents covering recognition, measurement, presentation and disclosure of accounting transactions and events in the financial statements.
2. False: Accounting standards can never override the statute. The standards are required to be framed within the ambit of prevailing statutes.
3. False: Difficulties in making choice between different treatments is one of the limitation of accounting standard.
4. False: Benefits of accounting standards are:
   - Standardisation of alternative accounting treatments
   - Comparability of financial statements
   - Requirements for additional disclosures.
5. False: ASB stands for Accounting Standard Board.
6. False: limitations of accounting standards
   - Difficulties in making choice between different treatments
   - As can't override statute
   - It may trend rigidity

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true of false (No Marks shall be awarded without valid reason):

1. Capital + Long Term Liabilities = Fixed Assets + Current Assets + Cash – Current Liabilities.
2. Capital is all assets less fictitious assets.
3. Transactions and events are guided by generally accepted accounting principles subject to laws of land.
4. Accounting can be viewed as in information system which has its input processing methods and outputs.
5. Equity + LTL – CL = FA + CA
6. Accounting involves communication.
7. Capital is equal to assets less external liabilities.
8. As per AS – 1, Fundamental Accounting Assumptions are Going Concern, Full Disclosure and Accrual.
9. Valuation Principles are – Historical Cost Base, Current Cost Base, Realizable Value Base and Future Value Base.
10. A person who owes money to the firm is a creditor.
11. A person to whom the firm owes money is a debtor.
12. Furniture purchased by Rama Motors is a current asset.
13. Furniture purchased by Rama Furniture is a fixed asset.
14. A transaction which increased the capital is called 'Income'.
15. Amount owed to outsiders (other than proprietor) is called capital.
16. An increase in assets is always due to profits.
17. Profit = Closing Capital + Additional Capital – Drawings – Opening Capital.
18. Prudence is a concept to recognise unrealized profits and not losses.
19. In accounting, all business transactions are recorded as having dual aspect.
20. Accrual concept implies accounting on cash basis.
21. Revenues are matched with expenses in accordance with the matching principle.

22. The financial statement must disclose all the relevant and reliable information in accordance with the full disclosure principle.
23. Accounting principle is general rule followed in preparation of financial statements.
24. As per the concept of conservatism, the accountant should provide for all possible losses, but should not anticipate income.
25. The Assets are classified as Current Assets and Fixed Assets as per Full Disclosure Principle.
26. The Assets and Incomes are not overstated and the Liabilities and Losses are not understated as per Accrual Principle.
27. Accounting of a small calculator as an Expense and not as an Asset is as per Going Concern Principle.
28. The Accounting Data should be definite, verifiable and free from personal-bias as per Materiality Principle.
29. Materiality Principle is an exception to Consistency Principle.
30. Valuation of Inventory at Lower of Cost or Net Realizable Value (NRV), making Provision for Doubtful Debts and Discount on Debtors are the application of Consistency Principle.
31. Disclosure is required if Fundamental Assumptions are followed.
32. Disclosure is required if a particular Accounting Policy is followed.
33. Change in Accounting Estimate has to be given Retrospective Effect.
34. Personal transactions are distinguished from business transactions in accordance with the Money Measurement Assumption.
35. Accrual means recognition of revenue as it is earned and of costs as they are paid.
36. Going Concern Concept fixes up the time frame for which the performance is to be measured and financial position is to be appraised.
37. According to Matching Principle, Profit = Revenues – Expenses.
38. According to Accounting Standard (As-1), the fundamental accounting assumptions are Going Concern, Conservatism and Accrual.
39. Prudence is the inclusion of a degree of caution in the exercise of judgement needed in making the estimates required under condition of uncertainity so that assets and income are not understated, and loss and liabilities are not overstated.
40. X purchased Goods for Rs. 20,000 and sold 9/10th of the goods for Rs. 24,000 and met expenses of Rs.2,000. He counted net profit as Rs. 2,000 (i.e. Rs. 24,000 – Rs. 20,000 – Rs. 2,000). He has violated the Cost Concept.
41. X Ltd purchased a machine for Rs. 1,00,000 on 1.1.2018. The market price of the machine was Rs.1,20,000 on 31.12.2018. The accountant of X Ltd values machine for Rs. 1,20,000 while finalising the accounts. He has violated the Reaslisation Concept.
42. X purchased merchandise worth Rs. 24,000 and sold 11/12 of the merchandise. The market value of the remaining merchandise was Rs. 1,920. He valued the closing stock at Rs. 2,000. He has violated the Realisation Concept.
43. Prudence is a concept to recognise realised losses and not profits.

Answer:

S.No.	Reason
1.	**False:** The right hand side of the equation includes cash twice-once as a part of current assets and another separately. The basic accounting equation is : Capital+ Long Term Liabilities = Fixed Assets + Current Assets- Current Liabilities.
2.	**False:** Capital is all assets less fictitious assets less outside liabilities.
3.	**True:** Transactions and events are guided by generally accepted accounting principles subject to laws of land. For example, the Companies Act has prescribed the format of financial statements of companies. All the transactions with suppliers and customers are governed by The Contract Act, The Sale of Goods Act and The Negotiable Instruments Act, etc.
4.	**True:** Accounting is a process of identifying, measuring and communication economic information to permit informed judgements and decisions by the users of accounts. Here, Input = Financial transactions Processing Methods = Recording, Classifying, Summarizing, Analysing and Interpreting. Output = Communicating the accounting information to the users.
5.	**False:** The basic accounting equation is : Equity + LTL = FA + CA – CL

6. **True:** Accounting is the process of identifying, measuring and communicating economic informations to permit informed judgments and decisions by the users of accounts. Hence, accounting involves communication.
7. **True:** Capital is equal to all assets (whether tangible or intangible but not fictitious) less external liabilities.
8. **False:** As per As-1, Fundamental Accounting Assumptions are Going Concern, Consistency and Accrual.
9. **False.** Value Principals are – Historical cost, Current cost, Realisable value and Present value (not future value)
10. **False:** A person who owes money to the firm is a debtor.
11. **False:** A person to whom the firm owes money is a creditor.
12. **False:** Furniture purchased by Rama Motors is a fixed asset.
13. **False:** Furniture purchased by Rama Furniture is a current asset.
14. **False:** A transaction which increases the capital need not necessarily to 'Income'. It may be additional capital contribution.
15. **False:** Amount owed to outsiders (other than proprietor) is called External Liability.
16. **False:** An increase in assets is not necessarily due to profits. It may be due to purchase of assets.
17. **False:** Profit = Closing Capital + Drawing – Additional Capital – Opening Capital
18. **False:** Prudence is a concept to recognize unrealized losses and not profits.
19. **True:** In double entry system of book keeping every transaction has a two-fold effect in accounting whereby one account is debited and another is credited by the same amount.
20. **False:** Accrual concept implies accounting on 'accrual' basis. Accrual basis of accounting involves recognition of revenues and costs as and when they accrue irrespective of actual receipts or payments.
21. **False:** Expenses are matched with revenues in accordance with the matching principle.
22. **True:** The financial statement must disclose all the relevant and reliable information in accordance with AS-1 "Disclosure of Accounting Policies."
23. **True:** Accounting principles may be defined as those rule of action, which are adopted by the accountants universally while recording accounting transactions.
24. **True:** The financial position of a business should not be shown better than what it is. Hence an accountant should not anticipate income but should provide for all possible losses.
25. **False:** The Assets are classified as Current Assets and Fixed Assets as per Going Concern Principle.
26. **False:** The Assets and Incomes are not overstated and the Liabilities and Losses are not understated as per Prudence Principle.
27. **False:** Accounting of a small calculator as an Expense and not as an Asset is as per Materiality Principle.
28. **False:** The Accounting Data should be definite, verifiable and free from personal-bias as per Objectivity Principle.
29. **False:** Materiality Principle is an exception to Full Disclosure Principle.
30. **False:** Valuation of Inventory at Lower of Cost or Net Realizable Value (NRV), making Provision for Doubtful Debts and Discount on Debtors are the applications of Prudence Principle.
31. **False:** No disclosure is required if Fundamental Assumptions are followed.
32. **True:** Disclosure is required if a particular Accounting Policy is followed.
33. **False:** Change in Accounting Estimate has not to be given Retrospective Effect. It is to be given prospective effect.
34. **False:** Personal transactions are distinguished from business transactions in accordance with the Business Entity concept.
35. **False:** Accrual means recognition of revenue as it is earned and of costs as they are incurred.
36. **False:** Periodicity Concept fixes up the time frame for which the performance is to be measured and financial position is to be appraised.
37. **True:** According to Matching Principle, Profit = Revenues - Expenses
38. **False:** According to Accounting Standard (AS-1), the fundamental accounting assumptions are Going Concern, Consistency and Accrual
39. **False:** Prudence is the inclusion of a degree of caution in the exercise of judgement needed in making the estimates required under condition of uncertainly so that assets and income are not overstated, and loss and liabilities are not understated.
40. **False:** X purchased goods for ₹ 20,000 and sold 9/10th of the goods for ₹ 24,000 and met expenses of ₹ 2,000. He counted net profit as ₹ 2,000 (i.e. ₹ 24,000 - ₹ 20,000 - ₹ 2,000). He has violated the Matching Concept. He does not consider closing stock. Profit is calculated according to Matching concept.

41. **False:** X Ltd purchased a machine for ₹ 1,00,000 on 1.1.2018. The market price of the machine was ₹ 1,20,000 on 31.12.2018. The accountant of X Ltd values machine for Rs. 1,20,000 while finalising the accounts. He has violated the Cost Concept. As per cost concept he should have recorded Asset at Cost of Rs. 100000.
42. **False:** X purchased merchandise worth ₹ 24,000 and sold 11/12 of the merchandise The market value of the remaining merchandise was ₹ 1,920. He valued the closing stock at ₹ 2,000. He has violated the Prudence Concept. As per Prudence concept closing stock is valued at cost or NRV, whichever is lower. Hence cost = 24000/12 = 2000 and NRV (Market price) is = 1920. So he should have recorded closing stock at Rs. 1920.
43. **False:** Prudence is a concept to recognise unrealised losses (i.e. probable loss) and not profits. Realised loss means actual loss and recording of actual loss is not prudence concept.

MULTIPLE CHOICE QUESTIONS (SM)

1. Accounting Standards for Non-Corporate entities in India are issued by
   (a) Central Govt.
   (b) State Govt.
   (c) Institute of Chartered Accountants of India.

2. Accounting Standards
   (a) Harmonise accounting policies.
   (b) Eliminate the non-comparability of financial statements.
   (c) Both the above.

3. It is essential to standardize the accounting principles and policies in order to ensure
   (a) Transparency.
   (b) Consistency.
   (c) Both the above.

Answer:

1.	(c)	2.	(c)	3.	(c)

CHAPTER 10 : PARTNERSHIP AND LLP ACCOUNTS
UNIT 1 :- INTRODUCTION TO PARTNERSHIP ACCOUNTS

1. Every sole traders prepares following 3 A/c's -
   - Trading A/c
   - P/L A/c
   - Balance sheet.

2. In case of Partnership firm, following **2 Additional Accounts** are prepared -
   - P/L Appropriation A/c
   - Partner's Capital A/c

3. **Profit & Loss Appropriation A/c :**
   - It is prepared **after Profit & Loss Account.**
   - This account will show **how the net pofit** of the business is being **apportioned among partners**. (i.e. intt. On capital & drawings, salary/commission to partners, intt. On loan etc)
   - This a/c also **includes any reserve** that has been created by the business.
   - But it will **not include any Drawing** made by the partners.
   - According to Indian Partnership Act any amount payble to partner **(except rent)**should be treated as appropriation of profit and it should not be charged against profit.

PROFIT & LOSS APPROPRIATION ACCOUNT (FORMAT)

Dr. Cr.

Particulars	Rs.	Particulars	Rs.
To Interest on Capital A/c		By Profit & Loss A/c (NP tran. From P/L A/c)	.....
A -		By Interest on Drawings A/c	
B -	.....	A -	.....
To Interest of Partner's Loan A/c	.....	B -	
To Partner's Salary /Bonus A/c	.....		
To Partner's Commission A/c	.....		
To Reserve A/c - transferred to Res.	.....		
To Partner's Capital A/c (bal. fig.)			
A - ……..			
B - ……..	.....		
	.....		.....

4. **Partner's capital account** : There are **2 methods** for preparing partner's capital account -
   (a) fixed capital account method :Under this method, for each partner following **two accounts** are opened
      1. **Partner's capital account** - Shows the capital contribution (original & additional) and withdrawal of partners.
      2. **Partner's current account** - Record other transaction between the partners and the firm, i.e. salary, interest on capital/drawing etc.

   (b) Fluctuating capital account method :
      - Under this method, for each partner, **only one account** is opened.
      - All the entries relating to partners eg. partner's drawing ,salaries,interest , and share of profit are passed through the capital account.In such a case, the capital account of the partners keep on fluctuating.

5. Important Notes :

(i) Interest on Capital –

- Normally, it is charged for full year on the balance of capital at the beginning of the year unless some fresh capital is introduced during the year.
- On the additional capital introduced, intrest for the relevant period of utilisation is calculated.
- In case of **fixed capital method**, interest is calculated on the balance of capital accounts only.No interest is payable/ chargeable on the balance of current accounts.

(ii) Interest on Drawings - Interest will be charged according to the time.

- If the **dates** on which amounts are drawn are **not given** - Charge interest for **six months** on the whole of the amount on the assumption that the money was drawn evenly through out the year.
- If withdrawals are made **evenly** in the **beginning of each month**, interest can be calculated easily for whole of the amount for **6-1/2 months;**
- If withdrawals are made at the **end of each month**, interest should be calculate for **5-1/2 months.**
- If withdrawals are made at the **middle** of each month, interest should be calculate for **6 months**.

(iii) Guarantee of minimum profit –

- Sometimes by mutual agreement, one of the partners is assured to be given minimum amount of profit by all or any of the partners. It is called guaranted profit.
- In this case, first of all profit is distributed in usual way, if share of profit of that partner is more that or equals to guaranted profit.
- But if shared profit is less that guaranted profit then he must be given guaranted profit. The extra profit shall be given to him by the partners, who agreed.
- If the question is silent about nature of guarantee, the burden of gurarantee is to be borne by the remaining partners in their mutual profit sharing ratio.

(iv) Some important IPA provisions : If partnership agreement is silent, following provisions of IPA shall apply : **[PEQ-JAN.21-5 Marks]**

a) Interest on capital – It is treated as an **appropriation of profit** and not charge against profit.

- If agreement is silent - It is not payable.
- If it is provided in agreement that intt. On capital will be given – In this case it is payable out of profits only.
- Note : If the profit is not sufficient then the profit will be distributed in capital ratio.
- If it is specifically provided in agreement that intt. On capital will be given whether there is a profit or loss – In this case intt. is payable to partner whether there is profit or losss.

b) Salary or Bonus or Commission: Not payable

c) Interest on loan or advance: Payable @ 6% p.a. (simple interest)

d) Profit / Loss: Shared equally.

CLASS WORK QUESTIONS

Question 1: **[SM-ILL-2]**

Ram, Rahim and Karim are partners in a firm. They have no agreement in respect of profit-sharing ratio, interest on capital, interest on loan advanced by partners and remuneration payable to partners. In the matter of distribution of profits they have put forward the following claims:

(i) Ram, who has contributed maximum capital demands interest on capital at 10% p.a. and share of profit in the capital ratio. But Rahim and Karim do not agree.

(ii) Rahim has devoted full time for running the business and demands salary at the rate of ₹ 500 p.m. But Ram and Karim do not agree.

(iii) Karim demands interest on loan of ₹ 2,000 advanced by him at the market rate of interest which is 12% p.a.

How shall you settle the dispute and prepare Profit and Loss Appropriation Account after transferring 10% of the divisible profit to Reserve. Net profit before taking into account any of the above claims amounted to ₹ 45,000 at the end of the first year of their business.

Personal Note :-

Question 2: **[SM-ILL-1, 3, 4]**

A and B start business on 1st January, 2016, with capitals of ₹ 30,000 and ₹ 20,000. According to the Partnership Deed, B is entitled to a salary of ₹ 500 per month and interest is to be allowed on capitals at 6% per annum. The remaining profits are to be distributed amongst the partners in the ratio of 5:3. During 2016 the firm earned a profit, before charging salary to B and interest on capital amounting to ₹ 25,000. During the year A withdrew ₹ 8,000 and B withdrew ₹ 10,000 for domestic purposes.
Give journal entries relating to division of profit. Prepare P/L Appropriation A/c and Partners Capital A/c.

Personal Note:-

Question 3: **(SM EX.)**

Shilpa and Sanju are partners with a capital of ₹ 1,00,000 and ₹ 1,60,000 on January 1, 2016 respectively. Shilpa introduced additional capital of ₹ 30,000 on July 1, 2016 and another ₹ 20,000 on October 31, 2016. Calculate interest on capital for the year ending 2016. The rate of interest is 9% p.a.

Personal Note :-

Question 4: **(SM EX.)**

X, a partner, has drawn the following sum of money-

	₹
On 29th February, 2016	500
On 31st March, 2016	400
On 30th June, 2016	600
On 31st October, 2016	800

Following sum of Accounts are closed on 31st December every year. Interest is chargeable on drawings at 6% per annum. Calculate interest on X's drawings. **[Ans. Rs. 69]**

Personal Note:-

Question 5: **(IOC & IOD & PSR)** **[PEQ – JAN. 25, 5 Marks][SM ILL. 5]**

A and B are partners sharing profits and losses in the ratio of their effective capital. They had ₹1,00,000 and ₹ 60,000 respectively in their Capital Accounts as on 1st January, 2016

A introduced a further capital of ₹ 10,000 on 1st April, 2016 and another ₹ 5,000 on 1st July, 2016. On 30th September, 2016 A withdrew ₹ 40,000.

On 1st July, 2016, B introduced further capital of ₹ 30,000.The partners drew the following amounts in anticipation of profit.

A drew ₹ 1,000 per month at the end of each month beginning from January, 2016. B drew ₹1,000 on 30th June, and ₹ 5,000 on 30th September, 2016.

12% p.a. interest on capital is allowable and 10% p.a. interest on drawings is chargeable. Date of closing 31.12.2016. Calculate: (a) Profit-sharing ratio; (b) Interest on capital; and (c) Interest on drawings.

Personal Note:-

Question 6: **[SM-ILL-6 & 7]**

Ram and Rahim start business with capital of Rs. 50,000 and Rs. 30,000 on 1st January, 2016. Rahim is entitled to a salary of Rs. 400 per month. Interest is allowed on capitals and is charged on drawings at 6% per annum. Profits are to be distributed equally after the above noted adjustments. During the year,Ram withdrew Rs. 8,000 and Rahim withdrew Rs. 10,000. The profit for the year before allowing for the terms of the Partnership Deed came to Rs. 30,000. Assuming the capitals to be fixed, prepare the Profit and Loss Appropriation Account and the Capital and Current Accounts relating to the partners.

Personal Note:-

Question 7: **[SM-PQ.-1]**

Weak, Able and Lazy are in partnership sharing profits and losses in the ratio of 2:1:1. It is agreed that interest on capital will be allowed @ 10% per annum and interest on drawings will be charged @ 8 % per annum. (No interest will be charged/allowed on Current Accounts).

The following are the particulars of the Capital and Drawings Accounts of the partners:

	Weak ₹	Able ₹	Lazy ₹
Capital (1.1.2016)	75,000	40,000	30,000
Current Account (1.1.2016)	10,000	5,000	(Dr.) 5,000
Drawings	15,000	10,000	10,000

The draft accounts for 2016 showed a net profit of ₹ 60,000 before taking into account interest on capitals and drawings and subject to following rectification of errors:

(a) Life Insurance premium of Weak amounting to ₹ 750 paid by the firm on 30th June, 2016 has been charged to Miscellaneous Expenditure A/c.

(b) Repairs of Machinery amounting to ₹ 10,000 has been debited to Plant Account and depreciation thereon charged @ 20%.

(c) Travelling expenses of ₹ 3,000 of Able for a pleasure trip to U.K. paid by the firm on 30th June, 2016 has been debited to Travelling Expenses Account.

You are required to prepare the Profit and Loss Appropriation Account, Current Accounts of partners Weak, Able and Lazy for the year ended 31st December, 2016.

Personal Note:-

Question 8: **(SM EX.)**

A, B and C are partners in a firm sharing profits and losses in the ratio of 2:3:5. Their fixed capitals were ₹ 15,00,000, ₹ 30,00,000 and ₹ 60,00,000 respectively. For the year 2016 interest on capital was credited to them @ 12% instead of 10%. Pass the necessary adjustment entry.

Personal Note:-

Question 9: **(Gurantee)** **[MTP SEP-24, JUN-23 – 5 Marks] [SM-ILL-8]**

A and B were partners in a firm sharing profits and losses in the ratio of 3:2. They admit C for 1/6th share in profits and guaranteed that his share of profits will not be less than ₹ 250,00,000. Total profits of the firm for the year ended 31st March, 2017 were ₹ 9,00,00,000. Calculate share of profits for each partner when:

1. **Guarantee is given by firm.**
2. **Guarantee is given by A**
3. **Guarantee is given by A and B equally.**

Personal Note:-

Question 10: **[SM-PQ.-2]**

Ram and Rahim are in partnership sharing profits and losses in the ratio of 3:2. As Ram, on account of his advancing years, feels he cannot work as hard as before, the chief clerk of the firm, Ratan, is admitted as a partner with effect from 1st January, 2016, and becomes entitled to 1/10th of the net profits and nothing else, the mutual ratio between Ram and Rahim remaining unaltered.

Before becoming a partner, Ratan was getting a salary of ₹ 500 p.m. together with a commission of 4% on the net profits after deducting his salary and commission.

It is provided in the partnership deed that the share of Ratan's profits as a partner in excess of the amount to which he would have been entitled if he had continued as the chief clerk, should be taken out of Ram's share of profits.

The net profit for the year ended December 31, 2016 is ₹ 1,10,000. Show the distribution of net profit amongst the partners.

Personal Note:-

HOME WORK QUESTIONS

Question 11: (IPA)

A and B commenced business in partnership on 1 January 2016. No partnership agreement was made either oral or written. They contributed ₹ 40,000 and ₹ 10,000 respectively as capital. In addition, A also advanced ₹ 20,000 on 1 July 2016. A met with an accident on 1 April 2016 and could not attend to the partnership business upto 30 June 2016. The profits for the year ended on 31 December 2016 amounted to ₹ 50,600. Disputes having been arisen between them for sharing the profits.

A claims: (i) He should be given interest at 10% p.a. on capital and loan (ii) Profit should be distributed in proportion of capital.

B claims: (i) Net profit should be shared equally. (ii) He should be allowed remuneration of ₹ 1,000 p.m. during the period of A's illness. (iii) Interest on capital and loan should be given @ 6% p.a.You are required to settle the dispute between them and distribute the profits according to law. State reasons for your answer.

Personal Note:-

Question 12: (IOC)

A and B contribute ₹ 5,00,000 and ₹ 3,00,000 respectively by way of capital on which they agree to allow interest at 6% p.a. Their respective share of profit is 3:2 and the profit for the year is ₹ 40,000 before allowing interest on capitals. Prepare the necessary account to allocate interest on capitals in the following cases:

(i) When the partnership deed provides that interest on capital will be paid, and

(ii) When interest is a charge as per the Partnership Deed.

Personal Note:-

Question 13: (Capital Ratio) **(SM EX.)**

A and B formed a partnership with a capital contribution of ₹ 50,000 and ₹ 30,000 respectively on 1st January 2016. The profits were to be shared in the capital ratio. Calculate the capital ratio on the basis of following details:

Partnership firm follows Calender Year

	Capital Introduced		Capital Withdrawn	
	A	B	A	B
	₹	₹	₹	₹
31 March	5,000	—	-	2,000
1 July	-	9,000	3,000	-
1 September	5,500	—	-	1,000
1 November	—	4,000	4,500	-

Personal Note:-

Question 14: (IOD)

Calculate the interest on drawings of Mr. Arun @ 10% p.a. for the year ended 31st March, 2017 in each of the following alternative cases:

Case (a) if he withdrew ₹ 5,000 p.m. in the beginning of every month;

Case (b) If he withdrew ₹ 5,000 p.m. at the end of every month;

Case (c) If he withdrew ₹ 5,000 p.m. at the mid of every month

Case (d) If he withdrew ₹ 60,000 during the year;

Case (e) If he withdrew as follows:

	₹
1st June, 2016	20,000
31st August, 2016	10,000
31st Oct., 2016	18,000
1st Feb., 2017	12,000

Case (f) If he withdrew ₹ 15,000 in the beginning of each quarter;

Case (g) If he withdrew ₹ 15,000 at the end of each quarter;

Case (h) If he withdrew ₹ 15,000 during the middle of each quarter.

Personal Note:-

Question 15: (Entries, P/L App. A/c, Cap. A/c)

A and B are partners sharing profits and losses in the ratio of 2:1 with capitals of ₹ 10,00,000 and ₹ 5,00,000 respectively on 1st April, 2019. Each partner is entitled to 8% p.a. interest on his capital. B is entitled to a salary of ₹ 3,500 p.m. together with a commission of 10% of Net Profit remaining after deducting interest on capitals and salary and after charging his commission. The profit for the year ended 31st March, 2020 prior to calculation of interest on capital but after charging salary of B amounted to ₹ 4,50,000. Show the division of profit, pass journal entries and prepare Partner's Capital Accounts:

(i) When capitals are fixed, and (ii) When capitals are fluctuating.

Personal Note:-

Question 16: (P/L App. Cap. A/c)

Sarita and Vandana were partners in a firm sharing profits in the ratio of their capitals contributed on commencement of business which were ₹ 4,00,000 and ₹ 3,00,000 respectively. The firm started business on April 1, 2018. According to the partnership agreement:

(i) Every year, in case of profit, ₹ 50,000 or 10% of the profit, whichever is more, will be donated for providing school fees of specially abled children.

(ii) Interest on capital is to be allowed at 12% p.a. and interest on Drawings is to be charged at 10% p.a.

(iii) Sarita and Vandana are to get a monthly salary of ₹ 10,000 and ₹ 15,000 respectively.

The profits for year ended March 31, 2019 before making above appropriations was ₹ 6,00,000. The drawings of Sarita and Vandana were ₹ 2,00,000 and ₹ 2,50,000, respectively. Interest on drawings amounted to ₹ 10,000 for Sarita and ₹ 12,500 for Vandana.

You are required to prepare Profit and Loss Appropriation Account and Partner's Capital Accounts assuming that their capitals are fluctuating.

Personal Note:-

Question 17: (Missing Figures – P/L App. A/c) **[SM-PQ.-3]**

X and Y are partners. As per terms of agreement interest is allowed on capital at 8% p.a. and charge on drawing at 10% p.a. X withdrew Rs. 40,000 pm at the end of each month and Y withdrew Rs. 1,20,000 at the end of each quarter. You are required to fill the missing figures in following accounts:

Profit and Loss Appropriation Account
for the year ended March 31, 2017

Particulars		₹	Particulars		₹
To...?			By Profit and Loss A/c (Net profit)		?
To Interest on Capital A/c			By Interest on Drawings A/c		
X	1,60,000		X	?	?
Y	?	2,88,000	Y	?	
To profit transferred to Capital A/c					
X (2/3)	?				
Y (1/3)	2,80,000	?			
		?			?

Partner's Capital Accounts

Particulars	X	Y	Particulars	X	Y
To…?	?	?	By …?	?	?
To…?	?	?	By Salary A/c	3,60,000	-
To…?	?	?	By …?	?	?
			By …?	?	?
	?	?		?	?

Personal Note:-

Question 18: **(ROE)**

On March 31, 2018 the capital accounts of Elvin, Monu and Ahmed after making adjustments for profits, drawings, etc. were as, Elvin- ₹ 80,000; Monu - ₹ 60,000; and Ahmed - ₹ 40,000. Subsequently, it was discovered that interst on capital and interest on drawings had been omitted. The partners were entitled to interest on capital @ 5% p.a. The drawings during the year were : Elvin - ₹ 20,000; Monu- ₹ 15,000; and Ahmed -₹ 9,000. Interest on drawings chargeable to the partners was Elvin- ₹ 500; Monu- ₹ 360 and Ahmed- ₹ 200. The net profit for the year ended 31st March, 2018 amounted to ₹ 1,20,000. The profit sharing ratio of the partners was 3:2:1.

Record the necessary adjustment entry for rectifying the above errors of omission. Show your workings.

Personal Note:-

Question 19: **(ROE)**

A, B and C are partners in a firm. After the accounts of partnership have been drawn up and the books closed off, it is discovered that for the years ended 31st march 2016 and 2017, interest has been allowed to the partners upon their Capitals @ 6% p.a. although there is no provision for interest in the partnership deed. Their fixed capitals on which interest was calculated were ₹ 1,00,000; ₹ 80,000 and ₹ 60,000 respectively.

During the last two years, they have shared the profits as follows:-

2016	**3: 2: 1**
2017	**5: 3: 2**

You are required to give necessary adjusting entry on 1st April, 2017.

Personal Note:-

Question 20: **(Guaranteed Pft.)** **[SM PQ-1][RTP: May-18, 20 & Dec-21]**

A, B and C entered into partnership on 1.1.2017 to share profits and losses in the ratio of 5:3:2. A personally guaranteed that C's share of profit after charging interest on capitals at 5% p.a. would not be less than ₹ 30,000 in any year. Capitals of A, B and C were ₹ 3,20,000, ₹ 2,00,000 and ₹ 1,60,000 respectively.

Profits for the year ending 31.12.2017 before providing for interest on partners capital was ₹ 1,59,000.

You re required to prepare the Profit and Loss Appropriation Account.

Personal Note:-

Question 21: (Guaranteed Pft) **[RTP-May-18, Nov-21]**

A, B and C entered into partnership on 1st July, 2017 to share Profit and Losses in the ratio of 5:3:2. A personally guaranteed that C's share of profit after charging interest on capital @ 8% per annum would not be less than 1,60,000 p.a. The capital contributed were: A - ₹ 4,00,000; B - ₹ 3,00,000 and C - ₹ 2,00,000. Profit for the year ended on 31st March, 2018 was ₹ 4,74,000. Prepare Profit and Loss Appropriation Account.

Personal Note:-

Question 22: (Guaranteed Pft.)

Jay, Vijay and Karan were partners of an architect firm sharing profits in the ratio of 2:2:1. Their partnership deed provided the following:

(i) A monthly salary of ₹ 15,000 each to Jay and Vijay.

(ii) Karan was guaranteed a profit of ₹ 5,00,000 and Jay guaranteed that he will earn an annual fee of ₹ 2,00,000. Any deficiency arising because of guarantee to Karan will be borne by Jay and Vijay in the ratio of 3:2.

During the year ended 31st March, 2018 Jay earned fee of ₹ 1,75,000 and the profits of the firm amounted to ₹ 15,00,000.

Showing your workings clearly prepare Profit and Loss Appropriation Account and the Capital Accounts of Jay, Vijay and Karan for the year ended 31st March, 2018.

Personal Note:-

Question 23: (IOC)

A and B are partners sharing the profits and losses in the ratio of 3:2 with capitals of ₹ 2,00,000 and ₹ 1,00,000 respectively. Show the distribution of profits in each of the following alternative cases:

Case (i) If the partnership deed is silent as to the Interest on Capital and the profits for the year are ₹ 50,000.

Case (ii) If the partnership deed provides for Interest on Capital @ 8% p.a. and the losses for the year are ₹ 50,000.

Case (iii) If the partnership deed provides for Interest on Capital @ 8% p.a. and the profits for the year are ₹ 50,000.

Case (iv) If the partnership deed provides for Interest on Capital @ 8% p.a. and the profits for the year are ₹ 15,000.

Case (v) If the partnership deed provides for Interest on Capital @ 8% p.a. even if it involves the firm in loss and the profits for the year are ₹ 15,000.

Personal Note:-

Question 24: (ROE) **[Dec-21(5 Marks)]**

A, B and C are partners in a firm. On 1st April 2019 their fixed capital stood at Rs. 50,000, Rs. 25,000 and Rs. 25,000 respectively.

As per the provision of partnership deed:

(1) C was entitled for a salary of Rs. 5,000 p.a.

(2) All the partners were entitled to interest on capital at 5% p.a.

(3) Profits and losses were to be shared in the ratio of Capitals of the partners.

Net Profit for the year ended 31st March, 2020 of Rs. 33,000 and 31st March, 2021 of Rs. 45,000 was divided equally without providing for the above adjustments.

You are required to pass an adjustment journal entry to rectify the above errors.

Personal Note:-

Question 25: (P/L App. A/c & Cap A/c) **[RTP- JAN. 25][RTP-MAY 22]**

A and B are partners in a firm sharing profits and losses equally. On 1st April, 2020 the balance of their Capital Accounts were : A Rs. 50,000 and B Rs. 40,000. On that date the balances of their Current Accounts were: A Rs. 10,000 (credit) and B Rs. 3,000 (debit). Interest @ 5% p.a. is to be allowed on the balance of Capital Accounts as on 1.4.2020. B is to get annual salary of Rs. 3,000 which had not been withdrawn. Drawings of A and B during the year were Rs. 1,000 and Rs. 2,000 respectively. The profit for the year ended 31st March, 2021 before charging interest on capital but after charging B's salary was Rs. 70,000. It is decided to transfer 10% of divisible profit to a Reserve Account. Prepare Profit & Loss Appropriation Account for the year ended 31st March, 2021 and show Capital and Current Accounts of the Partners for the year.

Personal Note:-

Question 26: (Guaranteed Pft.) **[RTP- MAY-21]**

Rose, Lilly and Lotus start business with capital of Rs. 2,00,000/-, Rs. 3,00,000/- and Rs. 4,00,000 on 1st April 2019. Lotus is entitled to a salary of Rs. 50,000 per annum. Interest is allowed on capitals at 12% p.a. and is charged on drawings at 12% per annum. Profits are to be distributed in the ratio 1:2:3 after the above-mentioned adjustments. Rose was given guarantee of minimum profit of Rs. 50,000 by Lotus. Partners drawings during the year were Rose Rs. 40,000/- Lilly Rs. 30,000/- Lotus Rs. 20,000/-. Lotus had paid Rs. 10,000/- as tuition fees of his son on 31st March 2020, which was wrongly debited to salaries account. The profit for the year 2019-20 before allowing interest on capital and charging interest on drawings and salary paid to Lotus was Rs. 3,34,600/-. Assuming the capitals to be fixed, prepare the Profit and Loss Appropriation Account and the Capital and Current Accounts relating to the partners.

Personal Note:-

SOLUTION OF HOMEWORK QUESTIONS

Solution 11:

Since there is no written or oral partnership agreement, Following rules are applicable as per Indian partnership act 1932

(a) No interest is allowed on capital.
(b) 6% interest is allowed on the loan advanced.
(c) Profits and losses shall be shared equally.
(d) No remuneration is allowed to any partner for taking part in the conduct of the business.

Thus

a) neither of A nor B will be allowed interest on capital
b) 6% p.a. interest on Loan will be allowed to A
c) Profit and losses shall be shared equally between A and B
d) No remuneration shall be allowed to B.

Solution 12:

(I) When partnership deed is silent in treating interst as a charge or appropriation:
In such a case interest on capital will be allowed upto the extent of available profit:

PROFIT AND LOSS APPROPRIATION A/C

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Interest on Capital A/c		By Profit & Loss A/c	
A 40,000 x $\frac{5}{8}$	25,000	(Net Profit)	40,000
B 40,000 x $\frac{3}{8}$	15,000		
	40,000		40,000

Working Note:

	₹
Interest on A's Capital	30,000
Interest on B's Capital	18,000
Total Interest	48,000

The available profit is ₹ 40,000 whereas the interest due on capitals is ₹ 48,000. Since the profit is less than interest, the available profit will be distributed in the ratio of interest, i.e., 30,000 : 18,000 or 5:3.

(II) When interest is a charge as per Partnership Deed: In such a case interest on capital will be allowed irrespective of profit :-

PROFIT AND LOSS A/C

Dr. **Cr.**

Particulars	₹	Particulars		₹
To Interest on Capital A/c		By Profit for the year		40,000
A	30,000	By Loss Transferred to:		
B	18,000	A's Capital A/c	4,800	
		B's Capital A/c	3,200	8,000
	48,000			48,000

Solution 13:

Total Capital Employed by A for one Month

Date	Capital	Months for which capital has been used in the business	Product
	(₹)		(₹)
1/1	50,000	12	6,00,000
31/3	50,000	9	45,000
1/7	(3,000)	6	(18,000)
1/9	5,500	4	22,000
1/11	(4,500)	2	(9,000)
	Total		6,40,000

Total Capital Employed by B for one Month

Date	Capital	Months for which capital has been used in the business	Product
	(₹)		(₹)
1/1	30,000	12	3,60,000
31/3	(2,000)	9	(18,000)
1/7	9,000	6	54,000
1/9	(1,000)	4	(4,000)
1/11	40,000	2	8,000
	Total		4,00,000

On the basis of products of both the partners, the capital ratio between A and B is 64:40 or 8:5.

Solution 14:

Case (a) Average Period $= \frac{12\ months + 1\ month}{2} = 6\frac{1}{2}$ months.

Interest on Drawings = ₹ 60,000 x $\frac{10}{100}$ x $\frac{6.5}{12}$ = ₹ 3,250

Case (b) Average Period $= \frac{11\ months + 0\ month}{2} = 5\frac{1}{2}$ months.

Interest on Drawings = ₹ 60,000 x $\frac{10}{100}$ x $\frac{5.5}{12}$ = ₹ 2,750

Case (c) Assuming that the drawings were made in the middle of every months.

Average Period $= \frac{11.5\ months + 0.5\ month}{2} =$ 6 months.

Interest on Drawings = ₹ 60,000 x $\frac{10}{100}$ x $\frac{6}{12}$ = ₹ 3,000

Case (d) As the date of drawing is not given, interest will be calculated for an average period of 6 months.

Interest on Drawings = ₹ 60,000 x $\frac{10}{100}$ x $\frac{6}{12}$ = ₹ 3,000

Case (e)

Date	Amount of Drawings	Period (months upto 31st March, 2017)	Products
	₹		₹
1st June, 2016	20,000	3	60,000
31st August, 2016	30,000	2	60,000
31st Oct., 2016	48,000	3	1,44,000
1st Feb., 2017	60,000	2	1,20,000
			3,84,000

Interest on Drawings = ₹ 3,84,000 x $\frac{10}{100}$ x $\frac{1}{12}$ = ₹ 3,200

Case (f) Average Period = $\frac{12\ months + 3\ month}{2}$ = $7\frac{1}{2}$ months.

Total Drawings for the year = ₹ 15,000 x 4 times in a year = ₹ 60,000

Interest on Drawings = ₹ 60,000 x $\frac{10}{100}$ x $\frac{7.5}{12}$ = ₹ 3,750

Case (g) Average Period = $\frac{9\ months + 0\ month}{2}$ = $4\frac{1}{2}$ months.

Interest on Drawings = ₹ 60,000 x $\frac{10}{100}$ x $\frac{4.5}{12}$ = ₹ 2,250

Case (h) Average Period = $\frac{10.5\ months + 1.5\ months}{2}$ = 6 months.

Interest on Drawings = ₹ 60,000 x $\frac{10}{100}$ x $\frac{6}{12}$ = ₹ 3,000

Solution 15:

PROFIT AND LOSS APPROPRIATION ACCOUNT
For the year ended 31st March, 2020

Dr. **Cr.**

Particulars		₹	Particulars	₹
To B's Salary		42,000	By Profit and Loss A/c-	
To Interest on Capitals:			(being Profit before B's Salary)	
A	80,000		(₹ 4,50,000 + ₹ 42,000)	4,92,000
B	40,000	1,20,000		
To Commission to B (See Note 1)		30,000		
To Profits transferred to:				
A's Capital / Current* A/c	2,00,000			
B's Capital / Current* A/c	1,00,000	3,00,000		
		4,92,000		4,92,000

* Current A/c will be written in case of fixed capitals.

Note:

(1) Calculation of Partner's Commissions:

Profit = ₹ 4,50,000 – Interest on Capital ₹ 1,20,000 = ₹ 3,30,000

B's Commission (after charging such commission) = 3,30,000 x $\frac{10}{110}$ = ₹ 30,000

(i) When Capitals are fixed:

In the Books of A and B

JOURNAL

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2020 March 31	Profit and Loss A/c Dr. To Profit and Loss Appropriation A/c (Transfer of net profit to profit and Loss Appropriation Account)		4,92,000	 4,92,000
March 31	B's Salary A/c Dr. To B's Current A/c (B's salary credited to his Current Account)		42,000	 42,000
March 31	Profit and Loss Appropriation A/c Dr. To B's Salary A/c (B's Salary transferred to Profit and Loss Appropriation Account)		42,000	 42,000
March 31	Interest on Capital A/c Dr. To A's Current A/c To B's Current A/c (Interest on capital allowed to partners)		1,20,000	 80,000 40,000
March 31	Profit and Loss Appropriation A/c Dr. To Interest on Capital A/c (Interest on capital transferred to profit and Loss Appropriation Account)		1,20,000	 1,20,000
March 31	Commission to B Dr. To B's Current A/c (B's Commission credited to his Current A/c)		30,000	 30,000
March 31	Profit and Loss Appropriation A/c Dr. To Commission to B (B's Commission transferred to Profit & Loss Appropriation Account)		30,000	 30,000
March 31	Profit and Loss Appropriation A/c Dr. To A's Current A/c To B's Current A/c (Divisible profit of ₹ 3,00,000 credited to partner's Current Accounts in 2:1)		3,00,000	 2,00,000 1,00,000

CAPITAL ACCOUNTS

Dr. Cr.

Date	Particulars	A	B	Date	Particulars	A	B
		₹	₹			₹	₹
2020 March 31	To Balance c/d	10,00,000	5,00,000	2019 April 1	By Balance b/d	10,00,000	5,00,000

CURRENT ACCOUNTS

Dr. Cr.

Date	Particulars	A	B	Date	Particulars	A	B
		₹	₹			₹	₹
2020 March 31	To Balance c/d	2,80,000	2,12,000	2020 March 31	By Salary		42,000
				March 31	By Interest on Capitals	80,000	40,000
				March 31	By Commission		30,000
				March 31	By Profit & Loss Appropriation A/c (Share of profit)	2,00,000	1,00,000
		2,80,000	2,12,000			2,80,000	2,12,000

(ii) When Capitals are fluctuating :

In the Books of A and B
JOURNAL

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2020 March 31	Profit and Loss A/c Dr. To Profit and Loss Appropriation A/c (Transfer of net profit to Profit and Loss Appropriation A/c)		4,92,000	 4,92,000
March 31	B's Salary A/c Dr. To B's Capital A/c (B's salary credited to B's Capital Account)		42,000	 42,000
March 31	Profit and Loss Appropriaton A/c Dr. To B's Salary A/c (B's Salary transferred to Profit and Loss Appropriation A/c)		42,000	 42,000
March 31	Interest on Capital A/c Dr. To A's Capital A/c To B's Capital A/c (Interest on Capital allowed to partners)		1,20,000	 80,000 40,000
March 31	Profit and Loss Appropriation A/c Dr. To Interest on Capital a/c (Interest on capital transferred to Profit and Loss Appropriation A/c)		1,20,000	 1,20,000
March 31	Commission to B Dr. To B's Capital A/c (B's Commission credited to his Capital A/c)		30,000	 30,000
March 31	Profit and Loss Appropriation A/c Dr. To Commission to B (B's Commission transferred to Profit & Loss Appropriaton A/c)		30,000	 30,000
March 31	Profit and Loss Appropriation A/c Dr. To A's Capital A/c To B's Capital A/c (Divisible Profit of ₹ 3,00,000 credited to partner's Capital Accounts in 2:1)		3,00,000	 2,00,000 1,00,000

CAPITAL ACCOUNTS

Dr. Cr.

Date	Particulars	A	B	Date	Particulars	A	B
		₹	₹			₹	₹
2020 March 31	To Balance c/d	12,80,000	7,12,000	2020 April 1	By Balance b/d	10,00,000	5,00,000
				2020 March 31	By Salary		42,000
				March 31	By Interest on Capitals	80,000	40,000
				March 31	By Commission		30,000
				March 31	By Profit and Loss Appropriation A/c (Share of Profit)	2,00,000	1,00,000
		12,80,000	**7,12,000**			**12,80,000**	**7,12,000**

Solution 16:

PROFIT AND LOSS APPROPRIATION ACCOUNT

For the year ended 31st March, 2019

Particulars		₹	Particulars		₹
To Provision for Donation (10% of 6,00,000)		60,000	By Profit & Loss A/c (Net Profit as per Profit & Loss A/c)		6,00,000
To Salary :			By Interest on Drawings:		
Sarita (₹ 10,000 x 12)	1,20,000		Sarita	10,000	
Vandana (₹ 15,000 x 12)	1,80,000	3,00,000	Vandana	12,500	22,500
To Interest on Capital:					
Sarita (4,00,000 x 12 %)	48,000				
Vandana (3,00,000 x 12%)	36,000	84,000			
To Profit transferred to :					
Sarita's Capital A/c ($\frac{4}{7}$ of 1,78,500)	1,02,000				
Vanadan's Capital A/c ($\frac{3}{7}$ of 1,78,500)	76,500	1,78,500			
		6,22,500			**6,22,500**

Note :- Provision for Donation: Since Donation is based on Profit (Donation will be given only in the year of Profit), It is an Appropriation of Profit.

Dr. **PARTNER'S CAPITAL ACCOUNTS** **Cr.**

Date	Particulars	Sarita	Vanadana	Date	Particulars	Sarita	Vandana
		₹	₹			₹	₹
2019				2018			
March 31	To Drawings	2,00,000	2,50,000	April 1	By Bank	4,00,000	3,00,000
March 31	To Interest on Drawings	10,000	12,500	March 31	By Salary	1,20,000	1,80,000
March 31	To Balance c/d	4,60,000	3,30,000	March 31	By Interest on Capital	48,000	36,000
				March 31	By profit & Loss Appropriation A/c (Share of Profit)	1,02,000	76,500
		6,70,000	**5,92,500**			**6,70,000**	**5,92,500**

Solution 17:

Profit and Loss Appropriation Account
for the year ended March 31, 2017

Particulars		₹	Particulars		₹
To Salary to X		3,60,000	By Profit and Loss A/c (Net profit) (B/F)		14,48,000
To Interest on Capital A/c			By Interest on Drawings A/c		40,000
X	1,60,000		X	22,000	
Y	1,28,000	2,88,000	Y	18,000	
To profit transferred to Capital A/c					
X (2/3)	5,60,000				
Y (1/3)	2,80,000	8,40,000			
		14,88,000			**14,88,000**

Partner's Capital Accounts

Particulars	X	Y	Particulars	X	Y
To Drawing A/c	4,80,000	4,80,000	By Balance b/d (WN)	20,00,000	16,00,000
To Interest on Drawings A/c	22,000	18,000	By Salary A/c	3,60,000	
To Balance c/d	25,78,000	15,10,000	By Interest on Capital A/c	1,60,000	1,28,000
			By Profit and Loss App A/c	5,60,000	2,80,000
	30,80,000	**20,08,000**		**30,80,000**	**2,008,000**

Working Notes:

1. X's Share of Profit
   = 2,80,000 x 3/1 x 2/3 = 5,60,000
2. Interest on Drawings
   X = 4,80,000 x 10% x 5.5/12 = 22,000
   Y = 4,80,000 x 10% x 4.5/12 = 18,000
3. Y's Interest on Capital
   = 2,88,000 - 1,60,000 = 1,28,000
4. Intt. On Cap= 8% p.a.
   Op. Cap. = X = $\frac{1,60,000}{8}$ x 100 = 20 L
   Y = $\frac{1,28,000}{8}$ x 100 = 16 L

Solution 18:

Since interest on capitals is always calculated on opening capitals and the same have not been given, first of all, it is necessary to calculate the opening capitals: Op. Cap. = Cl. Cap. + Drawing - NP

Particulars	Elvin	Monu	Ahmed
Capitals as on 31.3.2018	80,000	60,000	40,000
Less: Share of Profit (Which has already been added)			
1,20,000 shared in the ratio of 3:2:1	(60,000)	(40,000)	(20,000)
	20,000	20,000	20,000
Add: Drawings (Which were previously deducted)	20,000	15,000	9,000
Capitals as on 1-4-2017	40,000	35,000	29,000

Interest on Capital:
Elvin 5% on ₹ 40,000 = ₹ 2,000
Monu 5% on ₹ 35,000 = ₹ 1,750
Ahmed 5% on ₹ 29,000 = ₹ 1,450

TABLE SHOWING ADJUSTMENT

Particulars		Elvin	Monu	Ahmed	Total
		₹	₹	₹	₹
To be debited (Pft)		60,000	40,000	20,000	1,20,000
IOD To be debited (Pft)		500	360	200	1,060
Total Amount to be Debited	(A)	60,500	40,360	20,200	1,21,060
To be credited (IOC)		2,000	1,750	1,450	5,200
Pft to be credited (3:2:1) (1,21,060 – 5,200 = 1,15,860)		57,930	38,620	19,310	1,15,860
Total Amount to be credited	(B)	59,930	40,370	20,760	12,160
Net Adjustment	(A-B))	(Dr.) 570	(Cr.) 10	(Cr.) 560	

Adjusting Entry:-

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2010 April 1	Elvin's Capital A/c Dr. To Monu's Capital A/c To Ahmed's Capital A/c (The adjustment on account of the omission of the interest on capitals and drawings)		570	 10 560

Solution 19:

TABLE SHOWING ADJUSTMENT

Particulars	A	B	C	Total
	₹	₹	₹	
Interest allowed on Capitals @ 6% p.a.				
For the year 2016	6,000	4,800	3,600	14,400
For the year 2017	6,000	4,800	3,600	14,400
Total amount recoverable from partners (To be Debited.)	12,000	9,600	7,200	28,800
Division of firm's profit will be as under: (To be Credited.)	Cr.	Cr.	Cr.	
For the year 2016 in the ratio of 3 : 2 : 1	7,200	4,800	2,400	14,400
For the year 2017 in the ratio of 5 : 3 : 2	7,200	4,320	2,880	14,400
Total profit distributed among partners (Cr.)	14,400	9,120	5,280	28,800
	2400 Cr.)	480 (Dr.)	1920 Dr.)	

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2017 April, 1	B's Current A/c 9,600 – 9,120 Dr. C's Current A/c 7,200 – 5,280 Dr. To A's Current A/c 14,400 – 12,000 (Interest on Capital wrongly provided in the account for two years, now Adjusted.)		480 1,920	 2,400

Solution 20:

Profit and Loss Appropriation Account
for the year ended 31st December, 2017

Dr. Cr.

Particulars	₹	₹	Particulars	₹
To Interest on capital			By Net profit b/d	1,59,000
A (5% of ₹ 3,20,000)	16,000			
B (5% of ₹ 2,00,000)	10,000			
C (5% of ₹ 1,60,000)	8,000	34,000		
To Partners' capital accounts: [profit (₹ 1,59,000 - ₹ 34,000) transferred]				
A $\left(\frac{5}{10}\right.$ of ₹ 1,25,000$\left.\right)$	62,500			
Less: Transferred to C	5,000	57,500		
B $\left(\frac{3}{10}\right.$ of ₹ 1,25,000$\left.\right)$		37,500		
C $\left(\frac{2}{10}\right.$ of ₹ 1,25,000$\left.\right)$	25,000			
Add: Transferred from A	5,000	30,000		
		1,59,000		1,59,000

Solution 21:

PROFIT & LOSS APPROPRIATION ACCOUNT
For the year ended 31st March, 2018

Dr. **Cr.**

Particulars		₹	Particulars	₹
To Interest on Capital: (for 9 months)			By Profit & Loss A/c (Net Profit)	4,74,000
A	24,000			
B	18,000			
C	12,000	54,000		
To Net Profit transferred to :				
A's Capital A/c:				
₹ 4,20,000 x 5/10	2,10,000			
Less: Transferred to C	(36,000)	1,74,000		
B's Capital A/c:				
₹ 4,20,000 x 3/10		1,26,000		
C's Capital A/c:				
₹ 4,20,000 x 2/10	84,000			
Add: Transferred from A	36,000	1,20,000		
		4,74,000		**4,74,000**

Working Note:

C's share of profit is 4,20,000 x $\frac{2}{10}$ = 84,000

Guaranted Amount (for 9 months) = 1,60,000 x $\frac{9}{12}$ = ₹ 1,20,000

Deficiency to be borne by A = ₹ 1,20,000 - ₹ 84,000 = ₹ 36,000

Solution 22:

PROFIT & LOSS APPROPRIATION ACCOUNT
For the year ended 31st March, 2018

Dr. **Cr.**

Particulars		₹	Particulars	₹
To Salary			By Profit & Loss A/c	15,00,000
Jay's Capital A/c	1,80,000		(Net Profit)	
Vijay's Capital A/c	1,80,000	3,60,000	By Jay's Capital A/c	
To Profit transferred to:			(Deficiency in guaranteed	
Jay's Capital A/c (11.65L x 2/5)	4,66,000		fees ₹ 2,00,000 – 1,75,000)	25,000
Less: Guarantee to Karan	(1,60,200)	3,05,800		
Vijay's Capital A/c (11.65L x 2/5)	4,66,000			
Less: Gurarantee to Karan	(1,06,800)	3,59,200		
Karan's Capital A/c	2,33,000			
Add: From Jay	1,60,200			
From Vijay	1,06,800	5,00,000		
		15,25,000		**15,25,000**

PARTNER'S CAPITAL ACCOUNT

Dr. **Cr.**

Particulars	Jay	Vijay	Karan	Particulars	Jay	Vijay	Karan
	₹	₹	₹		₹	₹	₹
To P&L Appro. A/c	25,000	-	-	By Salary	1,80,000	1,80,000	-
To Balance c/d	4,60,800	5,39,200	5,00,000	By P&L Appro. A/c (Profit)	3,05,800	3,59,200	5,00,000
	4,85,800	5,39,200	5,00,000		4,85,800	5,39,200	5,00,000

Calculation of Deficiency to be borne by Jay & Vijay.

Def. Jay & Vijay

Total Deficiency = 5,00,000 – 2,33,000
= 2,67,000
Jay (3/5) = 1,60,200
Vijay (2/5) = 1,06,800

Personal Notes:- Guar. is given by Jay to firm that he will earn 2L for firm. But he could earn only 1.75L, He will pay difference Rs. 25,000 to firm.

Entry:- Jay's Capital Tr. 25,000
To P/L App. 25,000

Solution 23:

Case (i)

PROFIT AND LOSS APPROPRIATION A/C

Dr. **Cr.**

Particulars		₹	Particulars	₹
To Profit Transferred to:			By Profit & Loss A/c	
A's Capital A/c 3/5	30,000		(Profit for the year)	50,000
B's Capital A/c 2/5	20,000	50,000		
		50,000		**50,000**

Note: If the partnership deed is silent, no interest will be allowed on capitals.

Case (ii)

PROFIT AND LOSS A/C

Dr. Cr.

Particulars	₹	Particulars		₹
To Profit & Loss A/c		By Loss transferred to:		
(Loss for the year)	50,000	A's Capital A/c 3/5	30,000	
		B's Capital A/c 2/5	20,000	50,000
	50,000			**50,000**

Note: (i) Interest on Capital will not be provided in case of loss.
(ii) Profit and Loss Appropriation Account will not be prepared in case of loss.

Case (iii)

PROFIT AND LOSS APPROPRIATION A/C

Dr. Cr.

Particulars		₹	Particulars	₹
To Interest on Capital:			By Profit & Loss A/c	
A	16,000		(Profit for the year)	50,000
B	8,000	24,000		
To Profit transferred to:				
A's Capital A/c 3/5	15,600			
B's Capital A/c 2/5	10,400	26,000		
		50,000		50,000

Case (iv)

PROFIT AND LOSS APPROPRIATION A/C

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Interest on Capital:		By Profit & Loss A/c	
A 15,000 x $\frac{2}{3}$	10,000	(Profit for the year)	15,000
B 15,000 x $\frac{1}{3}$	5,000		
	15,000		**15,000**

Note: The available profit is ₹ 15,000 wherease the interest due on capitals is ₹ 24,000 (i.e. ₹ 16,000 + ₹ 8,000). Since the profit is less than the interest, the available profit will be distributed in the ratio of interest, i.e., 16,000 : 8,000 or 2:1

Case (v)

PROFIT AND LOSS A/C

Dr. Cr.

Particulars		₹	Particulars		₹
To Interest on Capital*			By Profit for the year		15,000
A	16,000		By Loss transferred to:		
B	8,000	24,000	A's Capital A/c 3/5	5,400	
			B's Capital A/c 2/5	3,600	9,000
		24,000			**24,000**

* Interest on Capital will be allowed even if firm incurs loss. It means interest on capital is a charge against profit. As such, it would be debited to profit and loss and not to profit and loss Appropriationaccount.

Solution 24:

Particulars	A	B	C	Total
I. Amount already credited: (To be debited)				
Share of profit (in the ratio of 1:1:1) (2019-20, 2020-21)	26,000	26,000	26,000	78,000
II. Amount which should have been credited: (To be Credited)				
C's Salary (2019-20, 2020-21)			10,000	10000
Interest on Capital (2019-20, 2020-21)	5,000	2,500	2,500	10000
Share of Profit	29,000	14,500	14,500	58,000
	34,000	17,000	27,000	
Net effect (I-II)	**(8,000)**	**9,000**	**(1,000)**	-

The necessary journal entry will be:

Particulars	Debit (Rs.)	Credit (Rs.)
B's Current A/c	9,000	
To A's Current A/c		8,000
To C's Current A/c		1,000
(Salary to C, Interest on capital charged and profit shared among partners in the ratio of capital)		

Solution 25:

Profit and Loss Appropriation Account
for the year ended 31st March, 2021

	Rs.	Rs.		Rs.
To Salary – B		3,000	By Net Profit	73,000
To Interest on Capitals:			(70,000+3,000)	
A	2,500			
B	2,000	4,500		
To Reserve (10% of 65,500)		6,550		
To Partners' current accounts				
A	29,475			
B	29,475	58,950		
		73,000		**73,000**

Partners' Capital Accounts

Date		A	B	Date		A	B
31.03.21	To Balance c/d	50,000	40,000	01.04.20	By Balance b/d	50,000	40,000
		50,000	40,000			50,000	40,000

Partners' Capital Accounts

Date		A	B	Date		A	B
01.04.20	To Balance b/d	-	3,000	01.04.20	By Balance b/d	10,000	
31.03.21	To Drawings A/c	1,000	2,000	31.03.21	By Interest on Capital	2,500	2,000
31.03.21	To Balance c/d	40,975	29,475	31.03.21	By Salary		3,000
				31.03.21	By Profit & Loss App A/c	29,475	29,475
		41,975	**34,475**			**41,975**	**34,475**

Note: Profit before charging interest on Capital and Salary to B = 70,000 + 3,000 = 73,000

Solution 26:

In the Books of Rose, Lilly and Lotus
Profit and Loss Appropriation A/c
for the Year ended 31st March, 2020

Particulars		Rs.	Particulars		Rs.
To Salary to Lotus		50,000	By Net Profit b/d	3,34,600	
To Interest on capital			Add: Drawings of Lotus		
Rose	24,000		wrongly debited as salaries	10,000	3,44,600
Lilly	36,000				
Lotus	48,000	1,08,000	By Interest on drawings		
To Net Profit transferred to			Rose	2,400	
Rose	50,000		Lilly	1,800	
Lilly	64,000		Lotus	1,200	5,400
Lotus	78,000	1,92,000			
		3,50,000			**3,50,000**

Partners' Capital Accounts

Particulars	Rose	Lilly	Lotus	Particulars	Rose	Lilly	Lotus
To Balance c/d	2,00,000	3,00,000	4,00,000	By Bank	2,00,000	3,00,000	4,00,000
	2,00,000	**3,00,000**	**4,00,000**		**2,00,000**	**3,00,000**	**4,00,000**
				By balance b/d	2,00,000	3,00,000	4,00,000

Partners' Current Accounts

Particulars	Rose	Lilly	Lotus	Particulars	Rose	Lilly	Lotus
To Drawing (Tuition fees)			10,000	By Interest on	24,000	36,000	48,000
To Drawing	40,000	30,000	20,000	capital			
To Interest on drawings	2,400	1,800	1,200	By Salary			50,000
To balance c/d	31,600	68,200	1,44,800	By Net Profit	50,000	64,000	78,000
	74,000	1,00,000	1,76,000		74,000	1,00,000	1,76,000
				By balance b/d	31,600	68,200	1,44,800

Note:- Drawing (Tution Fees) paid by lotus Rs. 10000 on 31/3/20 i.e. at the end of year, therefore IOD not charged on it.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. In absence of any agreement partners share profits of the business in the ratio of their capital contribution.
2. Profit sharing ratio and capital contribution ratio need not be same.
3. Every partnership firm must register itself with Registrar of rms.
4. A partner can advance loan to the partnership firm in addition to capital contributed by him.
5. A partner can demand interest on capital even if it is not provided in the partnership deed.
6. If a partner does not take part in day to day business activities of the firm then he is not entitled to any share of profit.
7. Interest should be paid @ 6% p.a. on partners' loan even if it is not provided in the partnership deed.
8. Husband and wife cannot be partners in the same firm.
9. One senior partner is Principal and other partners are his agents.
10. Partners are the agents of the firm and each other.

ANSWERS/HINTS

True and False

1. **False:** In absence of any agreement partners share profits equally and not in capital contribution ratio.
2. **True:** Profit sharing can be different from the that of the capital introduced by each of the partner. Not necessary that partner contributing more capital should have a higher profit sharing ratio and vice versa.
3. **False:** Registration of firms is not compulsory under Indian Partnership Act 1932.
4. **True:** Yes loan is given to the firm at a cost. Where the partnership deed is silent, then the interest shall be paid @ of 6% per annum. So the interest on the loan to be paid to the partner.
5. **False:** Interest on capital can be paid only if it is provided in the partnership deed.
6. **False:** Every partner need not take part in the business. Even if a partner does not take part in the business he is entitled for his share of profit.
7. **True:** Yes as per the provisions of the law- it is necessary that the interest on loan at 6% per annum shall be paid to the concerned partner.
8. **False:** Husband and wife can be partners in the same firm.
9. **False:** There is no senior or junior partner. Every partner is agent/principal of other partners.
10. **True:** Concept of agency applies to every partner and the firm as well. So each partner is a principal to and agent of every other partner and to the firm.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. A joint venture is a partnership under the Partnership Act.
2. A partner who devotes more time to a business than other partners is entitled to get a salary.
3. Partners can share profits or losses in their capital ratio, when there is no agreement.
4. The business of partnership firm must be carried on by all the partners.
5. Sharing of Profit is conclusive evidence of partnership but Mutual Agency is only a prima facie evidence of partnership.
6. Registration of a firm has to be effected before the formation of partnership.
7. Every partner is only jointly liable to third parties.
8. It is necessary to have Partnership Agreement in writing.

9. Terms of Partnership and nature of business of firm can be changed with the consent of majority of partners.
10. If the amount of available profits is less than the total amount of interest on capital, the available profits should be distributed in the profit sharing ratio of partners.
11. If Partnership Deed is silent, Rate of Interest on loan by firm to a Partner shall be 6% p.m.
12. In the absence of any provision in the partnership deed, only a working partner (and not non-working partner) is entitled to remuneration.
13. In the absence of any provision in the partnership deed, interest will be calculated on the total amount of drawings for a period of 12 months assuming that the amounts were drawn evenly throughout the year.
14. If a fixed amount is withdraw on the first day of every month, the interest on the total amount of drawings will be calculated for a period of 6 months.
15. If a fixed amount is withdrawn on the last day of every month, the interest on the total of drawings will be calculated for a period of 6.5 months.
16. Interest on loan given by a partner to the firm shall be paid if there are profits.
17. Current accounts of partners are maintained under the Fluctuating capital Method.

Answer:

1. **False:** Joint venture is not a partnership under the Partnership Act. Since it is only a kind of temporary trading relationship between co-venturers to carry out a commercial venture.
2. **False:** No partner is entitled to a salary unless the partnership deed specifically provides for the same.
3. **False:** Profits or losses are to be shared equally among partners if there is no agreement.
4. **False:** The business of the partnership firm can be carried on by all the partners or by any one of them acting for all.
5. **False:** Sharing of Profit is only a prima facie evidence of partnership but Mutual Agency is a conclusive evidence of partnership.
6. **False:** Registration of a firm is optional and not compulsory and can be effected on or after the formation of partnership.
7. **False:** Every partner is jointly and severally liable to third parties.
8. **False:** It is not necessary to have Partnership Agreement in writing.
9. **False:** Terms of Partnership and nature of business of firm can be changed only with the consent of all partners.
10. **False:** If the amount of available profits is less than the total amount of interest on capital, the available profits should be distributed in the ratio of interest claims of partners.
11. **False:** The Partnership Act has prescribed Rate of Interest on Loan @ 6% p.a.
12. **False:** In the absence of any provision in the partnership deed, no partner is entitled to remuneration.
13. **False:** In the absence of any provision in the partnership deed, interest will be calculated on the total amount of drawings for a period of six months assuming that the amounts were drawn evenly throughout the year.
14. **False:** If a fixed amount is withdraw on the first day of every month, the interest on the total amount of drawings will be calculated for a period of 6.5 months.
15. **False:** If a fixed amount is withdrawn on the last day of every month, the interest on the total of drawings will be calculated for a period of 5.5 months.
16. **False:** Interest on loan given by a partner to the firm shall be paid even if there are losses.
17. **False:** Current accounts of partners are maintained under the Fixed Capital Method.

MULTIPLE CHOICE QUESTIONS (SM)

1 If a firm prefers Partners' Capital Accounts to be shown at the amount introduced by the partners as capital in firm then entries for salary, interest, drawings, interest on capital and drawings and profits are made in
(a) Trading Account (b) Profit and Loss Account (c) Partners' Current Account

2 In the absence of any agreement, partners are liable to receive interest on their Loans @
(a) 12% p.a. (b) 10% p.a. (c) 6% p.a.

3 The relationship between persons who have agreed to share the profit of a business carried on by all or any of them acting for all is known as ……
(a) Partnership. (b) Joint Venture. (c) Association of Persons.

4 Firm has earned exceptionally high profits from a contract which will not be renewed. In such a case the profits from this contract will not be included in ……
(a) Profit sharing of the partners. (b) Calculation of the goodwill.
(c) Both.

5 In the absence of an agreement, partners are entitled to
(a) Interest on Loan and Advances. (b) Commission.
(c) Salary.

6 Partners are supposed to pay interest on drawings only when …… by the ……
(a) Provided, Agreement. (b) Agreed, Partners (c) Both (a) & (b) above.

7 When a partner is given a guarantee by the other partner, loss on such guarantee will be borne by
(a) Partner who gave the guarantee (b) All the other partners.
(c) Partnership rm.

8. A, B and C had capitals of ₹ 50,000; ₹ 40,000 and ₹ 30,000 respectively for carrying on business in partnership. The firm's reported profit for the year was ₹ 80,000. As per provisions of the Indian Partnership Act, 1932, find out the share of each partner in the above amount after taking into account that no interest has been provided on an advance by A of ₹ 20,000, in addition to his capital contribution.
(a) ₹ 26,267 for Partner B and C & ₹ 27,466 for partner A.
(b) ₹ 26,667 each partner.
(c) ₹ 33,333 for A, ₹ 26,667 for B and ₹ 20,000 for C.

9. X, Y and Z are partners in a rm. At the time of division of profit for the year there was dispute between the partners. Profits before interest on partner's capital was ₹ 6,000 and X wanted interest on capital @ 20% as his capital contributions was ₹ 1,00,000 as compared to that of Y and Z which was ₹ 75,000 and ₹ 50,000 respectively.
(a) Profits of ₹ 6,000 will be distributed equally with no interest on either Capital.
(b) X will get the interest of ₹ 20,000 and the loss of ₹ 14,000 will be shared equally.
(c) All the partners will get interest on capital and the loss of ₹ 39,000 will be shared equally.

10. X, Y and Z are partners in a rm. At the time of division of profit for the year there was dispute between the partners. Profits before interest on partner's capital was ₹ 6,000 and Y determined interest @ 24% p.a. on his loan of ₹ 80,000. There was no agreement on this point.
Calculate the amount payable to X, Y and Z respectively.
(a) ₹ 2,000 to each partner.
(b) Loss of ₹ 4,400 for X and Z & Y will take home ₹ 14,800.
(c) ₹ 400 for X, ₹ 5,200 for Y and ₹ 400 for Z.

11. X, Y and Z are partners in a rm. At the time of division of profit for the year there was dispute between the partners. Profits before interest on partner's capital was ₹ 6,000 and Z demanded minimum profit of ₹ 5,000 as his financial position was not good. However, there was no written agreement. Profits to be distributed to X, Y and Z will be
(a) Other partners will pay Z the minimum profit and will suffer loss equally.
(b) Other partners will pay Z the minimum profit and will suffer loss in capital ratio.
(c) ₹ 2,000 to each of the partners.

ANSWERS/HINTS
MCQs

1	**(c)**	**2**	**(c)**	**3**	**(a)**	**4**	**(b)**	**5**	**(a)**	**6**	**(c)**	**7**	**(a)**	**8**	**(a)**	**9**	**(a)**	**10**	**(c)**	**11**	**(c)**

THEORETICAL QUESTIONS

Question 1:
Write short notes on:
(a) Features of Partnership
(b) Powers of Partners
Answer:
(a) The following four essential features of a partnership, namely:
(i) **Partnership is the result of an agreement:** It means that the relation of partnership arises from contract and not from status.
(ii) **Business:** A partnership can exist only in business.
(iii) **Sharing of profit:** The persons concerned must agree to share the profits of the business.
(iv) **Mutual agency:** It means that the business is to be carried on by all or any of them acting for all. Thus, if the person carrying on the business acts not only for himself but for others also so that they stand in the positions of principals and agents, they are partners.

(b) Powers of partners are the following:
(i) Buying and selling of **goods;**
(ii) **Receiving payments** on behalf of the firm and giving valid receipt;
(iii) Drawing cheques and drawing, accepting and endorsing **bills of exchange and promissory notes** in the name of the firm;
(iv) **Borrowing money** on behalf of the firm with or without pledging the inventories-in-trade;
(v) Engaging **servants** for the business of the firm.

Question 2:

Distinguish between

(i) Fixed capital and fluctuating capital.

(ii) Partnership and joint venture

Answer:

(i) **Fixed capital fluctuating capital.**

Fixed capital Method

In fixed capital method, generally initial capital contributions by the partners are credited to partners' capital accounts and all subsequent transactions and events are dealt with through current accounts, Unless a decision is taken to change it, initial capital account balance is not changed.

fluctuating capital Method.

In fluctuating capital method, no current account is maintained. All such transactions and events are passed through capital accounts. Naturally, capital account balance of the partners fluctuates every time. So in fixed capital method a fixed capital balance is maintained over a period of time while in fluctuating capital method capital account balances fluctuate all the time.

(ii) **Partnership and Joint venture**

Partnership is a relationship between person who have agreed to share profits or losses of a business carried on by all or any of them acting for all. Whereas, a joint venture is a contractual agreement whereby two or more parties undertake an economic activity which is subject to joint control. Thus joint venture is a temporary partnership formed for a particular economic activity or venture. The following differences exists between joint venture and other forms of partnership:

The owners of a partnership business are called partners, whereas the owners of a joint venture are called co-ventures.

Accrual basis of accounting is followed in case of partnership and a joint venture generally follows cash basis of accounting.

The financial results of a partnership are obtained at regular intervals. On the other hand, the financial results of a joint venture are obtained generally at the end of the venture.

However, there may be ventures in certain areas which may last for a longer period, for example, joint ventures in key areas like power, petroleum, telecommunication, etc. In these cases, the ventures may even last for ten/fifteen years. For these long term joint ventures, financial statements are prepared periodically by following accrual basis of accounting. Therefore, the line of distinction between long term joint ventures and other forms of partnership is very thin

Question : 3

What are the liabilities of designated partners in case of LLP.

Answer :

Liabilities of designated partners

As per LLP Act, unless expressly provided otherwise in this Act, a designated partner shouldbe-

(a) responsible for the doing of all acts, matters, and things as are required to be done by the limited liability partnership in respect of compliance of the provisions of this Act including filing of any document, return, statement, and the like report pursuant to the provisions of this Act and as may be specified in the limited liability partnership agreement; and.

(b) liable to all penalties imposed on the limited liability partnership for any contravention of those provisions.

HOME WORK DISCUSSION VIDEO QR CODE

TOPIC	QUESTION NO.	QR CODE
Introduction to Partnership Accounts	Q. 15	
		Q. 18
	Q. 22	

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE
Introduction to Partnership Accounts	

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Introduction to Partnership Accounts	

Space for Personal Notes:-

CHAPTER 10 :- PARTNERSHIP AND LLP ACCOUNTS
UNIT 2 :- TREATMENT OF GOODWILL IN PARTNERSHIP ACCOUNTS

1. Meaning –

- Goodwill is the value of reputation of a firm in respect of profits expected on future over and above the normal profit.
- It means it helps in earning extra profit.
- It is one thing which distinguishes an old established business from a new business.
- It is an Intangible assets.

2. Reason for expected profit - Extra Profit may be due to following reason -

(a) locational advantages (b) better customer services.
(c) personal reputation of partner. (d) secret or patented manufacturing process etc.

3. Necessity for valuation of Goodwill -

(a) If profit sharing ratio among partners changes.
(b) Admission of a new partners.
(c) Retirement/ Death of a partner.
(d) Business is dissolved or sold
(e) Partnership is converted in to company.

4. Classification of Goodwill :

(a) Purchased Goodwill : The Goodwill that is acquired by making a payment.
For Eg. : When a business is purchased, the excess of purchased consideration of its net assets is the purchased goodwill.

(b) Self Generated Goodwill : It is an internally generated goodwill. It is not recorded in the books of accounts, if AS-10 is followed.

5. Method for Goodwill valuation - At the time of valuation of G/W provision of partnership deed must be taken care into consideration. If deed is silent then G/W is valued by any of the following method :

(a) Average Profit basis :

- **Normal Profits** earned by the Partnership firm of past few years are averaged. If there is any expected change in future then it should also be adjusted. For ex. If it is expected that in future there will be expense of …. In every year then it should be deducted.
- **Normal Profit** = Profits given - Abnormal gains - Inc. from Non-Trading Inventory – Normal future Expenses + Abnormal expense + Normal future Income / Number of years for which profit is given.
- Avg. may be taken either **simple or weighted.**
- If there is a clear **increasing/decreasing trend** of profit then **weighted avg.** should be taken otherwise simple avg.
- **Goodwill** = Average profit x Number of years purchase (i.e. Number of years during which this anticipated profits expected to accure in future)

(b) Super profit method – Super profit means **profit earned by a firm over and above the normal profit** earned by similar firm under similar circumstances.

In this method following steps will be followed to calculate Goodwill -

1. Calculate the **Capital employed** by the partnership firm.
2. Calculate **Normal profit** = Capital employed x NRR (Normal rate of return or expected rate of return)
3. Calculate **Actual /Avg. profit** of firm
4. **S.P.** = Avg. profit - Normal profit.
5. **Goodwill** = S.P. x No. of years purchase.

(c) Annuity method–

- ❖ Under this method **time value of money** is also considered.
- ❖ It is summation of **discounted value of expected future profits.**
- ❖ **Goodwill** = super profit x Annuity factor.

(d) Capitalization method -Under this method Goodwill is calculated by deducting the actual capital employed (net assets) in the business from Capitalised value of the average profit on the basis of normal return.

Steps to Calculate Goodwill :

Step 1 : Find the **Total Capitalized value** of the firm (Normal value of business) on the basis of actual/average profit and the normal return by applying the following **formula** :
Actual Average Profit x 100 / Rate of normal Profit (NRR)

Step 2 : Find the **Actual Capital employed** by applying the following formula :
Total Assets (Excluding fictitious assets, Non Trade Inventory and goodwill) – Total liabilities.

Or

Capital Employed = Capital A/c + Current A/c + Reserves

Step 3 : **Goodwill** = Total capitalized value of the firm (Normal Capital) – Actual capital employed.

OR

GOODWILL = SP / NRR X 100 (Capitalization of SP)

GOODWILL = Average Profit /NRR x 100 (Capitalization of Average Profit)

Note: If Average Capital is given or can be calculated always take Averge Capital for Calulating Goodwill.

(e) Hidden or Inferred or Implied Goodwill

Sometimes the value of goodwill is not specifically given and has to be inferred or implied from the arrangement of capital or profit-sharing ratio. For example A's capital is ₹ 20,000 and B's Capital is ₹ 15,000 and they share profits equally. C is admitted as a partner with ₹ 18,000 as his capital for ¼ share in the profits. The total capital of the firm now ought to be ₹ 72,000 for the simple reason that if C contributes ₹ 18,000 for ¼ share, then for full or unit profit he ought to have contributed ₹ 72,000 (18,000 x 4). But the total Capital of A, B and C becomes only ₹ 53,000. So the hidden value of the goodwill should be taken as ₹ 19,000 so that the total capital becomes ₹ 72,000**.**

6. Accounting treatement of Goodwill :

Cases	Journal entry
i) If goodwill is brought in CASH :	Cash A/c Dr. To Sacrificing Partner's capital A/c (In sacrificing ratio)
ii) If goodwill is not brought in CASH :	
A) Goodwill adjusted through partner's capital a/c	Gaining Partner's capital a/c Dr. To Sacrificing Partner's capital a/c
B) If partner's decided to raise Goodwill	Goodwill A/c Dr. To Old Partner's capital a/c (With full value in old PSR)
C) If it is decided to raise & write off the G/W	G/W Raise – Same entry G/W Written off – All Partner's capital A/c Dr. To Goodwill A/c (With NEW PSR)
(iii) If goodwill is paid privately	No Entry in the books of the Partnership Firm.

CLASS WORK QUESTIONS

Question 1: (Methods) **[SM-ILL-1]**

Lee and Lawson are in equal partnership. They agreed to take Hicks as one-fourth partner. For this it was decided to find out the value of goodwill. M/s. Lee and Lawson earned profits during 2013-2016 as follows:

Year	Profits
	₹
2013	1,20,000
2014	1,25,000
2015	1,30,000
2016	1,50,000

On 31.12.2016 capital employed by M/s. Lee and Lawson was ₹ 5,00,000. Rate of normal profit is 20%.

Required

Find out the value of goodwill following various methods.

Personal Note:-

Question 2: (NRR) **[MTP JAN. 25, 5 Marks][SM-ILL-2][May-22(5 Marks)]**

The following particulars are available in respect of the business carried on by Rathore

			₹
(1)	Capital Invested		1,50,000
(2)	Trading Results:		
	2013	Profit	40,000
	2014	Profit	36,000
	2015	Loss	6,000
	2016	Profit	50,000
(3)	Market Rate of interest on investment	10%	
(4)	Rate of risk return on capital invested in business	2%	
(5)	Remuneration from alternative employment of the proprietor (if not engaged in business).	₹ 6,000 per annum	

You are required to compute the value of goodwill on the basis of 5 years' purchase of super profit of the business calculated on the average profits of the last four years.

Personal Note:-

Question 3: **(Avg. Pft)** **[SM-P.Q.-1]**

Wise, Clever and Dull were trading in partnership sharing profits and losses 4:3:3 respectively. The accounts of the firm are made upto 31st December every year.

The partnership provided, interalia, that:

On the death of a partner the goodwill was to be valued at three years' purchase of average profits of the three years upto the date of the death after deducting interest @ 8 percent on capital employed and a fair remuneration of each partner. The profits are assumed to be earned evenly throughout the year.

On 30th June, 2016, Wise died and it was agreed on his death to adjust goodwill in the capital accounts without showing any amount of goodwill in the Balance Sheet.

It was agreed for the purpose of valuation of goodwill that the fair remuneration for work done by each partner would be ₹ 15,000 per annum and that the capital employed would be ₹ 1,56,000. Clever and Dull were to continue the partnership, sharing profits and losses equally after the death of Wise.

The following were the amounts of profits of earlier years before charging interest on capital employed.

	₹
2013	**67,200**
2014	**75,600**
2015	**72,000**
2016	**62,400**

You are required to compute the value of goodwill and show the adjustment there of in the books of the firm.

Personal Note :-

Question 4: **(SP, Avg, Cap. Employed)** **[RTP-Nov-18, 19, 21]**

Vasudevan, Sunderarajan and Agrawal are in partnership sharing profit and losses at the ratio of 2:5:3. The Balance Sheet of the partnership as on 31.12.2017 was as follows:

Balance Sheet of M/s Vasudevan, Sunderarajan & Agrawal

Liabilities	₹	Assets	₹
Capital A/cs		Sundry fixed assets	5,00,000
Vasudevan	85,000	Inventory	1,00,000
Sunderarajan	3,15,000	Trade receivables	50,000
Agrawal	2,25,000	Bank	5,000
Trade payables	30,000		
	6,55,000		**6,55,000**

The partnership earned profit ₹ 2,00,000 in 2017 and the partners withdrew ₹1,50,000 during the year. Normal rate of return 30%.

You are required to calculate the value of goodwill on the basis of 5 years' purchase of super profit. For this purpose calculate super profit using average capital employed.

Personal Note:-

Question 5: (Adj. Pft.)

It was agreed to calculate the value of goodwill of firm at three years' purchase of the weighted average profits of the past four years. The appropriate weights to be used to each year ended on 31st March are : 2012 – 1 ; 2013 – 2 ; 2014 – 3 ; 2015 – 4.

The profits for these years ended on 31st March are : 2012 ₹ 20,200; 2013 ₹ 24,800; 2014 ₹ 20,000; and 2015 ₹ 30,000.

On a scrutiny of the accounts the following matters are revealed :-

(i) On 1st December, 2013 a major repair was made in respect of the plant incurring ₹ 6,000 which amount was charged to revenue. The paid sum is agreed to be capitalized for goodwill calculation subject to adjustment of depreciation of 10% p.a. on reducing balance method.

(ii) The Closing stock for the year ending on 31st March 2013 was over-valued by ₹ 2,400.

(iii) To cover management cost an annual charge of ₹ 4,800 should be made for the purpose of good will valuation.

Compute the value of goodwill.

Personal Note:-

Question 6: (Avg. Pft.)

On 1st April, 2020 an existing firm had assets of ₹ 2,00,000 including cash of ₹ 4,000. Its creditors amounted to ₹ 10,000 on that date. The partner's capital accounts showed a balance of ₹ 1,60,000 while the general reserve amounted to ₹ 30,000. If the normal rate of return is 15% and the goodwill of the firm is valued at ₹ 36,000 at 3 year's purchase of super profit, find the average profits of the firm.

Personal Note:-

Question 7: (Entries, Hidden G/W)

Balance Sheet of X and Y who share profits and losses in the ratio of 3 : 2 as at 31st March, 2018 was:

Liabilities		₹	Assets	₹
Sundry Creditors		1,00,000	Cash at Bank	10,000
Reserve		60,000	Debtors	50,000
Profit and Loss A/c		25,000	Stock	70,000
X's Capital	48,000		Furniture	20,000
Y's Capital	32,000	80,000	Plant and Machinery	1,00,000
			Advertisement Suspense	15,000
		2,65,000		2,65,000

They admit Z as a partner from 1st April, 2018 for l/5th share in the profits of the firm. Z brings in ₹ 50,000 as his capital. Give Journal entry for the adjustment of goodwill.

Personal Note:-

Question 8: (G/W – Accounting) **[SM-ILL-3]**

The following is the Balance Sheet of Yellow and Green as at 31st December, 2016:

Liabilities	₹	Assets	₹
Trade payables	20,000	Cash at Bank	10,000
Capital:		Sundry Assets	55,000
Yellow	25,000		
Green	20,000		
	65,000		65,000

The partners shared profits and losses in the ratio 3:2. On the above date, Black was admitted as partner on the condition that he would pay ₹ 20,000 as Capital. Goodwill was to be valued at 3 years' purchase of the average of four years' profits which were:

	₹		₹
2012	9,000	2014	12,000
2013	14,000	2015	13,000

The new profit sharing ratio is 6:5:5.

Give journal entries and Balance Sheet if goodwill is adjusted through partners' capital accounts.

Personal Note:-

Question 9: (G/W – Accounting) **[SM-ILL-4]**

With the information given in Question 8, let us give journal entries and prepare balance sheet assuming that goodwill is brought in cash.

Personal Notes:-

Question 10: (G/W – Accounting) **[SM-ILL-5]**

Continuing with the same Question 8, let us give journal entries and prepare balance sheet assuming that goodwill is brought in cash, but withdrawn.

Personal Note:-

Question 11: (G/W – Accounting) **[SM-ILL-6]**

On the basis of information given in Question 8, let us give journal entries and prepare balance sheet assuming that goodwill is paid privately.

Personal Note:-

Question 12: (G/W – Accounting) **[SM-ILL-7]**

A, B & C are equal partners. They wanted to change the profit sharing ratio into 4:3:2. Make the necessary journal entries. Goodwill of the firm is valued at Rs. 90,000.

Personal Note:-

HOME WORK QUESTIONS

Question 13: (Various Methods)

From the following information, calculate value of goodwill of M/s. Sharma and Gupta having two Partners.

(i) At three years' purchase of Average Profit.
(ii) At three years' purchase of Super Profit.
(iii) On the basis of Capitalisation of Super Profit.
(iv) On the basis of Capitalisation of Average Profit.
(v) On the basis of annuty method, if discounted rate is 10%.

Information:

(a) Average Capital Employed - ₹ 10,00,000
(b) Net Profit/Loss of the firm for the past years: 2015 - ₹ 1,60,000 (Profit); 2016 - ₹ 1,40,000 (Profit); 2017- ₹ 2,70,000 (Profit).
(c) Normal Rate of Return on capital is 11%.
(d) Remuneration to each partner for his service to be treated as a charge on profit - ₹ 2,500 per month.
(e) Assets (excluding goodwill) - ₹ 11,00,000; Liabilities - ₹ 1,00,000.

Personal Note:-

Question 14: (SP & Capitalization) **[RTP - May-18, 19, 20 & Nov-20, May-22, SEP -24]**

J and K are partners in a firm. Their capital are J ₹ 3,00,000 and K ₹ 2,00,000. During the year ended 31st March, 2017 the firm earned a profit of ₹ 1,50,000. Assuming that the normal rate of return is 20%, calculate the value of goodwill on the firm:

(i) By Capitalization Method; and
(ii) By Super Profit Method if the goodwill is valued at 2 years' purchase of Super Profit.

Personal Note:-

Question 15: (SP) **[RTP- Sep. 24][RTP-May-19, 21]**

The profits and losses for the previous years are: 2015 Profit ₹ 10,000, 2016 Loss ₹ 17,000, 2017 Profit ₹ 50,000, 2018 Profit ₹ 75,000. The average Capital employed in the business is ₹ 2,00,000. The rate of interest expected from capital invested is 10%. The remuneration from alternative employment of the proprietor ₹ 6,000 p.a. Calculate the value of goodwill on the basis of 2 years' purchases of Super Profits based on the average of 3 years.

Personal Note:-

Question 16: (Capitalization)

Varun and Kuber are partners in a business. Balance in Capital and Current Accounts on 31st March, 2019 were:

	Capital Account	Current Account
Varun	₹ 5,00,000	₹ 80,000
Kuber	₹ 3,50,000	₹ 20,000 (Dr.)

Profits of the last five consecutive years ending 31st March were: 2015 ₹ 60,000; 2016 Loss ₹ 40,000; 2017 ₹ 1,30,000; 2018 ₹ 2,00,000 and 2019 ₹ 2,50,000.

General Reserve appeared in the books at ₹ 50,000.

If the normal rate of return is 10%, find the value of goodwill by Capitalisation of Average Profit method.

Personal Note:-

Question 17: (Capitalization & SP) **(RTP – JAN. 25)**

From the following information, calculate goodwill by (i) Capitalsiation Method and (ii) at 3 year's purchase of super profits:

(i) Total Assets ₹ 10,00,000
(ii) External Liabilities ₹ 1,80,000
(iii) Normal Rate of Return 10%
(iv) Average Net Profit of last five years ₹ 1,00,000

Personal Note:-

Question 18: (Wt. Avg., Pft, Adj. Pft.)

Calculate the goodwill of a firm on the basis of two year's purchase of the weighted average profits of the last five years. Weights assigned to each year would be : 1,2,3,4 and 5 respectively to the profits ended 31st March 2015, 2016, 2017, 2018 and 2019.

The Profit for these five years were:

Year ended	31st March, 2015	31st March, 2016	31st March, 2017	31st March, 2018	31st March, 2019
Profit (₹)	36,000	1,70,000	1,90,000	2,00,000	3,50,000

Scrutiny of books of accounts revealed the following:

(i) An abnormal loss of ₹ 50,000 was incurred during the year ended 31st March, 2015.
(ii) An abnormal gain of ₹ 30,000 was earned during the year ended 31st March,2016.
(iii) Repairs to Car amounting to ₹ 40,000 was wrongly debited to Vehicles A/c on 1st January, 2018. Depreciation was charged on Vehicles @ 10% p.a. on straight Line Method.
(iv) Closing Stock as on 31st March 2018 was undervalued by ₹ 50,000.

Personal Note:-

Question 19: (Avg. Pft, Adj. Pft)

Simran purchased Anita's business on 1st April, 2018. It was agreed to value goodwill at three years' purchased of average normal profit of the last four years. The profits of Anita's business for the last four years were:

Year	₹
31st March, 2015	90,000
31st March, 2016	1,60,000
31st March, 2017	1,80,000
31st March, 2018	2,20,000

It was observed from the books of account that:

1. **During the year ended 31st March, 2015, an asset was sold at a gain (profit) of ₹ 10,000.**
2. **During the year ended 31st March, 2016, a machine got destroyed in accident and ₹ 30,000 was written off as loss in Profit and Loss Account.**
3. **During the year ended 31st March, 2017, firm's assets were not insured due to oversight. Insurance premium being ₹ 10,000.**

Calculate the value of goodwill.

Personal Note:-

Question 20: (Avg. Pft., Adj. Pft.)

A and B are partners sharing profits equally. They admit C into partnership for equal share. Goodwill was agreed to be valued at two years' purchase of average profit of last four years. Profits for the last four years were:

Year	₹
31st March, 2015	70,000
31st March, 2016	1,00,000
31st March, 2017	(55,000)
31st March, 2018	1,50,000

The books of account of the firm revealed as follows:

1. The firm had abnormal gain of ₹ 10,000 during the year ended 31st March, 2015.
2. The firm incurred abnormal loss of ₹ 20,000 during the year ended 31st March, 2016.
3. Repairs to car amounting to ₹ 50,000 was wrongly debited to vehicles on 1st May, 2016. Depreciation was charged on vehicles @ 10% on Straight Line Method.
4. A Bad Debt of ₹ 5,000 was omitted to be written off in the year 2017-18.

Calculate the value of Goodwill.

Personal Note:-

Question 21: (Hidden G/W)

Abhay and Beena are partners in a firm. They admit Chetan as a partner with l/4th share in the profits of the firm. Chetan brings ₹ 2,00,000 as his share of capital. Value of the total assets of the firm is ₹ 5,40,000 and outside liabilities are valued at ₹ 1,00,000 on that date. Give necessary entry to record goodwill at the time of Chetan's admission. Also, show your working notes.

Personal Note:-

Question 22: (Entry) **[SM-ILL-8]**

A, B and C are in partnership sharing profits and losses in the ratio of 4:3:3. They decided to change the profit sharing ratio to 7:7:6. Goodwill of the firm is valued at ₹ 20,000. Calculate the sacrifice/gain by the partners and make the necessary journal entry.

Personal Note:-

Question 23: (Entry) **[SM-ILL-9]**

A, B, C and D are in partnership sharing profits and losses equally. They mutually agreed to change the profit sharing ratio to 3:3:2:2. Goodwill of the firm is valued at Rs. 20,000. Give necessary journal entry.

Personal Note:-

Question 24: **[SM-ILL-10]**

Antoo, Bantoo and Chintoo were in partnership sharing profits and losses 3:4:3 respectively. The accounts of the firm are made up to 31st March every year. The partnership provided, interalia, that: On the retirement of a partner the goodwill was to be valued at three years' purchase of average profits of the past four years up to the date of the retirement after deducting interest @ 12% p.a. on capital employed and remuneration of Rs. 2,000 p.m. to each partner. On 1st April 2020, Antoo retired and it was agreed on his retirement to adjust goodwill in the capital accounts without showing any amount of goodwill in the Balance Sheet. It was agreed that the capital employed would be Rs. 6,50,000. Bantoo and Chintoo were to continue the partnership, sharing profits and losses equally after the retirement of Antoo. The following were the amounts of profits of earlier years before charging salary to partners and interest on capital employed.

Year	Profit
2016-17	2,60,000
2017-18	2,75,000
2018-19	2,65,000
2019-20	2,80,000

You are required to compute the value of goodwill and show the adjustment there of in the books of the firm.

Personal Note:-

Question 25: (Adj. Pft, Entries) **[SM-ILL-11]**

Cu and Au were in partnership sharing profits and losses in the ratio 5:3. On 1st April 2020, they decided to admit Ag the partnership on the following terms:

1. **Ag will bring ₹ 2,00,000/- as capital for ¼ share.**
2. **New profit sharing ratio shall be 2:1:1 among Cu, Au and Ag.**
3. **Cu was entitled to salary of ₹ 2,000/- p.m., it was revised to ₹ 3,000 p.m. from 1st October 2018.**
4. **Interest on capital was paid at 8% p.a.**
5. **Capitals as on 31st March 2020 were Cu ₹ 4,00,000 Au ₹ 3,00,000, which had remained unchanged since last four years.**
6. **Goodwill was to be valued on the basis of 3 years purchase of average adjusted weighted average profits of past 4 years. The profits of previous four years, before charging interest on capital and salary to Cu were as follows:**

Year	Profit
2016-17	2,10,000
2017-18	2,60,000
2018-19	2,10,000
2019-20	3,05,000

These profits were subject to following rectification

   (a) **A machine costing ₹ 40,000 purchased on 1st October 2018 was wrongly charged to revenue. The machinery was depreciated at 20% p.a. on w.d.v. method**
   (b) **Stock on 31st March 2018 was over valued by ₹ 20,000/-**
   (c) **There was a loss by fire amounting to ₹ 10,000/- in the year 2016-17 which was not considered in trading account but correctly debited in the PL ac for that year.**
   (d) **Debtors as on 31st March 2020 included bad debts of ₹ 5 ,800/-**

7. **Ag shall bring his share of goodwill in cash.**

You are required to calculate amount of goodwill Ag is supposed to bring and journal entry for the same.

Personal Note:-

Question 26: (New PSR & Treatment of G/W) **[PEQ-MAY 25 -8 Marks]**

A, B and C are partners sharing profits and losses in the ratio of 2: 2:1.
Their Balance Sheet as on 31st March, 2024 is as follows:

Liabilities		Amount ₹	Assets	Amount ₹
Trade Creditors		19,275	Land and Building	37,500
Outstanding Liabilities		2,250	Furniture	9,750
General Reserve		9,750	Closing Stock	17,625
Capital:			Sundry Debtors	8,250
A	18,000		Cash and Bank balance	1,650
B	18,000			
C	7,500	43,500		
Total		74,775	Total	74,775

The partners have agreed to take D as a partner w.e.f. 1st April, 2024 on the following terms:
(i) D shall bring ₹ 7,500 towards his capital and required sum of goodwill.
(ii) The value of stock should be increased by ₹ 3,750.
(iii) Provision for bad and doubtful debts should be provided at 10% of the debtors.
(iv) Furniture should be depreciated by 10%.
(v) The value of Land and Buildings should be enhanced by 20%.
(vi) The value of the goodwill is fixed at ₹ 22,500.
(vii) General Reserve will be transferred to the Partners' Capital Accounts.
(viii) The new profit -sharing ratio of A, B, C and D shall be 5:5: 3:2.
(ix) The outstanding liabilities include ₹ 1,500 due to R has been paid by A. Necessary entry was not made in the books.

You are required to prepare:
(1) Revaluation A/c.
(2) Capital Accounts of the Partners.
(3) Balance sheet as at 1st of April, 2024.

Personal Note:-

SOLUTION OF HOMEWORK QUESTIONS

Solution 13:

(i) Calculation of Goodwill at three years' purchase of Average Profit:

$$\text{Average Profit} = \frac{\text{Rs. } 1{,}60{,}000 + \text{Rs. } 1{,}40{,}000 + \text{Rs. } 2{,}70{,}000}{3}$$

$$= \frac{\text{Rs. } 5{,}70{,}000}{3} = ₹\ 1{,}90{,}000$$

Average Normal Profit = ₹ 1,90,000 – Remuneration of Partners
= ₹ 1,90,000 – (₹ 2,500 x 2 x 12)
= ₹ 1,90,000 - ₹ 60,000 = ₹ 1,30,000

Goodwill = Average Normal Profit x No. of Years' Purchase
= ₹ 1,30,000 x 3 = ₹ 3,90,000.

(ii) Calculation of Goodwill at three year's purchase of Super Profit:

Normal Profit = Capital Employed x Normal Rate of Return/100
= ₹ 10,00,000 x 11/100 = ₹ 1,10,000

Super Profit = Average Profit – Normal Profit
= ₹ 1,30,000 - ₹ 1,10,000 = ₹ 20,000

Goodwill = Super Profit x No. of Years' Purchase
= ₹ 20,000 x 3 = ₹ 60,000.

(iii) Calculation of Goodwill under Capitalisation of Super Profit:

$$\text{Goodwill} = \text{Super Profit} \times \frac{100}{\text{Normal Rate of Return}}$$

= ₹ 20,000 x 100/11 = ₹ 1,81,818.18 or 1,81,818.

(iv) Calculation of Goodwill under Capitalisation of Average Profit:
Goodwill = Total Capitalised Value of Business – Net Assets or Capital Employed

$$\text{Total Capitalised Value of the Firm} = \frac{\text{Average Normal Profit x 100}}{\text{Normal Rate of Return}}$$

$$= \frac{\text{Rs. } 1{,}30{,}000 \text{ x } 100}{11} = ₹\ 11{,}81{,}818.18 \text{ or } ₹\ 11{,}81{,}818$$

Net Assets = Total Assets (excluding goodwill) – Outside Liabilites
= ₹ 11,00,000 - ₹ 1,00,000 = ₹ 10,00,000

Goodwill = ₹ 11,81,818 - ₹ 10,00,000 = ₹ 1,81,818.

(v) Goodwill under Annuity method.

Goodwill = SP x Annuity Factor
= 20,000 x 2.486
= 49,720

Solution 14:

(i) Capitalisation Method:

Total Capitalised Value of the firm

$$= \frac{\text{Average Profit X 100}}{\text{Normal Rate of Return}} = \frac{\text{Rs. 1,50,000 X 100}}{20} = ₹\ 7,50,000$$

Goodwill = Total Capitalised Value of Business - Capital Employed

= ₹ 7,50,000 - ₹ 5,00,000 [i.e., ₹ 3,00,000 (J) + ₹ 2,00,000 (K)]

Goodwill = ₹ 2,50,000

(ii) Super Profit Method:

Normal Profit = Capital Employed x 20/100 = ₹ 5,00,000 x 20/100 = 1,00,000

Average Profit = ₹ 1,50,000

Super Profit = Average profit - Normal Profit

= ₹ 1,50,000 - ₹ 1,00,000 = ₹ 50,000

Goodwill = Super Profit x Number of years' purchase

= ₹ 50,000 x 2 = ₹ 1,00,000

Solution 15:

Total Profit for 3 years = (₹ 17,000) + ₹ 50,000+ ₹ 75,000 = ₹ 1,08,000.

$$\text{Average profits} = \frac{\text{Total Profit}}{\text{No.of years}} = \frac{\text{Rs. 1,08,000}}{3} = ₹\ 36,000$$

Average Profits for Goodwill = ₹ 36,000 - Proprietor Remuneration

= ₹ 36,000 - ₹ 6,000 = ₹ 30,000

Normal Profit = Capital employed x NRR

= ₹ 2,00,000 x10/100 = ₹ 20,000

Super Profit = Average Profit-Normal Profit = ₹ 30,000 - ₹ 20,000 = ₹ 10,000

Goodwill = Super Profit x No. of years purchases = ₹ 10,000 x 2 = ₹ 20,000

Solution 16:

$$\text{Average Profits} = \frac{60,000 - 40,000 + 1,30,000 + 2,00,000 + 2,50,000}{5} = ₹\ 1,20,000$$

$$\text{Capitalised Value of Average Profits} = \text{Average Profit} \times \frac{100}{\text{Normal Rate of Return}}$$

$$= 1,20,000 \times \frac{100}{10} = ₹\ 12,00,000$$

Capital Employed = Capital Accounts + Current Accounts + General Reserve

= ₹ 5,00,000 + ₹ 3,50,000 + ₹ 80,000 - ₹ 20,000 + ₹ 50,000

= ₹ 9,60,000

Goodwill = Capitalised Value of Average Profits – Capital Employed

= ₹ 12,00,000 - ₹ 9,60,000 = ₹ 2,40,000.

Solution 17:

(i) Goodwill as per Capitalisation Method:

Capital Employed (Net Assets) = Total Assets – External Liabilites
= ₹ 10,00,000 - ₹ 1,80,000 = ₹ 8,20,000

Normal Profit = 10% of ₹ 8,20,000 = ₹ 82,000

Super Profit = Average Profit – Normal Profit
= ₹ 1,00,000 - ₹ 82,000
= ₹ 18,000

$$\text{Goodwill} = \text{Super Profit} \times \frac{100}{\text{Normal Rate of Return}}$$

$$= 18{,}000 \times \frac{100}{10} = ₹\ 1{,}80{,}000$$

(ii) Goodwill as per 3 year's purchase of super profits:

Goodwill = Super Profit x Number of Year's purchased
= ₹ 18,000 x 3 = ₹ 54,000

Solution 18:

Calculation of Adjusted Profits

Particulars	31st March, 2015	31st March, 2016	31st March, 2017	31st March, 2018	31st March, 2019
Profit	36,000	1,70,000	1,90,000	2,00,000	3,50,000
Add: Abnormal Loss	50,000				
Less: Abnormal Gain		(30,000)			
Less: Repair expenses that should have been debited to P & L A/c				(40,000)	
Add: Depreciation wrongly debited to P & L A/c (There should have been no depreciation at all)				1,000(1)	4,000(2)
Add: Closing Stock undervalued				50,000(3)	
Less: Opening Stock under valued					(50,000)(4)
Adjusted Profits	86,000	1,40,000	1,90,000	2,11,000	3,04,000

Calculation of Weighted Average Profits:

Year ended	Profit	Weight	Products
	(₹)		(₹)
31.3.2015	86,000	1	86,000
31.3.2016	1,40,000	2	2,80,000
31.3.2017	1,90,000	3	5,70,000
31.3.2018	2,11,000	4	8,44,000
31.3.2019	3,04,000	5	15,20,000
		15	33,00,000

$$\text{Weighted Average Profit} = \frac{33{,}00{,}000}{15} = 2{,}20{,}000$$

Goodwill = Weighted Average Profit x Number of Year's Purchase

= ₹ 2,20,000 x 2 = ₹ 4,40,000

Working Notes:

1. Depreciation for the yeare ended 31.3.2018:
   10% on ₹ 40,000 for 3 months = ₹ 1,000
2. Depreciatoin for the year ended 31.3.2019:
   10% on ₹ 40,000 (under Straight Line Method) = ₹ 4,000
3. Closing Stock under-valued reduced the profits of the year ended 31.3.2018. Hence, it is to be added to profits.
4. Closing Stock of Previous year becomes Opening Stock of next year. Since Closing Stock of the year ended 31.3.2018 was undervalued, it means Opening Stock as on 1.4.2018 is also under-valued as a result of which profit for the year ended 31.3.2019 is higher by ₹ 50,000. Hence, profits will have to be reduced by this amount.

Solution 19:

CALCULATION OF NORMAL PROFIT

Year Ended	Profit (₹)	Adjustment (₹)	Normal Profit (₹)
31st March, 2015	90,000	(10,000)	80,000
31st March, 2016	1,60,000	30,000	1,90,000
31st March, 2017	1,80,000	(10,000)	1,70,000
31st March, 2018	2,20,000	…	2,20,000
			6,60,000

Average Profit $= \frac{\text{Total Normal Profit}}{\text{Number of Years}} = \frac{\text{Rs. } 6{,}60{,}000}{4}$ = ₹ 1,65,000

Goodwill = Average Profit x Number of Years' Purchase
= ₹ 1,65,000 x 3 = ₹ 4,95,000.

Note: Insurance Premium towards insuring assets is regular/recurring expense. Therefore, it is deducted from the profit for the year ended 31st March, 2017.

Solution 20:

Adjusted Profit

		31/3/15	31/3/16	31/3/17	31/3/18
	NP (Given)	70,000	1,00,000	(55,000)	1,50,000
1	(-) Ab. Gain	(10,000)	-	-	-
2	(+) Ab. Loss	-	20,000	-	-
3	(-) Repair Exp.	-	-	(50,000)	-
	(+) Dep. to Reserved	-	-	5,000	5,000
4	B/D	-	-	-	(5,000)
		60,000	1,20,000	1,00,000	1,50,000

G/W = Avg. Profit x No. of years Purchase.

G/W = $\left(\frac{60{,}000+1{,}20{,}000 - 1{,}00{,}000 + 1{,}50{,}000}{4}\right)$ x 2

= 1,15,000/-

Note:- In Depriciaton p.a. word is not given
∴ Depriciaton will be charged for 12 months

Solution 21:

Calculation of Hidden Goodwill

		₹
A.	Net worth of new firm on the basis of capital brought in by Chetan (₹ 2,00,000 x 4/1)	8,00,000
B.	**Less:** Net worth (excluding goodwill) of new firm (Adjusted capital of old partners + Incoming Partner's Capital) [(₹ 5,40,000 - ₹ 1,00,000) + ₹ 2,00,000]	6,40,000
	Value of firm's Goodwill (A – B)	**1,60,000**

Thus, Chetan's share of Goodwill = ₹ 1,60,000 x 1/4 = ₹ 40,000.

JOURNAL

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Chetan's Capital/Current A/c Dr. To Abhay's Capital A/c To Beena's Capital A/c (Being the share of Chetan's goodwill adjusted through Capital Account)		40,000	 20,000 20,000

Solution 22:

Partner	New Share		Old Share		Difference
A	$\frac{7}{20}$	-	$\frac{4}{10}$	=	$(\frac{1}{20})$
B	$\frac{7}{20}$	-	$\frac{4}{10}$	=	$\frac{1}{20}$
C	$\frac{6}{20}$	-	$\frac{3}{10}$	=	0

Thus, B gained 1/20th share while A sacrificed 1/20th share i.e. ₹ 20,000 x $\frac{1}{20}$ = ₹ 1,000. For C there was no loss no gain.

Journal Entry

Particulars	₹	₹
B's Capital A/c Dr. To A's Capital A/c (Being goodwill adjusted through partners' capital accounts in sacrificing/gaining ratio)	1,000	 1,000

Solution 23:

SR= Old (-) New

A = $\frac{1}{4} - \frac{3}{10} = \frac{5-6}{20} = -\frac{1}{20}$ i.e. Gain

B = $\frac{1}{4} - \frac{3}{10} = \frac{5-6}{20} = -\frac{1}{20}$ i.e. Gain

C = $\frac{1}{4} - \frac{2}{10} = \frac{5-4}{20} = \frac{1}{20}$ i.e. Sac.

D = $\frac{1}{4} - \frac{2}{10} = \frac{5-4}{20} = \frac{1}{20}$ i.e. Sac.

A and B should pay @ ₹ 1,000 each (i.e.,₹ 20,000 x 1/20) as compensation to C and D respectively for their sacrifice.

Journal Entry

A's Capital Account	Dr.	1,000	
B's Capital Account	Dr.	1,000	
To C's Capital Account			1,000
To D's Capital Account			1,000
(Being goodwill adjusted through partners' capital A/cs at sacrificing)			

Solution 24:

VALUATION OF GOODWILL

Average Profit

2016-17	2,60,000
2017-18	2,75,000
2018-19	2,65,000
2019-20	2,80,000
Total	10,80,000

Average Profit = 10,80,000/4 = 270,000
Less: interest on capital @ 12% p.a. = 78000
Less: salaries of partners' 3 x 12 x 2,000 = 72,000
Adjusted Average profit = 1,20,000
Goodwill = 3 years purchase = 3 x 1,20,000 = 3,60,000
Antoo's Share of Goodwill 3/10 i.e. = 1,08,000

Adjustment Journal entry for Goodwill

Particulars		Dr. (₹)	Cr. (₹)
Bantoo's Capital Account	Dr.	36,000	
Chintoo's Capital Account	Dr.	72,000	
To Antoo's Capital Account			1,08,000
(Adjusting entry passed for share of goodwill of Antoo through remaining partners' capital accounts in gaining ratio)			

Working Note:

Partner	New Share		Old Share		Difference
Antoo	0	–	3/ 10	=	–3/ 10
Bantoo	1/ 2	–	4/ 10	=	1/ 10
Chintoo	1/ 2	–	3/ 10	=	2/ 10

Solution 25:

Valuation of goodwill

Particulars	2016-17	2017-18	2018-19	2019-20
Given profits	2,10,000	2,60,000	2,10,000	3,05,000
Less: Salary to Cu	(24,000)	(24,000)	(30,000)	(36,000)
Less: Interest on Capitals	(56,000)	(56,000)	(56,000)	(56,000)
Add: Machine to be capitalised			40,000	
Less: Depreciation on above			(4,000)	(7,200)
Less: Over valuation of closing stock		(20,000)		
Add: Over valuation of opening stock			20,000	
Add: Loss by fire	10,000			
Less: Bad debts to be written off				(5,800)
Adjusted profits	1,40,000	1,60,000	1,80,000	2,00,000
Weights	1	2	3	4
Product	1,40,000	3,20,000	5,40,000	8,00,000

Weighted Average profit	= total product/ total weights = 18,00,000/10 = 1,80,000
Goodwill = 3 years purchase	= 3 x 1,80,000 = 5,40,000
Ag's share ¼ th	= 5,40,000/4 = 1,35,000

Adjustment Journal entry for Goodwill

Particulars		Dr. ₹	Cr. ₹
Bank A/c	Dr.	36,000	
To Cu's Capital Account			67,500
To Au's Capital Account			67,500
(Adjusting amount brought in by Ag towards goodwill credited to remaining partners' capital accounts in sacrifice ratio)			

Working Note:

Partner	New Share		Old Share		Difference
Cu	2/4	–	5/8	=	1/8
Au	1/4	–	3/8	=	1/8
Ag	1/ 4	–		=	1/4

Solution 26:

Revaluation Account

2024	Particulars		Amount ₹	2024	Particulars	Amount ₹
April 1	To Provision for bad and doubtful debts		825	April 1	By Stock	3,750
	To Furniture and fittings		975		By Land and Building	7,500
	To Capital A/c's: (Profit on revaluation Transferred in the ratio of 2:2:1)					
	A	3,780				
	B	3,780				
	C	1,890	9,450			
			11,250			11,250

Partners' Capital Accounts

Particulars	A (₹)	B(₹)	C(₹)	D(₹)	Particulars	A (₹)	B(₹)	C(₹)	D(₹)
To A's Capital A/c				1,500	By Balance b/d	18,000	18,000	7,500	-
To B's Capital A/c				1,500	By General Reserve	3,900	3,900	1,950	
To Balance c/d				7,500	By Cash	-	-	-	10,500
					By D's Capital A/c	1,500	1,500	-	-
					By Outstanding Liabilities	1,500	-	-	-
					By Revaluation A/c	3,780	3,780	1,890	-
	28,680	27,180	11,340	10,500		28,680	27,180	11,340	10,500

Balance Sheet of M/s. A, B, C and D as at April 1, 2024 (after Admission of D)

Liabilities		(₹)	Assets		(₹)
Trade payables (Trade Creditors)		19,275	Land and Buildings	37,500	
			Add: Appreciation	7,500	45,000
Outstanding Liabilities		750	Furniture	9,750	
			Less: Depreciation	(975)	8,775
Capital Accounts of Partners:			Closing Stock	17,625	
			Add: Revaluation	3,750	21,375
Mr. A	28,680		Trade Debtors	8,250	
Mr. B	27,180		*Less*: Provisions	(825)	7,425
Mr. C	11,340		Cash in hand and Bank		12,150
Mr. D	7,500	74,700	Balance		
		94,725			94,725

Working Note:

(a) Calculation of sacrificing ratio

Partners	New share	Old share	(Sacrifice)	Gain
A	5/15	2/5	- 1/15	
B	5/15	2/5	- 1/15	
C	3/15	1/5	No gain /No loss	
D	2/15			2/15

(b) D's Share of Goodwill = ₹ 22,500 × 2/15 = ₹ 3,000
Sacrifice by Mr. A and Mr. B = ₹ 1,500 each

(c) Cash and Bank Balance:

Particulars	**Amount**
Balance as on 31.03.2024	1,650
Add: Capital introduced by D	7,500
Add: Goodwill introduced by D	3,000
Balance as on 01.04.2024	12,150

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. Goodwill is intangible asset therefore it cannot be valued.
2. Goodwill is valued whenever there is change in the constitution of the business.
3. Goodwill is excess earning capacity of the business attributable to many reasons.
4. At the time of admission or retirement of a partner, goodwill can be raised in the books of accounts and shown as an asset.
5. Only simple average method can be used for valuation of goodwill.
6. Super profit means excess of actual average profit over normal profit.
7. Normal profit means profit earned by similar companies in the same industry.
8. Normal profit depends upon Normal Rate of Return and past profits.
9. At the time of admission/retirement of a partner, since goodwill cannot be raised in the books of accounts is recorded through capital accounts of the partners.
10. At the time of admission of a partner, goodwill brought in by the new partner is shared equally by old partners.

ANSWERS/HINTS

1. **False:** Even though Goodwill is intangible asset it can be valued in terms of money.
2. **True:** Goodwill has to be valued each time when there is a reconstitution to make good the sacrifice made by few partner due to such reconstitution.
3. **True:** Goodwill is the brand image the firm has in the market due to which it enjoys an advantageous position over the other players in the market.
4. **False:** At the time of admission or retirement of a partner, goodwill can be raised in the books of accounts and it is immediately written off. It cannot remain in the books of accounts as asset in balance sheet as per accounting standard .
5. **False:** Weighted average profit method, capitalisation method, super profits methods also can be used for valuation of Goodwill.
6. **True:** It is capacity of the firm to earn excessive profits over the industry normal evidencing the fact that the firm experiences higher goodwill
7. **True:** The rate of return is considered as an average for the industry, which is applied to the capital employed in the concerned firm.
8. **False:** Normal profit depends upon Normal Rate of Return only and not on past profits.
9. **True:** Generally the goodwill at the time of admission is adjusted through the capital accounts and not shown in the books of the firm.
10. **False:** Goodwill brought in by new partner is shared by old partners in Sacrifice Ratio and not equally.

MULTIPLE CHOICE QUESTIONS

1 Goodwill brought in by incoming partner in cash for joining in a partnership firm is taken away by the old partners in their……ratio.

(a) Capital. (b) New Profit Sharing.

(c) Sacrificing.

2 A & B are partners sharing profits and losses in the ratio 5:3. On admission, C brings ₹ 70,000 cash and ₹ 48,000 against goodwill. New profit sharing ratio between A, B and C are 7:5:4. Find the sacrificing ratio of A:B.

(a) 3:1. (b) 4:7.

(c) 5:4.

3 Following are the factors affecting goodwill except:
(a) Nature of business. (b) Efficiency of management.
(c) Location of the customers.

4 Weighted average method of calculating goodwill should be followed when:
(a) Profits has increasing trend. (b) Profits has decreasing trend.
(c) Either 'a' or 'b'.

5 In the absence of any provision in the partnership agreement, profits and losses are shared
(a) In the ratio of capitals. (b) Equally.
(c) In the ratio of loans given by them to the partnership rm.

6. The profits and losses for the last 4 years are 2016-17 Losses ₹ 10,000; 2017-18 Losses ₹ 2,500; 2018-19 Profits ₹ 98,000 & 2019-20 Profits ₹ 76,000. The average capital employed in the business is ₹ 2,00,000. The rate of interest expected from capital invested is 12%.
The remuneration of partners is estimated to be ₹ 1,000 per month not charged in the above losses/profits. Calculate the value of goodwill on the basis of two years purchase of super profits based on the average of four years.
(a) ₹ 9,000. (b) ₹ 8,750.
(c) ₹ 8,500. (d) ₹ 8,250.

7. A, B and C are partners sharing profits and losses in the ratio 3:2:1. They decide to change their profit sharing ratio to 2:2:1. To give effect to this new profit sharing ratio they decide to value the goodwill at ₹ 30,000. Pass the necessary journal entry if Goodwill not appearing in the old balance sheet and should not appear in the new balance sheet.
(a) B's Capital Account Dr. ₹ 2,000
C's Capital Account Dr. ₹ 1,000
To A's Capital Account ₹ 3,000
(b) Goodwill Account Dr. ₹ 30,000
To A's Capital Account ₹ 15,000
To B's Capital Account ₹ 10,000
To C's Capital Account ₹ 5,000
(c) A's Capital Account Dr. ₹ 12,000
B's Capital Account Dr. ₹ 12,000
C's Capital Account Dr. ₹ 6,000
To Goodwill Account ₹ 30,000
(d) A's Capital Account Dr. ₹ 3,000
To B's Capital Account ₹ 2,000
To C's Capital Account ₹ 1,000

MCQs Answer

1	**C**	**2**	**A**	**3**	**C**	**4**	**C**	**5**	**B**	**6**	**B**	**7**	**B**

THEORETICAL QUESTIONS

Question 1:
Write short note on methods for valuation of goodwill.
Answer:
There are three methods for valuation of goodwill
i) Average profit basis - Simple and Weighted
ii) Super profit basis - Number of Year Purchase, Annuity basis, and Capitalization of Super Profit.
iii) Capitalization basis

Question 2:
Explain Accounting treatment of goodwill in case of change in profit sharing ratio. Distinguish between Super profit basis and Capitalisation Basis.
Answer:
In case of change in profit sharing ratio, the value of goodwill should be determined and preferably adjusted through capital accounts of the partners on the basis of profit sacrificing ratio.

Super Profit Basis: In case of average profit basis, goodwill is calculated on the basis of average profit multiplied by certain number of years.
Super Profit=Actual Profit-Normal Profit
Actual Profit is average profit and Normal Profit = Normal rate of Return (NRR)

Capitalization Basis: Under this basis, value of whole business is determined applying normal rate of return. If such value (arrived at by applying normal rate of return) is higher than the capital employed in the business, then the difference is goodwill.

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TOPIC	QR CODE
Treatment of Goodwill in Partnership Accounts	

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Treatment of Goodwill	

Space for Personal Notes:-

CHAPTER 10 :- PARTNERSHIP AND LLP ACCOUNTS
UNIT 3 :- ADMISSION OF A NEW PARTNER

Meaning – As per the IPA, new partner can be admitted only with the consent of all the existing partners.

Accounting : At the time of admission of a partner following accounting adjustment is made in the books of the firm :

1. **Prepare P/L Adjustment A/c** - All **past error** will be rectified by preparing P/L Adjustment A/c. P/L of this account will be distributed to **old Partner's in old PSR.**

2. **Revaluation of A & L** –
   - ❖ A Revalution A/c is opened and all **Increase and Decrease in Assets/Liabilities** will be transferred to this A/c.
   - ❖ It is basically a **Nominal A/c.**
   - ❖ The **balance** of Revaluation A/c will show **P/L**, which will be distributed among old Partners old PSR.

Entries

(i) Increase in value of Assets

Assets A/c	Dr.	
To Revaluation A/c		

(ii) Decrease in value of assets

Revaluation A/c	Dr.	
To Assets A/c		

(iii) Unrecorded Assets brought in books

Assets A/c	Dr.	
To Revaluation A/c		

(iv) Unrecorded Liabilities brought in book

Revaluation A/c	Dr.	
To Liabilities A/c		

(v) Decrease in value of liabilities

Liabilities A/c	Dr.	
To Revaluation A/c		

(vi) P/L on Revaluation Trans. to Old Partner's in old PSR

3. **Distribution of Past profits, Reserves, losses & fictitious assets (In old PSR) -**

a)	P/L A/c	Dr.	
	Reserve A/c	Dr.	
	To old Partner's Capital A/c (old Ratio)		
b)	Old Partner's Capital	Dr. (old Ratio)	
	To Losses		
	To fictitious Assets A/c		

4. **Entries of Goodwill** - Already discussed.

5. **Adjustment of Capital A/c** - If it is given in question that total capital of new firm may be shown in new ratio then balance of capital A/c will be
   a) Paid off/ brought in cash OR
   b) Transferred to current A/c

A/c's to be opened at the time of admission-

i. P/L Adjustment A/c ii. Revaluation A/c iii. Capital A/c
iv. Cash A/c v. Balance sheet.

Memorandum Revaluation A/c

1. **Concept-** If at the time of admission, revaluation of Assets & Liabilities is done then there may be following 2 possibilities :-
   i) Assets & Liabilities is to be **shown at Revalued Amount** in Balance sheet.
   ii) Assets & Liabilities is to be **shown at old value** in Balance sheet.
   If Assets & Liabilities to be shown at revalued amount then we prepare **Revaluation A/c** (As already discussed)
   But if Partner is agrees not to show Assets & Liabilities in Balance sheet at Revalued Amount but they want to show it at its old value then **"Memorandum Revaluation A/c"** is prepared.

2. **Accounting -** Memorandum Revaluation A/c is prepared in **2 parts** :-
   i) **1st part** is exactly same as Revaluation A/c and its P&L will also be transferred to **old Partner's capital A/c in old PSR**.
   ii) In **2nd part** every increase and decrease in Assets & Liabilities is **reversed** (since we want to show Assets & Liabilities at its old values). The P&L of this part of Memo. Revaluation A/c will be transferred to **All Partner's in new PSR**.

CALCULATION OF RATIO :

CASE 1: When new partner acquires his share from old partners in their old profit sharing ratio.

When only share of new partner is given i.e. nothing is given about sacrifice made by old partner. It means the partner agreed to share the remaining profit in their old ratio.

Illustration 1:

New partner's share is given :

A and B are the partners sharing profits in the ratio of 5 : 3. C is admitted for $l/4^{th}$ share in the profits. Calculate the new profit-sharing ratio of the partners.

Solution :

Calculation of New Profit-Sharing Ratio:
Old ratio of A and B = 5 : 3 or 5/8 : 3/8
Let the total share be = 1; C's share = 1 / 4
Remaining share of A and B = 1-1/4 = 3/4
A's share = 3/4 x 5/8 = 15/32; B's share = 3/4 x 3/8 = 9/32; C's share = 1/4 or 8/32
New Profit sharing ratio = 15/32 : 9/32 : 8/32 or 15:9:8.
Since only share of the new partner is given, it is presumed that C acquired his share from A and B in the old ratio.

CASE 2: When a new partner acquires his share from the old partners in a particular ratio

When new partner get his share of profit from the old partner in varied share of profit in the reconstituted firm is ascertained by deducting the sacrifice made from the existing share of profits.

Illustration 2: Old partners' sacrificing ratio is given

A and B are in partnership sharing profits and losses in the ratio of 5 : 3. C is admitted as a partner for l/5th share which he takes l/10th from A and 1/10th from B.

Calculate the new profit-sharing ratio of the partners.

Solution:

Calculation of Future Profit-Sharing Ratio:

Old profit-sharing ratio of A and B = 5:3

C acquires his share 1/10th from A and l/10th from B.

C's share of profit in the new firm = 1/10 + 1/10 = 1/5

A's share after giving 1/10th share to C = 5/8 – 1/10 = 25 - 4 /40 = 21/40

B's share after giving 1/10th share to C = 3/8 – 1/10 = 15 - 4 /40 = 11/40

C's share = 1/5 or 8/40

The respective shares of A, B and C are =21/40 : 11/40 : 8/40 or 21 : 11 : 8.

CASE 3: When a new partner acquires his share by surrender of a particular fraction of their shares by the old partners

Illustration 3: (Old partners surrender a particular fraction of their shares in favour of a new partner).

A and B are partners in a firm sharing profits and losses in the ratio of 5:3. A surrenders l/20th of his share, whereas B surrenders l/24th of his share in favour of C, a new partner. Calculate the new profit-sharing ratio.

Solution:

A's Share = 5/8; A surrenders = 5/8 x 1/20 = 1/32

So, A's New share = 5/8 – 1/32 = 20-1/32 = 19/32

B's Share = 3/8; B surrenders = 3/8 x 1/24 = 1/64

So, B's New Share = 3/8 – 1/64 = 24-1/64 = 23 /64

C will get = 1/32 + 1/64 = 3/64

Hence, new ratio = 19/32 : 23/64 : 3/64 or 38/64 : 23/64 : 3/64 = 38 : 23 : 3.

Illustration 4:

A and B are partners. They admit C for 1/4th share. In future the ratio between A and B would be 2:1. Calculate new profit-sharing ratio.

Solution:

Let the total share be = 1

Share of the incoming partner C = 1/4

Remaining share = 1-1/4 = 3/4

Existing partners' shares are being calculated by dividing the remaining share in their future profit-sharing ratio (i.e. 2 : 1) as under:

A's Share = 3/4 x 2/3 = 6/12; B's share = 3/4 x 1/3 = 3/12

New ratio of A, B and C = 6/12 ; 3/12 : 3/12 i.e. 6 : 3 : 3 or 2 : 1 : 1.

Illustration 5:

A and B were partners sharing profits in the ratio of 3:2. They admitted C and D as new partners. A surrendered l/3rd of his share in favour of C and B surrendered l/4th of his share in favour of D. Calculate the new profit-sharing of A, B, C and D.

Solution:

A's old share of profits = 3/5
A surrendered l/3rd of his share in favour of C, i.e., 3/5 x 1/3 = 3/15 or 1/5
A s share of profits in the new firm = 3/5 – 3/15 = 9-3/15 = 6/15
B surrendered l/4th of his share in favour of D, i.e., 2/5 x 1/4 = 2/20 or 1/10
B's share of profits in the new firm = 2/5 – 2/20 = 8-2/20 = 6/20
C's share of profits in the new firm = 3/15
D's share of profits in the new firm = 2/20
Therefore, the new profit-sharing ratio = A : B : C : D = 6/15 : 6/20 : 3/15 : 2/20 = 24:18:12:6 or 4:3:2:1

Illustration 6:

Find out the new profit-sharing ratio:

(i) K, L and M are partners sharing in the ratio of 3 : 2 : 1. They admit N for l/6th share. M would retain his original share.

(ii) A, B and C are partners sharing profits and losses in the ratio of 3 : 2 : 5. They admit D and give him l/4th share. This share is contributed by them in the ratio of 1 : 1 : 3.

(iii) A and B are partners sharing profits in the ratio of 5 : 4. They admit C for l/9th share, which he acquires from A. Find the new profit sharing ratio.

Solution:

(i) Let the total share be = 1
Share of M and N = 1/6+1/6 = 2/6 or 1/3
Remaining share = 1-1/3 = 2/3
Shares of K and L are calculated by dividing the remaining share in their future profit-sharing ratio.
Old ratio between K & L is 3:2 i.e. 3/5 & 2/5
K's Share = 3/5th of 2/3 = 6/15. L's Share 2/5th of 2/3 = 4/15
New ratio of K, L, M and N = 6/15 : 4/15 : 1/6 : 1/6 or 12/30 : 8/30 : 5/30 : 5/30 = 12:8:5:5.

(ii) The sacrifice made by the old partners is as follows:
A's sacrifice is 1/4 x 1/5 = 1/20; B's sacrifice is 1/4 x 1/5 = 1/20;
C's sacrifice is 1/4 x 3/5 = 3/20.
The new profit-sharing ratio is determined by deducting the sacrifice made by the old partners from their old profit-sharing ratio. Thus, the new profit-sharing ratio of A = 3/10 - 1/20 = 5/20; B = 2/10 - 1/20 = 3/20; C = 5/10 - 3/20 = 7/20; D = 1/4 or 5/20 The new profit-sharing ratio of A, B, C and D will be 5 : 3 : 7 : 5.

(iii) Old ratio of A and B = 5 : 4 or 5/9 : 4/9 C's share, which he acquires from A = 1/9
Remaining share of A = 5/9 - 1/9 = 4/9 New profit sharing ratio = 4/9 : 4/9 : 1/9 or 4 : 4 : 1.

Sacrificing Ratio: Due to admission of new partner the profit sharing ratio of existing partner change as the new partner get his share Ratio. These share may be given by all the old partner equally or by all on some of the partners in agreed ratio. The ratio in which the new partner is given the share by the sacrificing ratio are calculated under three different situations.

(1) When share of new partner is given without giving the details of the sacrifice made by the old partner: In such a situation it is assumed that the old partner make sacrifices in their old profit sharing Ratio

Illustration 7: Partners make sacrifice in the old ratio

A and B are the old partners sharing profits in the ratio of 3 : 1. C comes in with l/8th of the profits. Calculate the sacrificing ratio and the new ratio.

Solution:

If nothing is given about sacrificing ratio then the sacrificing ratio will always be the old profit-sharing ratio i.e. 3:1. The new ratio will be calculated as follows:

Suppose total profits are 1.

C takes 1/8th share out of 1. Remaining share = 1-1/8 = 7/8

A's share = 7/8 x 3/4 = 21/32 ; B's share 7/8 x 1/4 = 7/32

New ratio of A : B : C = 21/32 : 7/32 : 4/32 or 21 : 7 : 4.

(2) When old Ratio of the partners and the new Ratio of all the partners are given

Sacrificing Ratio = Old Ratio – New Ratio

Illustration 8: New ratios of all partners are given

A and B are partners sharing profits in the ratio of 3:2. C is admitted into partnership. The new profit-sharing ratio among A, B and C is 5:3:2. Find out the sacrificing ratio.

Solution:

Sacrifice of share = Old share - New share

A's old share = 3/5; A's new share = 5/10; Thus, A's sacrifice is = 3/5 – 5/10 = 6-5/10 = 1/10

B's old share = 2/5; B's new share = 3/10 Thus, B's sacrifice is = 2/5 -3/10 = 4-3/10 = 1/10

Hence, sacrificing ratio is 1:1.

Illustration 9:

X and Y are partners sharing profits and losses in the ratio of 7:5. They admit Z, a new partner who acquires l/12th from X and l/6th from Y as his share. Calculate the new profit-sharing ratio and the sacrificing ratio.

Solution :

Calculation of New Profit-Sharing Ratio:

Old profit-sharing ratio of X and Y = 7:5

Z acquires his share l/12th from X and l/6th from Y.

His total share comes to = 1/12+1/6 = 1+2/12 = 3/12

X's share after giving 1/12th to Z = 7/12-1/12 = 6/12

Y's share after giving l/6th to Z = 5/12-1/6 = 5-2/12 = 3/12

Hence, new profit-sharing ratio of X, Y and Z = 6/12 : 3/12 : 3/12 = 2:1:1

Calculation of Sacrificing Ratio:

Sacrificing Ratio = Old Ratio - New Ratio

X = 7/12 – 6/12 = 1/12; Y = 5/12 – 3/12 = 2/12.

Hence, the sacrificing ratio is 1:2.

CLASS WORK QUESTIONS

Question 1: **[SM-ILL-5]**

A and B are in partnership sharing profits and losses at the ratio 3:2. They take C as a new partner. Calculate the new profit sharing ratio if -

(i) C purchases 1/10th share from A

(ii) A and B agree to sacrifice 1/10th share to C in the ratio of 2:3.

(iii) Simply gets 1/10th share of profit.

Personal Note:-

Question 2: **(Revaluation A/c)**

Pass journal entries to record the following transactions on the admission of a new partner:

(i) Stock is undervalued by 10% (Book Value of Stock ₹ 54,000)

(ii) Stock is overvalued by 10% (Book Value of Stock ₹ 66,000)

(iii) Value of Land & Building is to be increased to ₹ 5,00,000 (Book Value ₹ 4,00,000)

(iv) Value of Land & Building is to be increased by ₹ 5,00,000 (Book Value ₹ 4,00,000)

(v) A debtor whose due of ₹ 40,000 was written off as bad debts last year, paid ₹ 30,000 in full settlement.

(vi) An old customer, whose account was written off as bad debts has promised to pay ₹ 15,000 in full settlement of his account of ₹ 25,000.

(vii) A liability for claim, included in creditors for ₹ 20,000 is settled at ₹ 16,000.

(viii) A computer purchased on 1st October 2016 for ₹ 40,000 debited to Office Expenses Account is to be brought into account on 31st March 2018 charging depreciation @ 10% p.a. on written down value basis.

Personal Note:-

Question 3: **(WCR)**

A, B and C are partners sharing profitsand losses in the ratio of 2:2:1. They admitted D for l/4th share with effect from 1st April, 2017. An extract of their Balance Sheet as at 31 st March, 2017 is as follows :

Liabilities	₹	Assets	₹
Workmen Compensation Reserve	80,000		

Show the accounting treatment under the following alternative cases :

Case 1. If there is no other information.

Case 2. If a claim for workmen compensation is estimated at ₹ 50,000.

Case 3. If a claim for workmen compensation is estimated at ₹ 80,000.

Case 4. If a claim for workmen compensation is estimated at ₹ 1,00,000

Personal Note:-

Question 4: (IFR)

A, B and C sharing profits and losses in the ratio of 3 : 2 : 1 decide to admit D for 1/5th share with effect from 1st April, 2017. An extract of their Balance Sheet as at 31st March, 2017 is :

Liabilities	₹	Assets	₹
Investment Fluctuation Reserve	30,000	Investment (At Cost)	5,00,000

Show the accounting treatment under the following alternative cases :

Case 1. If there is no other information.

Case 2. If the market value of investments is ₹ 5,00,000.

Case 3. If the market value of investments is ₹ 4,82,000.

Case 4. If the market value of investments is ₹ 4,55,000.

Case 5. If the market value of investments is ₹ 5,24,000.

Personal Note:-

Question 5: (Basic Question) **[SM-ILL-1]**

The following is the Balance Sheet of Ram and Mohan, who share profits in the ratio of 3:2 as on 1st January, 2016:

Liabilities	₹	Assets	₹
Trade payables	15,000	Buildings	18,000
Ram's Capital	20,000	Plant and Machinery	15,000
Mohan's Capital	25,000	Inventories	12,000
		Trade receivables	10,000
		Bank	5,000
	60,000		60,000

On this date Shyam was admitted on the following:

1. He is to pay ₹ 25,000 as his capital and ₹ 10,000 as his share of goodwill for one fifth share in profits.
2. The new profits sharing ratio will be 5:3:2.
3. The assets are to be revalued as under:

	₹
Building	25,000
Plant and Machinery	12,000
Inventories	12,000
Trade receivables (because of doubtful debts)	9,500

4. It was found that there was a liability for ₹ 1,500 for goods received but not recorded in books.

Give journal entries to record the above. Also, give the Balance Sheet of the partnership firm after Shyam's admission.

Personal Note:-

Question 6: **(Basic, Hidden G/W)** **[MTP SEP. -24, 12 Marks][SM-ILL-3]**

A and B are partners in a firm, sharing profits and losses in the ratio of 3:2. The Balance Sheet of A and B as on 1.1.2016 was as follows:

Liabilities		Amount	Assets		Amount
	₹	₹		₹	₹
Trade payables		17,000	Building		26,000
			Furniture		5,800
Bank overdraft		9,000	Inventories		21,400
Capital accounts:			Trade receivables	35,000	
A	44,000		Less: Provision	(200)	34,800
B	36,000	80,000	Investment		2,500
			Cash		15,500
		1,06,000			1,06,000

C was admitted to the firm on the above date on the following terms:

(i) **C is admitted for 1/6 share in the future profits and to introduce a capital of ₹ 25,000.**

(ii) **The new profit sharing ratio of A, B and C will be 3:2:1 respectively.**

(iii) **₹ C' is unable to bring in cash for his share of goodwill, they decide to calculate goodwill on the basis of C's share in the profits and the capital contribution made by him to the firm.**

(iv) **Furniture is to be written down by ₹ 870 and Inventory to be depreciated by 5%. A provision is required for trade receivables @ 5% for bad debts. A provision would also be made for outstanding wages for ₹ 1,560. The value of buildings having appreciated be brought upto ₹ 29,200. The value of investments is increased by ₹ 450.**

(v) **It is found that the trade payables included a sum of ₹ 1,400, which is not to be paid off.**

Prepare the following:

(i) **Revaluation account.**

(ii) **Partners' capital accounts.**

Personal Note:-

Question 7: (Basic) **[SM-ILL-4]**

Dalal, Banerji and Mallick are partners in a firm sharing profits and losses in the ratio 2:2:1. Their Balance Sheet as on 31st March, 2016 is as below:

Liabilities		₹	Assets	₹
Trade payables		12,850	Land and Buildings	25,000
Outstanding Liabilities		1,500	Furniture	6,500
General Reserve		6,500	Inventory of goods	11,750
Capital Account :			Trade receivables	5,500
Mr. Dalal	12,000		Cash in hand	140
Mr. Banerji	12,000		Cash at Bank	960
Mr. Mallick	5,000	29,000		
		49,850		**49,850**

The partners have agreed to take Mr. Mistri as a partner with effect from 1st April, 2016 on the following terms:

(1) Mr. Mistri shall bring ₹ 5,000 towards his capital.
(2) The value of Inventory should be increased by ₹ 2,500 and Furniture should be depreciated by 10%.
(3) Reserve for bad and doubtful debts should be provided at 10% of the Trade receivables.
(4) The value of land and buildings should be enhanced by 20%
(5) The value of the goodwill be fixed at ₹ 15,000.
(6) General Reserve will be transferred to the Partners' Capital Accounts.
(7) The new profit sharing ratio shall be: Mr. Dalal 5/15, Mr. Banerji 5/15, Mr. Mallick 3/15 and Mr. Mistri 2/15.

The outstanding liabilities include ₹ 1,000 due to Mr. Sen which has been paid by Mr. Dalal. Necessary entries were not made in the books.

Prepare (i) Revaluation Account, (ii) The Capital Accounts of the partners, (iii) Balance Sheet of the firm after admission of Mr. Mistri.

Personal Note:-

Question 8: (Adj. of Cap., Adj. of G/W) **[SM-ILL-6]**

A and B are in the partnership sharing profits and losses in the proportion of three-fourth and one-fourth respectively. Their balance sheet as on 31st March, 2016 was as follows:

Cash ₹ 1,000; trade receivables ₹ 25,000; Inventory ₹ 22,000; plant and machinery ₹ 4,000; trade payables ₹ 12,000; bank overdraft ₹ 15,000; A's capital ₹ 15,000; B's capital ₹ 10,000.

On 1st April, 2016, they admitted C into partnership on the following terms:

(i) C to purchase one-third of the goodwill for ₹ 2,000 and provide ₹ 10,000 as capital. Goodwill not to appear in books.
(ii) Further profits and losses are to be shared by A, B and C equally.
(iii) Plant and machinery is to be reduced by 10% and ₹ 500 is to be provided for estimated bad debts. Inventory is to be taken at a valuation of ₹ 24,940.
(iv) By bringing in or withdrawing cash and capitals of A and B are to be made proportionate to that of C on their profit-sharing basis.

Set out entries to the above arrangement in the firm's journal and give the partners' capital accounts in tabular form.

Personal Note:-

Question 9: (New Ratio) **[SM-ILL-7]**

A and B are partners of X LLP sharing profits and losses in 3:2 ratio between themselves. On 31st March, 2016, the balance sheet of the firm was as follows:

Balance Sheet of X & Co. as at 31.3.2016

Liabilities	₹	₹	Assets	₹
Capital accounts:			Plant and machinery	20,000
A	37,000		Furniture and fittings	5,000
B	28,000		Inventories	15,000
		65,000	Trade receivables	20,000
Trade payables		5,000	Cash in hand	10,000
		70,000		**70,000**

X agrees to join the business on the following conditions as and from 1.4.2016:

(a) He will introduce ₹ 25,000 as his capital and pay ₹ 15,000 to the partners as premium for goodwill for 1/3rd share of the future profits of the firm.

(b) A revaluation of assets of the firm will be made by reducing the value of plant and machinery to ₹ 15,000, Inventory by 10%, furniture and fitting by ₹ 1,000 and by making a provision of bad and doubtful debts at ₹ 750 on trade receivables.

Prepare profit and loss adjustment account, capital accounts of partners including the incoming partner X assuming that the relative ratios of the old partners will be in equal proportion after admission.

Personal Note:-

Question 10: (Memo. Rev. A/c) **[SM-PQ.-1]**

The following was the balance sheet of A, B and C who were equal partners on January 1, 2017.

Liabilities	₹	Assets	₹
Bills Payable	**3,000**	**Cash**	**1,000**
Creditors	**6,000**	**Debtors**	**10,000**
Capital Accounts :		**Stock**	**12,000**
A	**20,000**	**Furniture**	**5,000**
B	**15,000**	**Buildings**	**25,000**
C	**10,000**	**Bills Receivable**	**1,000**
	54,000		**54,000**

They agree to take D into partnership and give him a 1/4 share in the profits on the following terms:

(1) that D should bring in ₹ 6,000 for goodwill and ₹ 10,000 as capital;
(2) that one-half of the goodwill shall be withdrawn by old partners;
(3) that stock and furniture be depreciated by 10%.
(4) that a liability of ₹ 1,300 be created against bills discounted;
(5) that the building be valued at ₹ 40,000;
(6) that the values of liabilities and assets other than cash are not to be altered.

Give the necessary entries to give effect to the above arrangement; prepare revaluation account and opening balance sheet of the firm as newly constituted.

Personal Note:-

Question 11: **(Complete Question)** **[PEQ-JAN.26] [SM-PQ.-2]**

Gopal and Govind are partners sharing profits and losses in the ratio 60:40. The firms' balance sheet as on 31.03.2016 was as follows:

Liabilities	₹	Assets	₹
Capital accounts:		Fixed assets	3,00,000
Gopal	1,20,000	Investments	50,000
Govind	80,000	Current assets	2,00,000
Long term loan	2,00,000	Loans and advances	1,00,000
Current liabilities	2,50,000		
	6,50,000		6,50,000

Due to financial difficulties, they have decided to admit Guru as partner in the firm from 01.04.2016 on the following terms:

Guru will be paid 40% of the profits.

Guru will bring in cash ₹ 1,00,000 as capital. It is agreed that goodwill of the firm will be valued at 2 years' purchase of 3 years' normal average profits of the firm and Guru will bring in cash his share of goodwill. It was also decided that the partners will not withdraw their share of goodwill nor will the goodwill appear in the books of account.

The profits of the previous three years were as follows:
For the year ended 31.3.2014: profit ₹ 20,000 (includes insurance claim received of ₹ 40,000).
For the year ended 31.3.2015: loss ₹ 80,000 (includes voluntary retirement compensation paid ₹ 1,10,000).
For the year ended 31.3.2016: profit of ₹ 1,05,000 (includes a profit of ₹ 25,000 on the sale of assets).
It was decided to revalue the assets on 31.03.2016 as follows:

	₹
Fixed assets (net)	4,00,000
Investments	Nil
Current assets	1,80,000
Loans and advances	1,00,000

The new profit sharing ratio after the admission of Guru was 35:25:40.

Pass journal entries on admission, show goodwill calculation and prepare revaluation account, partners' capital accounts and balance sheet as on 01.04.2016 after the admission of Guru.

Personal Note:-

Question 12:

X and Y are in partnership, sharing profits in the ratio of 5:3 respectively. Their balance sheet is as follows :

Liabilities	₹	Assets		₹
Creditors	28,000	Cash at Bank		15,800
Workmen's Compensation Reserve	12,000	Debtors	40,000	
Z's Loan A/c	30,000	Less: Provision	1,800	38,200
Capital A/cs :		Stock		56,000
X	50,000	Investments		10,000
Y	40,000	Goodwill		10,000
		Plant		30,000
	1,60,000			1,60,000

Z is admitted into partnership on the following terms :

(1) The new profit-sharing ratio will be 4:3:2 between X, Y and Z respectively.
(2) Z's loan should be treated as his capital.
(3) Goodwill of the firm is valued at ₹ 27,000.
(4) ₹ 8,000 of investments were to be taken over by X and Y in their profit sharing ratio.
(5) Stock be reduced by 10%.
(6) Provision for doubtful debts should be @ 5% on debtors and a provision for discount on debtors @ 2% should also be made.
(7) The liability of Workmen's Compensation Reserve was determined to be ₹ 15,000.
(8) X is to withdraw ₹ 6,000 in cash.

Give journal entries to record the above and prepare balance sheet of the new firm.

Personal Note:-

HOME WORK QUESTIONS

Question 13: (Hidden G/W) **[SM-ILL-8]**

A and B are partners with capitals of ₹ 7,000 each. They admit C as a partner with 1/4th share in the profits of the firm. C brings ₹ 8,000 as his share of capital. Give the necessary journal entry to record goodwill.

Personal Note:-

Question 14: (PSR)

A , B and C are sharing profits and losses in the ratio of 5:3:2. Calculate the new profit sharing ratio and the sacrificing ratio in each of the following alternative cases:

Case (a) If C acquires 1/10th share from B
Case (b) If C acquired 1/10th share equally from A and B
Case (c) If C's share is increased by 1/10th share by acquiring from A.
Case (d) If C's share is increased to 3/10th by acquiring from B.
Case (e) If A, B and C decide to share future profits and losses in the ratio of 5:2:3.
Case (f) If A, B and C decide to share future profits and losses in the ratio of 2:3:5.
Case (g) If A, B and C decide to share future profits and losses in the ratio of 2:1:2.

Personal Note:-

Question 15: (Sacrificing Ratio, G/W)

A and B were partners in a firm sharing profits in the ratio of 4:3. They admitted C as a new partner for 3/7th share in the profits of the firm. New profit-sharing ratio will be 2:2:3. C brought ₹ 2,00,000 as his capital and ₹ 60,000 for his share of premium for goodwill, half of which was withdrawn by A and B from the firm.

Calculate sacrificing ratio and pass necessary Journal entries in the books of the firm for the above transactions.

Personal Note:-

Question 16: (PSR, G/W)

A and B share profits and losses in the ratio of 5:3. They admit C as a partner who pays ₹ 54,000 as premium for goodwill for 1/5th share in the future profits of the firm.

Pass Journal Entries appropriating the premium money and show the new profit sharing ratio in each of the following cases :

(i) if he acquires his share of profits in the original ratio of existing partners;
(ii) if he acquires his share of profits in equal proportions from the existing partners;
(iii) if he acquires his share in the ratio of 3:1 from the existing partners;
(iv) if he acquires his share of profits as l/6 th from A and l/30th from B.

Personal Note:-

Question 17: (Rev.) **[PEQ.May-25, Nov-18 RTP-May-20-10 Marks]**

Dinesh, Ramesh and Naresh are partners in a firm sharing profits and losses in the ratio of 3:2:1. Their Balance Sheet as on 31st March,2018 is as below:

Liabilities		(₹)	Assets	(₹)
Trade payables		22,500	Land & Buildings	37,000
Outstanding Liabilities		2,200	Furniture & Fixtures	7,200
General Reserve		7,800	Closing stock	12,600
Capital Accounts:			Trade Receivables	10,700
Dinesh	15,000		Cash in hand	2,800
Ramesh	15,000		Cash at Bank	2,200
Naresh	10,000	40,000		
		72,500		72,500

The partners have agreed to take Suresh as a partner with effect from 1st April 2018 on the following items:

(i) Suresh shall bring ₹ 8,000 towards his capital.
(ii) The value of stock to be increased to ₹ 14,000 and Furniture & Fixtures to be depreciated by **10**%.
(iii) Provision for bad and doubtful debts should be provided at 5% of the trade receivables.
(iv) The value of Land & Buildings to be increased by ₹ 5,600 and the value of the goodwill be fixed at ₹ 18,000.
(v) The new profit sharing ratio shall be divided equally among the partners.

The outstanding liabilities include ₹ 700 due to Ram which has been paid by Dinesh. Necessary entries were not made in the books.

Prepare (i) Revaluation Account, (ii) Capital Accounts of the partners, (iii) Balance Sheet of the firm after admission of Suresh.

Personal Note:-

Question 18: (Memo. Rev. A/c) **[SM-ILL-2]**

A and B are partners sharing profits and losses in the ratio of 3:2. Their Balance Sheet as on 31.3.2016 is given below:

Liabilities	₹	Assets	₹
Trade payables	50,000	Freehold premises	2,00,000
Capital Accounts:		Plant	40,000
A	2,00,000	Furniture	20,000
B	1,00,000	Office equipment	25,000
		Inventories	30,000
		Trade receivables	25,000
		Bank	10,000
	3,50,000		**3,50,000**

On 1.4.2016 they admit C on the following terms:

(1) C will bring ₹ 50,000 as a capital and ₹ 10,000 for goodwill for 1/5 share;
(2) Provision for doubtful debts is to be made on Trade receivables @ 2%.
(3) Inventory to be written down by 10%.
(4) Freehold premises is to be revalued at ₹ 2,40,000, plant at ₹ 35,000, furniture ₹ 25,000 and office equipment ₹ 27,500.
(5) Partners agreed that the values of the assets and liabilities remain the same and, as such, there should not be any change in their book values as a result of the above mentioned adjustments.

You are required to make necessary adjustment in the Capital Accounts of the partners and show the Balance Sheet of the New Firm.

Personal Note:-

Question 19: (Basic) **(Sep. – 24, 10 Marks)**

The following is the Balance Sheet at 31st March, 2018, of A and B who are in partnership and share profits and losses in the proportion of three-fifth and two-fifth respectively.

Liabilities		₹	Assets	₹
Creditors		15,000	Freehold Premises	10,000
Bills Payable		4,310	Machinery and Plant	4,500
Provision for Doubtful Debts		4,000	Furniture	900
Capital Accounts:			Stock	12,500
A	24,000		Debtors	22,500
B	9,000	33,000	Investments	4,250
			Cash	1,660
		56,310		56,310

They admit C into partnership from 1st April, 2018. The terms of agreement are as under:

(i) C to bring in ₹ 6,000 as capital and ₹ 4,800 for goodwill in order to get two-seventh share in profit.
(ii) ₹ 4,800 paid by C to be credited to the Loan Accounts of A and B in respective proportions.
(iii) Freehold Premises is undervalued by ₹ 5,000.
(iv) Machinery and Plant is overvalued by ₹ 500.
(v) Stock to be discounted at 10% and Provision for Doubtful Debts be reduced by ₹ 1,000.
(vi) Investments are to be brought down at their market price, it being ₹ 3,200.

Prepare Journal entries, capital accounts and opening balance sheet. Also calculate the new ratio.

Personal Note:-

Question 20: (Hidden G/W)

Deepika and Rajshree are partners in a firm sharing profits and losses in the ratio of 3 : 2. On 31st March, 2017, their Balance Sheet was as under :

Liabilities		₹	Assets		₹
Sundry Creditors		16,000	Cash in Hand		1,200
Public Deposits		61,000	Cash at Bank		2,800
Bank Overdraft		6,000	Stock		32,000
Outstanding Liabilities		2,000	Prepaid Insurance		1,000
Capital Accounts:			Sundry Debtors	28,800	
Deepika	48,000		Less : Provision for		
Rajshree	40,000	88,000	Doubtful Debts	800	28,000
			Plant and Machinery		48,000
			Land and Building		50,000
			Furniture		10,000
		1,73,000			1,73,000

On the above date, the partners decide to admit Anshu as a partner on the following terms :

(i) The new profit-sharing ratio of Deepika, Rajshree and Anshu will be 5:3:2, respectively.

(ii) Anshu shall bring ₹ 32,000 as his capital.

(iii) Anshu is unable to bring in any cash for his share of goodwill. Partners, therefore, decide to calculate goodwill on the basis of Anshu's share in the profits and the capital contribution made by him to the firm.

(iv) Plant and Machinery would be increased by ₹ 12,000.

(v) Stock would be increased to ₹ 40,000.

(vi) Provision for Doubtful Debts is to be maintained at ₹ 4,000. Value of Land and Building has appreciated by 20%. Furniture has depreciated by 10%.

(vii) There is an additional liability of ₹ 8,000 being outstanding salary payable to employees of the firm. This liability is not included in the outstanding liabilities, stated in the above Balance Sheet. Partners decide to show this liability in the books of accounts of the reconstituted new firm.

Prepare Revaluation Account, Partner's Capital Accounts and the Balance Sheet of Deepika, Rajshree and Anshu.

Personal Note:-

Question 21: (Adj. of Cap.) **[MTP SEP 24 – 15 Marks]**

The following is the balance sheet of A, B and C sharing profits and losses in proportion of 6:5:3 respectively :—

Liabilities		₹	Assets	₹
Creditors		18,900	Cash	1,890
Bills Payable		6,300	Debtors	26,460
General Reserve		10,500	Stock	29,400
Capitals :—			Furniture	7,350
A	35,400		Land & Building	45,150
B	29,850		Goodwill	5,250
C	14,550	79,800		
		1,15,500		**1,15,500**

They agreed to take *D* into partnership and give him l/8th share on the following terms :—

(1) That Furniture be depreciated by ₹ 2,920.
(2) An Old Customer, whose account was written off as bad, has promised to pay ₹ 2,000 in full settle-ment of his full debt.
(3) That a provision of ₹ 1,320 be made for outstanding repair bills.
(4) That the value of land and building having appreciated be brought upto ₹ 56,910.
(5) That *D* should bring in ₹ 14,700 as his capital.
(6) That D should bring in ₹ 14,070 as his share of goodwill.
(7) That after making the above adjustments, the capital accounts of old partners be adjusted on the basis of the proportion of D's Capital to his share in business, i.e., actual cash to be paid off or brought in by the old partners, as the case may be.

Pass the necessary journal entries and prepare the balance sheet of the new firm.

Personal Note:-

Question 22: (Basic) **[SM-ILL-10]**

Leena and Meena were in partnership business sharing profits and losses in the ratio of 2:3 Their Balance Sheet as on 31st March, 2020 was as follows:

Liabilities	₹	Assets	₹
Capital Accounts:		Building	60,000
Leena	60,000	Plant	45,000
Meena	1,40,000	Furniture	23,500
General Reserve	40,000	Debtors	38,400
Creditors	42,600	Bills Receivable	12,500
Bills Payable	17,400	Stock	42,600
		Bank	78,000
	3,00,000		**3,00,000**

On 1st April, 2020, they decided to admit Neena into the partnership giving her a 1/5th share in future profits. She brings in ₹ 80,000 as his share of capital. Goodwill was valued at Rs. 1,00,000 at the time of admission of Neena. The partners decided to revalue the Assets as follows :

Plant ₹ 40,000, Debtors ₹ 38,000, Stock ₹ 42,000, Building ₹ 90,000, Furniture ₹ 20,000, Bills Receivable ₹ 12,000.

You are required to show the following accounts in the books of the firm

(a) Profit & Loss Adjustment Account
(b) Partners' Capital Accounts
(c) The Balance Sheet of the new firm.

Personal Note:-

Question 23: (WCR) **[SM-ILL-11]**

Alpha and Beeta were partners in a firm namely Meta-Chem sharing profits and losses equally.

BALANCE SHEET of Meta-Chem as on 31st March 2020

Liabilities	₹	Assets	₹
Capital :		Factory Building	4,78,000
Alpha 3,00,000		Plant & Machinery	3,41,000
Beeta 2,00,000	5,00,000	Office Furniture	55,850
General Reserve	1,80,000	Inventory	77,740
Workmen compensation fund	60,000	Trade Receivables	1,43,210
Term loan from IDFC bank	2,78,000	Bank	44,200
Trade payables	1,22,000		
	11,40,000		11,40,000

They agreed to admit Gyama as partner from 1st April 2020 on the following terms:

1. He shall have one-sixth share in future profits.
2. New profit sharing ratio would be 3:2:1
3. He shall bring Rs. 2,50,000 as his capital.
4. Goodwill of the firm is valued at Rs. 3,00,000
5. Factory Building is to be appreciated by 20% and inventory is revalued at Rs. 70,000.
6. Machinery to be appreciated by 20% and Office furniture to be revalued at Rs. 50,000.
7. Of the trade receivables Rs. 3,210 are bad and 5% be provided for bad & doubtful debts.
8. There is no actual liability towards workman.

You are required to prepare:

1. Revaluation account
2. Partners' capital accounts.
3. Bank account.
4. Balance Sheet after admission.

Personal Note:-

Question 24: (Ad. of capital) **[MTP JAN. 25, 24, Dec-21, RTP SEP -10 Marks]**

A and B are partners, sharing profits and losses in the proportion of 3/4th and 1/4th As at 31st March, 2021, following is the Balance Sheet of A and B.

Balance Sheet as at 31st March, 2021

Liabilities		Rs.	Assets	Rs.
Capital accounts			Cash in hand	1,15,000
A	2,85,000		Cash at bank	1,10,000
B	1,55,000	4,40,000	Sundry Debtors	1,60,000
Creditors		3,75,000	Stock	2,00,000
General reserve		60,000	Bills receivable	30,000
			Land and building	2,50,000
			Office furniture	10,000
		8,75,000		8,75,000

They agreed to take C into Partnership on 1st April, 2021 on the following terms:

(i) Goodwill is to be valued at Rs. 2,00,000. C is unable to bring cash for his share of goodwill. So, it was decided that due credit for goodwill be given to A and B for their sacrifice in favour of C through C's current account.

(ii) C pays Rs. 1,40,000 as his capital for 1/5th share in the future profits.

(iii) Stock and Furniture to be reduced by 10%.

(iv) A provision @ 5% for doubtful debts to be created on debtors.

(v) Land and building to be appreciated by 20%.

(vi) Capital Accounts of the partners be readjusted on the basis of their profit sharing arrangement and any excess or deficiency is to be transferred to their Current Accounts.

Prepare Revaluation Account and Partners Capital Accounts.

Personal Note:-

Question 25: (Basic) **(June – 24, 12 Marks)**

Anu and Manu are carrying on business in partnership and sharing profits & losses in the ratio of 5:3. The firm's Balance Sheet as on 31st March, 2024 was as follows:

Balance Sheet as on 31st March, 2024

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital Accounts:		Building	3,80,000
Anu	2,80,000	Machinery	1,43,000
Manu	2,50,000	Furniture	85,000
Long Term Loan	2,00,000	Trade Receivables	1,64,000
Trade Payables	1,19,500	Inventories	48,400
Outstanding liabilities	16,200	Investments	15,200
		Cash & Bank	30,100
	8,65,700		8,65,700

They decided to admit Ranu as a partner with effect from 1st April, 2024 on the following terms:

(i) Ranu will be paid 1/5 share in the future profits and new profit sharing ratio would be 5:3:2.

(ii) Ranu will bring ₹ 1,00,000 as his capital.

(iii) Goodwill of firms is to be valued at 2 years' purchase of average profit of past 3 years and Ranu will bring his share of goodwill in cash. The profits of past 3 years ending on 31st March were as under:

31st March, 2022	₹ 87,000
31st March, 2023	₹ 1,06,000
31st March, 2024	₹ 1,22,000

(iv) It was also agreed that the partners will not withdraw their share of goodwill nor will the goodwill appear in the books of account.

(v) It was also decided to value the assets:
Building is to be appreciated by ₹ 50,000 and Machinery is to be depreciated by 10%. Furniture is revalued at ₹ 80,000. Investments at ₹ 16,000 and Inventories at ₹ 47,500.

Provision for doubtful debts is to be created on debtors @ 5%.

You are required to prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the reconstituted firm as on 1st April, 2024.

Personal Note:-

Question 26: **[SM-ILL-9]**

A and B are in partnership sharing profits and losses equally. The Balance Sheet M/s. A and B as on 31.12.2016, was as follows:

Liabilities	₹	Assets	₹
Capital A/cs		Sundry Fixed Assets	60,000
A	45,000	Inventories	30,000
B	45,000	Bank	20,000
Trade payables	20,000		
	1,10,000		**1,10,000**

On 1.1.2017 they agreed to take C as 1/3rd partner to increase the capital base to ₹ 1,35,000. C agrees to pay ₹ 60,000. Show the necessary journal entries and prepare partners' capital accounts.

Personal Note:-

Question 27: (Bad Debts & PDD) **[PEQ-NOV 22-10 Marks]**

X and Y are in partnership business sharing profits and losses in the ratio of 2:3. Their Balance Sheet as at 31st March, 2022 is as follows:

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital Accounts:		Building	60,000
X	60,000	Plant	45,000
Y	1,40,000	Furniture	23,500
General Reserve	40,000	Debtors	38,400
Creditors	42,600	Bills receivable	12,500
Bills payable	15,400	Stock	42,600
Salary payable	2,000	Bank	78,000
	3,00,000		3,00,000

On 1st April, 2022 they decided to admit Z into the partnership giving him 1/5th share in the future profits. He brings in ₹ 1,00,000 as his share of capital. Goodwill was valued at ₹ 1,20,000 at the time of admission of Z. The partners decided to revalue the assets and liabilities as follows:

(i) Plant ₹ 40,000, Stock ₹ 42,000, Furniture ₹ 20,000 and Bills Receivable ₹ 12,000.
(ii) Out of total Debtors, ₹ 2400 is bad and 5% provision is to be provided for bad and doubtful debts.
(iii) Building is to be appreciated by 75%.
(iv) Actual liability towards salary payable is ₹ 1200 only.

You are required to show the following accounts in the books Of the firm:

(1) Revaluation Account
(2) Partner's Capital Accounts
(3) Balance sheet of the Firm after Admission of Z.

Personal Note:-

Question 28: (M.Reval + Hidden G/W) **[PEQ-SEP 25-12 Marks]**

P and Q have been carrying on the business in the name of Bharat Springs in partnership sharing profit and losses in the ratio of 2:3. Their Balance Sheet as on 31st March, 2024 has been as follows:

Liabilities	(₹)	Assets	(₹)
Capital Accounts:		Building	85,000
P	80,000	Plant	55,000
Q	1,60,000	Furniture	26,700
General Reserve	50,000	Debtors	48,000
Creditors	57,800	Bills Receivable	11,600
Bills Payable	16,500	Stock	54,800
		Bank	83,200
	3,64,300		3,64,300

On 1st April, 2024, they have decided to admit R into the partnership giving him a 1/5th share in future profits on the following terms:

(i) R will bring ₹ 80,000 as his share of capital but is unable to bring in cash for his share of goodwill. It was decided to calculate goodwill of the firm based on R's share in the profits and the capital contribution made by him to the firm.

(ii) Partners will not withdraw their share of goodwill nor will the goodwill appear in the books of account.
(iii) General Reserve will be transferred to the Partners' Capital Accounts.
(iv) Provision for doubtful debts is to be made on debtors @ 2%.
(v) A liability of creditors of ₹ 1,440 is to be written back as no longer payable.
(vi) Stock shall be written down by 10%.
(vii) Building is to be revalued at ₹ 1,00,000/-, Plant at ₹ 60,000/- and Furniture at ₹ 24,000/-.
(viii) Partners agreed that the values of the assets and liabilities will remain the same and, as such, there should not be any change in their book value because of above-mentioned adjustments. They also agreed that for the purpose of goodwill computation, any effect of revaluation shall be ignored.

You are required to make :
(1) Memorandum Revaluation Account
(2) Capital Accounts of the partners
(3) Balance Sheet of the New Firm

Personal Note:-

SOLUTION OF HOME WORK QUESTIONS

Solution 13:

For ¼ Share c's capital = 8000

∴ Total Networth including Good will 8000×4 = 32000

Less Net worth excluding Good will

A	7000	
B	7000	
C	8000	22000
Firm's Hidden Good will		10000

C's share = 10000×1/4 = 2500

Journal Entry C's capital a/c Dr. 2500

To A's capital a/c 1250

To B's capital a/c 1250

Solution 14:

Case (a)	**A**	**B**	**C**
Their existing shares	5/10	3/10	2/10
Share acquired by C from B	-	-1/10	+1/10
Their new shares	5/10	2/10	3/10

New Profit sharing ratio of A, B and C = 5 : 2 : 3

Share sacrificed by B = 1/10

Case (b)	**A**	**B**	**C**
Their existing shares	5/10	3/10	2/10
Share acquired by C from A and B	-1/20	-1/20	+ 1/10
Their new shares	9/20	5/20	3/10

New Profit sharing ratio of A, B and C = 9 : 5 : 6

Sacrificing ratio of A and B = 1 : 1

Case (c)	**A**	**B**	**C**
Their existing shares	5/10	3/10	2/10
Share acquired by C from B	-1/10	-	+ 1/10
Their new shares	4/10	3/10	3/10

New Profit sharing ratio of A, B and C = 4 : 3 : 3

Share sacrificed by A = 1/10

Case (d)

Share acquired by C = New Share - Old share = 3/10 -2/10 = 1/10

	A	**B**	**C**
Their existing shares	5/10	3/10	2/10
Share acquired by C from B	-	-1/10	+1/10
Their new shares	5/10	2/10	3/10

New Profit sharing ratio of A, B and C = 5 : 2 : 3

Share sacrificed by B = 1/10

Case (e)	A	B	C
Their existing shares	5/10	3/10	2/10
Their new shares	5/10	2/10	3/10
	-	1/10	-1/10

C gains by 1/10th share &B sacrifice 1/10th Share

Case (f)	A	B	C
Their existing shares	5/10	3/10	2/10
Their new shares	2/10	3/10	5/10
	3/10	-	-3/10

C gains by 3/10th share &A sacrifice 3/10th Share

Case (g)	A	B	C
Their existing shares	5/10	3/10	2/10
Their new shares	2/5	1/5	2/5
	1/10	1/10	-2/10

C gains by 2/10th share & A sacrifices 1/10th Share & B sacrifices 1/10th share.

Solution 15:

JOURNAL

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c …Dr. To Capital A/c (Being the amount of Capital brought in by C)		2,00,000	 2,00,000
	Bank A/c …Dr. To A's Capital A/c To B's Capital A/c (Being C's share of goodwill credited to A and B in their sacrificing ratio, i.e., 2:1) (WN)		60,000	 40,000 20,000
	A's Capital A/c …Dr. B's Capital A/c …Dr. To Bank A/c (Being the half amount of goodwill withdrawn by A and B)		20,000 10,000	 30,000

Working Note:

Calculation of Sacrificing Ratio (Sacrifice = Old Share – New Share):

A's sacrifice = $\frac{4}{7} - \frac{2}{7} = \frac{2}{7}$; B's Sacrifice = $\frac{3}{7} - \frac{2}{7} = \frac{1}{7}$; Sacrificing Ratio = 2/7: 1/7 or 2:1.

Solution 16:

JOURNAL

	Particulars	L.F.	Dr. (₹)	Cr. (₹)
First Case :	Bank A/c Dr.		54,000	
	To A's Capital A/c			33,750
	To B's Capital A/c			20,250
	(Premium brought in by C credited to A and B in the sacrificing ratio of 5:3)			

	Particulars	L.F.	Dr. (₹)	Cr. (₹)
Second Case:	Bank A/c Dr.		54,000	
	To A's Capital A/c			27,000
	To B's Capital A/c			27,000
	(Premium brought in by C credited to A and B in the sacrificng ratio of 1:1)			

Note 1. C acquires $\frac{1}{2}$ of $\frac{1}{5}$ or $\frac{1}{10}$ from each of A and B.

	Particulars	L.F.	Dr. (₹)	Cr. (₹)
Third Case:	Bank A/c Dr.		54,000	
	To A's Capital A/c			40,500
	To B's Capital A/c			13,500
	(Premium brought in by C credited to A and B in the sacrificing ratio of 3:1)			

	Particulars	L.F.	Dr. (₹)	Cr. (₹)
Fourth Case:	Bank A/c Dr.		54,000	
	To A's Capital A/c			45,000
	To B's Capital A/c			9,000
	(Premium brought in by C credited to A and B in the sacrifing ration of 5:1)			

Note 2. Sacrificing ratio is $\frac{1}{6}$: $\frac{1}{30}$ or $\frac{5}{30}$: $\frac{1}{30}$ or 5:1.

Calculation of new profit sharing ratio :

First Case:

A : $\frac{5}{8}$ of $\frac{4}{5}$ = $\frac{1}{2}$ or $\frac{5}{10}$ B : $\frac{3}{8}$ of $\frac{4}{5}$ = $\frac{3}{10}$ C : $\frac{1}{5}$ = $\frac{2}{10}$

Second Case:

A : $\frac{5}{8}$ - $\frac{1}{10}$ = $\frac{21}{40}$ B : $\frac{3}{8}$ - $\frac{1}{10}$ = $\frac{11}{40}$ C : $\frac{1}{5}$ = $\frac{8}{40}$

Third Case:

C takes his share from A = $\frac{3}{4}$ of $\frac{1}{5}$ = $\frac{3}{20}$ C takes his share from B = $\frac{1}{4}$ of $\frac{1}{5}$ = $\frac{1}{20}$

∴ A's Share = $\frac{5}{8}$ - $\frac{3}{20}$ = $\frac{25-6}{40}$ = $\frac{19}{40}$ B's Share = $\frac{3}{8}$ - $\frac{1}{20}$ = $\frac{15-2}{40}$ = $\frac{13}{40}$

C's share = $\frac{1}{5}$ = $\frac{8}{40}$

Fourth Case:

A : $\frac{5}{8} - \frac{1}{6} = \frac{11}{24}$ or $\frac{55}{120}$ B : $\frac{3}{8} - \frac{1}{30} = \frac{41}{120}$ C : $\frac{1}{6} + \frac{1}{30} = \frac{6}{30}$ or $\frac{24}{120}$

Solution 17:

Revaluation Account

2018	Particulars		₹	2018	Particulars	₹
April 1	To Provision for bad and doubtful debts		535	April 1	By Inventory in trade	1,400
	To Furniture and fittings		720		By Land and Building	5,600
	To Capital A/cs: (Profit on Revaluation Transferred)					
	Dinesh	2,872.50				
	Ramesh	1,915.00				
	Naresh	957.50	5,745			
			7,000			**7,000**

Partners' Capital Accounts

Particulars	Dinesh	Ramesh	Naresh	Suresh	Particulars	Dinesh	Ramesh	Naresh	Suresh
To Dinesh & Ramesh			1,500	4,500	By Balance b/d	15,000	15,000	10,000	-
					By General Reserve	3,900	2,600	1,300	
To Balance c/d	26,972.50	21,015	10,757.50	3,500	By Cash	-	-	-	8,000
					By Naresh & Suresh	4,500	1,500	-	-
					By Outstanding Liabilities (Ram)	700	-	-	
					By Revaluation A/c	2,872.50	1,915	957.50	-
	26,972.50	**21,015**	**12,257.50**	**8,000**		**26,972.50**	**21,015**	**12,257.50**	**8,000**

Working Note:

Calculation of sacrificing ratio

Partners	New share	Old share	Sacrifice	Gain
Dinesh	¼	3/6	6/24	
Ramesh	¼	**2/6**	2/24	
Naresh	¼	**1/6**		2/24
Suresh	¼			6/24

Entry for goodwill adjustment

Naresh (2/24 of ₹ 18,000)	Dr.	1,500	
Suresh (6/24 of ₹ 18,000)	Dr.	4,500	
To Dinesh (6/24 of ₹ 18,000)			4,500
To Ramesh (2/24 of ₹ 18,000)			1,500

Balance Sheet of Dinesh, Ramesh, Naresh and Suresh as on 1-4-2018

Liabilities	₹	₹	Assets	₹	₹
Trade payables		22,500	Land and Buildings		42,600
Outstanding Liabilities (2,200-700)		1,500	Furniture		6,480
Capital Accounts of Partners:			Inventory of goods		14,000
Mr. Dinesh	26,972.50		Trade receivables	10,700	
Mr. Ramesh	21,015.00		**Less:** Provisions	(535)	10,165
Mr. Naresh	10,757.50		Cash in hand		2,800
Mr. Suresh	3,500.00	62,245	Cash at Bank (2,200 + 8,000)		10,200
		86,245			**86,245**

Solution 18:

Memorandum Revaluation Account

Particulars	₹	Particulars	₹
To Provision for Bad Debts A/c	500	By Freehold premises A/c	40,000
To Inventory A/c	3,000	By Furniture A/c	5,000
To Plant A/c	5,000	By Office equipment A/c	2,500
To Profit on Revaluation A/c			
A's Capital-3/5	23,400		
B's Capital-2/5	15,600		
	47,500		**47,500**
To Freehold premises A/c	40,000	By Provision for Bad Debts A/c	500
To Furniture A/c	5,000	By Inventory A/c	3,000
To Office equipment A/c	2,500	By Plant A/c	5,000
		Loss on Revaluation A/c	
		A's Capital -12/25	18,720
		B's Capital - 8/25	12,480
		C's Capital - 5/25	7,800
	47,500		**47,500**

Partners' Capital Accounts

Particulars	A ₹	B ₹	C ₹	Particulars	A ₹	B ₹	C ₹
To Loss on revaluation A/c	18,720	12,480	7,800	By Balance b/d	2,00,000	1,00,000	-
To Balance c/d	2,10,680	1,07,120	42,200	By Cash A/c			50,000
				By Cash A/c	6,000	4,000	-
				By Profit on revaluation A/c	23,400	15,600	-
	2,29,400	**1,19,600**	**60,000**		**2,29,400**	**1,19,600**	**60,000**

Balance Sheet as at 1.4.2016

Liabilities	₹	Assets	₹
Trade payables	50,000	Freehold premises	2,00,000
		Plant	40,000
Capital A/c :		Furniture	20,000
A	2,10,680	Office equipment	25,000
B	1,07,120	Inventories	30,000
C	42,200	Trade receivables	25,000
		Bank & cash	70,000
	4,10,000		**4,10,000**

Solution 19:

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
2018	Freehold Premises A/c	Dr.		5,000	
	Provision for Doubtful Debts A/c	Dr.		1,000	
	To Revalution A/c				6,000
	(Increase in the value of Freehold Premises and decrease in provision for doubtful-debts.)				
	Revaluation A/c	Dr.		2,800	
	To Machinery and Plant A/c				500
	To Stock A/c				1,250
	To Investments A/c				1,050
	(Decrease in the value of Assets)				
	Revaluation A/c	Dr.		3,200	
	To A's Capital A/c				1,920
	To B's Capital A/c				1,280
	(The transfer of profit on revaluation)				

	Cash A/c Dr.		10,800	
	To C's Capital A/c			6,000
	To A's Loan A/c			2,880
	To B's Loan A/c			1,920
	(The amount of capital brought and goodwill trf. to old P's Loan A/c in SR) ie.3:2			

CAPITAL ACCOUNTS

Dr. **Cr.**

Particulars	A	B	C	Particulars	A	B	C
	₹	₹	₹		₹	₹	₹
To Balance c/d	25,920	10,280	6,000	By Balance b/d	24,000	9,000	
				By Revaluation	1,920	1,280	
				By Cash			6,000
	25,920	**10,280**	**6,000**		**25,920**	**10,280**	**6,000**

OPENING BALANCE SHEET
As at 1st April, 2018

Liabilities	₹	Assets	₹
Creditors	15,000	Freehold Premises	15,000
Bills Payable	4,310	Machinery and Plant	4,000
Provision for Doubtful Debts	3,000	Furniture	900
Loan Accounts:		Stock	11,250
A	2,880	Debtors	22,500
B	1,920	Investments	3,200
Capital Accounts:		Cash	12,460
A	25,920		
B	10,280		
C	6,000		
	69,310		**69,310**

New Profit sharing ratios will be : C takes $\frac{2}{7}$th share out of 1.

Remaining share = 1 - $\frac{2}{7} = \frac{5}{7}$

∴ A's share = $\frac{3}{5}$ th of $\frac{5}{7} = \frac{3}{7}$

B's share = $\frac{2}{5}$ th of $\frac{5}{7} = \frac{2}{7}$

New ratio of A : B : C = $\frac{3}{7} : \frac{2}{7} : \frac{2}{7}$ or 3 : 2 : 2

SR = O/D – New

A = $\frac{3}{5} - \frac{3}{7} = \frac{21-15}{35} = \frac{6}{35}$

B = $\frac{2}{5} - \frac{2}{7} = \frac{14-10}{35} = \frac{4}{35}$

SR = 6 : 4 or 3 : 2

G/W = 4800

A 3:2 B

2880 1920

Solution 20:

Dr. REVALUATION ACCOUNT Cr.

Particulars		₹	Particulars	₹
To Provision for Doubtful debts		3,200	By Plant and Machinery	12,000
To Furniture		1,000	By Stock	8,000
To Outstanding Salary		8,000	By Land and Building	10,000
To Profit transferred to:				
Deepika's				
Capital A/c (3/5)	10,680			
Rajshree's				
Capital A/c (2/5)	7,120	17,800		
		30,000		**30,000**

Dr. CAPITAL ACCOUNTS Cr.

Particulars	Deepika	Rajshree	Anshu	Particulars	Deepika	Rajshree	Anshu
	₹	₹	₹		₹	₹	₹
To Deepika				By Balance b/d	48,000	40,000	-
& Rajshree	-	-	4,440	By Revaluation	10,680	7,120	-
Cap. A/c				By Anshu's Cap. A/c	2,220	2,220	-
To Balance c/d	60,900	49,340	27,560	By Bank	-		32,000
	60,900	**49,340**	**32,000**		**60,900**	**49,340**	**32,000**

OPENING BALANCE SHEET
as at 1st April, 2017

Liabilities		₹	Assets		₹
Sundry Creditors		16,000	Cash in Hand		1,200
Public Deposits		61,000	Bank Balance	(2800+32000)	34,800
Outstanding Liabilities		10,000	Stock		40,000
Bank O/D		6,000	Prepaid Insurance		1,000
Capital Accounts:			Sundry Debtors	28,800	
Deepika	60,900		Less: Provision	(4,000)	24,800
Rajshree	49,340		Plant and Machinery		60,000
Anshu	27,560	1,37,800	Land and Buildings		60,000
			Furniture		9,000
		2,30,800			**2,30,800**

Note :

(1) In this question the amount of goodwill is hidden, which will be found out as below:

Based on Anshu's share of profit, the total capital of the firm should be ₹ 32,000 x $\frac{10}{2}$ = ₹ 1,60,000

Less: Capital of Deepika (₹ 48,000 + Profit on Revaluation ₹ 10,680) = 58,680

Capital of Rajshree (₹ 40,000 + Profit on Revaluation ₹ 7,120) = 47,120

Capital of Anshu = 32,000 1,37,800

Value of Goodwill: 22,200

Anshu's share of Goodwill = 22,200 x $\frac{2}{10}$ = ₹ 4,440

Ansu's Cap. A/c will be debited by her share of goodwill, i.e., 4,440 and Deepika and Rajshree will be credited in their sacrificing ratio, i.e., equally.

Sacrifice made by Deepka = $\frac{3}{5} - \frac{5}{10} = \frac{1}{10}$

Sacrifice made by Rajshree = $\frac{2}{5} - \frac{3}{10} = \frac{1}{10}$

Solution 21:

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	General Reserve A/c Dr.		10,500	
	To A's Capital A/c			4,500
	To B's Capital A/c			3,750
	To C's Capital A/c			2,250
	(General reserve transferred to old partner's capital accounts)			
	Revaluation A/c Dr.		4,240	
	To Furniture A/c			2,920
	To Provision for Repairs A/c			1,320
	(Reduction in the value of assets and a provision made for outstanding repairs bills)			
	Debtors A/c* Dr.		2,000	
	Land & Building A/c Dr.		11,760	
	To Revaluation A/c			13,760
	(Increase in the value of assets)			
	Revaluation A/c Dr.		9,520	
	To A's Capital A/c			4,080
	To B's Capital A/c			3,400
	To C's Capital A/c			2,040
	(The transfer of profit on revaluation to old partner's Capital A/cs)			
	A's Capital A/c Dr.		2,250	
	B's Capital A/c Dr.		1,875	
	C's Capital A/c Dr.		1,125	
	To Goodwill A/c			5,250
	(Goodwill appearing in the books written off)			
	Cash A/c Dr.		14,700	
	To D's Capital A/c			14,700
	(The amount brought in cash by D being ₹ 14,700 for capital)			
	Cash A/c Dr.		14,070	
	To A's Capital A/c			6,030
	To B's Capital A/c			5,025
	To C's Capital A/c			3,015
	(Goodwill brought in by D credited to old partners in SR)			
	A's Capital A/c Dr.		3,660	
	B's Capitla A/c Dr.		3,400	
	To Cash A/c			7,060
	(Cash withdrawn by A and B)			
	Cash A/c Dr.		1,320	
	To C's Capital A/c			1,320
	(Cash brought in by C)			

* An old customer has acknowledged to pay ₹ 2,000 in full settlement of his debts. From this edition of the book, it has been included in Debtors because the amount is most likely to be received. The same treatement has been given by CBSE in its marking scheme for 2016 compartment Examination.

Dr. REVALUATION ACCOUNT Cr.

Particulars		₹	Particulars	₹
To Furniture A/c		2,920	By Land & Buildings A/c	11,760
To Provision for Repairs		1,320	By Debtors A/c	2,000
To Profit transferred to:				
A's Capital A/c	4,080			
B's Capital A/c	3,400			
C's Capital A/c	2,040	9,520		
		13,760		**13,700**

Dr. CAPITAL ACCOUNTS Cr.

Particulars	A	B	C	D	Particulars	A	B	C	D
	₹	₹	₹	₹		₹	₹	₹	₹
To Goodwill A/c	2,250	1,875	1,125		By Balance b/d	35,400	29,850	14,550	-
To Cash A/c (Bal. Fig.)	3,660	3,400	-	-	By General Reserve A/c	4,500	3,750	2,250	-
To Balance c/d	44,100	36,750	22,050	14,700	By Revaluation A/c	4,080	3,400	2,040	-
					By Cash A/c	-	-	-	14,700
					By Cash A/c	6,030	5,025	3,015	-
					By Cash A/c (Bal. Fig.)	-	-	1,320	-
	50,010	**42,025**	**23,175**	**14,700**		**50,010**	**42,025**	**23,175**	**14,700**

BALANCE SHEET

As at ……..

Liabilities		₹	Assets	₹
Creditors		18,900	Cash	24,920
Bills Payable		6,300	Debtors	28,460
Provision for Repairs		1,320	Stock	29,400
Capital Acconts :-			Furniture	4,430
A	44,100		Land & Buildings	56,910
B	36,750			
C	22,050			
D	14,700	1,17,600		
		1,44,120		**1,44,120**

New profit sharing ratio will be calculated as under:

Share given to D $= \frac{1}{8}$

Balance of Profits $= 1 - \frac{1}{8} = \frac{7}{8}$

A's new share $= \frac{7}{8} \times \frac{6}{14} = \frac{3}{8}$

B's new share $= \frac{7}{8} \times \frac{5}{14} = \frac{5}{16}$

C's new share $= \frac{7}{8} \times \frac{3}{14} = \frac{3}{16}$

D's share $= \frac{1}{8}$

A : B : C : D $= \frac{3}{8} : \frac{5}{16} : \frac{3}{16} : \frac{1}{8} = \frac{6}{16} : \frac{5}{16} : \frac{3}{16} : \frac{2}{16}$

D brings in ₹ 14,700 as capital according to his 1/8th share of profit. Therefore, according to D's Capital, the total Capital of the new firm will be

$$= 14,700 \times \frac{8}{1} = ₹\ 1,17,600$$

∴ A's Capital in new firm $= 1,17,600 \times \frac{6}{16} = ₹\ 44,100$

B's Capital in new firm $= 1,17,600 \times \frac{5}{16} = ₹\ 36,750$

C's Capital in new firm $= 1,17,600 \times \frac{3}{16} = ₹\ 22,050$

D's Capital in new firm $= 1,17,600 \times \frac{2}{16} = ₹\ 14,700$

Notes:

1. A's Capital in the new firm should be ₹ 44,100, whereas his existing capital shown by his Capital A/c is ₹ 47,760. Therefore, his excess Capital ₹ 47,760 - ₹ 44,100 = ₹ 3,660 will be refunded to him.
2. B's Capital in the new firm should be ₹ 36,750, whereas his existing capital shown by his Capital A/c is ₹ 40,150. Therefore, his excess Capital ₹ 40,150 - ₹ 36,750 = ₹ 3,400 will be refunded to him.
3. C's Capital in the new firm should be ₹ 22,050, whereas his existing capital is only ₹ 20,730. Therefore, he will bring in ₹ 22,050 - ₹ 20,730 = ₹ 1,320.
4. Calculation of Cash Balance:

		₹
Opening Balance		1,890
Add: Capital and goodwill brought in by D		28,770
Add: Cash brought in by C		1,320
		31,980
Less: Amount paid to A	3,660	
Less: Amount paid to B	3,400	7,060
		24,920

Solution 22:

(a) **In the books of Leena, Meena and Neena**
Profit & Loss Adjustment Account

Particulars	₹	Particulars	₹
To Plant	5,000	By Building	30,000
To Debtors	400		
To Stock	600		
To Furniture	3,500		
To bills receivable	500		
To profit on revaluation			
Leena	8,000		
Meena	12,000		
	30,000		**30,000**

(b) Partners' Capital A/c

Particulars	Leena	Meena	Neena	Particulars	Leena	Meena	Neena
To Leena , Meena Goodwil adjustment entry			20,000	By Balance b/d	60,000	1,40,000	
				By Bank			80,000
				By Neena (G/W)	8,000	12,000	
				By General Reserve	16,000	24,000	
				By Revaluation	8,000	12,000	
To Balance c/d	92,000	1,88,000	60,000				
	92,000	**1,88,000**	**80,000**		**92,000**	**1,88,000**	**80,000**

(c) Balance Sheet as on 1st April 2020 (after admission)

Liabilities	₹	Assets	₹
Capital Accounts:		Building	90,000
Leena	92,000	Plant	40,000
Meena	1,88,000	Furniture	20,000
Neena	60,000	Debtors	38,000
Creditors	42,600	Bills Receivable	12,000
Bills Payable	17,400	Stock	42,000
		Bank	1,58,000
	4,00,000		**4,00,000**

Adjustment of goodwill

Share of Neena = 1,00,000 X $^{1}/_{5}$

= 20,000

SR = Old Ratio i.e. 2:3

∴ Leena = 20,000 X $^{2}/_{5}$ = 8000

Meena = 20,000 X $^{3}/_{5}$ = 12,000

Solution 23:

In the books of Meta-Chem Revaluation A/c

Liabilities		₹	Assets	₹
To Bad debts		3,210	By Factory Building	95,600
To R.D.D.		7,000	By Plant and Machinery	68,200
To Office Furniture		5,850		
To Inventory		7,740		
To Profit on revaluation				
Alpha	70000			
Beeta	70000	1,40,000		
		1,63,800		**1,63,800**

Partners' Capital A/c

Particulars	Alpha	Beeta	Gyama	Particulars	Alpha	Beeta	Gyama
To Beeta			50,000	By balance b/d	3,00,000	2,00,000	
				By Bank			2,50,000
				By Gyama		50,000	
				By General Reserve	90,000	90,000	
				By Workman comp. fund	30,000	30,000	
To Balance c/d	4,90,000	4,40,000	2,00,000	By Revaluation A/c	70,000	70,000	
	4,90,000	**4,40,000**	**2,50,000**		**4,90,000**	**4,40,000**	**2,50,000**

Bank A/c

Particulars	₹	Particulars	₹
To balance b/d	44,200	By Balance c/d	2,94,200
To Gyama's capital	2,50,000		
	2,94,200		**2,94,200**

Balance Sheet of Meta-Chem as on 1st April 2020 (after admission)

Liabilities		₹	Assets		₹
Capital Accounts:			Factory Building		5,73,600
Alpha	4,90,000		Plant & Machinery		4,09,200
Beeta	4,40,000		Office Furniture		50,000
Gyama	2,00,000	11,30,000	Inventory		70,000
Term Loan from IDFC bank		2,78,000	Trade Receivables	1,40,000	
			Less : RDD	7,000	1,33,000
Trade Payables		1,22,000	Bank		2,94,200
		15,30,000			**15,30,000**

Working Note:

Partner	New Share		Old Share		Difference
Alpha	1/2	–	3/6	=	0
Beeta	1/2	–	2/6	=	1/6
Gyama		–	1/6 (gain)	=	1/6 (gain)

Solution 24:

Revaluation Account

Particulars	Amount Rs.	Particulars	Amount Rs.
To Furniture	1,000	By Land and Building	50,000
To Stock	20,000		
To Provision for doubtful debts	8,000		
To Revaluation Profit	21,000		
A (21,000 x ¾ %) 15,750			
B (21,000 x ¼ %) 5,250			
	50,000		**50,000**

Partners' Capital Accounts

	A (Rs.)	B (Rs.)	C (Rs.)		A (Rs.)	B (Rs.)	C (Rs.)
To'B' s Current A/c (Bal. Fig.)	-	45,250	-	By Balance b/d	2,85,000	1,55,000	-
				By General reserve	45,000	15,000	-
To Balance c/d	4,20,000	1,40,000	1,40,000	By Revaluation Profit	15,750	5,250	
				By Bank A/c	-	-	1,40,000
				By C's Current A/c (Goodwill)	30,000	10,000	-
				By As Current A/c (Bal. Fig.)	44,250	-	-
	4,20,000	**1,85,250**	**1,40,000**		**4,20,000**	**1,85,250**	**1,40,000**

Working Notes:

1. Calculation of total Capital
   C's capital contribution of Rs. 1,40,000 consists of 1/5th of capital.
   Therefore, total capital of firm should be Rs. 1,40,000 x 5 = Rs. 7,00,000
   A B C 3:1:1
   ∴ Balance 4,20,000, 1,40,000, 14,000

2. Calculation of New Profit Sharing ratio.
A = 3/4 x 4/5 = 12/20 = 3/5
B = 1/4 x 4/5 = 4/20 = 1/5
C = 1/5 = 4/20 = 1/5 or 3:1:1

OR

Calculation of sacrificing ratio

Partners	New share	Old share	Sacrifice	Gain
A	$\frac{3}{5}$	$\frac{3}{4}$	$-\frac{3}{20}$	—
B	$\frac{1}{5}$	$\frac{1}{4}$	$-\frac{1}{20}$	—
C	$\frac{1}{5}$	—	—	$\frac{1}{5}$

3. Goodwill
C's share in Goodwill = 40,000 (2,00,000x1/5) is adjusted through C's Current Account because capitals of old partners are also adjusted on the basis of C's Capital. Therefore, Journal entry for goodwill will be

C's Current A/c	Dr.	40,000	
To A's Capital A/c			30,000
To B's Capital A/c			10,000

Solution : 25

Revaluation Account

Particulars		₹	Particulars	₹
To Machinery A/c		14,300	By Building A/c	50,000
To Furniture A/c		5,000	By Investments	800
To Provision for Doubtful Debts		8,200		
To Inventories		900		
To Partner's capital A/c:				
(Profit on revaluation)				
Anu (5/8)	14,000			
Manu (3/8)	8,400	22,400		
		50,800		50,800

Partner's Capital Accounts

Particulars	Anu (₹)	Manu (₹)	Ranu (₹)	Particulars	Anu (₹)	Manu (₹)	Ranu (₹)
				By Bal. b/d	2,80,000	2,50,000	
To Bal c/d.	3,20,250	2,74,150	1,00,000	By Profit on revaluation	14,000	8,400	
				By Bank (Capital)	-	-	1,00,000
				By Bank (Goodwill)	26,250	15,750	-
			—				
	3,20,250	2,74,150	1,00,000		3,20,250	2,74,150	1,00,000

Balance Sheet (after admission of Ranu) as on 1st April, 2024

Liabilities	₹	₹	Assets	₹
Capital accounts:			Building	4,30,000
Anu	3,20,250		Machinery	1,28,700
Manu	2,74,150		Furniture	80,000
Ranu	1,00,000	6,94,400	Trade Receivable	1,55,800
Long term loan		2,00,000	Inventories	47,500
Trade Payable		1,19,500	Investments	16,000
Outstanding liabilities		16,200	Cash and Bank	1,72,100
		10,30,100		10,30,100

Working Notes:

1. Calculation of Goodwill:

Average profit = $\frac{87,000+1,06,000+1,22,000}{3}$ = ₹ 1,05,000

Two years' purchase of average profits = 1,05,000 x 2 = ₹ 2,10,000

Goodwill to be brought in by Ranu = ₹ 2,10,000 x 2/10 = ₹ 42,000

2. Calculation of Sacrificing Ratio = Old - New Ratio

Anu = 5/8-5/10 = 5/40

Manu = 3/8-3/10 = 3/40

Goodwill brought in by Ranu shared (at the profit sacrificing ratio) by:

	₹
Anu (₹ 42,000 x 5/8)	26,250
Manu (₹ 42,000 x 3/8)	15,750
	42,000

3. Bank balance after admission of Ranu:

Bank Account

Particulars	₹	Particulars	₹
To bal b/d	30,100	By Balance c/d	1,72,100
To Anu's Capital A/c	26,250		
To Manu's Capital A/c	15,750		
To Ranu's capital A/c	1,00,000		
	1,72,100		1,72,100

Alternatively, goodwill can also be calculated on the basis of weighted average profit, since the profit of the firm is on increasing trend.

Solution : 26

In the Books of M/s. A, B and C Journal Entries

		Rs.	Rs.
Bank A/c	Dr.	60,000	
To C's Capital A/c			60,000
(Cash brought in by C for 1/3rd share)			
C's Capital A/c	Dr.	15,000	
To A's Capital A/c			7,500
To B's Capital A/c			7,500
A's Capital A/c	Dr.	7,500	
B's Capital A/c	Dr.	7,500	
To Bank A/c			15,000
(Amount of goodwill due to A and B withdrawn)			

Workings:

(1) Old Profit Sharing Ratio:1: 1

(2) New Profit Sharing Ratio: 1:1:1

(3) C's share of capital Rs. 1,35,000 × 1/3 = Rs. 45,000

(4) Goodwill Rs. 60,000 – Rs. 45,000 = Rs. 15,000 for 1/3rd share.

Total Goodwill : Rs. 15,000 × 3 = Rs. 45,000

Partners' Capital A/cs

Particulars	A	B	C	Particulars	A	B	C
	Rs.	Rs.	Rs.		Rs.	Rs.	Rs.
To A			7,500	By Balance b/d	45,000	45,000	–
To B			7,500	By Bank	–	–	60,000
To Bank	7,500	7,500	–	By C	7,500	7,500	–
To Balance c/d	45,000	45,000	45,000				
	52,500	52,500	60,000		52,500	52,500	60,000

Note : In this problem it is mentioned that total capital should be at Rs. 1,35,000 hence excess capital is to be withdrawn by partners hence third entry is passed.

Solution : 27

In the books of X, Y and Z

Revaluation Account

Particulars	₹	Particulars	₹
To Plant	5,000	By Building	45,000
To Bad Debts	2,400	By Salary Payable	800
To Provision for Doubtful Debts	1,800		
To Stock	600		
To Furniture	3,500		
To Bills receivable	500		
To Profit on revaluation			
X	12,800		
Y	19,200		
	45,800		45,800

Partners' Capital A/c's

Particulars	X	Y	Z	Particulars	X	Y	Z
To X and Y (Goodwill adjustment)	-	-	24,000	By Balance b/d	60,000	1,40,000	-
To Balance c/d	98,400	1,97,600	76,000	By Bank	-	-	1,00,000
				By Z	9,600	14,400	-
				By General Reserve	16,000	24,000	-
				By Revaluation	12,800	19,200	-
	98,400	1,97,600	1,00,000		98,400	1,97,600	1,00,000

Balance Sheet as on 1st April, 2022 (after admission)

Liabilities	₹	Assets	₹
Capital Accounts:		Building	1,05,000
X	98,400	Plant	40,000
Y	1,97,600	Furniture	20,000
Z	76,000	Debtors*	34,200
Creditors	42,600	Bills Receivable	12,000
Bills Payable	15,400	Stock	42,000
Salary Payable	1,200	Bank	1,78,000
	4,31,200		4,31,200

* Debtors: (38,400 – 2,400 – 1,800) = ₹ 34,200

Solution : 28

Memorandum Revaluation Account

	Particulars	₹		Particulars	₹
To	Provision for Bad Debts A/c	960	By	Liability of Creditors A/c	1,440
To	Stock A/c	5,480	By	Building A/c	15,000
To	Furniture A/c	2,700	By	Plant A/c	5,000
To	Profit on Revaluation A/c				
	P'sCapital-2/5 4,920	12,300			
	Q's Capital-3/5 7,380				
		21,440			21,440
To	Liability of Creditors A/c	1,440	By	Provision for Bad Debts A/c	960
To	Building A/c	15,000	By	Stock A/c	5,480
To	Plant A/c	5,000	By	Furniture A/c	2,700
				Loss on Revaluation A/c	
				P's Capital-8/25 3,936	
				Q's Capital-12/25 5,904	
				R's Capital-5/25 2,460	12,300
		21,440			21,440

Partners' Capital Accounts

Particulars	P ₹	Q ₹	R ₹	Particulars	P ₹	Q ₹	R ₹
To P's Capital A/c (see WN)			2,400	By Balance b/d	80,000	1,60,000	-
To Q's Capital A/c			3,600				
To Memorandum revaluation A/c	3,936	5,904	2,460	By Bank A/c			80,000
To Balance c/d	1,03,384	1,95,076	71,540	By General Reserve	20,000	30,000	
				By R's Capital A/c (see WN)	2,400	3,600	-
				By Memorandum revaluation A/c	4,920	7,380	-
	1,07,320	2,00,980	80,000		1,07,320	2,00,980	80,000

Balance Sheet of Bharat Springs as at April 1,2025

Liabilities		₹	Assets	₹
Capital A/c:			Building	85,000
P	1,03,384		Plant	55,000
Q	1,95,076		Furniture	26,700
R	71,540	3,70,000	Debtors	48,000
Bills Payable		16,500	Bills Receivable	11,600
Creditors		57,800	Stock	54,800
			Bank (83,200+80,000)	1,63,200
		4,44,300		4,44,300

Working Notes:

1. Calculation of New Profit-Sharing Ratio
   R's Share = 1/5
   P's Share= 4/5*2/5= 8/25
   Q's Share= 4/5 *3/5 =12/25
   R's New Share = 5/25
   New Profit Sharing Ratio between P:Q:R = 8: 12: 5

2. Calculation of goodwill:
   R's contribution of ₹ 80,000 consists of only 1/5th of capital.
   Therefore, total capital of firm should be ₹ 80,000 x 5 = ₹ 4,00,000
   But combined capital of P, Q and R amounts including general reserve
   ₹ 80,000 + 1,60,000 + 80,000+50,000 =3,70,000

   Thus, the hidden goodwill of the firm is ₹ 30,000 (₹ 4,00,000 - ₹ 3,70,000).
   R's share 1/5th = 6,000

3. Goodwill will be shared by P & Q in their sacrificing ratio 2:3

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. A newly admitted partner does not have same rights as old partners.
2. When a new partner is admitted, old partners have to forego certain share in profits of the firm, this is called as sacrifice ratio.
3. Revaluation account is also called as Profit and Loss Adjustment Account.
4. Any appreciation in the value of an asset is credited to Revaluation account.
5. All the partners may decide not to change the values of assets and liabilities in the books of accounts.
6. New partner is entitled to have share in Reserves appearing in the balance sheet prior to his admission.
7. If revaluation account shows credit balance then it represents profit and therefore it is credited to all partners equally.
8. New partner brings in necessary amount as his capital.
9. New partner is entitled to share in revaluation profit.

Answers:

1. **False:** All the partners have same rights at all times, unless contrary is provided in the partnership deed/or agreed by the partners.
2. **True:** With every new partner, remaining old partners have to foregone a proportion in their share which is called as sacrifice ratio
3. **True:** Revaluation is also called as profit and loss adjustment account.
4. **True:** increase in Asset is an income hence credited to revaluation account.
5. **True:** This can be done by opening Memorandum Revaluation Account.
6. **False:** New partner is not entitled to have any share in the reserves of the firm prior to his admission. Such reserves are distributed to old partners in their old profit sharing ratio.
7. **False:** Any Reserve appearing in the Balance Sheet is credited to existing partners in their old profit sharing ratio and not equally.
8. **False:** If revaluation account shows credit balance then it represents profit and therefore it is credited to all partners in their profit sharing ratio and not equally.
9. **True:** Every incoming partner shall bring in some amount of capital for the firm
10. **False:** New partner is not entitled to profit on revaluation, it belongs to old partners in their profit sharing ratio.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. Goodwill is a fictitious asset.

   Or

   Goodwill is a current asset.
2. Goodwill is in the nature of personal account.
3. Goodwill brought in by an incoming partner in cash for joining a partnership firm is taken away by the old partners in their new profit sharing ratio.
4. A person may be admitted as partner either with the consent of majority of partners or in accordance with express agreement among partners .
5. There exists no difference between 'B' surrenders 1/3rd of his share and ‘B’ surrenders 1/3rd from his share.
6. Machinery Replacement Fund is credited to partners in their sacrificing.
7. Excess of Investment Fluctuation Reserve over difference between book value and market value is credited to Revaluation Account.

8. Excess of Workmen Compensation Reserve over Liability of Workmen Compensation is credited to Revaluation Account.
9. The ratio in which the old partners have agreed to sacrifice their shares in profit in favour of a new partner is called the gaining ratio.
10. Unless given otherwise, the ratio of sacrifice is the same as old profit sharing ratio.
11. The amount of goodwill brought in by the new partner is shared by old partners in their old profit sharing ratio.
12. The assets and liabilities are revalued at the time of admission of a partner so that the profit or loss arising on the revaluation of assets and liabilities upto the date of admission may be adjusted in the capital accounts of sacrificing partners only.
13. If, at the time of admission, provision for doubtful debts is to be reduced, it will be debited to Debtors Accounts.
14. Any amount realized from the sale of unrecorded asset is debited to the old partners' capital accounts.
15. Any amount paid to discharge an unrecorded liability is credited to the old partners' capital accounts.
16. Gain or Loss arising from revaluation of assets and liabilities is shared by old partners in their sacrificing ratio.
17. All accumulated profits, reserves, losses and fictitious assets appearing in the books of the firm at the time of admission, are transferred to old partners' capital accounts in their respective sacrificing ratio.

Answer:

1. **False:** Goodwill is an intangible fixed asset and not fictitious or current asset.
2. **False:** Goodwill is an intangible asset therefore it is an item of real account.
3. **False:** When a new partner brings in cash for goodwill, it is taken away by the old partners in their sacrificing ratio.
4. **False:** A person may be admitted as partner either with the consent of all partners or in accordance with express agreement among partners (Sec. 31)
5. **False:** There exists difference between 'B surrenders 1/3rd of his share' and 'B surrenders 1/3rd from his share'. If B's share is 2/5th, it means in the former case he has surrendered 2/15th [i.e. (1/3) x (2/5)] share and B's New Share is 4/15 [i.e. (2/5) - (2/15)], in the latter case, he has surrendered 1/3rd share and B's New Share is 1/15 [i.e. (2/5) - (1/3)].
6. **False:** Machinery Replacement Fund is not credited to partners because it is in the nature of accumulated depreciation and not accumulated profit.
7. **False:** Excess of Investment Fluctuation Reserve over difference between book value and market value is credited to partners in Profit Sharing Ratio.
8. **False:** Excess of Workmen Compensation Reserve over Liability of Workmen Compensation is credited to partners in Profit Sharing Ratio
9. **False:** The ratio in which the old partners have agreed to sacrifice their shares in profit in favour of a new partner is called the sacrificing ratio.
10. **True:** Unless given otherwise, it is presumed that old partners have surrendered their share in favour of incoming partner in their respective old profit sharing ratio.
11. **False:** The amount of goodwill brought in by the new partner is shared by old partners in their sacrificing ratio.
12. **False:** The assets and liabilities are revalued at the time of admission of a partner so that the profit or loss arising on the revaluation of assets and liabilities upto the date of admission may be adjusted in the capital accounts of old partners only.
13. **False:** If, at the time of admission, provision for doubtful debts is to be reduced, it will be debited to Provision for Doubtful Debts Account.
14. **False:** Any amount realized from the sale of unrecorded asset is debited to Cash/Bank Account.
15. **False:** Any amount paid to discharge an unrecorded liability is credited to Cash/Bank Account

16. **False:** Gain or loss arising from revaluation of assets and liabilities is shared by old partners in their respective old profit sharing ratio.
17. **False:** All accumulated profits, reserves, losses and fictitious assets appearing in the books of the firm at the time of admission, are transferred to old partners' capital accounts in their respective old profit sharing ratio.

MULTIPLE CHOICE QUESTIONS

1 A and B are partners sharing profits and losses in the ratio 5:3. They admitted C and agreed to give him 3/10th of the profit. What is the new ratio after C's admission?
(a) 35:42:17. (b) 35:21:24. (c) 49:22:29.

2 A and B are partners sharing profits in the ratio 5:3, they admitted C giving him 3/10th share of profit. If C acquires 1/5 from A and 1/10 from B, new profit sharing ratio will be:
(a) 5:6:3. (b) 2:4:6. (c) 17:11:12

3 C was admitted in a firm with 1/4th share of the profits of the rm. C contributes ₹15,000 as his capital, A and B are other partners with the profit sharing ratio as 3:2. Find the required capital of A and B, if capital should be in profit sharing ratio taking C's as base capital:
(a) ₹ 27,000 and ₹ 16,000 for A and B respectively.
(b) ₹ 27,000 and ₹ 18,000 for A and B respectively.
(c) ₹ 32,000 and ₹ 21,000 for A and B respectively.

4 A, B and C are partners sharing profits and losses in the ratio 6:3:3, they agreed to take D into partnership for 1/8th share of profits. Find the new profit sharing ratio.
(a) 12:27:36:42. (b) 14:7:7:4. (c) 1:2:3:4.

5 A and B are partners sharing profits and losses in the ratio of 3:2 (A's Capital is ₹ 30,000 and B's Capital is ₹ 15,000). They admitted C and agreed to give 1/5th share of profits to him. How much C should bring in towards his capital?
(a) ₹ 9,000. (b) ₹ 12,000. (c) ₹ 11,250.

6 A and B are partners sharing the profit in the ratio of 3:2. They take C as the new partner, who brings in ₹ 25,000 against capital and ₹ 10,000 against goodwill. New profit sharing ratio is 1:1:1. In what ratio will this amount will be shared among the old partners A & B.
(a) ₹ 8,000: ₹ 2,000.
(b) ₹ 5,000: ₹ 5,000.
(c) Old partners will not get any share in the goodwill brought in by C.

7 A and B are partners sharing the profit in the ratio of 3:2. They take C as the new partner, who is supposed to bring ₹ 25,000 against capital and ₹ 10,000 against goodwill. New profit sharing ratio is 1:1:1. C brought cash for his share of Capital and agreed to compensate to A and B outside the firm. How this will be treated in the books of the firm.
(a) Cash brought in by C will only be credited to his capital account.
(b) Goodwill will be raised to full value in old ratio.
(c) Goodwill will be raised to full value in new ratio.

8 X and Y are partners sharing profits in the ratio of 3: 1. They admit Z as a partner who pays ₹ 4,000 as Goodwill the new profit sharing ratio being 2:1: 1 among X, Y and Z respectively. The amount of goodwill will be credited to:
(a) X and Y as ₹ 3,000 and ₹ 1,000 respectively. (b) X only (c) Y only

9 P and Q are partners sharing Profits in the ratio of 2:1. R is admitted to the partnership with effect from 1st April on the term that he will bring ₹ 20,000 as his capital for 1/4th share and pays ₹ 9,000 for goodwill, half of which is to be withdrawn by P and Q. If profit on revaluation is ₹ 6,000 and opening capital of P is ₹ 40,000 and of Q is ₹ 30,000, find the closing balance of each capital.
(a) ₹ 47,000: ₹ 33,500: ₹ 20,000
(b) ₹ 50,000: ₹ 35,000: ₹ 20,000.
(c) ₹ 40,000: ₹ 30,000: ₹ 20,000

10 Adam, Brain and Chris were equal partners of a firm with goodwill ₹ 1,20,000 shown in the balance sheet and they agreed to take Daniel as an equal partner on the term that he should bring ₹ 1,60,000 as his capital and goodwill, his share of goodwill was evaluated at ₹ 60,000 and the goodwill account is to be written off before admission. What will be the treatment for goodwill?
(a) Write off the goodwill of ₹ 1,20,000 in old ratio.
(b) Cash brought in by Daniel for goodwill will be distributed among old partners in sacrificing ratio.
(c) Both (a) & (b)

MCQs Answer:-

1.	**B**	**2.**	**C**	**3.**	**B**	**4.**	**B**	**5.**	**C**	**6.**	**A**	**7.**	**A**	**8.**	**B**	**9.**	**A**	**10.**	**C**

THEORETICAL QUESTIONS

Question 1:

Write short note on Revaluation account.

Answer :

When a new partner is admitted into the partnership, assets are revalued and liabilities are reassessed. A Revaluation Account (or Profit and Loss Adjustment Account) is opened for the purpose. This account is debited with all reduction in the value of assets and increase in liabilities and credited with increase in the value of assets and decrease in the value of liabilities. The difference in two sides of the account will show profit or loss. This is transferred to the Capital Accounts of old partners in the old profit sharing ratio.

Question 2:

What is the difference between revaluation account and memorandum revaluation account?

Answer:

(i) Revaluation account is prepared to find out the profit or loss on revaluation of assets and liabilities which appear in the new balance sheet at the new or revalued figures. Memorandum revaluation account is also prepared to record the effect of revaluation of assets and liabilities which of course are recorded at their old figures in the new balance sheet.

(ii) Revaluation account is not divided into two parts. But the memorandum revaluation account has two parts: first part for old partners and second part for all partners including the new partner.

HOME WORK DISCUSSION VIDEO QR CODE

TOPIC	QUESTION NO.	QR CODE
Partnership Admission	Q. 18 → Q. 26	
		Q. 30 → Q. 19
	Q. 36 → Q. 24	
Partnership Admission Goodwill Treatment		Goodwill Brought in Cash or Not?
Partnership Admission	Q.12 (IFR) → Q. 4	

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Admission of New Partner	

Space for Personal Notes:-

CHAPTER 10 :- PARTNERSHIP AND LLP ACCOUNTS
UNIT 4 :- RETIREMENT OF A PARTNER

1. Meaning :
- A partners may withdraw himself from the partnership, it is called Retirement of a partner.
- It means that the old partnership comes to an end and new firm is constituted.

2. Manner of retirement : A partner may retire from the firm in the following manner :
(1) If there is an agreement to that effect
(2) If all the partners consent to his retirement
(3) If the partnership is at will - By giving a notice in writing to all the other partners of his intention to do so.

3. Amount due to Retired partner : At the time retirement the amount due to retiring partner is calculated as followed :
(1) Balance in his capital / current account
(2) Share of Goodwill
(3) Share in Profit or Loss on Revaluation of Assets and Reassessment of liabilities
(4) Share in Accumulated profits and Reserve
(5) Share in profit of current year upto date of retirement.
(6) Interest on capital, Salary, Commission etc. from the date of last balance sheet to the date of retirement
(7) Drawing & Interest on drawings will be debited for that period to the concerned partners capital a/c

4. Accounting adjustment required at the time of Retirement / Death of a partner.
(1) New Profits Ratio
(2) Treatment of Goodwill
(3) Revaluation of Assets & liabilities
(4) Treatment of Joint life policy
(5) Distribute Accumulated Reserves & Profits
(6) Calculate share in profit upto date of retirement/ death
(7) Payment to retiring partner
(8) Adjustment of capital account.

5. Change in the Profit Sharing Ratio
- The new profit sharing ratio on retirement of a partner is the ratio in which continuing partner or remaining partner share their profit in future.
- **New Ratio = Old ratio + Gain from retiring partner**

The New Profit Sharing Ratio, upon Retirement, may have to be determined when –
1. The new profit sharing ratio is not given and
2. The remaining partners purchase the share of the retiring partner

(1) <u>When one partner retires and the new profit sharing ratio among the remaining partners is not given</u>

Eg. X, Y and Z are partners Sharing profit in the ratio of 5 : 4 : 1. Find out the new ratio of the remaining partners if X retires.

The new ratio of the remaining partner will be by **striking out the share of the outgoing partners**. Thus : If X retires then the ratio between Y and Z is 4/5 and 1/5.

(2) <u>When the remaining partners purchase the share of the retiring Partner in a specified Ratio.</u>

In such case the acquired share are added to their existing share.

CLASS WORK QUESTIONS

Question 1: **[SM-ILL-1]**

A and B are partners in a business sharing profit and losses as A-3/5th and B-2/5th. Their balance sheet as on 1st January, 2015 is given below:

Liabilities		₹	Assets	₹
Capital Accounts			Plant and Machinery	20,000
A	20,000		Inventories	16,000
B	15,000	35,000	Trade receivables	15,000
Reserve Account		15,000	Balance at Bank	6,000
Trade payables		7,500	Cash in hand	500
		57,500		**57,500**

B retires from the business owing to illness and A takes it over. The following revaluation was made:

(1) The goodwill of the firm is valued at ₹ 25,000.

(2) Depreciate Plant & Machinery by 7.5% and Inventories by 15%.

(3) Doubtful debts provision is raised against trade receivables at 5% and a discount reserve against trade payables at 2%.

Required:

Journalize the above transactions in the books of the firm and close the Partners' Accounts as on 1st January 2015. Give also the opening Balance Sheet of A.

Personal Note:-

Question 2: **[SM-ILL-2]**

F, G and K were partners sharing profits and losses at the 2:2:1. K wants to retire on 31.12.2015. Given below is the Balance Sheet of the partnership as well as other information:

Balance Sheet as on 31.12.2015

Liabilities	₹	Assets	₹
Capital A/cs		**Sundry Fixed Assets**	**1,50,000**
F	**1,20,000**	**Inventories**	**50,000**
G	**80,000**	**Trade receivables**	**70,000**
K	**60,000**	**(Including Bills Receivable 20,000)**	
Reserve	**10,000**	**Bank**	**50,000**
Trade payables	**50,000**		
	3,20,000		**3,20,000**

F and G agree to share profits and losses at the ratio of 3:2 in future. Value of Goodwill is taken to be ₹ 50,000. Sundry Fixed Assets are revalued upward by ₹ 30,000 and Inventories by ₹ 10,000. Bills Receivable dishonoured ₹ 5,000 on 31.12.2015 but not recorded in the books. Dishonour of bill was due to insolvency of the customer. F and G agree to bring sufficient cash to discharge claim of K and to make their capital proportionate. Also they wanted to maintain ₹ 75,000 bank balance for working capital.

Required:

Pass necessary journal entries. Also prepare capital accounts of partners and draft the Balance Sheet of M/s F & G after K's retirement.

[Cap. A/c-1,98,000, 1,32,000 Amt. to K - 79,000, B/s - 3,80,000]

Personal Note:-

Question 3: **[SM-ILL-3]**

A, B & C were in partnership sharing profits in the proportions of 5:4:3. The balance sheet of the firm as on 31st March, 2015 was as under:

Liabilities	₹	Assets	₹
Capital accounts:		Fixtures	8,200
A	1,35,930	Inventories	1,57,300
B	95,120	Trade receivables	93,500
C	61,170	Cash	74,910
Trade payables	41,690		
	3,33,910		3,33,910

A had been suffering from ill-health and gave notice that he wished to retire. An agreement was, therefore, entered into as on 31st March, 2015, the terms of which were as follows:

(i) The profit and loss account for the year ended 31st March, 2015 which showed a net profit of ₹ 48,000 was to be re-opened. B was to be credited with ₹ 4,000 as bonus, in consideration of the extra work which had devolved upon him during the year. The profit sharing was to be revised from 1st April, 2014, as 3:4:4.

(ii) Goodwill was to be valued at two years' purchase of the average profits of the preceding five years. The fixtures were to be valued by an independent valuer. A provision of 2% was to be made for doubtful debts and the remaining assets were to be taken at their book values. The valuations arising out of the above agreement were goodwill ₹ 56,800 and fixtures ₹ 10,980.

B and C agreed, as between themselves, to continue the business, sharing profits in the ratio of 3:2 and decided to retain the fixtures on the books at the revised value, and to increase the provision for doubtful debts to 6%.

Required:

Submit the journal entries necessary to give effect to the above arrangements and to draw up the capital account of the partners after carrying out all adjusting entries as stated above.

Personal Note:-

Question 4: **[SM-ILL-4]**

K, L & M are partners sharing profits and losses in the ratio 5:3:2. Due to illness, L wanted to retire from the firm on 31.3.2020 and admit his son N in his place.

Balance Sheet of K, L and M as on 31.3.2020

Liabilities	₹	₹	Assets	₹
Capital:			Furniture	20,000
K	40,000		Trade receivables	50,000
L	60,000		Inventory in Trade	50,000
M	30,000	1,30,000	Cash and Bank balances	80,000
Reserve		50,000		
Trade payables		20,000		
		2,00,000		2,00,000

On retirement of L assets were revalued: Furniture ₹ 10,000 and Inventory in trade ₹ 30,000. 50% of the amount due to L was paid off in cash and the balance was retained in the firm as capital of N. On admission of the new partner, goodwill was valued at ₹ 50,000. Partners are being paid off their extra balances to make capital proportionate by keeping N's capital as base.

You are required to give:

(i) Necessary journal entries; (ii) balance sheet of M/s K, M and N as on 1.4.2020; (iii) capital accounts of partners.

Personal Note:-

Question 5: (Ad. of Capital) **[SM-ILL-6][Nov.20 – 10 Marks]**

M/s X is a partnership firm with the partners A, B and C sharing profits and losses in the ratio of 3:2:5. The balance sheet of the firm as on 30th June 2015, was as under:

Balance Sheet of M/s. X as on 30.06.2015

Liabilities	₹	Assets	₹
A's Capital A/c	1,04,000	Land	1,00,000
B's Capital A/c	76,000	Building	2,00,000
C's Capital A/c	1,40,000	Plant and Machinery	3,80,000
Long Term Loan	4,00,000	Investments	22,000
Bank Overdraft	44,000	Inventories	1,16,000
Trade payables	1,93,000	Trade receivables	1,39,000
	9,57,000		**9,57,000**

It was mutually agreed that B will retire from partnership and in his place D will be admitted as a partner with effect from 1st July, 2015. For this purpose, the following adjustments are to be made:

(a) Goodwill of the firm is to be valued at ₹ 2 lakhs due to the firm's locational advantage but the same will not appear as an asset in the books of the reconstituted firm.

(b) Buildings and plant and machinery are to be valued at 90% and 85% of the respective balance sheet values. Investments are to be taken over by the retiring partner at ₹ 25,000. Trade receivables are considered good only upto 90% of balance sheet figure. Balance be considered bad.

(c) In the reconstituted firm, the total capital will be ₹ 3 lakhs, which will be contributed by A, C and D in their new profit sharing ratio, which is 3:4:3.

(d) The amount due to retiring partner shall be transferred to his loan account.

Required:

Prepare Revaluation Account and Partners' Capital Accounts.

Personal Note:-

Question 6: (JLP) **[July-21(5 Marks) & SM-ILL-7]**

Red, White and Black shared profits and losses in the ratio of 5:3:2. They took out a joint life Policy in 2011 for ₹ 50,000, a premium of ₹ 3,000 being paid annually on 10th June. The surrender value of the policy on 31st December of various years was as follows: 2011 nil; 2012 ₹ 900; 2013 ₹ 2,000; 2014 ₹ 3,600.

Black retires on 15th April, 2015.

Required

Prepare ledger accounts assuming no Joint Life Policy Account is maintained.

Personal Note:-

Question 7: **(JLP)** **[MTP JAN. 25, 5 Marks][July-21(5 Marks) & SM-ILL-8]**

Red, White and Black shared profits and losses in the ratio of 5: 3: 2. They took out a Joint Life Policy in 2011 for ₹ 50,000, a premium of ₹ 3,000 being paid annually on 10th June. The surrender value of the policy on 31st December of various years was as follows: 2011 nil; 2012 ₹ 900; 2013 ₹ 2,000; 2014 ₹ 3,600.

Black retires on 15th April, 2015.

Required:

(i) Prepare ledger accounts assuming Joint Life Policy Account is maintained on surrender value basis.

(ii) Prepare Ledger accounts assuming Joint Life Policy Account is maintained alongwith JLP Reserve Account.

Personal Note:-

Question 8: **[SM-ILL-9]**

A, B and C are in partnership sharing profits and losses at the ratio of 5:3:2. The balance sheet of the firm on 31.12.2015 was as follows:

Balance Sheet

Liabilities	₹	Assets	₹
Capital A/cs:		Sundry Fixed Assets	80,000
A	50,000	Inventories	50,000
B	40,000	Trade receivables	30,000
C	30,000	Joint Life Policy	20,000
Bank Loan	40,000	Bank	10,000
Trade payables	30,000		
	1,90,000		1,90,000

On 1.1.2016, A wants to retire, B and C agreed to continue at 2:1. Joint Life Policy was taken on 1.1.2010 for ₹ 1,00,000 and its surrender value as on 31.12.2015 was ₹ 25,000. For the purpose of A's retirement goodwill was raised for ₹ 1,00,000. But B and C did not prefer to show such an increase in assets in the balance sheet. Sundry Fixed Assets was revalued for ₹ 1,10,000. But B and C did not prefer to show such increase in assets in the Balance Sheet. Also they agreed to bring necessary cash to discharge 50% of the A's claim, to make the bank balance ₹ 25,000 and to make their capital proportionate.

Required:

Prepare necessary journal entries.

Personal Note:-

Question 9: **[SM PQ. 1]**

On 31st March, 2016, the balance sheet of M/s Ram, Rahul and Rohit sharing profits and losses in proportion to their capital, stood as follows:

Liabilities	₹	₹		₹
Capital accounts:			Land & building	2,00,000
Ram	3,00,000		Machinery	2,00,000
Rahul	2,00,000		Closing stock	1,00,000
Rohit	1,00,000	6,00,000	Sundry debtors	2,00,000
Sundry creditors		2,00,000	Cash and bank balances	1,00,000
		8,00,000		8,00,000

On 31st March, 2016, Ram desired to retire from the firm and the remaining partners decided to carry on. It was agreed to revalue the assets and liabilities on that date on the following basis:-

1. **Land and buildings be appreciated by 30%.**
2. **Machinery be depreciated by 20%.**
3. **Closing stock to be valued at ₹ 80,000.**
4. **Provision for bad debts be made at 5%.**
5. **Old credit balances of sundry creditors ₹ 10,000 be written back.**
6. **Joint life policy of the partners surrendered and cash obtained ₹ 60,000.**
7. **Goodwill of the entire firm be valued at ₹ 1,80,000 and Ram's share of the goodwill be adjusted in the accounts of Rahul and Rohit who share the future profits equally. No goodwill account being raised.**
8. **The total capital of the firm is to be the same as before retirement. Individual capital be in their profit sharing ratio.**
9. **Amount due to Ram is to be settled on the following basis:-**
   50% on retirement and the balance 50% within one year

Prepare revaluation account, capital account of partners: Rahul & Rohit, loan account of Ram, cash account and balance sheet as on 1.4.2016 of M/s Rahul and Rohit.

Personal Note:-

HOME WORK QUESTIONS

Question 10: (Basic) [RTP-Nov-18, Nov-20 (10 Marks) & SM-ILL-5]

Dowell & Co. is a partnership firm with partners Mr. A, Mr. B and Mr. C, sharing profits and losses in the ratio of 10:6:4. The balance sheet of the firm as at 31st March, 2015 is as under:

Liabilities	₹	₹	Assets	₹
Capitals :			Land	10,000
Mr. A	80,000		Buildings	2,00,000
Mr. B	20,000		Plant and Machinery	1,30,000
Mr. C	30,000	1,30,000	Furniture	43,000
Reserves			Investments	12,000
(un-appropriated profit)		20,000	Inventories	1,30,000
Long Term Debt		3,00,000	Trade receivables	1,39,000
Bank Overdraft		44,000		
Trade payables		1,70,000		
		6,64,000		6,64,000

It was mutually agreed that Mr. B will retire from partnership and in his place Mr. D will be admitted as a partner with effect from 1st April, 2015. For this purpose, the following adjustments are to be made:

(a) Goodwill is to be valued at ₹ 1 lakh but the same will not appear as an asset in the books of the reconstituted firm.

(b) Buildings and plant and machinery are to be depreciated by 5% and 20% respectively. Investments are to be taken over by the retiring partner at ₹ 15,000. Provision of 20% is to be made on Trade receivables to cover doubtful debts.

(c) In the reconstituted firm, the total capital will be ₹ 2 lakhs which will be contributed by Mr. A, Mr. C and Mr. D in their new profit sharing ratio, which is 2:2:1.

(i) The surplus funds, if any, will be used for repaying bank overdraft.

(ii) The amount due to retiring partner shall be transferred to his loan account.

Required:

Prepare

(a) Revaluation account;

(b) Partners' capital accounts:

(c) Bank account; and

(d) Balance sheet of the reconstituted firm as on 1st April, 2015.

Personal Note:-

Question 11: (Ad. of Capital) **[PEQ. May 25, SM-PQ.-2]**

A, B, C were in partnership sharing profits and losses in the ratio of 3:2:1. The balance sheet of the firm as on 31.2.2016 was as under:

Liabilities		₹	Assets	₹
Capital accounts:			Fixtures	30,000
A	1,50,000		Stock	1,70,000
B	1,00,000		Sundry debtors	90,000
C	50,000	3,00,000	Cash	50,000
Sundry creditors		40,000		
		3,40,000		**3,40,000**

A, on account of ill-health, gave notice that he wished to retire from the firm. A retirement agreement was, therefore, entered as on 31.3.2016, the terms of which were as follows:

(a) The profit and loss account for the year ended 31.3.2016, which showed a net profit of ₹ 42,000 was to be re-opened. B was to be credited with ₹ 6,000 as bonus, in consideration of the extra work, which had devolved upon him during the year. The profit sharing basis was to be revised and the revised ratio is to be 2:3:1 as and from 1st April 2015.

(b) Goodwill was to be valued at two years' purchase of the average profits of five years. Profits for these five years ending on 31st March were as under:

	₹
31.3.2012	21,000
31.3.2013	23,000
31.3.2014	25,000
31.3.2015	35,000
31.3.2016	42,000

(c) Fixtures are to be valued at ₹ 39,800 and a provision of 2% was to be made for doubtful debts and the remaining assets were to be taken at their book value.

(d) That the amount payable to A shall be paid by B.

B and C agreed, as between themselves, to continue the business, sharing profits and losses in the ratio of 3:1 and decided to retain fixtures in the books at the revised value and increase the provision for doubtful debts to 6%. Total capital of the firm will be ₹ 3 lakhs as before to be maintained in the new ratio as between B and C.

You are required to give the necessary entries to give effect to the above arrangements. Prepare capital accounts of partners, cash account and balance sheet of B and C after giving effect to the above arrangements on the retirement of A.

Personal Note:-

Question 12: (JLP) **[PEQ – JAN.26-10M] [SM ILL-12][RTP- May-18 & Nov.20]**

On 31st March, 2017, the Balance Sheet of P, Q and R sharing profits and losses in proportion to their Capital stood as below:

Liabilities	₹	Assets	₹
Capital Account:		Land and Building	30,000
Mr. P	20,000	Plant and Machinery	20,000
Mr. Q	30,000	Stock of goods	12,000
Mr. R	20,000	Sundry debtors	11,000
Sundry Creditors	10,000	Cash and Bank Balances	7,000
	80,000		80,000

On 1st April, 2017, P desired to retire from the firm and remaining partners decided to carry on the business. It was agreed to revalue the assets and liabilities on that date on the following basis:

(i) Land and Building be appreciated by 20%.
(ii) Plant and Machinery be depreciated by 30%.
(iii) Stock of goods to be valued at ₹ 10,000.
(iv) Old credit balances of Sundry creditors, ₹ 2,000 to be written back.
(v) Provisions for bad debts should be provided at 5%.
(vi) Joint life policy of the partners surrendered and cash obtained ₹ 7,550.
(vii) Goodwill of the entire firm is valued at ₹ 14,000 and P's share of the goodwill is adjusted in the A/cs of Q and R, who would share the future profits equally. No goodwill account being raised.
(viii) The total capital of the firm is to be the same as before retirement. Individual capital is in their profit sharing ratio.
(ix) Amount due to Mr. P is to be settled on the following basis: 50% on retirement and the balance 50% within one year.

Prepare (a) Revaluation account, (b) The Capital accounts of the partners, (c) Cash account and (d) Balance Sheet of the new firm M/s Q & R as on 1.04.2017.

Personal Note:-

Question 13: (JLP) **[May-18, 22 (10 Marks)]**

A, B and C are partners sharing profits in the ratio of 3:2:1. Their Balance Sheet as at 31st March, 2018 stood as:

Liabilities		₹	Assets		₹
Capital Accounts			Building		10,00,000
A	8,00,000		Furniture		2,40,000
B	4,20,000		Office equipments		2,80,000
C	4,00,000	16,20,000	Stock		2,50,000
Sundry Creditors		3,70,000	Sundry debtors	3,00,000	
General Reserves		3,60,000	Less: Provision for Doubtful debts	30,000	2,70,000
			Joint life policy		1,60,000
			Cash at Bank		1,50,000
		23,50,000			23,50,000

B retired on 1st April, 2018 subject to the following conditions:

(i) Office Equipments revalued at ₹ 3,27,000.

(ii) Building revalued at ₹ 15,00,000. Furniture is written down by ₹ 40,000 and Stock is reduced to ₹ 2,00,000 .

(iii) Provision for Doubtful Debts is to be created @ 5% on Debtors.

(iv) Joint Life Policy will appear in the Balance Sheet at surrender value after B's retirement. The surrender value is ₹ 1,50,000

(v) Goodwill was to be valued at 3 years purchase of average 4 years profit which were:

Year	₹
2014	90,000
2015	1,40,000
2016	1,20,000
2017	1,30,000

(vi) Amount due to B is to be transferred to his Loan Account.

Prepare the Revaluation Account, Partners' Capital Accounts and the Balance Sheet immediately after B's retirement.

Personal Note:-

Question 14: **(WCR, IFR, EPF, Adv. Susp)** **(Sep. – 24, 10 Marks)**

X, Y and Z were partners in a firm sharing profits in the proportions of 1/2, 1/3 and 1/6 respectively The Balance Sheet of the firm on 31st march, 2018 was as follows:

Liabilities	₹	Assets		₹
Trade Creditors	15,000	Goodwill		6,000
Emplyees' Provident Fund	6,000	Cash at Bank		5,750
Workmen Compesnation Fund	12,000	Debtors	40,000	
Investment Fluctuation Fund	6,000	Less: provision	2,000	38,000
X's Capital	68,000	Stock		30,000
Y's Capital	32,000	Investments [Market Value ₹ 17,600]		15,000
Z's Capital	21,000	Patents		10,000
		Plant and Machinery		50,000
		Advertisement Expenditure		5,250
	1,60,000			1,60,000

Z retired on the above Date on the following terms.

(a) Goodwill of the firm was valued at ₹ 34,800 but it was not to remain in the books of the new firm.
(b) Value of Patents was to be reduce by 20% and that of Plant and Machinery to 90%.
(c) Provision for doubtful debts was to be raised to 6%.
(d) Z took over the investments at market value.
(e) Liability on account of Provident Fund was only ₹ 2,775.
(f) Liability for workmen compensation to the extent of ₹ 750 is to be created.
(g) Trade Creditors to the extent of 2½ % are not likely to claim their dues.
(h) Amount due to Z is to be settled on the following basis:
50% on retirement, 50% of the balance within one year and the balance by a Bill of Exchange (without interest) at 3 months.

Required: Show the necessary journal entries for the treatement of Goodwill, prepare Revaluation account, Capital accounts of the partners and the Balance Sheet of X and Y after Z's retirement.

Personal Note:-

Question 15: **(Adj. of Cap., WCR)** **(PEQ-DEC.23-10 Marks)**

A, B and C were partners sharing profits and losses in the ratio of 5:3:2. On 31st March, 2018 the Balance Sheet of the firm stood as under:

Particulars	₹
Sundry Creditors	26,500
Employees' Provident Fund	3,500
Workmen Compensation Reserve	15,000
A's Capital	1,10,000
B's Capital	56,000
C's Capital	44,000
Bank (Minimum Balance)	10,000
Debtors	65,000
Stock	55,000
Fixed Assets	1,25,000

B retires on 31st March 2018. For the prupose the following adjustments were agreed upon:-

(a) That Goodwill be valued at ₹ 75,000 but no goodwill is to appear in the books of new firm.
(b) That Fixed Assets be appreciated by 20%.
(c) That Stock be reduced to ₹ 50,000
(d) That B be paid through cash brought in by A and C in such a way as to make their capitals proportionate to their new profit sharing ratio which is to be A - 3/5 & C - 2/5:

Required: Give the Partner's Capital A/cs & the Balance Sheet of A and C.

Personal Note:-

Question 16: (IFR, WCR, EPF, Adj. of Cap.)

The Balance Sheet of X, Y and Z sharing profits and losses in the ratio of 5:3:2 on 31st December, 2017 is given below:

Liabilities	₹	Assets		₹
Sundry Creditors	12,000	Goodwill		10,000
Employees' Provident Fund	6,000	Patents		52,000
Investment Fluctuation Reserve	7,000	Machinery		62,400
Workmen Compensation Reserve	7,000	Investments		6,000
X's Capital	1,35,000	Stock		20,000
Y's Capital	95,000	Sundry Debtors	24,000	
Z's Capital	74,000	Less: Provision	4,000	20,000
		Loan to Z		1,000
		Cash at Bank		12,600
		Advertisment Expenditure		2,000
		Profit & Loss A/c (2017)		1,50,000
	3,36,000			**3,36,000**

Z retires from 1st May, 2018 and X and Y decide to share future profits losses in the ratio of 3:5. Z has withdrawn ₹ 10,000 during 2018. It was agreed that:

(a) Goodwill be valued at 2-1/2 years' purchase of average of four Completed years' profits which were : 2014 ₹ 2,02,000; 2015 ₹ 28,000; 2016 ₹ 32,000.
(b) Z's Share of profit from the closure of last accourting year till Date of retirement be calculated on the basis of the average of three completed years' profits before retirement.
(c) Patents undervalued by ₹ 14,000, Machinery overvalued by ₹ 13,600, All Debtors are good. ₹ 1,000 included in Sundry Creditors is not likely to arise. Unaccounted Accrued Income of ₹ 2,200 to be provided for. A debtor whose dues of ₹ 400 were written off as bad debts paid 50% in full settlement. A claim of ₹ 1,000 on account of Workment's Compensation to be provided for.
(d) Investments sold for ₹ 8,200. Z was to be paid through Cash brought in by X and Y in such a way as to make their capitals proportionate to their new profit sharing ratio of 3:5 assuming that a minimum Cash & Bank Balance of ₹ 9,000 was to be maintained

Prepare Revaluation Account, Capital Account of Partners and the Balance Sheet of New Firm.

Personal Note:-

Question 17: (EPF, WCR, G/W & Fictitious Asset appearing in B/S, Adj. of Cap.)

On 31st March 2018 the Balance Sheet of A,B and C who were sharing profits and losses in proportion to their capitals stood as follows:

Liabilities	₹	Assets		₹
Creditors	20,000	Goodwill		6,000
Employee's Provident Fund	1,600	Cash at Bank		16,000
A's Capital A/c	78,000	Debtors	20,000	
B's Capital A/c	52,000	Less: Provision	400	19,600
C's Capital A/c	26,000	Stock		18,000
Contingency Reserve	30,000	Machinery		48,000
Workment Compensation Reserve	6,000	Land & Building		1,00,000
		Advertisement Expenditure		6,000
	2,13,600			**2,13,600**

B retires and the following re-adjustments of the Assets and Liabilities have been agreed upon before the scertainment of the amount payable to B:

(a) That out of the amount of insurance which was debited entirely to profit and Loss Account, ₹ 2,000 be carried forward as an unexpired insurance.
(b) That the Land and Building be appreciated by 10%.
(c) That the Provision for Doubtful Debts be brought up to 5% on Debtors.
(d) That Machinery be depreciated by 5%.
(e) That a provision of ₹ 3,000 be made in respect of an outstanding bill for repairs.
(f) That the Goodwill of the entire firm be fixed at ₹ 36,000.
(g) That the entire capital of the firm as newly constituted be fixed at ₹ 1,20,000 between A and C in the proportion of ¾ and ¼ after passing entries in their accounts for adjustments i.e. actual cash to be paid off or to be brought in by the continuing partners as the cse may be.
(h) That B be paid ₹ 6,000 in Cash and the balance be transferred to his loan account.

Required: Prepare the Revaluation Account, the Capital Accounts of the Partners and the Balance Sheet of the firm of A and C.

Personal Note:-

Question 18: (Basic) **[SM-ILL-10]**

Aarav, Nirav and Purav are partners in LLP sharing profits and losses in the ratio of 3:2:1. Their Balance Sheet as on 31st March, 2022 was as follows:

Balance Sheet as on 31st March, 2022

Liabilities	₹	Assets	₹
Capital : Aarav	80,000	Building	50,000
Nirav	50,000	Machinery	67,500
Purav	35,000	Debtors	65,000
General Reserve	60,000	Stock	80,000
Trade Creditors	50,000	Bank	12,500
	2,75,000		2,75,000

Purav retired from the business on 1st April 2022 on the following terms:

1. Goodwill was to be valued at 2 years purchase of average profit of past 3 years.
   31st March, 2020 ₹ 41,000
   31st March, 2021 ₹ 50,000
   31st March, 2022 ₹ 55,000

2. Goodwill was not to be raised in the books of accounts.
3. Provision for Doubtful Debts was to be created on debtors at 5%.
4. Machinery is to be depreciated by 10% and stock is revalued at ₹ 71,000.
5. Building to be appreciated by 20%.
6. Aarav and Nirav to bring in additional capital of ₹ 35,000 and ₹ 25,000 respectively.
7. Balance payable to Purav must be paid immediately.

You are required to prepare:

1. Revaluation account
2. Partners capital accounts.
3. Bank account.
4. Balance Sheet after retirement.

Personal Note:-

Question 19: **[SM-ILL-11]**

Satyam, Shivam & Sundaram are partners of M/s. Great Stationers sharing profits and losses in the ratio of 1:1:2.

On 31st March 2020 their Balance Sheet was as under:

Liabilities		₹	Assets	₹
Capitals :			Building	2,50,000
Satyam	1,95,000		Plant	1,60,000
Shivam	1,48,000		Investments	85,000
Sunderam	1,12,000	4,55,000	Stock	45,280
General Reserve		80,000	Trade Receivable	68,000
Loan from Satyam		94,000	Bank	95,720
Sundry Creditors		75,000		
		7,04,000		**7,04,000**

On 1st April 2020 Shivam retired on the following terms:

1. Goodwill is to be valued at ₹ 1,20,000 but the same will not appear as an asset in the books of the reconstituted firm.
2. Buildings is to be appreciated by 20% and Plant is to be depreciated by 10%.
3. Investments are to be taken over by the Satyam in full settlement of his loan.
4. Provision of 5% is to be made on Trade receivables to cover doubtful debts.
5. In the reconstituted firm, the total capital will be ₹ 3,00,000/- which will be contributed by Satyam And Sunderam in their new profit sharing ratio, which is 2:3.
6. The amount due to retiring partner shall be transferred to his loan account.

You are required to give journal entries to record above adjustments and also prepare Balance Sheet thereafter.

Personal Note:-

Question 20: **[RTP- JAN. 25 & MAY 22]**

Acme & Co. is a partnership firm with partners Mr. A, Mr. B and Mr. C, sharing profits and losses in the. ratio of 10:6:4. The balance sheet of the firm as at 31st March, 2021 is as under:

Liabilities		Rs.	Assets	Rs.
Capitals:			Land	30,000
Mr. A	2,40,000		Buildings	6,00,000
Mr. B	60,000		Plant and machinery	3,90,000
Mr. C	90,000	3,90,000	Furniture	1,29,000
Reserves			Investments	36,000
(un-appropriated profit)		60,000	Inventories	3,90,000
Long Term Debt		9,00,000	Trade receivables	4,17,000
Bank Overdraft		1,32,000		
Trade payables		5,10,000		
		19,92,000		**19,92,000**

It was mutually agreed that Mr. B will retire from partnership and in his place Mr. F will be admitted as a partner with effect from 1st April, 2021. For this purpose, the following adjustments are to be made:

(a) Goodwill is to be valued at Rs. 3 lakh but the same will not appear as an asset in the books of the reconstituted firm.

(b) Buildings and plant and machinery are to be depreciated by 5% and 20% respectively. Investments are to be taken over by the retiring partner at Rs. 45,000. Provision of 20% is to be made on Trade receivables to cover doubtful debts.

(c) In the reconstituted firm, the total capital will be Rs. 6 lakhs which will be contributed by Mr. A, Mr. F and Mr. C in their new profit sharing ratio, which is 2:1:2.

(i) The surplus funds, if any, will be used for repaying bank overdraft.

(ii) The amount due to retiring partner shall be transferred to his loan account.

You are required to prepare

(a) Revaluation account;

(b) Partners capital accounts;

(c) Bank account; and

(d) Balance sheet of the reconstituted firm as on 1st April, 2021.

Personal Note:-

SOLUTION OF HOMEWORK QUESTIONS

Solution 10:

Revaluation Account

	₹			₹
To Buildings A/c	10,000	By Investments A/c		3,000
To Plant and Machinery A/c	26,000	By Loss to Partners:		
To Provision for Doubtful Debts A/c	27,800	A	30,400	
		B	18,240	
		C	12,160	60,800
	63,800			**63,800**

A's Capital Account

	₹		₹
To Revaluation A/c	30,400	By Balance b/d	80,000
To Balance c/d	80,000	By Reserves A/c	10,000
		By C and D's Capital A/c (G/W)	10,000
		By Bank A/c (balancing figure)	10,400
	1,10,400		**1,10,400**

B's Capital Account

	₹		₹
To Revaluation A/c	18,240	By Balance b/d	20,000
To Investments A/c	15,000	By Reserves A/c	6,000
To B's Loan A/c	22,760	By C and D's Capital A/c (G/W)	30,000
	56,000		**56,000**

C's Capital Account

	₹		₹
To Revaluation A/c	12,160	By Balance b/d	30,000
To A and B's Capital A/c (G/W)	20,000	By Reserves A/c	4,000
To Balance c/d	80,000	By Bank A/c (balancing figure)	78,160
	1,12,160		**1,12,160**

D's Capital Account

	₹		₹
To A and B's Capital A/cs (G/W)	20,000	By Bank A/c	60,000
To Balance c/d	40,000		
	60,000		**60,000**

Bank Account

	₹		₹
To A's Capital A/c	10,400	By Bank Overdraft A/c	44,000
To C's Capital A/c	78,160	By Balance c/d	1,04,560
To D's Capital A/c	60,000		
	1,48,560		**1,48,560**

Balance Sheet of Dowell Co. as at 1st April, 2015

Liabilities		₹	Assets		₹
Capital Accounts:			Land		10,000
A	80,000		Buildings		1,90,000
C	80,000		Plant and Machinery		1,04,000
D	40,000	2,00,000	Furniture		43,000
Long Term Debts		3,00,000	Inventories		1,30,000
Trade payables		1,70,000	Trade receivables	1,39,000	
B's Loan Account		22,760	*Less:* Provision for Doubtful Debts)	(27,800)	1,11,200
			Balance at Bank		1,04,560
		6,92,760			**6,92,760**

Working Note

Calculation of Gaining Ratio

	New		Old			
A	$\frac{2}{5}$	-	$\frac{10}{20}$	=	$\frac{-2}{20}$	(S)
B	0	-	$\frac{6}{20}$	=	$\frac{-6}{20}$	(S)
C	$\frac{2}{5}$	-	$\frac{4}{20}$	=	$\frac{4}{20}$	(G)
D	$\frac{1}{5}$	-	0	=	$\frac{1}{5}$	(G)

Total Goodwill = 1,00,000

A's Goodwill = 1,00,000 x $\frac{2}{20}$ = 10,000

B's Goodwill = 1,00,000 x $\frac{6}{20}$ = 30,000

C's Goodwill = 1,00,000 x $\frac{4}{20}$ = 20,000

D's Goodwill = 1,00,000 x $\frac{1}{5}$ = 20,000

Solution 11:

Journal Entries

	Particulars		₹	₹
1.	A's Capital account	Dr.	21,000	
	B's Capital account	Dr.	14,000	
	C's Capital account	Dr.	7,000	
	To Profit and loss adjustment account			42,000
	(Profit written back for making adjustments)			
2	Profit and loss adjustment account	Dr.	6,000	
	To B's Capital account			6,000
	(Bonus credited to B's capital account)			
3.	Profit and loss adjustment account	Dr.	36,000	
	To A's Capital account			12,000
	To B's Capital account			18,000
	To C's Capital account			6,000
	(Distribution of profits in the new ratio)			
4.	Fixtures account	Dr.	9,800	
	To Provision for bad debts account			1,800
	To A's Capital account			2,667
	To B's Capital account			4,000
	To C's Capital account			1,333
	(Revaluation of assets on A's retirement)			
5.	B's capital account	Dr.	2,700	
	C's capital account	Dr.	900	
	To Provision for bad debts account			3,600
	(Raising provision for bad debts in new ratio)			
6.	A's capital account	Dr.	1,64,200	
	To B's Capital account			1,64,200
	(Amount payable to A paid by B)			
7.	B's Capital A/c	Dr.	15,400	
	C's Capital A/c	Dr.	5,133	
	To A's Capital A/c			20,533
	(In gaining Ratio of 3:1)			

Partners' Capital Accounts

	A	B	C		A	B	C
	₹	₹	₹		₹	₹	₹
To P & L adjustment A/c	21,000	14,000	7,000	By Balance b/d	1,50,000	1,00,000	50,000
Provision for				By P & L adjustment account	-	6,000	-
bad debts A/c	-	2,700	900	By P & L adjustment account	12,000	18,000	6,000
To A's Capital A/c (3:1) (G/W)		15,400	5,133	By Rev. A/c	2,667	4,000	1,333
To B's Capital A/c	1,64,200	-	-	By B's & C's Capital A/c	20,533	-	-
To Cash A/c (B/F)	-	35,100	-	By A's capital A/c	-	1,64,200	-
To Balance c/d (3:1)	-	2,25,000	75,000	By Cash A/c (B/F)			30,700
	1,85,200	**2,92,200**	**88,033**		**1,85,200**	**2,92,200**	**88,033**

Cash Account

	₹		₹
To Balance b/d	50,000	By B's capital A/c	35,100
To C's capital A/c	30,700	By Balance b/d	45,600
	80,700		**80,700**

Balance Sheet of B and C
as on 31st March, 2016 (after retirement of A)

Liabilities		₹	Assets		₹
Capital accounts:			Fixtures		39,800
B	2,25,000		Stock		1,70,000
C	75,000	3,00,000	Sundry debtors	90,000	
Sundry creditors		40,000	*Less:* Provision for bad debts	(5,400)	84,600
			Cash		45,600
		3,40,000			**3,40,000**

Working Notes:

Calculation of goodwill:

Year	Profit	Weight	Weight Profit
2012	21,000	1	21,000
2013	23,000	2	46,000
2014	25,000	3	75,000
2015	35,000	4	1,40,000
2016 (42,000 – 6000)	36,000	5	1,80,000
		15	**4,62,000**

Weighted Avg. Profit (WAP) = $\frac{4,62,000}{15}$ = 30,800

G/W = WAP X No. of Years' Purchase
= 30,800 x 2
= 61,600

A's Share of G/W = 61,600 x $\frac{2}{6}$ = 20,533

Gaining Ratio of B & C

B = $\frac{3}{4} - \frac{3}{6} = \frac{9-6}{12} = \frac{3}{12}$

C = $\frac{1}{4} - \frac{1}{6} = \frac{3-2}{12} = \frac{1}{12}$

= 3:1

Solution 12:

(a) **Revaluation Account**

Date	Particulars	₹	Date	Particulars	₹
2017 April	To Plant & Machinery	6,000	2017 April	By Land and building	6,000
	To Stock of goods	2,000		By Sundry creditors	2,000
	To Provision for bad and doubtful debts	550		By Cash & Bank - Joint life Policy surrendered	7,550
	To Capital accounts (profit on revaluation transferred)				
	Mr. P (2/7) 2,000				
	Mr. Q (3/7) 3,000				
	Mr. R (2/7) 2,000	7,000			
		15,550			**15,550**

(b) Partners' Capital Accounts

Dr. Cr.

Particulars	P	Q	R	Particulars	P	Q	R
	₹	₹	₹		₹	₹	₹
To P's Capital A/c - goodwill	-	1,000	3,000	By Balance b/d	20,000	30,000	20,000
To Cash & bank A/c - (50% dues paid)	13,000			By Revaluation A/c	2,000	3,000	2,000
To P's Loan A/c - (50% transfer)	13,000			By Q & R's Capital A/cs - goodwill	4,000		
To Balance c/d		35,000	35,000	By Cash & bank A/c - amount brought in (Balancing figures)		3,000	16,000
	26,000	**36,000**	**38,000**		**26,000**	**36,000**	**38,000**

(c) Cash and Bank Account

Particulars	₹	Particulars	₹
To Balance b/d	7,000	By P's Capital A/c - 50% dues paid	13,000
To Revaluation A/c - surrender value of joint life policy	7,550	By Balance b/d	20,550
To Q's Capital A/c	3,000		
To R's Capital A/c	16,000		
	33,550		**33,550**

(d) Balance Sheet of M/s Q& R as on 01.04.2017

Liabilities		₹	Assets		₹
Partners' Capital account			Land and Building	30,000	
Mr. Q	35,000		**Add:** Appreciation 20%	6,000	36,000
Mr. R	35,000	70,000	Plant & Machinery	20,000	
Mr. P's Loan account		13,000	**Less:** Depreciation 30%	(6,000)	14,000
Sundry Creditors		8,000	Stock of goods	12,000	
			Less: revalued	(2,000)	10,000
			Sundry Debtors	11,000	
			Less: Provision for bad debts 5%	550	10,450
			Cash & Bank balances		20,550
		91,000			**91,000**

Working Notes:

Adjustment for Goodwill:	
Goodwill of the firm	14,000
Mr. P's Share (2/7)	4,000
Gaining ratio of Q & R;	
Q = ½ - 3/7 = 1/14	
R = ½ - 2/7 = 3/14	
Q:R = 1:3	

Therefore, Q will bear – ¼ x 4000 or ₹ 1,000

R will bear = % x 4000 or ₹ 3,000

Solution 13:

Revaluation Account

	₹		₹
To Furniture A/c	40,000	By Office equipment A/c	47,000
To Stock A/c	50,000	By Building A/c	5,00,000
To Joint life policy	10,000	By Provision for doubtful debts	15,000
To Partners' capital A/cs:			
A 2,31,000			
B 1,54,000			
C 77,000	4,62,000		
	5,62,000		**5,62,000**

Partners' Capital Accounts

	A ₹	B ₹	C ₹		A ₹	B ₹	C ₹
To B's capital A/c	90,000	–	30,000	By Balance b/d	8,00,000	4,20,000	4,00,000
To B's loan A/c		8,14,000		By General Reserve	1,80,000	1,20,000	60,000
To Balance c/d	11,21,000		5,07,000	By Revaluation	2,31,000	1,54,000	77,000
				By A's capital A/c		90,000	
				By C's capital A/c		30,000	
	12,11,000	**8,14,000**	**5,37,000**		**12,11,000**	**8,14,000**	**5,37,000**

Balance Sheet as on 1.4.2018 (After B's retirement)

Liabilities	₹	₹	Assets	₹	₹
Capital accounts:			Building		15,00,000
A	11,21,000		Furniture		2,00,000
C	5,07,000	16,28,000	Office equipment		3,27,000
B's loan account		8,14,000	Stock		2,00,000
Sundry creditors		3,70,000	Sundry debtors	3,00,000	
			Less: Provision for doubtful debts	(15,000)	2,85,000
			JLP		1,50,000
			Cash at bank		1,50,000
		28,12,000			**28,12,000**

Working Notes:

Calculation of goodwill:

1. **Average of last 4 year's profit**
   = (90,000+1,40,000+1,20,000+1,30,000)/4
   = ₹ 1,20,000
2. **Goodwill at three years' purchase**
   ₹ 1,20,000 x 3 = ₹ 3,60,000

Since New Ratio is not given old Ratio between A & C will be gaining Ratio i.e. 3 : 1
B's Share of G/W= 3,60,000 x 2/6 = 1,20,000

Solution 14:

Journal

Particulars		L.F.	Dr. (₹)	Cr. (₹)
X's Capital A/c	Dr.		3,000	
Y's Capital A/c	Dr.		2,000	
Z's Capital A/c	Dr.		1,000	
To Goodwill A/c				6,000
(Being the existing book value of goodwill w/o)				
X's Capital A/c	Dr.		3,480	
Y's Capital A/c	Dr.		2,320	
Z's Capital A/c				5,800
(Being the Z's share of goodwill credited to him by debiting gaining partners in their ratio of 3 : 2)				

Dr. REVALUATION ACCOUNT Cr.

Particulars	₹	Particulars	₹
To Patents	2,000	By Investments	2,600
To Plant & Machinery	5,000	By Provident fund	3,225
To provision for Doubtful Debts	400	By Creditors	375
		By Loss on Revaluation t/f to:	
		X's Capital A/c	600
		Y's Capital A/c	400
		Z's Capital A/c	200
	7,400		**7,400**

Dr. **PARTNERS' CAPITAL ACCOUNTS** Cr.

Particulars	X ₹	Y ₹	Z ₹	Particulars	X ₹	Y ₹	Z ₹
To Goodwill A/c	3,000	2,000	1,000	By Balance b/d	68,000	32,000	21,000
To Z's Capital A/c	3,480	2,320	—	By Work Com. Fund	5,625	3,750	1,875
To Revaluation A/c	600	400	200	By Invest. Flue. Fund	3,000	2,000	1,000
To Advertisement Exp.	2,625	1,750	875	By X's Capital A/c	—	—	3,480
To Investment A/c	—	—	17,600	By Y's Capital A/c	—	—	2,320
To Bank A/c	—	—	5,000				
To Loan from Z A/c	—	—	2,500				
To Bills Payable A/c	—	—	2,500				
To Balance c/d	66,920	31,280	—				
	76,625	**37,750**	**29,675**		**76,625**	**37,750**	**29,675**

BALANCE SHEET AS AT 31ST MARCH, 2018

Liabilites	₹	Assets		₹
Trade Creditors	14,625	Cash at Bank [₹ 5,750 - ₹ 5,000]		750
Liability for Workment Compensation	750	Debtors	40,000	
Provident Fund	2,775	Less: Provision	(2,400)	37,600
Bill Payable	2,500	Stock		30,000
Loan from Z	2,500	Patents		8,000
X's Capital	66,920	Plant & Machinery		45,000
Y's Capital	31,280			
	1,21,350			**1,21,350**

Note: -

(1) Calculation of Gaining Ratio : Old Ratio between X & Y will be GR i.e. $\frac{1}{2} : \frac{1}{3}$ or 3 : 2 (Mulplied by 6)

(2)

Workment Compensation Fund (B/S)	6,000
(-) Liability	750
Excess Res. To be trf. to P's Cap. A/c	5,250

Solution 15:

Dr. **CAPITAL ACCOUNTS OF PARTNERS** Cr.

Particulars	A ₹	B ₹	C ₹	Particulars	A ₹	B ₹	C ₹
To B's Capital A/c	7,500	—	15,000	By Balance b/d	1,10,000	56,000	44,000
To Cash A/c	—	89,000	—	By Revaluation A/c	10,000	6,000	4,000
To Balance c/d	1,47,000	—	98,000	By Workmen Com. Reserve A/c	7,500	4,500	3,000
				By As Capital A/c	—	7,500	—
				By C's Capital A/c	—	15,000	—
				By Cash A/c	27000	—	62,000
	1,54,500	**89,000**	**1,13,000**		**1,54,500**	**89,000**	**1,13,000**

BALANCE SHEET OF A & C AS AT 31ST MARCH, 2018

Liabilities	₹	Assets	₹
A's Capital	1,47,000	Fixed Assets	1,50,000
C's Capital	98,000	Stock	50,000
Sundry Creditors	26,500	Debtors	65,000
Employees' Provident Fund	3,500	Bank	10,000
	2,75,000		**2,75,000**

Working Notes:

1. **Calculation of Gaining Ratio**

Gain of Partner = New Share – Old Share

A's Gain = $\frac{3}{5} - \frac{1}{2} = \frac{1}{10}$

C's Gain = $\frac{2}{5} - \frac{1}{5} = \frac{2}{10}$

Hence, Gaining Ratio of A & C = $\frac{1}{10} : \frac{2}{10}$ = 1 : 2

B's Share of G/W = 75,000 x $\frac{3}{10}$ = 22,500

Distribute in GR of 1 : 2

2. Profit on Revaluation = (20% of ₹ 1,25,000) – (₹ 55,000 - ₹ 50,000) = ₹ 20,000

3. Total Capital of New Firm = Total Asset – Outside Liability
= (1,50,000 + 50,000 + 65,000 + 10,000) – (26,500 + 3,500)
= 2,45,000

4. A's New Capital = ₹ 2,45,000 x 3/5 = ₹ 1,47,000
C is New Capital = ₹ 2,45,000 x 2/5 = 98,000

5. CALCULATION OF ACTUAL CASH TO BE PAID OFF OR BROUGHT IN BY A AND C

	Particulars	A	C
(a)	New Capital (₹ 2,45,000 in the ratio of 3:2)	₹ 1,47,000	₹ 98,000
(b)	Adjsuted Old Capital	₹ 1,20,000	₹ 36,000
(c)	Cash to be brought in (a-b)	₹ 27,000	₹ 62,000

Solution 16:

REVALUATION ACCOUNT

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Machinery	13,600	By Sundry Creditors	1,000
To Profit transferred to:		By Accrued Income	2,200
X's Capital A/c	5,000	By Cash Bad Debts Recovered	200
Y's Capital A/c	3,000	By Patents	14,000
Z's Capital A/c	2,000	By Provision for Doubtful Debts	4,000
		By Investments	2,200
	23,600		**23,600**

Dr. **PARTNERS' CAPITAL ACCOUNTS** Cr.

Particulars	X (₹)	Y (₹)	Z (₹)	Particulars	X (₹)	Y (₹)	Z (₹)
To Bank A/c	—	—	10,000	By Balance b/d	1,35,000	95,000	74,000
To Goodwill A/c	5,000	3,000	2,000	By Revaluation A/c	5,000	3,000	2,000
To P & L A/c	75,000	45,000	30,000	By Y's Capital A/c	8,750	—	14,000
To Z's Capital A/c	—	14.000	—	By Invest. F. Res.	3,500	2,100	1,400
To X's Capital A/c	—	8,750	—	By Work. Comp. Res.	3,000	1,800	1,200
To P&L Suspense A/c	—	—	2,000	(7,000 – 1,000)			
To Loan to Z A/c	—	—	1,000	By Bank A/c (b.f.)	—	63,200	—
To Adv. Exp.	1,000	600	400				
To Bank A/c	—	—	47,200				
To Bank A/c (b.f.)	18,000	—	—				
To Balance c/d (W.N)	56,250	93,750	—				
	1,55,250	**1,01,900**	**92,600**		**1,55,250**	**1,01,900**	**92,600**

BALANCE SHEET OF NEW FIRM AS AT 1ST MAY, 2018

Liabilities	₹	Assets	₹
Sundry Creditors	11,000	Patents	66,000
Employees' Provident Fund	6,000	Machinery	48,800
X's Capital	56,250	Stock	20,000
Y's Capital	93,750	Sundry Debtors	24,000
P&L Suspense A/c	2,000	Accrued Income	2,200
Workmen's Compensation Claim	1,000	Cash at Bank	9,000
	1,70,000		**1,70,000**

Working Notes:

1. X's sacrifice = 3/8 - 5/10 = (5/40), Y's gain = 5/8 - 3/10 = 13/40
2. Firm's Goodwill = [(2,02,000 +28,000 + 32,000 - 1,50,000)/4] x 2.5 = ₹ 70,000
3. Z's Share of Goodwill = ₹ 70,000 x 2/10 = ₹ 14,000
4. X's Share of Goodwill = ₹ 70,000 x 5/40 = ₹ 8,750
5. Average Profit (Loss) of Last 3 years = (28,000 + 32,000 - 1,50,000)/3 = (₹ 30,000)
6. Z's Share of Loss = (₹ 30,000) x 4/12 x 2/10 = (₹ 2,000)

Entry:

Z's Capital Dr.

To P/L Suspense A/c

7. Calculation of Total Capital after Retirement :-

Total Asset	= 1,70,000	(Refer B/S)
(-) Total Liabilities	= 20,000	(11,000 + 6,000 + 2,000 + 1,000) (Refer B/S)
	= 1,50,000	Distributed to X & Y in New PSR 3:5

8. X's New Capital = ₹ 1,50,000 x 3/8 = ₹ 56,250, Z's New Capital = ₹ 1,50,000 x 5/8 = ₹ 93,750

CASH AT BANK ACCOUNT

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Balance b/d	12,600	By Z's Capital A/c (Drawings)	10,000
To Investments	8,200	By Z's Capital A/c	47,200
To Y's Capital A/c	63,200	By X's Capital A/c	18,000
To Bad Debts Recovered	200	By Balance c/d	9,000
	84,200		**84,200**

Solution 17:

REVALUATION ACCOUNT

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Provision for Doubtful Debts	600	By Unexpired Insurance	2,000
To Machinery	2,400	By Land & Building	10,000
To Outstanding Repairs	3,000		
To Profit on Revaluation t/f to:			
A's Capital A/c	3,000		
B's Capital A/c	2,000		
C's Capital A/c	1,000		
	12,000		**12,000**

Dr. **PARTNERS' CAPITAL ACCOUNTS** Cr.

Particulars	A ₹	B ₹	C ₹	Particulars	A ₹	B ₹	C ₹
To Goodwill A/c	3,000	2,000	1,000	By Balance b/d	78,000	52,000	26,000
To B's Capital A/c	9,000	—	3,000	By Revaluation A/c	3,000	2,000	1,000
(for goodwill)(GR 3:1)				By As Capital A/c	—	9,000	—
To Advertisement Exp.	3,000	2,000	1,000	(for goodwill)			
To Bank A/c	—	6,000	—	By C's Capital A/c	—	3,000	—
To B's Loan A/c	—	68,000	—	(for goodwill)			
To Balance c/d	90,000	—	30,000	By Cont. Reserve	15,000	10,000	5,000
				By Work. Com. Reserve	3,000	2,000	1,000
				By Bank A/c	6,000	—	2,000
	1,05,000	**78,000**	**35,000**		**1,05,000**	**78,000**	**35,000**

BALANCE SHEET OF A AND C AS AT 31st MARCH, 2018

Liabilities	₹	Assets		₹
Creditors	20,000	Cash at Bank		18,000
Employee's Provident Fund	1,600	Debtors	20,000	
Liability for repairs	3,000	Less: Provision	(1,000)	19,000
B's Loan A/c	68,000	Stock		18,000
A's Capital A/c	90,000	Machinery		45,600
C's Capital A/c	30,000	Land & building		1,10,000
		Unexpired Insurance		2,000
	2,12,600			**2,12,600**

Working Note:

1. **CASH AT BANK ACCOUNT**

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Balance b/d	16,000	By B's Capital A/c	6,000
To A's Capital A/c	6,000	By Balance c/d	18,000
To C's Capital A/c	2,000		
	24,000		**24,000**

2. **Calculation of Gaining Ratio : New- Old**

A $= \frac{3}{4} - \frac{3}{6} = \frac{9-6}{12} = \frac{3}{12}$

C $= \frac{1}{4} - \frac{1}{6} = \frac{3-2}{12} = \frac{1}{12}$

i.e. 3 : 1

Solution: 18

In The Books of Aarav Nirav and Purav

Revaluation A/c

Particulars	₹	Particulars		₹
To Provision for Doubtful Debts	3,250	By Building		10,000
To Machinery	6,750	By Loss on revaluation		
To Stock	9,000	Aarav	4,500	
		Nirav	3,000	
		Purav	1,500	9,000
	19,000			19,000

Partners Capital A/c

Particulars	Aarav	Nirav	Purav	Particulars	Aarav	Nirav	Purav
To Loss on Revaluation	4,500	3,000	1,500	By Balance b/d	80,000	50,000	35,000
To Bank			60,500	By General Reserve	30,000	20,000	10,000
To Purav capital	10,200	6,800		By Aarav, Nirav capital			17,000
To Balance c/d	1,30,300	85,200		By Bank	35,000	25,000	
	1,45,000	95,000	62,000		1,45,000	95,000	62,000

Bank A/c

Particulars	₹	Particulars	₹
To Balance b/d	12,500	By Purav's Capital	60,500
To Aarav's Capital	35,000	By Balance c/d	12,000
To Nirav's Capital	25,000		
	72,500		72,500

Balance Sheet as on April 1st, 2022

Liabilities			₹	Assets		₹
Capital :	Aarav	1,30,300		Building		60,000
	Nirav	85,200	2,15,500	Machinery		60,750
Trade Creditors			50,000	Debtors	65,000	
				Less: Provision for doubtful Debts	3,250	61,750
				Stock		71,000
				Bank		12,000
			2,65,500			2,65,500

Working note :

Valuation of Goodwill (as per weight average method)

31st March 2020	₹ 41,000 X 1 =	41,000
31st March 2021	₹ 50,000 X 2 =	1,00,000
31st March 2022	₹ 55,000 X 3 =	1,65,000
Total		₹ 3,06,000

Weighted average profit (3,06,000/6) = 51,000

Goodwill (2 years purchase) = 2 x 51,000 = ₹ 1,02,000

Purav's share = 1/6th = 1,02,000/6 = 17,000

Journal entry for adjustment of goodwill

Aarav capital A/c	Dr.	10,200	
Nirav capital	Dr.	6,800	
To Purav capital			17,000

Solution 19:

In the books of Satyam Shivam & Sundaram
Journal entries:

Sr No	Particulars		Dr. (₹)	Cr. (₹)
1	General Reserve A/c	Dr.	80,000	
	To Satyam Capital A/c			20,000
	To Shivam Capital A/c			20,000
	To Sunderam Capital A/c			40,000
	(being General reserve distributed among old partners)			
2.	Satyam Capital A/c	Dr.	18,000	
	Sunderam Capital A/c	Dr.	12,000	
	To Shivam Capital A/c			30,000
	(being adjustment entry for goodwill passed)			
3.	Building A/c	Dr.	50,000	
	To Revaluation A/c			50,000
	(Being Building appreciated)			
4.	Satyam loan A/c	Dr.	94,000	
	To Revaluation A/c			9,000
	To Investments A/c			85,000
	(Being investments taken over by Satyam)			
5.	Revaluation A/c	Dr.	19,400	
	To Plant			16,000
	To Provision for Doubtful Debts			3,400
	(Being Assets revalued)			
6	Revaluation A/c	Dr.	39,600	
	To Satyam Capital A/c			9,900
	To Shivam capital A/c			9,900
	To Sundaram Capital A/c			19,800
	(Being profit on Revaluation distributed)			
7	Shivam Capital A/c	Dr.	2,07,900	
	To Shivam loan A/c			2,07,900
	(Being amount payable to Shivam transferred to his Loan A/c)			

8.	Satyam Capital A/c To Bank A/c (Being Capital accounts adjusted in PSR)	Dr.	86,900	 86,900
9.	Bank A/c To Sunderam Capital A/c (Being Capital accounts adjusted in PSR)		20,200	 20,200

Balance Sheet as on 1st April 2020 :

Liabilities		**₹**	**Assets**		**₹**
Capitals:			Building		3,00,000
Satyam	1,20,000		Plant		1,44,000
Sundaram	1,80,000	3,00,000	Stock		45,280
Shivam Loan A/c		2,07,900	Trade Receivable	68,000	
Sundry Creditors		75,000	*Less:* PDD	3,400	64,600
			Bank		29,020
		5,82,900			**5,82,900**

Working Note:

Revaluation A/c

Particulars		**₹**	**Particulars**	**₹**
To PDD		3,400	By Building	50,000
To Plant		16,000	By Investments	9,000
To Revaluation Profit				
Satyam	9,900			
Shivam	9,900			
Sundaram	19,800	39,600		
		59,000		**59,000**

Bank A/c

Particulars	**₹**	**Particulars**	**₹**
To Balance b/d	95,720	By Satyam Capital	86,900
To Sundaram Capital	20,200	By Balance c/d	29,020
	1,15,920		**1,15,920**

Partners Capital A/c

Particulars	**Satyam**	**Shivam**	**Sundaram**	**Particulars**	**Satyam**	**Shivam**	**Sundaram**
				By Balance b/d	1,95,000	1,48,000	1,12,000
To Shivam	18,000		12,000	By Satyam and Sunderam		30,000	
To Shivam's loan A/c		2,07,900		By General Reserve	20,000	20,000	40,000
				By Revaluation	9,900	9,900	19,800
To bank	86,900			By Bank			20,200
To balance c/d	1,20,000		1,80,000				
	2,24,900	**2,07,900**	**1,92,000**		**2,24,900**	**2,07,900**	**1,92,000**

Partner	**Old Share**		**New share**		**Gain Share**
Satyam	1/4	-	2/5	=	3/20
Shivam	1/4	-	-	=	(5/20)
Sundaram	2/4	-	3/5	=	2/20

Solution 20:

Revaluation Account

Particulars	Amount Rs.	Particulars		Amount Rs.
To Buildings A/c	30,000	By Investments A/c		9,000
To Plant and Machinery A/c	78,000	By Loss to Partners:		
To Provision for Doubtful Debts A/c	83,400	A	91,200	
		B	54,720	
		C	36,480	1,82,400
	1,91,400			**1,91,400**

Partners' Capital A/c

Particulars	A	B	C	F	Particulars	A	B	C	F
	Rs.	Rs.	Rs.	Rs.		Rs.	Rs.	Rs.	Rs.
To Revaluation A/c	91,200	54,720	36,480	-	By Balance b/d	2,40,000	60,000	90,000	-
To Investments A/c	-	45,000	-	-	By Reserves A/c	30,000	18,000	12,000	-
To B's Loan A/c	-	68,280	-	-	By C and F's Capital A/c	30,000	90,000	-	-
To A and B's Capital A/c			60,000	60,000					
To Balance c/d	2,40,000	-	2,40,000	1,20,000	By Bank A/c (Balancing fig.)	31,200	-	2,34,480	1,80,000
	3,31,200	**1,68,000**	**3,36,480**	**1,80,000**		**3,31,200**	**1,68,000**	**3,36,480**	**1,80,000**

Bank Account

Particulars	Amount Rs.	Particulars	Amount Rs.
To A's capital A/c	31,200	By Bank Overdraft A/c	1,32,000
To C's capital A/c	2,34,480	By Balance c/d	3,13,680
To F's capital A/c	1,80,000		
	4,45,680		**4,45,680**

Balance Sheet of Acme & Co. as at 1st April, 2021

Liabilities		Rs.	Assets		Rs.
Capital Accounts:			Land		30,000
A	2,40,000		Buildings		5,70,000
C	2,40,000		Plant and Machinery		3,12,000
F	1,20,000	6,00,000	Furniture		1,29,000
Long Term Debts		9,00,000	Inventories		3,90,000
Trade payables		5,10,000	Trade receivables	4,17,000	
Q's Loan Account		68,280	Less: Provision for Doubtful Debts	(83,400)	3,33,600
			Balance at Bank		3,13,680
		20,78,280			**20,78,280**

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. Business of a partnership has to be closed if any one partner retires.
2. At the time of retirement of a partner no special treatment is required for any reserves appearing in the Balance Sheet.
3. After retirement of a partner, profit sharing ratio of continuing partners remains the same.
4. If any partner wants to retire from the business, he must retire on 1st day of the accounting year.
5. Retiring partner has to forego his share of goodwill in the firm.
6. If a partner retires in between the accounting year then he is not entitled to any profit from the date of beginning of the year till his date of retirement.
7. If the firm has taken any joint life policy then it is to be surrendered on retirement of a partner.
8. Any joint life policy reserve appearing in the Balance Sheet is credited to all the partners in their old profit sharing ratio.
9. No revaluation account is necessary on retirement of a partner.
10. Profit on revaluation is credited to continuing partners, retiring partner is not entitled to any profit on revaluation.

Answers:

1. **False:** Business of a partnership is not closed if any one partner retires, remaining partners continue to carry on the business.
2. **False:** At the time of retirement of a partner all the reserves appearing in the balance sheet are transferred to all the partners in their profit sharing ratio.
3. **False:** After retirement of a partner, profit sharing ratio of continuing partners does not remain the same.
4. **False:** A partner can retire on any day as per his wish.
5. **False:** Retiring partner is entitled to his share of goodwill in the firm.
6. **False:** If a partner retires in between the accounting year then he is certainly entitled to the profit from the date of beginning of the year till his date of retirement.
7. **True:** Yes the firm is eligible for the surrender value on the JLP taken on the partners.
8. **True:** As per the surrender policy method, the JLP reserve is distributed to the partners in their profit sharing ratio through capital account.
9. **False:** Revaluation account is necessary on retirement of a partner.
10. **False:** Profit on revaluation is credited to all the partners in their profit sharing ratio.

MULTIPLE CHOICE QUESTIONS

1. C, D and E are partners sharing profits and losses in the proportion of 1/2 , 1/3 and 1/6. D retired and the new profit sharing ratio between C and E is 3:2 and the Reserve of ₹ 12,000 is divided among the partners in the ratio:
   (a) ₹ 2,000: ₹ 4,000: ₹ 6,000.
   (b) ₹ 5,000: ₹ 5,000: ₹ 2,000.
   (c) ₹ 6,000: ₹ 4,000: ₹ 2,000.

2. A, B and C takes a Joint Life Policy, after five years B retires from the firm. Old profit sharing ratio is 2:2:1. After retirement, A and C decides to share profits equally. They had taken a Joint Life Policy of ₹2,50,000 with the surrender value ₹ 50,000. What will be the treatment in the partner's capital account on receiving the JLP amount if joint life policy premium is fully charged to revenue as and when paid?
   (a) ₹ 50,000 credited to all the partners in old ratio.
   (b) ₹ 2,50,000 credited to all the partners in old ratio.
   (c) ₹ 2,00,000 credited to all the partners in old ratio.

3. A, B and C take a Joint Life Policy, after five years, B retires from the firm. Old profit sharing ratio is 2:2:1. After retirement A and C decides to share profits equally. They had taken a Joint Life Policy of ₹ 2,50,000 with the surrender value ₹ 50,000. What will be the treatment in the partner's capital account on receiving the JLP amount if joint life policy is maintained at the surrender value?
(a) ₹ 50,000 credited to all the partners in old ratio.
(b) ₹ 2,50,000 credited to all the partners in old ratio.
(c) No treatment is required.

4. A, B and C are partners sharing profits in the ratio 2:2:1. On retirement of B, goodwill was valued as ₹ 30,000. Find the contribution of A and C to compensate B.
(a) ₹ 20,000 and ₹ 10,000. (b) ₹ 8,000 and ₹ 4,000.
(c) They will not contribute anything.

5. A, B and C were partners in a firm sharing profits and losses in the ratio of 2:2:1 respectively with the capital balance of ₹ 50,000 for A and B, for C ₹ 25,000. B declared to retire from the - firm and balance in reserve on the date was ₹ 15,000. If goodwill of the firm was valued as ₹ 30,000 and profit on revaluation was ₹ 7,050 then what amount will be transferred to the loan account of B.
(a) ₹ 70,820. (b) ₹ 50,820.
(c) ₹ 25,820.

6. A, B and C are partners sharing profits and losses in the ratio of 3:2:1. C retires on a decided date and Goodwill of the firm is to be valued at ₹ 60,000. Find the amount payable to retiring partner on account of goodwill.
(a) ₹ 30,000. (b) ₹ 20,000.
(c) ₹ 10,000.

7. A, B and C were partners sharing profits and losses in the ratio of 3:2:1. A retired and Goodwill of the firm is to be valued at ₹ 24,000. What will be the treatment for goodwill?
(a) Credited to Revaluation Account at ₹ 24,000.
(b) Adjusted through partners' capital accounts in gaining/sacrificing ratio.
(c) Only A's capital account credited with ₹ 12,000.

8. Balances of A, B and C sharing profits and losses in proportionate to their capitals, stood as A - ₹ 2,00,000; B - ₹ 3,00,000 and C - ₹ 2,00,000. A desired to retire from the firm, B and C share the future profits equally,
Goodwill of the entire firm be valued at ₹1,40,000 and no Goodwill account being raised.
(a) Credit Partner's Capital Account with old profit sharing ratio for ₹1,40,000.
(b) Credit Partner's Capital Account with new profit sharing ratio for ₹1,40,000.
(c) Credit A's Account with ₹ 40,000 and debit B's Capital Account with ₹ 10,000 and C's Capital Account with ₹ 30,000.

MCQs Anwers:

1	**(c)**	**2**	**(a)**	**3**	**(c)**	**4**	**(b)**	**5**	**(a)**	**6**	**(c)**	**7**	**(b)**	**8**	**(c)**

THEORETICAL QUESTIONS

Question 1:

Write short notes on:

(i) Calculation of gaining ratio.

Answer:

On retirement of a partner, the continuing partners will gain in terms of profit sharing ratio. For example, if A, B and C were sharing profits and losses in the ratio of 5:3:2 and B retires, then A and C have to decide at which ratio they will share profits and losses in future. If it is decided that the continuing partners will share profits and losses in future at the ratio of 3:2, then A gains 1/10th [(3/5)-(5/10)] and C gains 2/10 [(2/5)-(2/10)]. So the gaining ratio between A and C is 1:2. If A and C decide to continue at the ratio 5:2, this indicates that they are dividing the gained share in the previous profit sharing ratio.

(ii) Final payment of a retiring partner.

Answer:

The following adjustments are necessary in the Capital A/c: (i) Transfer of reserve, (ii) Transfer of goodwill, (iii) Transfer of profit/loss on revaluation. After adjustment of these items, the Capital Account balance standing to the credit of the retiring partner represents amount to be paid to him. The continuing partners may discharge the whole claim at the time of retirement.

Question 2:

What is joint life policy? What is the objective of taking such a policy?

Answer:

A partnership firm may decide to take a Joint Life Insurance Policy on the lives of all partners. The firm pays the premium and the amount of policy is payable to the firm on the death of any partner or on the maturity of policy whichever is earlier. The objective of taking such a policy is to minimize the financial hardships to the event of payment of a large sum to the legal representatives of a deceased partner or to the retiring partner.

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Retirement of Partner	

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Retirement of Partner	

Space for Personal Notes:-

CHAPTER 10 :- PARTNERSHIP AND LLP ACCOUNTS
UNIT 5 :- DEATH OF A PARTNER

Death of a Partner

- The death may come at any time.
- On death of a partner, the **legal heirs or executors of the deceased partners** are entitled to get the claim as per the provisions of partnership deed. It means share of deceased partner will be transferred to his heir a/c.
- As per **IPA**, in case of death of partner the firm is dissolved, but if the other partners so agree the firm may not be dissolved.
- The **accounting treatment** to find out the amount due to legal heirs of the deceased partner is almost **similar to the retirement of a partner.**
- Like a retiring partner, the deceased partner's legal representative is also entitled to get share of deceased patner (i.e. his capital, goodwill, reserves, accumulated profits, revaluation profits, Joint life policy etc.)

Specimen of Deceased Partner's Capital Account

Dr. Cr.

Particular	Amount	Particular	Amount
To Balance b/d (Debit Balance)		By Balance b/d (Credit Balance)	
To Share in Revaluation Loss		By Share in Revaluation profit	
To Accumulated Losses		By Goodwill Account	
To Interest on drawing A/c		By Accumulated Profits	
To Drawings A/c		By Interest on Capital A/c	
To Profit & Loss Suspense A/c(Loss)		By Joint Life Policy A/c	
To Executors A/c (Balance Figure)		By Profit & Loss Suspense A/c (Share in Profit upto date of death)	
		By Fees, Commission, Salary	
	XXXX		**XXXX**

After above adjustment the balance of capital account is transferred to an account opened in the name of Deceased Partner's Executor A/c.

Entry : Deceased Partner's Capital A/c Dr.
To Deceased Partners Executors A/c

Payment to Executors

Payments to the executors is made as agreed to by the remaining partners and the executors. The dues may be paid

(a) In full
(b) In Installment

(i) If Full payment is made

Deceased Partners Executor A/c Dr.
To Bank A/c

(ii) If payment is made in Installment

When interest is payable
Interest Account Dr.
To Deceased Partners Executor's A/c

When Installment is paid

Deceased Partners Executor's A/c Dr.
To Bank

If amount remains unsettled :
As per the Indian Partnership Act, deceased partner's executive has the option either to claim interest @ 6% p.a. or the share profits earned for the amount due to the deceased partner.

Treatment of Goodwill : Same as in case of Retirement

Calculation of Profit of a deceased Partner' share :
Death may occur at any time, so it is not always possible to prepare actual profit & loss account on the date of death. Profit & Loss upto the death can be calculated by following methods :
(i) By Preparing actual P/L Account.
(ii) On the basis of previous year's profit/loss. (as given in question)
(iii) By comparison of capital. (if information is given relating to capital)

Entry : (upto the date of death)

P/L Suspense A/c Dr.
To Deceased Partner's Capital A/c
(Being share in Profit of Partner transferto his Capital A/c)
Note : At the end of the year, P/L Suspense a/c will be transferred to P/L A/c.

Joint Life Policy :
i) Jointly : In case of death of a partner, full policy amount will be received by firm.
ii) Severally : In case of death of a partner, full policy amount will be received for deceased partner's share and surrender value will be received for other partners share.

Accounting Entry : Same as discussed in Retirement.

CLASS WORK QUESTIONS

Question 1: **[SM-ILL-1]**

The following was the Balance Sheet of Om & Co. in which X, Y, Z were partners sharing profits and losses in the ratio of 1:2:2 as on 31.3.2016. Mr. Z died on 31st December, 2016. His account has to be settled under the following terms.

Balance Sheet of Om & Co. as on 31.3.2016

Liabilities	₹	₹	Assets	₹
Trade payables		20,000	Building	1,20,000
Bank loan		50,000	Computers	80,000
General reserve		30,000	Inventories	20,000
Capital accounts:			Trade receivables	20,000
X	40,000		Cash at bank	50,000
Y	80,000		Investments	10,000
Z	80,000	2,00,000		
		3,00,000		3,00,000

Goodwill is to be calculated at the rate of two years purchase on the basis of average of three years' profits and losses. The profits and losses for the three years were detailed as below:

Year ending on	profit/loss
31.3.2016	30,000
31.3.2015	20,000
31.3.2014	(10,000) Loss

Profit for the period from 1.4.2016 to 31.12.2016 shall be ascertained proportionately on the basis of average profits and losses of the preceding three years.

During the year ending on 31.3.2016 a car costing ₹40,000 was purchased on 1.4.2015 and debited to traveling expenses account on which depreciation is to be calculated at 20% p.a. This asset is to be brought into account at the depreciated value.

Other values of assets were agreed as follows:

Inventory at ₹ 16,000, building at ₹ 1,40,000, computers at ₹ 50,000; investments at ₹ 6,000. Trade receivables were considered good.

Required:

(i) Calculate goodwill and Z's share in the profits of the firm for the period 1.4.2016 to 31.12.2016.
(ii) Prepare revaluation account assuming that other items of assets and liabilities remained the same.
(iii) Prepare partners' capital accounts and balance sheet of the firm Om & Co. as on 31.12.2016

Personal Note:-

Question 2: **(Death, SLP)** **[Jan-21 (5 Marks), SM-ILL-2]**

The partnership agreement of a firm consisting of three partners - A, B and C (who share profits in proportion of 1/2, 1/4 and 1/4 and whose fixed capitals are ₹ 10,000; ₹ 6,000 and ₹ 4,000 respectively)
provides as follows:

(a) That partners be allowed interest at 10 per cent per annum on their fixed capitals, but no interest be allowed on undrawn profits or charged on drawing.
(b) That upon the death of a partner, the goodwill of the firm be valued at two years' purchase of the average net profits (after charging interest on capital) for the three years to 31st December preceding the death of a partner.
(c) That an insurance policy of ₹ 10,000 each to be taken in individual name of each partner, the premium is to be charged against the profit of the firm.
(d) Upon the death of a partner, he is to be credited with his share of the profits, interest on capitals etc. calculated upon 31st December following his death.
(e) That the share of the partnership profits and goodwill be credited to a deceased partner as on 31st December following his death.
(f) That the partnership books be closed annually on 31st December.

A died on 30th September 2022, the amount standing to the credit of his current account on 31st December, 2021 was ₹ 450 and from that date to the date of death he had withdrawn ₹ 3,000 from the business.

An unrecorded liability of ₹ 2,000 was discovered on 30th September, 2022. It was decided to record it and be immediately paid off.

The trading result of the firm (before charging interest on capital) had been as follows: 2019 Profit ₹ 9,640; 2020 Profit ₹ 6,720; 2021 Profit ₹ 7640; 2022 Profit ₹ 3,670.

Assuming the surrender value of the policy to be 20 percent of the sum assured.

Required
Prepare an account showing the amount due to A's legal representative as on 31st December, 2022.

Personal Note:-

Question 3: (Basic) [SM-ILL-4] [Nov.19(10 Marks)]

B and N were partners. The partnership deed provides inter alia:

(i) That the accounts be balanced on 31st December each year.

(ii) That the profits be divided as follows:
B: One-half; N: One-third; and carried to Reserve Account: One-sixth

(iii) That in the event of death of a partner, his executor will be entitled to the following:
(a) the capital to his credit at the date of death; (b) his proportion of profit to date of death based on the average profits of the last three completed years; (c) his share of goodwill based on three years' purchases of the average profits for the three preceding completed years.

Trial Balance on 31st December, 2021

Particulars	Dr. (₹)	Cr. (₹)
B's Capital		90,000
N's Capital		60,000
Reserve		30,000
Bills receivable	50,000	
Investments	40,000	
Cash	1,10,000	
Trade payables		20,000
Total	2,00,000	2,00,000

The profits for the three years were 2019: ₹ 42,000; 2020: ₹ 39,000 and 2021: ₹ 45,000. N died on 1st May, 2022. Show the calculation of N (i) Share of Profits; (ii) Share of Goodwill; (iii) Draw up N's Executors Account as would appear in the firms' ledger transferring the amount to the Loan Account.

Personal Note:-

Question 4: [MTP JAN. 25, 12 Marks][SM-PQ.1]

The Balance Sheet of Seed, Plant and Flower as at 31st December, 2021 was as under:

Liabilities		₹	Assets	₹
Trade payables		20,000	Fixed Assets	40,000
General Reserve		5,000	Debtors	10,000
Capital:			Bills Receivable	4,000
Seed	25,000		Inventories	16,000
Plant	15,000		Cash at Bank	10,000
Flower	15,000	55,000		
		80,000		80,000

The profit sharing ratio was: Seed 5/10, Plant 3/10 and Flower 2/10. On 1st May, 2022 Plant died. It was agreed that:

(a) Goodwill should be valued at 3 years purchase of the average profits for 4 years. The profits were:

2018	₹ 10,000	2020	₹ 12,000
2019	₹ 13,000	2021	₹ 15,000

(b) The deceased partner to be given share of profits upto the date of death on the basis of the previous year.

(c) Fixed Assets were to be depreciated by 10%. A bill for ₹ 1,000 was found to be worthless. These are not to affect goodwill.

(d) A sum of ₹ 7,750 was to be paid immediately, the balance was to remain as a loan with the firm at 9% p.a. as interest.

Seed and Flower agreed to share profits and losses in future in the ratio of 3:2.

Give necessary journal entries.

Personal Note:-

Question 5: **[SM-Practical Qu.2]**

Peter, Paul and Prince were partners sharing profits and losses in the ratio 2:1:1. It was provided in the partnership deed that in the event of retirement/death of a partner he/his legal representatives would be paid:-

(i) The balance in the capital Account.

(ii) His share of goodwill of the firm valued at two years purchase of normal average profits (after charging interest on fixed capital) for the last three years to 31st December preceding the retirement or death.

(iii) His share of profits from the beginning of the accounting year to the date of retirement or death, which shall be taken on proportionate basis of profits of the previous year as increased by 25%.

(iv) Interest on fixed capital at 10% p.a. though payable to the partners will not be payable in the year of death or retirement.

(v) All the asset are to be revalued on the date of retirement or death and the profit and loss be debited/ credited to the Capital Accounts in the profit sharing ratio.

Peter died on 30th September, 2022. The books of Account are closed on calendar year basis from 1st January to 31st December.

The balance in the Fixed Capital Accounts as on 1st January, 2022 were Peter ₹ 10,000, Paul ₹ 5,000 and Prince ₹ 5,000. The balance in the Current Account as on 1st January, 2022 were Peter ₹ 20,000, Paul ₹ 10,000 and Prince ₹ 7,000. Drawings of Peter till 30th September, 2022 were ₹ 10,000. The profits of the firm before charging interest on capital for the calendar years 2019, 2020 and 2021 were ₹ 1,00,000, ₹ 1,20,000 and ₹ 1,50,000 respectively. The profits include the following abnormal items of credit-

	2019	2020	2021
	₹	₹	₹
Profit on sale of Assets	5,000	7,000	10,000
Insurance Claim	3,000	-	12,000

The firm has taken out a Joint Life Policy for ₹ 1,00,000. Besides the partners had severally insured their lives for ₹ 50,000 each, the premium in respect thereof being charged to the Profit and Loss account. The surrender value of the Policies were 30% of the face value. On 30th June, 2022 the firm received notice from the insurance company that the insurance premium in respect of fire policy had been undercharged to the extent of ₹ 6,000 in the year 2021 and the firm has to pay immediately. The revaluation of the assets indicates an upward revision in value of assets to the extent of ₹ 20,000. Prepare an account showing the amount due to Peter's Legal representatives as on 30th September, 2022 along with necessary workings.

Personal Note:-

Question 6:

The Balance Sheet of X, Y and Z sharing profits and losses in the ratio of 5 : 3 : 2 on 31st December, 2017 is given below:

Liabilities	₹	Assets		₹
Sundry Creditors	6,000	Goodwill		5,000
Employees' Provident Fund	3,000	Patents		26,000
Investment Fluctuation Reserve	3,500	Machinery		31,200
Workmen Compensation Reserve	3,500	Investments		3,000
X's Capital	67,500	Stock		10,000
Y's Capital	47,500	Sundry Debtors	12,000	
Z's Capital	37,000	Less: Provision	2,000	10,000
		Loan to Z		500
		Cash at Bank		6,300
		Advertisment Expenditure		1,000
		Profit & Loss A/c (2017)		75,000
	1,68,000			1,68,000

Z dies on 1st May, 2018 and X and Y decide to share future profits and losses in the ratio of 3:5. Z has withdrawn ₹ 5,000 during 2018. It was agreed that:

(a) Goodwill be valued at 2-1/2 years' purchase of average of four completed years' profits which were: 2014 ₹ 1,01,000; 2015 ₹ 14,000; 2016 ₹ 16,000.

(b) Z's Share of profit form the closure of last accounting year till Date of death be calculated on the basis of the average of three completed years' profits before death.

(c) Patents undervalued by ₹ 7,000. Machinery overvalued by ₹ 6,800, all Debtors are good. ₹ 500 included in Sundry Creditors is not likely to arise. Unaccoutned Accrued Income of ₹ 1,100 to be provided for. A debtor whose dues of ₹ 200 were written off as bad debts paid 50% in full settlement. A claim of ₹ 500 on account of workment's compensation to be provided for.

(d) Investment sold for ₹ 4,100 and a sum of ₹ 5,600 be paid to Z's Executors. The remainder to be paid in four equal half-yearly instalments together with interest @ 10% p.a. at half-yearly rest.

Prepare Revaluation Account, Capital Account of Partners and the Balance Sheet of New Firm and Z's Executors' Account up to 31st December, 2018.

Personal Note:-

Question 7:

A, B and C were partners sharing profits and losses in the ratio of 4:3:2. C retired on 1st July, 2013 on which date the capitals of A, B and C after all necessary adjustments stood at ₹ 75,000; ₹ 65,000 and ₹ 45,000 respectively. A and B continued to carry on the business for 6 months without settling the account of C. During the period of 6 months ended 31st December, 2013, a profit of ₹ 50,000 is earned by the firm. State which of the two options available with C under Section 37 of the Indian Partnership Act, 1932 should be exercised?

Personal Note:-

Question : 8 **(Basic)** **(PEQ June 23-10 Marks)**

A, B and C were trading in partnership sharing profits and losses in the proportion of 4:3:3. The balances in the books of the firm as on 31st December, 2022 subject to final adjustment were as under:

	Debit	Credit
	Amount (₹)	Amount (₹)
Capital Accounts		
A		2,25,000
B		1,12,500
C		1,35,000
Current Account		
A	36,000	
B	54,000	
C	54,000	
Land and Building	1,80,000	
Furniture and Fixtures	33,750	
Stock	2,81,250	
Debtors	45,000	
Bank Account	90,000	
Profit for the year before charging interest		2,34,000
Creditors		67,500
Total	7,74,000	7,74,000

Goodwill may be recorded separately, instead of through Revaluation Account. C died on 30th June, 2022. The Partnership deed provided that:

(a) Interest was credited on Capital Account of Partners as @ 12% per annum on the balance at the beginning of the year.

(b) On the death of partner

(i) Goodwill was to be valued at three years purchase of average annual profits of three years up to the death, after deducting interest on capital employed at 10% p.a. and a fair remuneration for each of the partners.

(ii) Fixed assets were to be valued by an independent valuer and all other assets and liabilities to be taken at book value, and

(c) Whenever necessary, profit or loss should be apportioned on a time basis. You ascertain that:

(i) Profit for three years, before charging partners' interest were:

2019	2,52,000
2020	2,83,500
2021	2,70,000

(ii) The independent valuation on the date of death revealed:

Land and Building	₹ 2,25,000
Furniture and Fixtures	₹ 22,500

(iii) For valuation of goodwill a fair remuneration for each of the partners would be ₹ 56,250 per annum and that the capital employed in the business to be taken as ₹ 5,85,000 throughout.

It was agreed between the partners that:

(1) Goodwill was not be shown as an asset of the firm as on 31st December, 2022. Therefore, adjustment for goodwill was to be made in Capital Accounts.

(2) The amount due to C's Estate was to remain as loan with the firm carrying interest at 12% p.a.

(3) A and B would share profits equally from the date of death of C.

(4) Depreciation on revised value of assets would be ignored. You are required to prepare:

(A) Partners' Capital Account and Current Account; and

(B) Balance Sheet of the firm as on 31st December, 2022.

Working should be done correct to the nearest rupee.

Personal Note:-

HOME WORK QUESTIONS

Question 9: (Basic) **[SM-ILL-3]**

The following is the Balance Sheet of M/s. ABC LLP as at 31st December, 2021.

Balance Sheet as at 31st December, 2021

Liabilities	₹	Assets		₹
Capital		Machinery		5,000
A	4,100	Furniture		2,800
B	4,100	Fixture		2,100
C	4,500	Cash		1,500
General Reserve	1,500	Inventories		950
Trade payables	2,350	Trade receivables	4,500	
		Less: Provision for Doubtful debts	300	4,200
	16,550			**16,550**

C died on 3rd January, 2022 and the following agreement was to be put into effect.

(a) Assets were to be revalued: Machinery to ₹ 5,850; Furniture to ₹ 2,300; Inventory to ₹ 750.

(b) Goodwill was valued at ₹ 3,000 and was to be credited with his share, without using a Goodwill Account

(c) ₹ 1,000 was to be paid away to the executors of the dead partner on 5th January, 2022.

Required to show:

(i) The Journal Entry for Goodwill adjustment.

(ii) The Revaluation Account and Capital Accounts of the partners.

(iii) Which account would be debited and which account credited if the provision for doubtful debts in the Balance Sheet was to be found unnecessary to maintain at the death of C.

Personal Note:-

Question 10: (Basic) **[MTP SEP. -24, 8 Marks][RTP-Nov-19, 21]**

The following is the Balance Sheet of M/s. LMN Bros as at 31st December, 2017, they share profit equally:

Balance Sheet as at 31st December, 2017

Liabilities		₹	Assets		₹
Capital	**L**	**8,200**	**Machinery**		**10,000**
	M	**8,200**	**Furniture**		**5,600**
	N	**9,000**	**Fixture**		**4,200**
General Reserve		**3,000**	**Cash**		**3,000**
Trade payables		**4,700**	**Inventories**		**1,900**
			Trade receivables	**9,000**	
			Less: Provision for Doubtful debts	**600**	**8,400**
		33,100			**33,100**

N died on 3rd January, 2018 and the following agreement was to be put into effect.

(a) Assets were to be revalued: Machinery to ₹ 11,700; Furniture to ₹ 4,600; Inventory to ₹ 1,500.

(b) Goodwill was valued at ₹ 6,000 and was to be credited with his share, without using a Goodwill Account.

(c) ₹ 2,000 was to be paid away to the executors of the dead partner on 5th January, 2018.

(d) After death of N, L and M share profit equally.

You are required to prepare:

(i) Journal Entry for Goodwill adjustment.

(ii) Revaluation Account and Capital Accounts of the partners.

Personal Note:-

Question 11: (Basic) **[May-19 (10 Marks)]**

Monika, Yedhant and Zoya are in partnership, sharing profits and losses equally.

Zoya died on 30th June 2018. The Balance Sheet of Firm as at 31st March 2018 stood as

Liabilities	Amount	Assets		Amount
Creditors	20,000	Land and Building		1,50,000
General Reserve	12,000	Investments		65,000
Capital Accounts:		Stock in trade		15,000
Monika	1,00,000	Trade receivables	35,000	
Yedhant	75,000	Less: Provision for doubtful debt	(2,000)	33,000
Zoya	75,000	Cash in hand		7,000
		Cash at bank		12,000
	2,82,000			**2,82,000**

In order to arrive at the balance due to Zoya, it was mutually agreed that:

(i) Land and Building be valued at ₹ 1,75,000

(ii) Debtors were all good, no provision is required

(iii) Stock is valued at ₹ 13,500

(iv) Goodwill will be valued at one Year's purchase of the average profit of the past five years. Zoya's share of goodwill be adjusted in the account of Monika and Yedhant.

(v) Zoya's share of profit from 1st April 2018, to the date of death be calculated on the basis of average profit of preceding three years.

(vi) The profit of the preceding five years ended 1st March were:

2018	2017	2016	2015	2014
25,000	20,000	22,500	35,000	28,750

You are required to prepare:

(1) Revaluation account

(2) Capital accounts of the partners and

(3) Balance sheet of the Firm as at 1st July 2018.

Personal Note:-

Question 12: (Similar to Q. 4) (Basic) **[Nov.-19 (10Marks)]**

Arup and Swarup were partners. The partnership deed provides inter alia:

(i) That the annual accounts be balanced on 31st December each year;

(ii) That the profits be allocated as follows:
Arup: One-half; Swarup: One-third and-Carried to reserve account: One sixth;

(iii) That in the event of death of a partner, his executor will be entitled to the following:

(1) The capital to his credit at the date of death;

(2) His proportionate share of profit to date of death based on the average profits of the last three completed years; and

(3) His Share of goodwill based on three years' purchase of the average profits for the three preceding completed years.

Trial Balance as on 31st December, 2018

Particulars	Debit (₹)	Credit (₹)
Arup's Capital		90,000
Swarup's Capital		60,000
Reserve		45,000
Bills receivable	50,000	
Investment	55,000	
Cash	1,10,000	
Trade payables		20,000
Total	2,15,000	2,15,000

The profits for the three year were 2016: ₹ 51,000; 2017: ₹ 39,000 and 2018: ₹ 45,000.
Swarup died on 1st May 2019.

Show the calculation of Swarup (A) Share of profits; (B) Share of Goodwill; (C) Draw up Swarup's Executor Account as would appear in the firms' ledger transferring the amount to the Loan account.

Personal Note:-

Question 13: (Basic)

Arun, Varun and Karan were partners in a firm sharing profits in the ratio of 4:3:3. On 31-3-2014, their Balance Sheet was as follows:

Liabilities		₹	Assets	₹
Creditors		17,000	Cash	8,000
Bills Payable		12,000	Debtors	13,000
Karan's Loan		28,000	Bills Receivables	9,000
Capitals:			Furniture	27,000
Arun	70,000		Machinery	1,25,000
Varun	68,000	1,38,000	Karan's Capital	13,000
		1,95,000		**1,95,000**

On 30.9.2014, Karan died. The Partnership Deed provided for the following to the executors of the deceased partner :

(a) His share in the goodwill of the firm calculated on the basis of three years' purchase of the average profits of the last four years. The profits of the last four years were ₹ 1,90,000; ₹ 1,70,000; ₹ 1,80,000 and ₹ 1,60,000 respectively.
(b) His share in the profit of the firm till the date of his dateh calculated on the basis of the average profits of the last four years.
(c) Interest @ 8% p.a. on the credit balance, if any, in his Capital Account.
(d) Interest on his loan @ 12% p.a.

Prepare Karan's Capital Account to be presented to his executors, assuming that his loan and interest on loan were transferred to his Capital Account.

Personal Note:-

Question 14: (Basic)

Ram, Ghanshyam and Vrinda were partners in a firm sharing profits in the ratio of 4:3:1. The firm closes its books on 31st March every year. On 1st February, 2017 Ghanshyam died and it was decided that the new profit-sharing ratio between Ram and Vrinda will be equal. The Partnership Deed provided for the following on the death of a partner:

(a) His share of goodwill be calculated on the basis of half of the profits credited to his account during the previous four completed years.
The firm's profits for the last four years were:
2012-13 - ₹ 1,20,000 , 2013-14 - ₹ 80,000, 2014-15 - ₹ 40,000, and 2015-16 - ₹ 80,000.

(b) His share of profit in the year of his death was to be computed on the basis of average profits of past two years.

Pass necessary Journal entries relating to goodwill and profit to be transferred to Ghanshyam's Capital Account. Also show your workings clearly.

Personal Note:-

Question 15: (Executor's A/c)

Following is the Balance Sheet of Ram, Mohan and Sohan as at 31st March, 2014:

Liabilities		₹	Assets	₹
Sundry Creditors		10,000	Tools	3,000
Workmen compensation Reserve		7,500	Furniture	18,000
Capital A/cs:			Stock	16,000
Ram	20,000		Debtors	12,000
Mohan	10,000		Cash at Bank	8,000
Sohan	10,000	40,000	Cash in Hand	500
		57,500		**57,500**

Ram, Mohan and Sohan shared profits and losses in the ratio of 2 : 2 : 1. Sohan died on 30th June, 2014. Under the partnership agreement, the executors of Sohan were entitled to:

(i) Amount standing to the credit of his Capital Account.
(ii) Interest on capital which amounted to ₹ 150.
(iii) His share of goodwill ₹ 5,000.
(iv) His share of profits from the closing of last financial year to the date of death which amounted to ₹ 750.
Sohan's executors were paid ₹ 1,400 on 1st July, 2014 and the balance in four equal yearly instalments from 30th June, 2015 with interest @ 6% p.a.

Pass necessary Journal entries and draw up Sohan's Account to be rendered to his executors and Sohan's Executors' Account till it is finally paid.

Personal Note:-

Question 16: (Basic)

A, B and C are partners in a firm. Their Balance Sheet as at 31st March, 2018 is given below:

Liabilities		₹	Assets	₹
Creditors		10,000	Plant and Machinery	20,000
General Reserve		10,000	Furniture and Fixtures	2,500
A's Capital	20,000		Stock	10,500
B's Capital	15,000		Debtors	15,000
C's Capital	5,000	40,000	Investments	12,000
		60,000		**60,000**

B died on 30th September, 2018. The Partnership Deed provides that the representatives of the deceased partner shall be entitled to:

(i) Deceased Partner's Capital as appearing in last Balance Sheet.
(ii) Interest on Capital @ 6% p.a. up to the date of death.
(iii) His share of profit up to the date of death on the average of last three years' profit.
(iv) His share of any undistributed profits and losses as per last Balance Sheet.
(v) Interest on his Drawings up to the date of death will be charged @ 10% p.a.

Profit for the last three years were ₹ 65,000; ₹ 64,000 and ₹ 69,000. B's drawings up to the date of death amounting to ₹ 10,000. Ascertain the amount payable to the legal representative of B (Goodwill excluded).

Personal Note:-

Question 17: (Basic + JLP) **[PEQ – JAN. 25, 15 Marks][SM-ILL-5]**

Diya, Riya & Kiya are partners of M/s. DRK Fabrics sharing profits and losses in the ratio of 2:1:2.

On 31 st March 2020 their Balance Sheet was as under:

Liabilities	₹	Assets	₹
Capitals:		**Land & Building**	**1,65,000**
Diya	**1,50,000**	**Furniture**	**75,000**
Riya	**1,80,000**	**Joint life Policy**	**60,000**
Kiya	**70,000**	**Inventory**	**88,740**
General Reserve	**1,40,000**	**Trade Receivable**	**96,750**
Trade payables	**60,000**	**Bank**	**1,14,510**
	6,00,000		**6,00,000**

Kiya died on 30th September, 2020.

The partnership deed provides as follows:

(a) That partners be allowed interest at 12% p.a. on their capitals, but no interest be charged on drawings.

(b) That upon the death of a partner, the goodwill of the firm be valued at one years' purchase of the average net profits (after charging interest on capital) for the four years to 31st March preceding the death of a partner. The profits of the firm before charging interest on capitals were

2016-17	**1,62,000**
2017-18	**1,99,000**
2018-19	**1,87,000**
2019-20	**1,96,000**

Average capital during preceding four years may be assumed as Rs. 3,00,000

(c) Profits till the date of death to be ascertained on the basis of average profit of previous four years.

(d) Upon the death of a partner, she is to be credited with her share of the profits, interest on capitals etc. calculated till the date of death.

After the death of Kiya

1. **₹ 2,00,000 was received from insurance company against Joint life Policy.**
2. **Land & Building was appreciated by 20%, Furniture to be depreciated by 10%, inventory to be revalued at ₹ 80,000. Bad debts amounted ₹ 1760.**
3. **Amount payable to Kiya was paid in cash.**

You are required to prepare

1. **Revaluation A/c**
2. **Partners' Capital A/c**
3. **Balance Sheet as on 30th September 2020, assuming other Assets and liabilities remaining the same.**

Personal Note:-

Question 18: (Executor's A/c) **[July-21(10 Marks)]**

It was provided under the Partnership Agreement between Ram, Laxman and Bharat that in the event of death of a partner, the survivors would have to purchase his share in the firm on the following terms:

(i) Goodwill is to be valued at 3 year's purchase of simple average profits of last 4 completed years.

(ii) Outstanding amount due to the representative of a deceased partner shall be paid in 4 equal half yearly installments commencing 6 months after the death plus interest @ 5% p.a. on the outstanding dues.

They shared profit and loss in the ratio 9:4:3.

Ram died on 30th September 2020 and Partner's Capital account balances on that date were: Ram - Rs. 21,600, Laxman - Rs. 12,800 and Bharat - Rs. 7,200. Ram's current account on 30th September, 2020 after crediting his share of profit to that date, however showed a debit balance of Rs. 1,920.

Firm profits were for the year ended

- 31st March, 2017 Rs. 70,400
- 31st March, 2018 Rs. 56,320
- 31st March, 2019 Rs. 48,160
- 31st March, 2020 Rs. 17,408

Show Ram's Capital Account and Executor's Account (of Ram) till full payment is made to Ram's Executor.

Personal Note:-

Question 19:

Ajay, Bhawna and Shreya were partners sharing profits in the ratio 2:2:1. On July 1,2017 Shreya died. The books of accounts are closed on March 31 every year. Sales for the year 2016-17 amounted to ₹ 5,00,000 and that from 1st April to 30th June 2017 were ₹ 1,40,000. The rate of profit during the past three years had been 10% on sales. Since Shreya's legal representative was her only son, who is specially abled, it was decided that the profit for the purpose of settling Shreya's account is to be calculated as 20% on sales. Calculate Shreya's share of profits till the date of her death and pass necessary journal entry for the same.

Personal Note:-

SOLUTION OF HOME WORK QUESTIONS

Solution 9:

(i) **Journal Entry in the books of the firm**

Date	Particulars		₹	₹
Jan 3 2016	A's Capital A/c	Dr.	500	
	B's Capital A/c	Dr.	500	
	To C's Capital A/c			1,000
	(Being the required adjustment for goodwill through the partner's capital accounts in Gaining Ratio 1:1)			

(ii) **Revaluation Account**

Particulars	₹	Particulars	₹
To Furniture A/c (₹ 2,800 - 2,300)	500	By Machinery A/c (₹ 5,850 - 5,000)	850
To Inventory A/c (₹ 950 - 750)	200		
To Partners' Capital A/cs (A - ₹ 50, B - ₹ 50, C - ₹ 50)	150		
	850		**850**

Partners Capital Accounts

Particulars	A ₹	B ₹	C ₹	Particulars	A ₹	B ₹	C ₹
To C (Goodwill)	500	500	-	By Balance b/d	4,100	4,100	4,500
To Executors A/c	-	-	6,050	By General Reserve A/c	500	500	500
To Balance C/d	4,150	4,150	-	By Revaluation A/c (Profit)	50	50	50
				By A (Goodwill)	-	-	500
				By B (Goodwill)	-	-	500
	4,650	**4,650**	**6,050**		**4,650**	**4,650**	**6,050**

(iii) Provision for Doubtful Debts Account is a credit balance. To close, this account is to be debited. It becomes a gain for the partners. Therefore, either Partners' Capital Accounts (including C) or Revaluation Account is to be credited.

Working Note:

Adjustment of Goodwill

Total Goodwill = 3,000

C's Share = 3,000 x 1/3 = 1,000

Gaining Ratio of A & B is 1:1

Note:- If nothing is given profit sharing ratio will be equal.

Solution 10:

(a) (i) Journal Entry in the books of the M/s LMN

Date	Particulars		Dr. ₹	Cr. ₹
Jan 3 2018	L's Capital A/c	Dr.	1,000	
	M's Capital A/c	Dr.	1,000	
	To N's Capital A/c			2,000
	(Being the required adjustment for goodwill through partner's capital accounts)			

(ii) Revaluation Account

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Furniture A/c (₹ 5,600 - 4,600)	1,000	By Machinery A/c (₹ 11,700 - 10,000)	1,700
To Inventory A/c (₹ 1,900 - 1,500)	400		
To Partners' Capital A/cs (L - ₹ 100, M - ₹ 100, N - ₹ 100)	300		
	1,700		**1,700**

Partners' Capital Accounts

	L	M	N		L	M	N
To N (Goodwill)	1,000	1,000	-	By Balance b/d	8,200	8,200	9,000
To Executors A/c	-	-	12,100	By General Reserve A/c	1,000	1,000	1,000
To Balance C/d	8,300	8,300	-	By Revaluation A/c (Profit)	100	100	100
				By L (Goodwill)	-	-	1000
				By M (Goodwill)	-	-	1000
	9,300	**9,300**	**12,100**		**9,300**	**9,300**	**12,100**

Working Note:

Statement showing the Required Adjustment for Goodwill

Particulars	L	M	N
Right of goodwill before death	1/3	1/3	1/3
Right of goodwill after death	1/2	1/2	-
Gain / (Sacrifice)	(+) 1/6	(+) 1/6	(-) 1/3

Solution 11:

Revaluation Account

Particulars	₹	Particulars	₹
To Stock	1,500	By Land & Building	25,000
To Partners: (Revaluation Profit)		By Provision for doubtful debt	2,000
Monika	8,500		
Yedhant	8,500		
Zoya	8,500		
	27,000		**27,000**

Partners' Capital Accounts

Particulars	Monika	Yedhant	Zoya	Particulars	Monika	Yedhant	Zoya
To Zoya	4,375	4,375	-	By Bal b/d.	1,00,000	75,000	75,000
To Zoya's Executor	-	-	98,125	By General reserve	4,000	4,000	4,000
To Bal. c/d	1,08,125	83,125		By Monika & Yedhant	-	-	8,750
				By Profit and Loss suspense A/c	-	-	1,875
				By Revaluation	8,500	8,500	8,500
	1,12,500	**87,500**	**98,125**		**1,12,500**	**87,500**	**98,125**

*Profit and Loss Adjustment = [(25,000 + 20,000 + 22,500)/3] x 3/12 x 1/3 = 1,875

Balance Sheet of Firm as on 1.7.2018

Particulars	₹	Particulars	₹
Monika	1,08,125	Land & Building	1,75,000
Yedhant	83,125	Investment	65,000
Zoya Executor	98,125	Stock	13,500
Creditors	20,000	Trade receivable	35,000
		Profit & Loss Suspense	1,875
		Cash in hand	7,000
		Cash at bank	12,000
	3,09,375		**3,09,375**

Calculation of goodwill and Zoya's share

Average of last five year's profits and losses for the year ended on 31st March

31.3.2014	28,750
31.3.2015	35,000
31.3.2016	22,500
31.3.2017	20,000
31.3.2018	25,000
Total	**1,31,250**
Average profit	**26,250**

Goodwill at 1 year purchase = ₹ 26,250 x 1 = ₹ 26,250
Zoya's Share of Goodwill = ₹ 26,250 x 1/3
= ₹ 8,750

Which is contributed by Monika and Yedhant in their gaining Ratio
Monika = ₹ 8750 x 1/2 = ₹ 4375
Yedhant = ₹ 8750 x 1/2 = ₹ 4375

Solution 12:

(i)	Ascertainment of Share of Profit Swarup's		(ii)	Ascertainment of Value of Goodwill	
	2016	51,000		2016	51,000
	2017	39,000		2017	39,000
	2018	45,000		2018	45,000
	Total Profit	1,35,000		Total Profit for 3 years	1,35,000
	Average Profit	45,000		Average Profit	45,000
	4 months' Profit	15,000		Goodwill – 3 years	
	Swarup's Share in Profit (2/5th of ₹ 15,000)	6,000		Purchase of Average Profit	1,35,000
				Swarup's Share of goodwill (2/5 of ₹ 1,35,000)	54,000

Working Note:
Profit sharing ratio between Arup and Swarup = 1/2; 1/3; = 3: 2, Therefore Swarup's share of Profit = 2/5.

Swarup's Executors Account

Date 2019	Particulars	₹	Date 2019	Particulars	₹
May 1	To Swarup's Loan A/c	1,38,000	Jan. 1	By Capital A/c	60,000
			May 1	By Reserves (2/5th of ₹ 45,000)	18,000
			May 1	By Arup's Capital A/c (Share of goodwill)	54,000
			May 1	By P&L Suspense A/c (Share of Profit)	6,000
		1,38,000			**1,38,000**

Solution 13:

Dr. KARAN'S CAPITAL ACCOUNT Cr.

Particulars	₹	Particulars	₹
To Balance b/d	13,000	By Arun's Capital A/c (Goodwill)	90,000
To Karan's Executor's A/c (Balancing figure)	2,00,430	By Varun's Capital A/c (Goodwill)	67,500
		By P/L Suspense A/c (Share of Profit)	26,250
		By Karan's Loan A/c	28,000
		By Interest on Loan	1,680
	2,13,430		**2,13,430**

Working Notes:

(1) Share in Goodwill:

Average Profit $\frac{7,00,000}{4}$ = ₹ 1,75,000

Karan's Share of Goodwill : 1,75,000 x 3 x $\frac{3}{10}$ = ₹ 1,57,500

It will be debited to Arun and Varun in their gaining ratio:

Arun's Share = 1,57,500 x $\frac{4}{7}$ = ₹ 90,000

Varun's Share = 1,57,500 x $\frac{3}{7}$ = ₹ 67,500

(2) Share in Profit =1,75,000 x $\frac{6}{12}$ x $\frac{3}{10}$ = ₹ 26,250

(3) Interest on Loan = 28,000 x $\frac{12}{100}$ x $\frac{6}{12}$ = ₹ 1,680

Solution 14:

JOURNAL

Date	Particulars	L.F.	(Dr.) ₹	(Cr.) ₹
2017 Feb.1	Vrinda's Capital A/c …Dr. To Ghanshyam's Capital A/c (Being Ghanshyam's share of goodwill adjusted by debiting gaining partner (Vrinda) and crediting retiring partner (Ghanshaym))		60,000	60,000
	P/L Suspense A/c …Dr. To Ghanshayam's Capital A/c (Being Ghanshyam's share of profit till the date of death adjusted by debiting gaining partner (Vrinda)		18,750	18,750

Working Notes:

1. Calculation of Ghanshyam's Share of Goodwill:

Total profit of last four years = ₹ 1,20,000 + ₹ 80,000 + ₹ 40,000 + ₹ 80,000 = ₹ 3,20,000

Ghanshyam's share in last four year's profit = ₹ 3,20,000 x 3/8 = ₹ 1,20,000

Ghansyam's share of Goodwill = ₹ 1,20,000 x 1/2 = ₹ 60,000

2. Calculation of Gaining Ratio:

Gain of a Partner = New share – Old share

Ram's Gain = 1/2- 4/8 = Nil

Vrinda's Gain = 1/2 – 1/8 = $\frac{4-1}{8} = \frac{3}{8}$

Hence, Vrinda is the only gaining partner

3. Ghanshyam's share of profit to the date of death:

Average profit of past two years = $\frac{Rs.40,000+Rs.80,000}{2}$ = ₹ 60,000

Profit for 10 months (from 1st April, 2016 to 1st February, 2017) = ₹ 60,000 x 10/12 = ₹ 50,000

Ghanshyam's share of profit = ₹ 50,000 x 3/8 = ₹ 18,750

Solution 15:

JOURNAL

Date	Particulars	L.F.	(Dr.) ₹	(Cr.) ₹
2014				
June 30	Interest on Capital A/c …Dr.		150	
	To Sohan's Capital A/c			150
	(Being the interest credited to Sohan's Capital Account up to 30th June)			
June 30	Ram's Capital A/c …Dr.		2,500	
	Mohan's Capital A/c …Dr.		2,500	
	To Sohan's Capital A/c			5,000
	(Being sohan's share of goodwill credited to his Capital Account)			
June 30	Profit ans Loss Suspense A/c …Dr.		750	
	To Sohan's Capital A/c			750
	(Being the share of profit credited)			
June 30	Workment Compensation Reserve A/c …Dr.		7,500	
	To Ram's Capital A/c			3,000
	To Mohan's Capital A/c			3,000
	To Sohan's Capital A/c			1,500
	(Being Workmen Compensation Reserve credited to Partner's Capital Account)			
June 30	Sohan's Capital A/c …Dr.		17,400	
	To Sohan's Executors' A/c			17,400
	(Being the transferof balance in Sohan's Capital Account to Sohan's Executors' Account)			
July 1	Sohan's Executors' A/c …Dr.		1,400	
	To Bank A/c			1,400
	(Being the amount paid to Sohan's Executors)			

Dr. **SOHAN'S CAPITAL ACCOUNT** **Cr.**

Date	Particulars	₹	Date	Particulars	₹
2014			2014		
June 30	To Sohan's Executors' A/c	17,400	April 1	By Balance b/d	10,000
	(Balancing Figure –Transfer)		June 30	By Interest on Capital A/c	150
			June 30	By Ram's Capital A/c	2,500
			June 30	By Mohan's Capital A/c	2,500
			June 30	By Profit and Loss Suspense A/c	750
			June 30	By Workment compensation Reserve A/c	1,500
		17,400			**17,400**

Dr. SOHAN'S EXECUTORS' ACCOUNT Cr.

Date	Particulars	₹	Date	Particulars	₹
2014			2014		
July 1	To Bank A/c	1,400	June 30	By Sohan's Capital A/c	17,400
2015			2015		
March 31	To Balance c/d	16,720	March 31	By Interest A/c [(₹ 17,400 - ₹ 1,400) x 6/100 x 9/12]	720
		18,120			**18,120**
2015			2015		
June 30	To Bank A/c (₹ 4,000 + ₹ 720 + ₹ 240)	4,960	April 1	By Interest b/d	16,720
			June 30	By Interest A/c (₹ 16,000 x 6/100 x 3/12)	240
2016			2016		
March 31	To Balance c/d	12,540	March 31	By Interest A/c (₹ 12,000 x 6/100 x 9/12)	540
		17,500			**17,500**
2016			2016		
June 30	To Bank A/c (₹ 4,000 + ₹ 540 + ₹ 180)	4,720	April 1	By Balance b/d	12,540
			June 30	By Interest A/c (₹ 12,000 x 6/100 x 3/12)	180
2017			2017		
March 31	To Balance c/d	8,360	March 31	By Interest A/c (₹ 8,000 x 9/12 x 6/100)	360
		13,080			**13,080**
2017			2017		
June 30	To Bank A/c (₹ 4,000 + ₹ 360 + ₹ 120)	4,480	April 1	By Balance b/d	8,360
			June 30	By Interest A/c (₹ 8,000 x 3/12 x 6/100)	120
2018			2018		
March 31	To Balance c/d	4,180	March 31	By Interest A/c (₹4,000 x 6/100 x 9/12)	180
		8,660			**8,660**
2018			2018		
June 30	To Bank A/c (₹ 4,000 + ₹ 180 + ₹ 60)	4,240	April 1	By Balance b/d	4,180
			June 30	By Interest A/c (₹ 4,000 x 6/100 x 3/12)	60
		4,240			**4,240**

Note.

1. The date of closing the accounts is 31st March and date of payment of instalment is 30th June.
2. Total amount due to Sohan's Executors ₹ 16,000 is payable in four equal annual instalments. Therefore, yearly instalment = ₹ 16,000/4 = ₹ 4,000 plus interest.

Solution 16:

CALCULATION OF THE AMOUNT PAYABLE TO THE LEGAL REPRESENTATIVE OF B

Particulars		**₹**
Capital as per last Balance Sheet		15,000
Interest on Capital for 6 months @ 6% p.a.		450
Share of Profit for 6 months:		
Average Profit: 1/3 x ₹ (65,000 + 64,000 + 69,000 = ₹ 66,000		
Profit for 6 months: 1/2 x ₹ 66,000 = ₹ 33,000		
B's Share: 1/3 x ₹ 33,000		11,000
Share of General Reserve: 1/3 x ₹ 10,000		3,333
		29,783
Less: Drawings	(10,000)	
Interest on Drawings (₹ 10,000 x 10/100 x 3/12)	(250)	10,250
Total Amount Payable		**19,533**

Note: In the absence of actual dates of drawings, interest thereon has been calculated for the average period of 3 months on the assumption that the drawings were made evenly during the period of 6 months.

Solution 17:

Revaluation A/c

Particulars		**₹**	**Particulars**	**₹**
To Furniture		7,500	By Land & Building	33,000
To Inventory		8,740		
To Bad Debts		1,760		
To Profit on Revaluation				
Diya	6,000			
Riya	3,000			
Kiya	6,000	15,000		
		33,000		**33,000**

Partners Capital A/c

Particulars	**Diya**	**Riya**	**Kiya**	**Particulars**	**Diya**	**Riya**	**Kiya**
	₹	₹	₹		₹	₹	₹
To Kiya capital	40,000	20,000		By Balance b/d	1,50,000	1,80,000	70,000
To Bank			2,79,800	By General Reserve	56,000	28,000	56,000
				By Joint life Policy	56,000	28,000	56,000
To Balance c/d	2,28,000	2,19,000		By Interest on Capital			4,200
				By revaluation	6,000	3,000	6,000
				By Diya & Riya capital			60,000
				By Profit & loss suspense Ac			27,600
	2,68,000	**2,39,000**	**2,79,800**		**2,68,000**	**2,39,000**	**2,79,800**

Bank A/c

Particulars	₹	Particulars	₹
To Balance b/d	1,14,510	By Kiya's Capital	2,79,800
To Bank	2,00,000	By Balance c/d	34,710
	3,14,510		**3,14,510**

Balance Sheet as on 30th September 2020

Liabilities		**₹**	**Assets**	**₹**
Capital:			Land & Building	1,98,000
Diya	2,28,000		Furniture	67,500
Riya	2,19,000	4,47,000	Inventory	80,000
Trade payables		60,000	Trade Receivable	94,990
			Bank Balance	34,710
			Profit and loss Suspense (27600+4200)	31,800
		5,07,000		**5,07,000**

Working Notes:

1. Goodwill valuation

2016-17	1,62,000
2017-18	1,99,000
2018-19	1,87,000
2019-20	1,96,000
Total	7,44,000

Average	= 7,44,000/4 = 1,86,000
Less: Interest on Capital	3,00,000 x 12% = 36,000
Adjusted Average Profit	= 1,50,000
Goodwill (1 year's purchase)	= 1,50,000
Kiya's share (2/5)	= 60,000

2. Journal entry for adjustment of goodwill

Particulars		Rs.	Rs.
Diya's Capital A/c	Dr.	40,000	
Riya's Capital A/c	Dr.	20,000	
To Kiya's Capital A/c			60,000
(Share of goodwill adjusted)			

3. Kiya's share of profit till the date of death

Average profit for full year before interest on capital	= 186000
6 month's profit	= 93,000
Less: interest on capital 4,00,000 x 12% x 6/12	= 24,000
Adjusted profit till the date of death	= 69,000
Kiya's share 2/5th	= 27,600

4. The Joint life policy in this question is based on the surrender value method- where in the amount shown in the balance sheet shall be deducted from the JLP proceeds received from insurance co, on the death of a partner.
₹ 2,00,000 - 60,000 (BS value) = ₹ 40,000 - divided in profit sharing ratio between the partners.

P/N : Intt. on Capital
For calculating G/W, IOC will be calculated on Avg. Cap. employed given in ques. ie. Rs. 3L.
While for calculating share of Pft, IOC will be calculated on Actual cap. given in B/S (ie. Op. Cap.)
ie. 1,50,000 + 1,80,000 + 70,000 = 4,00,000/-

Solution 18:

Ram's Capital Account

Date 2020	Particulars	Rs.	Date 2020	Particulars	Rs.
Sep. 30	To Ram's current Account	1,920	Sep. 30	By bal. b/d	21,600
Sep. 30	To Ram's Executor A/c	1,00,802	Sep. 30	By Bharat Capital A/c and Laxman Capital A/c (Share of goodwill)	81,122
		1,02,722			**1,02,722**

Ram's executor Account

Date 2020	Particulars	Rs.	Date 2020	Particulars	Rs.
31.3.2021	To Bank A/c (25,200.50+2,520)	27,720.50	1.10.2020	By Capital A/c	1,00,802.00
			31.3.2021	By Interest (1,00,802 x 2.5%)	2,520.00
	To Balance c/d	75,601.50			
		1,03,322.00			**1,03,322**
30.9.2021	To bank A/c (25,200.50+1,890)	27,090.50	1.4.2021	By Balance b/d	75,601.50
			30.9.2021	By Interest (75,601.50 x 2.5%)	1,890.00
31.3.2022	To bank A/c (25,200.50+1,260)	26,460.50	30.3.2022	By Interest (50,401 x 2.5%)	1,260.00
31.3.2022	To balance c/d	25,200.50			
		78,751.50			**78,751.50**
30.9.2022	To bank A/c (25,200.50+630)	25,830.50	1.4.2022	By balance b/d	25,200.50
			30.9.22	By Interest (25,200.50 x 2.5%)	630.00
		25,830.50			**25,830.50**

Working notes

1.	Ascertainment of Value of Goodwill	
	2017	70,400
	2018	56,320
	2019	48,160
	2020	17,408
	Total Profit for 4 years	1,92,288
	Average Profit	48,072
	Goodwill - 3 years	
	Purchase of Average Profit	1,44,216
	Ram's Share of goodwill (9/16 of Rs.1,44,216)	81,122

*Profit sharing ratio between Ram, Laxman and Bharat = 9:4:3, Therefore Ram's share of Profit = 9/16.

2. Calculation of amount of each instalment (without interest) = Rs. 1,00,802/4 = 25,200.50

Solution: 19

Calculation of share of Pft. till Death

Turnover during 1/4/17 to 30/6/17	=	1,40,000
Profit Rate @ 20%	=	1,40,000 x 20%
Firm's Profit	=	28,000
∴ Shreya's share of Profit	=	28,000 x 1/5
	=	5600/-

P/L Suspense A/c	Dr.	5,600	
To shreya's Cap. A/c			5,600

TEST YOUR KNOWLEDGE

TRUE AND FALSE (SM)

1. Business of partnership comes to an end on death of a partner.
2. Legal heir of a deceased partner automatically becomes partner in the Firm.
3. A revaluation account is opened in the books of accounts on death of a partner.
4. Any reserve appearing in the balance sheet on the date of death of a partner is transferred to all partners capital account in their profit sharing ratio.
5. Legal heirs of a deceased partner are entitled to his capital account balance only.
6. It is not necessary to adjust goodwill on death of a partner.
7. On death of a partner continuing partners can agree to change their capital contribution and profit sharing ratio.
8. On death of a partner, the firm gets surrender value of the joint life policy.
9. Only legal heirs of deceased partner are entitled to amount received from joint life policy.

Answer:

1. **False:** Surviving partners may continue to carry on the business.
2. **False:** Legal heirs of deceased partners are entitled to dues of the deceased partner. They cannot become partner in the business.
3. **True:** To find out the actual values of the assets and liabilities, revaluation account is prepared.
4. **True:** reserves belong to the partners in the same manner the capital contributed by them. Hence it is distributed to them through the capital account.
5. **False:** Legal heirs of a deceased partner are entitled to all the dues of deceased partner.
6. **False:** It is very much necessary to adjust goodwill on death of a partner.
7. **True:** Yes, it can be continued in the earlier share or in new share- in either case it leads to computing a new profit sharing ratio
8. **False:** On death of a partner the firm gets full value of sum assured of the joint life policy.
9. **False:** All the partners are entitled to amount received from joint life policy.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. If a partner retires, then other partners have a gain in their profit sharing ratio.
2. Joint life policy is taken by the partners in order to provide working capital for the firm.

   Or

   The objective of taking a joint life policy by the partnership firm is to secure the lives of the existing partners of the firm.

3. A partner may retire from firm either with the consent of majority of partners or in accordance with express agreement among partners.
4. Deceased Partner's Share of Profit is adjusted through P&L Suspense A/c which appears on the Liabilities side of the Balance Sheet.
5. The ratio in which the continuing partners acquire the outgoing (retired or deceased) partner's share is called as sacrificing ratio.
6. Unless given otherwise, the gaining ratio is the same as old profit ratio.
7. The assets and liabilities are revalued at the time of retirement/death of a partner so that the profit or loss arising on the revaluation of assets and liabilities up to date of retirement/death of a partner may be adjusted in the capital accounts of continuing partners only.
8. Gain or loss arising from revaluation of assets and liabilites up to date of retirement/death of a partner is shared only by continuing partners in their respective old profit sharing ratio.
9. All accumulated profits, reserves, losses and fictitious assets appearing in the books of the firm at the time of retirement of a partner are transferred only to continuing partners' capital accounts in their respective old profit sharing ratio.
10. The amount standing to the credit of deceased partner 'capital account is transferred to his/her loan account in case it is not paid immediately.
11. Joint Life Policy is an assurance policy covering the lives of the partners jointly & severally .
12. Joint Life Policy becomes due in the event of death of any of the partners or on the maturity of the policy, whichever is later.
13. Surrender value of an insurance policy means the realizable value of an insurance policy in the event of the surrender of the policy to the Insurance company at the date of maturity.
14. A retired partner or the legal representative of a deceased partner can not claim a share in the subsequent profits of the firm in any case.

Answer:

1. **True:** If a partner retries, his share of profit or loss will be shared by the other partners in their profit sharing ratio unless otherwise agreed.
2. **False:** The objective of taking a joint life policy is to minimize the financial hardships in the event of payment of a large sum to the legal representatives of a deceased partner or to the retiring partner.
3. **False:** A partner may retire from firm either with the consent of all other partners or in accordance with express agreement among partners.
4. **False:** Deceased Partner's Share of Profit is adjusted through P&L Suspense A/c which appears on the Assets side of the Balance Sheet.
5. **False:** The ratio in which the continuing partners acquire the outgoing (retired or deceased) partner's share is called as gaining ratio.
6. **True:** Unless given otherwise it is presumed that continuing partners have acquired the outgoing (retired or deceased) partner's share in their respective old profit sharing ratio.
7. **False:** The assets and liabilities are revalued at the time of retirement/death of a partner so that the profit or loss arising on the revaluation of assets and liabilities up to date of retirement/death may be adjusted in the capital accounts of all the partners.
8. **False:** Gain or loss arising from revaluation of assets and liabilities up to date of retirement/ death of a partner is shared by all partners in their respective old profit sharing ratio.
9. **False:** All accumulated profits, reserves, losses and fictitious assets appearing in the books of the firm at the time of retirement of a partner are transferred to all partners' capital accounts in their respective old profit sharing ratio.
10. **False:** The amount standing to the credit of deceased partner 'capital account is transferred to his/her Executors's Loan Account in case it is not paid immediately.
11. **False:** Joint Life Policy is an assurance policy covering the lives of the partners jointly .
12. **False:** Joint Life Policy becomes due in the event of death of any of the partners or on the maturity of the policy, whichever is earlier.
13. **False:** Surrender value of an insurance policy means the realizable value of an insurance policy in the event of the surrender of the policy to the Insurance company before the date of maturity.

14. **False:** A retired partner or the legal representative of a deceased partner can claim a share in the subsequent profits of the firm if his accounts are not settled.

MULTIPLE CHOICE QUESTIONS (SM)

1 In the absence of proper agreement, representative of the deceased partner is entitled to the Dead partner's share in
(a) Profits till date, goodwill, joint life policy, share in revalued assets and liabilities.
(b) Capital, goodwill, joint life policy, interest on capital, share in revalued assets and liabilities.
(c) Capital, profits till date, goodwill, joint life policy, share in revalued assets and liabilities.

2 A, B and C are the partners sharing profits and losses in the ratio 2:1:1. Firm has a joint life policy of ₹1,20,000 and in the balance sheet it is appearing at the surrender value i.e. ₹ 20,000. On the death of A, how this JLP will be shared among the partners.
(a) ₹ 50,000: ₹ 25,000: ₹ 25,000. (b) ₹ 60,000: ₹ 30,000: ₹ 30,000.
(c) ₹ 40,000: ₹ 35,000: ₹ 25,000.

3 R, J and D are the partners sharing profits in the ratio 7:5:4. D died on 30th June 2020. It was decided to value the goodwill on the basis of three year's purchase of last five years average profits. If the profits are ₹29,600; ₹ 28,700; ₹ 28,900; ₹ 24,000 and ₹ 26,800. What will be D's share of goodwill?
(a) ₹ 20,700. (b) ₹ 27,600. (c) ₹ 82,800.

4 R, J and D are the partners sharing profits in the ratio 7:5:4. D died on 30th June 2020 and profits for the accounting year 2019-2020 were ₹ 24,000. How much share in profits for the period 1st April 2020 to 30th June 2020 will be credited to D's Account.
(a) ₹ 6,000. (b) ₹ 1,500. (c) ₹ 2,000.

5. Revaluation account is prepared at the time of
(a) Admission of a partner (b) Retirement of a partner
(c) Death of a partner (d) All of the above

6. If three partners A, B & C are sharing profits as 5:3:2, then on the death of a partner A, how much B & C will pay to A's executer on account of goodwill. Goodwill is to be calculated on the basis of 2 years purchase of last 3 years average profits. Profits for last three years are: ₹ 3,29,000; ₹ 3,46,000 and ₹ 4,05,000.
(a) ₹ 2,16,000 & ₹ 1,42,000. (b) ₹ 2,44,000 & ₹ 2,16,000.
(c) ₹ 3,60,000 & ₹ 3,60,000. (d) ₹ 2,16,000 & ₹ 1,44,000.

MCQs

1	**C**	**2**	**A**	**3**	**A**	**4**	**B**	**5**	**D**	**6**	**D**

THEORETICAL QUESTIONS

Question 1:
Explain distinction between retirement and death of a partner as relating to finalisation of amount payable.

Answer:
The basic distinction between retirement and death of a partner relates to finalisation of amount payable to the Executor of the deceased partner. Although, revaluation of goodwill is done in the same way as it has been done in case of retirement, in addition, the executor of the deceased partner is entitled to share of profit upto the date of death

Question 2:

What amount is payable to legal representatives of dead partner?

Answer:

When the partner dies the amount payable to him/her is paid to his/her legal representatives. The representatives are entitled to the followings:

(a) The amount standing to the credit to the capital account of the deceased partner;
(b) Interest on capital, if provided in the partnership deed upto the date of death;
(c) Share of goodwill of the firm;
(d) Share of undistributed profit or reserves;
(e) Share of profit on the revaluation of assets and liabilities;
(f) Share of profit upto the date of death;
(g) Share of Joint Life Policy.

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE
Death of Partner	

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Death of Partner	

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Discussion of Qus. No. 18	

Space for Personal Notes:-

PARTNERSHIP – I BASIC DISSOLUTION

THEORY OF PARTNERSHIP I: BASIC DISSOLUTION

1. Dissolution of firm means a firm is wound up. When a firm is wound up, **all its assets are sold, liabilities are paid and finally partners capital is refunded.**

2. We need to **close books of firm**. In order to close books of firm, we open a **"Realization Account",** which is a nominal account and **shows profit/Loss on dissolution of firm** which is **transferred to partner capital Account (P.C.A.)** in their profit sharing Ratio **(P.S.R.).**

3. Following ledger Account Opened:-
   (a) Realisation Account
   (b) Cash/Bank Account
   (c) Partner Capital A/C [Partner current A/C also transferred to partner capital A/C, unless Question ask to separately open current A/c]
   (d) Loan from partner A/c.

4. Following Steps are involved for closing books of firm:-

Step: 1 – Transfer all assets at book value to realization Account.

Realisation A/C	Dr.
To Respective Asset A/C	

Notes on step 1

(a) **Don't transfer cash/bank balance** to realisation A/c. Show its balance in cash/bank Account.

(b) If in asset side of balance sheet, **Debit balance of Profit/Loss A/c [called Accumulated Loss], deferred Revenue Expenditure. Advance to partner, loan to partner are given**, they are not **transferred to realization Account**. They are **transferred to respective partner capital A/c.**

Partner Capital A/c	Dr.
To Profit/Loss A/c	
To Deferred Rev. Exp. A/c	
[In Profit sharing Ration]	

(c)

Partner Capital A/c	Dr.
To Loan/Advance to partner (Asset side Item)	

Step 2 –

(a) If Partner capital A/c as well as partner current A/c is given then all adj. like **Res., Realisation P/L, Asset taken over by partner etc. transfer to current A/c** then **Balance of current A/c will be transfer to capital A/c.**

(b) Transfer Profit/Loss A/c and General reserve balance to P.C.A. in their PSR.

P/L or GR	Dr.
To PCA	

(c) Open a separate A/c of "Loan taken from partner."

(d) Transfer all outside liability to realization A/c.

Respective outside Liability	Dr.
To Realisation A/c	

Note about step 1 and step 2:-

(1) In step 1 and step 2, only those asset and liability will be transferred to realization A/c which are given in balance sheet. **Unrecorded Asset/Liability will not be shown in Realisation A/c.**

(2) If in Balance sheet, **Debtor and provision for a doubtful debt, both are given, transfer** debtor (Gross Amt.) separately to realization A/c and PFDD **separately**.

Example: Given in B/S:-

Debtor	50000	
(-) PFDD	(2000)	48000

Now two separate entries are needed:-

(a)	Realisation	Dr.	50000	
	To Debtor			50000
(b)	PFDD	Dr.	2000	
	To Realisation			2000

Step 3 – Now we can make following treatment of assets:-

(a) Sale the assets:-

Cash	Dr.
To Realisation A/c	
(With sale Value)	

(b) Asset taken over by any partner:-

That P.C.A.	Dr.
To Realisation A/c	
(With Agreed Value)	

(c) Asset Given to Discharge any liability:-

There are 2 possibilities:-

(i) In full settlement: No entry

(ii) Some cash Given/Receive: - Pass Entry of cash Given/Received:-

Realisation A/c	Dr.
To Cash	
Cash	Dr.
To Realisation A/c	

(d) Asset becoming worth less: No entry

(e) Asset not appearing in Balance Sheet realised something/Taken over by partner:-

(i) Cash Dr.

To Realisation

(ii) PCA Dr.

To Realisation

Step 4 – Now we can make following treatment of liabilities:-

(a) Pay off that liability:-

Realisation A/c	Dr.
To Cash	

(b) Liability taken over by a partner:-

Realisation A/c	Dr.
To PCA	

(c) Unrecorded Liability paid off :-

Realisation	Dr.
To Cash	

Step 5 - Pay off Loan taken from partner:-

Loan from Partner	Dr.
To Cash	

Step 6 - Make entry for realisation Expenses:-

(a) If paid in cash:

Realisation	Dr.
To Cash	

(b) If paid / borne by any partner:

Realisation	Dr.
To That PCA	

Step 7 – Calculate Realisation Profit/Loss. If credit side is greater than debit, it is realization profit. If debit side is greater than credit, it is realization loss. Transfer realization Profit/Loss to P.C.A. in their P.S.R.

(a) If Ralisation Profit:-

Realisation A/c	Dr.
To PCA	

(b) If Realisation Loss:-

PCA	Dr.
To Realisation	

Note: - At the end, Cash A/c must be balanced.

Specimen of Realization Account

Particulars	₹	Particulars	₹
To Sundry Assets at BV (Excluding Cash/Bank, Debit Balance of P&L A/c, Fictitious Assets, Partners' Current A/c, Capital A/c, and P's Loan A/c's)		By Sundry Liabilities at BV (Excluding Credit Balance of P&L A/c, Reserves, Partners' Current, Capital, and P's Loan A/c)	
To Bank/Cash (expenses for realization)		By Provision on Assets eg. PFDD	
To Bank/Cash A/c (Amount paid for liabilities and unrecorded liabilities)		By Bank/Cash A/c (Amount realized from Sale of assets and unrecorded assets)	
To Partners' Capital A/c's (Expenses or Liabilities paid by partners)		By Partners' Capital A/c's (Assets taken over by partners)	
To Partners' Capital A/c's (Profit on realization distributed among partners in profit sharing ratio)		By Partners' Capital A/c's (Loss on realization distributed among partners in profit sharing ratio)	

Step 8: Treatment of Goodwill

1. If G/W appears in B/S, it is considered as purchased G/W and is treated like any other asset and is transfer to Realisation A/c.
2. If G/W not appear in B/S – No Entry req.
3. If something is realized or G/W is purchased by any partner then entry:-
   Cash / PCA Dr.
   To Realisation A/c

PARTNERSHIP - INSOLVENCY OF PARTNER: THEORY

Insolvency of Partner

1. When a partner becomes Insolvent and he has final Debit capital (that is after all adjustment). Then firm will not be able to recover full amount of Debit balance from him.

   Either firm will be able to recover only partial amount from him or it is also possible that firm may not be able to recover any amount from him.

   In such case unrecovered amount is called insolvency Loss. If no amount is recovered from insolvent partner, then whole of his debit balance is insolvency loss.

   But if some amount is recovered from insolvent partner estates, then Insolvency Loss = Final Debit balance (before Recovery) (-) Amount recovered. Sometimes Amount recovered is given as a proportion, Like 1/3 or 0.25 paise dividend in a Rupee. In such case, Amount recovered will be computed by following formula: -

   - Final Debit balance (before Recovery) × Proportion Recovered.
   - 0.25 paise in a Rupee means 25% amount is recovered.

2. Now the question is how to treat Insolvency loss of insolvent partner. The law is that insolvency loss of insolvent partner is borne by solvent partners in their CAPITAL RATIO. This was the decision in a famous case law GARNER V/S MURRAY.

3. Meaning of "Capital Ratio":-

(A) In question of fixed capital:-

When in balance sheet of question, both capital account as well as current a/c is given; this is called a question of fixed capital. Here capital ratio means ratio of capital given in balance sheet of question with out any adjustment.

We will create ratio of Capital Amount of solvent partners given in question. We will calculate insolvency loss of insolvent partners. We will divide that insolvency loss in above ratio. We will pass following Journal entry:-

Respective solvent Partners Capital Account	Dr.
To Insolvent Partner capital Account	
[Being Insolvency Lose of insolvent Partner divided in capital ratio]	

(B) In question of Fluctuating capital:-

In such case, we have to calculate Capital Ratio of solvent partner. Please remember that we never calculate capital ratio of insolvent partner because insolvent partner insolvency loss is borne by solvent partners in their capital ratio.

If in Balance sheet, only capital account in given and current account is not given, it is a question of fluctuating capital.

As per decision in Garner v/s Murrey, in case of fluctuating capital, capital ratio means ratio of capital just before dissolution.

Any transaction which relates to pre-dissolution period shall be adjusted in capital ratio. Any transaction which relates to post dissolution period is not adjusted in capital Ratio.

If any General reserve, capital reserve, Profit Loss a/c is given in Balance sheet, it shall be adjusted in capital ratio. If any error has taken place in pre dissolution period which will affect Capital account, the same will also be adjusted in Capital ratio. Best example of rectification of error to be adjusted in capital ratio is unrecorded purchase.

But sale of asset, payment of Liability, taken over of asset/ Liability by partners are post dissolution events. Hence while computing capital ratio, don't take into consideration Realisation Profit/Loss, Asset/Liability taken over by partner.

Hence Capital Ratio may be computed by preparing following statement:-

Particular / Name of solvent Partners	X	Y	Z
Capital as per B/S	✓	✓	✓
+ General Reserve, Capital Reserve, P/L a/c balance, IOC, Drawing, IOD	✓	✓	✓
± Impact of Rectification of Error	✓	✓	✓
Capital (Adjusted)	✓	✓	✓

Convert above Adjusted capital into Ratio which becomes capital ratio. Now divide insolvency loss in this ratio.

In above statement, don't adjust:-
a) Asset / Liability taken over by Partners
b) Realisation Profit / Loss.

If Capital in Balance sheet of any partner is credit balance ie given in liability side of balance sheet, then write Cr. before his capital and if balance of capital is debit balance ie in asset side, write Dr. against his capital. Debit capital is negative capital.

4. When a solvent Partner Do not bear insolvency loss of insolvent partner?

When a solvent partner has Debit Capital ratio, he will not bear insolvency Loss of insolvent partner. In such case, we will divide insolvency loss between partners having credit capital ratio only.

5. Solvent partners to bring share of realization loss in cash:-

As per decision in Garner v/s Murruy, all solvent partners will bring their share of realization loss in cash. Journal entry for this will be:-

Bank A/c	Dr.	
To Respective solvent Partner Capital A/c		

Note: - Realisation A/c will be same as discussed in Basic Dissolution ie. Realisation P/L will be distributed to All PCA (Solvent + Insolvent)

- 4 A/c's to be opened – Same as Basic Dissolution.

ALL PARTNER INSOLVENT CONCEPT

When all partners are insolvent, insolvency loss of partners have to be borne by sundry creditors of firm. In such case, we open a "Deficiency Account". We don't transfer sundry creditors to realization A/c. We transfer balancing figure of partner capital A/c representing insolvency Loss to "Deficiency A/c" by passing JE:-

Deficiency A/c Dr.
To Respective PCA
[Being BF of PCA transferred to Deficiency A/c]

We then transfer total of Deficiency A/c to sundry creditor. This shows that the above Deficiency has been born by S Creditor.

S Creditor A/c Dr.
To Deficiency A/c
(Being Total Deficiency transferred to sundry creditor A/c)

Then we pay balancing figure of creditor a/c in Cash:-

Sundry Creditor Dr.
To Cash

Proforma of sundry creditor A/c

To Deficiency A/c	√ √	By Balance B/F from B/S	√
To Cash	√		√

PARTNERSHIP ACCOUNT - GRADUAL REALIZATION AND PIECEMEAL DISTRIBUTION CONCEPT NOTE

Partnership
Gradual Realisation and Piecemeal distribution (GRPD)

(1) **Meaning:** In the basic dissolution and insolvency topic, we assumed that all assets are realised and all payment are made on the date of dissolution of firm. But **in real life, realization of assets takes place gradually over a period of time after dissolution.**

Example: Suppose Date of dissolution is 10/9/2022. Now in previous topic, we assumed that on 10/9/2022 itself, all assets are sold, all liabilities are paid and partner capital refunded.

But practically if firm is dissolved on 10/9/2022, then after 10/9/22, liquidator of firm will start selling assets one by one. It will take a long time may be 5-6 month to sale all assets, moreover their sale will spread over a period of time. For Example, may be stock is sold on 30/9/22, Debtor are realized on 15/10/22, L&B is sold on 31/12/22 etc. This is called "Gradual realization"

Now **there is no point in retaining all cash collected till the last asset is realized and then paying all liabilities together. The better approach is as one asset is realized repay liability.** Hence the concept arises that as assets is realized, we start distributing cash to each liability.

But you have to **pay liabilities in a legal sequence.** You have to pay outside liabilities first. After all outside liabilities are fully paid up, you will pay loan taken from partners. Then you will pay Partners capital. **Distributing liabilities in a logical manner is called piecemeal distribution.**

Hence gradual realization and piecemeal distribution **means selling assets one by one and paying liabilities as the asset is realized in a logical manner.**

(2) Sequence of Paying outside liability:-
- (a) Outside liability. Partner wife loan is also outside liability.
- (b) Partner Loan.
- (c) Partner Capital.

(3) Computation of cash available at each stage/Instalment

We have to first compute in a question, as to how much cash is available at each stage for Distribution to liabilities.

To explain this, I am giving certain Examples:-

Example (1):-

Date of Dissolution 31/3/2022
Cash as per B/S on 31/3/2022 = 20,000

Asset Realised in instalment as follows:-

Instalment / Part. ↓	I	II	II	IV
Cash Realised (or) Asset realized	1,80,000	3,15,000	5,70,000	6,44,000

Dissolution expenses expected to incur Rs. 43,000 but actual expenses are Rs. 46,500.

Ans. of Example 1

(1) Add cash balance given in balance sheet to first instalment as it is available at start itself.
(2) Dissolution expenses expected to be incurred are deducted from 1st Instalment. Hence 43,000 shall be divided from 1st Instalment. The reason is that out of very 1st cash available, dissolution expenses/ Liquidation expenses / Liquidator remuneration is deducted first.
(3) If Actual dissolution expenses differ from expected dissolution expenses, the difference is added/deducted from last instalment.

Here actual expenses are greater then expected dissolution expenses, hence the difference is extra expenses incurred. In above case Rs. 3,500 (46,500 – 43,000) shall be deducted from last instalment.

If Actual expenses are less than expected expenses, the difference is called "Saving". We will add this to last instalment as this will be extra cash available in last instalment. For example, suppose in above question, actual expenses given are Rs. 41,200, Then 1,800 (43,000 – 41,200) shall be added to last instalment.

Statement Showing Cash Available At Each Stage

	I	II	II	IV
Opening cash	20,000	--	--	--
+ Asset realized	1,80,000	3,15,000	5,70,000	6,44,000
(-) Expected Dissolution Exp.	(43,000)	--	--	--
(-) Extra Dissolution Exp. (46,500 – 43,000)	--	--	--	(3,500)
Cash available	1,57,000	3,15,000	5,70,000	6,40,500

HOW TO DIVIDE CASH AMONG PARTNER AGAINST THEIR CAPITAL

(1) A problem in GRPD topic arises when cash becomes available for refund of partners capital as to whose partner capital to be refunded first and whom to refund next.

(2) There are two methods of computing refund to PCA:-
   (a) Highest Relative capital method (HRCM) [Chapter iv]
   (b) Maximum Loss Method. [Chapter v]

HIGHEST RELATIVE CAPITAL METHOD (H.R.C.M.)

(1) The basis logic of HRCM is that we are distributing cash as and when it becomes available without waiting for last instalment. We comes to know of realisation Profit/Loss after last instalment. Since we are distributing cash without knowing realization Profit/Loss, hence we have to distribute cash among partners in such a way such that amount not received by partners finally which represent realization loss is in PSR. On the other hand, if excess amount is received by them, it is realisation profit which should be in PSR.

(2) So finally conclude one thing. At the time at which you are distributing cash among partners, you don't know realisation Profit/Loss but you need to distribute cash in such a way such that final amount left over which represent Profit/Loss is in PSR.

(3) Now what is HRCM. Highest relative capital means highest proportionate capital. Under this method, we indentify those partners who have higher proportionate capital as compared to other partner and we also compute amount by which partner has higher capital as compared to others. We then repay that partner higher capital first, then other partner. We repeat this process until each partner capital comes to their PSR. Once the capital is brought to PSR, we start dividing in PSR. At end, realisation Profit/Loss arise in PSR.

(4) Now the question that arises in how to find partner having proportionately higher capital. For this purpose we prepare a statement. I will explain you this statement through some examples:-

Example (1) Partner's Capital A/c as per B/S:-

A	66,000
B	1,02,000
C	79,500

PSR is 5: 3: 2. Prepare scheme of payment.

Ans. of Example (1)

Statement showing Highest Relative Capital

SN.	Particular	A	B	C
(a)	Capital of Partners as per B/S	66,000	1,02,000	79,500
(b)	PSR	5	3	2
(c)	Capital Per share of Profit (a/b)	13,200	34,000	39,750
(d)	Now Look which Partner has lowest per share capital in point (c). Partner 'A' has lowest per share capital of Rs. 13200 in point (c). Take base of partner 'A' Per share capital that is 13200 and calculate capital of all partner by multiplying 13200 with PSR of Each partner that is 5:3:2. [Exam oriented = Minimum as per (c) x PSR as per (b)] 13,200 x 5 13,200 x 3 13,200 x 2	66,000	39,600	26,400
(e)	Excess Capital (a – d) [Here we are calculating excess capital of partners. Since we have taken base of 'A' ie partner having Min. Per share capital, hence A will go out of competition as compared to B/C. Hence B/C. will have excess capital as compared to 'A']	NIL	62,400	53,100

	[Excess capital of B and C 62,400 and 53,100 shows that if 62,400 and 53,100 is first paid to B and C as compared to A, then capital of All 3 partners will be equal to point (d) ie A 66,000, B 39,600 and C 26,400 which is in PSR. Hence Thereafter all payment in PSR.			

Now we have prepared statement of HRC from point (a) to (e) and drawn following scheme of payment:-

(a) We will first pay (Before paying anything to A):-

B 62,400
C 53,100

(b) If we pay above amt. to B and C (without paying anything to A), following situation will arise:-

	A	B	C
Original Capital	66,000	1,02,000	79,500
(-) Payment made	--	(62,400)	(53,100)
Balance Capital	66,000	39,600	26,400

It can be observed that now balance capital Left over of partners is 66,000, 39,600, 26,400 which is in 5: 3: 2.

(c) Now whatever cash will come after above, we will distributed in 5:3:2.

Conclusion: As compared to B and C, A has lowest capital per share.

Now we have reached at a conclusion that we will first pay 62,400 + 53,100 = 1,15,500 to B and C before paying any amount to A. Now the question is out of 62,400 of B and 53,100 of C, who will be paid first and who next. For that we have to make competition between B and C now. Previously there was competition between A, B and C. A lost now competition between B and C needed.

Statement showing HRC

SN.	Particular	A	B	C
(a)	Capital of as per B/S	66,000	1,02,000	79,500
(b)	PSR	5	3	2
(c)	Capital Per share (a/b)	13,200	34,000	39,750
(d)	Min as per (c) x PSR ie 13,200 x 5/3/2	66,000	39,600	26,400
(e)	Excess Capital (a – d)	--	62,400	53,100
(f)	PSR (Take PSR of B and C only)	--	3	2
(g)	Excess Capital per share (e/f)	--	20,800	26,550
(h)	Now Look as to whose excess capital Per share is lower in Profit (g). Partner B has lower excess per share capital of 20,800 as compared to C. Hence we will take base of partner B and Calculate capital of both B and C by formula Lowest excess capital per share in point (g) x PSR] 20,800 x 3 20,800 x 2	--	62,400	41,600
(i)	Now calculate Absolute Excess Capital by formula : (e – h)	--	--	11,500

Scheme of payment (i) (h) (all)

Remember this sentence (i) (h) (all)

Step 1: First go to Point (i) and pay to that partner first who is sitting on Point (i). here we will first pay partner C Rs. 11,500.

Step 2: Then go to Point (h). Here you will find two partners. Add up amt of point (h) ie 62,400 + 41,600 = 1,04,000. Next Rs. 1,04,000 shall be divided between B and C in their PSR of 3:2.

Step 3: Then pay all partners i.e. A: B: C in 5:3:2.

Summary of HRC Statement from Point (a) to (i) and Scheme of Payment

SN	Particular	A	B	C
(a)	Capital as per Balance Sheet [In Q N 30-32, Loan to Partner Also Given. DEDUCT that from Capital and take NET Capital Here]	√	√	√
(b)	PSR	√	√	√
(c)	Capital Per share (a/b)	√	√	√
(d)	Minimum as per (c) x b ie. PSR	√	√	√
(e)	Excess Capital (a - d) [Here one partner will have NIL. Suppose 'C' has NIL]	√	√	NIL
(f)	PSR [Don't write PSR of Partner having NIL in (e)]	√	√	N.A.
(g)	Excess Capital Per share (e/f)	√	√	N.A
(h)	Minimum as per (g) x PSR ie. (f)	√	√	N.A.
(i)	Absolute Excess Capital (e – h) [Here one more partner will have NIL amt. Suppose 'B' has NIL]	√	NIL	NIL

SCHEME OF PAYMENT
(i) (h) (All)

(1) First pay partner having absolute excess capital in (i) to extent of absolute excess capital.
(2) Then add up amount of point (h). Pay next amt. to A and B in PSR to that extent.
(3) Then pay all in PSR.

WHEN TO PREPARE STATEMENT UPTO POINT (e) ONLY

(1) In some question, we prepare statement upto point (i) but in some question, we need to prepare statement upto point (e) only.

(2) When upto (e) only and scheme of payment in that case:-
In following two cases, you need to prepare statement only upto point (e). In both cases, scheme of payment also given:-

(i) When in Point (e) only one partner has excess capital:
In such case, we need not to go beyond point (e). In such case, scheme of payment will be:-
- First pay excess capital of partner
- Then pay all partner in PSR.

Example of Case I

	A	B	C
Capital as per B/S	50,000	40,000	33,600
PSR	5	4	3

Ans. of Example

SN	Particular	A	B	C
a)	Capital as per B/S	50,000	40,000	33,600
b)	PSR	5	4	3
c)	Capital Per share (a/b)	10,000	10,000	11,200
d)	Min. as per (c) ie 10,000 x PSR ie 5/4/3	50,000	40,000	30,000
e)	Excess Capital (a – d)	NIL	NIL	3,600

Here it can be observed that in Point (e), only one partner 'C' has excess capital. Here we will first pay Mr. C Rs. 3,600.
Once you pay 3,600 to 'C', all Partners capital will become in PSR as follows:-

	A	B	C
Capital as per B/S	50,000	40,000	33,600
(-) Paid to C	--	--	3,600
Balance Capital	50,000	40,000	30,000

The above capital is in PSR. Infact once you pay Mr C Rs. 3,600, Capital will be equal to Capital as per Point (d).

Case (ii)
When in Point (e), two partners have excess capital and that excess capital itself is in PSR of those two partners. In such case scheme of payment will be as follows:-

(1) Aggregate the excess capital of both partner in point (e). To that extent, pay both of them first in their PSR.
(2) Then pay all partner in their PSR.

Example of case (ii)

	A	B	C
Capital as per B/s	50,000	40,000	27,300
PSR	5	4	3

Ans. of Ex. (2)

Statement showing HRC

SN		A	B	C
a)	Capital as per B/S	50,000	40,000	27,300
b)	PSR	5	4	3
c)	Capital Per share (a/b)	10,000	10,000	9,100
d)	Min. as per (c) x PSR ie 9,100 x 5/4/3	45,500	36,400	27,300
e)	Excess Capital (a – d)	4,500	3,600	NIL

Observe that A and B has excess capital of 4,500 and 3,600 in point (e) which is in their PSR of 5 : 4.

Now scheme of payment is:-
(a) Add up excess capital ie. 4,500 + 3,600 = 8,100. Pay upto 8,100 first to A and B in 5 : 4.
(b) Then pay all partner is PSR. Infact once you pay 4,500 to A and 3,600 to B, the capital of all partner will become in PSR as proved below:-

	A	B	C
Original Capital	50,000	40,000	27,300
(-) Capital Repaid	(4,500)	(3,600)	--
Balance Capital This is equal to Point (d) which is in PSR of 5: 4: 3.	45,500	36,400	27,300

When to prepare upto Point (i)

When in Point (e) two partners have excess capital but the same is not in their PSR.

Summary

SN	Case	Statement upto	Scheme of payment
(1)	Only one partner has excess capital in point (e)	Upto (e)	Pay the partner having excess capital in point (e) to the extent of his excess capital 1st Then pay all in PSR.
(2)	Two partner have excess capital in point (e) but that excess capital is in PSR	Upto (e)	Aggregate the excess capital of point (e). Pay upto that aggregate first in PSR of those partner. Pay balance to all partner in PSR.
(3)	Two partner have excess capital in Point (e) but that excess capital is not in PSR	Upto (i)	Apply (i) (h) (all) concept.

PARTNERSHIP ACCOUNT - GRADUAL REALIZATION AND PIECEMEAL DISTRIBUTION CONCEPT NOTE ON MAXIMUM LOSS METHOD

(1) This is another method of computing sequence of payment to partners.
(2) Under this method, when cash become available for first time for payment of partner capital, **each cash available for partner's capital is assumed to be last instalment.**

We **calculate maximum Loss after each cash available** for partner by following formula:-

Maximum Loss = Aggregate Capital of Partners (-) Cash Available for partners.

We **divide this maximum Loss among partner in their profit shing ratio,** we deduct this loss from P.C.A. balance.

If after deduction: each **partner balance is positive**, that will be **amt of cash refunded** to those partners. Then we deduct cash paid from capital, This become balance B/F for next instalment. **The same process is repeated again.**

But if **after deduction of Maximum Loss** from partner capital balance, any **partner have negative balance** [ie his share of Max Loss is greater than his capital balance], he is **deemed to be insolvent.** We **divide his insolvency** Loss **among other partner as per garner V/S murrey** in their fixed or fluctuating capital Ratio. We add this to partner having negative balance and deduct from partner having positive balance. Now the balance of partner will be cash paid to them.

CLASS WORK QUESTIONS

Question 1: (Basic Dissolution) **[SM Example]**

Balance Sheet of Fast and Quick as at Dec. 31, 2023

Liabilities		Rs.	Assets		Rs.
Sundry Creditors		20,000	Plant and Machinery		40,000
Fast's Loan		10,000	Patents		6,000
General Reserve		10,000	Stock		25,000
Capitals:			Sundry Debtors	19,000	
Fast	30,000		Less: Prov. For doubtful debts	(1,000)	18,000
Quick	25,000	55,000	Cash		6,000
		95,000			95,000

Fast and Quick share profits in the ratio of 3:2. On 1 at January 2024 the firm was dissolved.
Fast took over the patents at a valuation of Rs. 5,000. The other assets realized as under:

	Rs.
Plant and Machinery	45,000
Stock	22,000
Sundry Debtors	18,500
Total	85,500

The Sundry Creditors were paid off at discount of 5%. The expenses amounted to Rs. 3,500. Close books of firm.

Personal Note :-

Question 2: (Basic Dissolution) **[SM PQ. 3]**

Amit, Sumit, and Kumar are partners sharing profit and losses in the ratio 2:2:1. The partners decided to dissolve the partnership on 31st March 2023 when their Balance Sheet was as under:

Liabilities	Amount	Assets		Amount
Capital Accounts:		**Land & Building**		**1,35,000**
Amit	**55,200**	**Plant & Machinery**		**45,000**
Sumit	**55,200**	**Furniture**		**25,500**
General Reserve	**61,500**	**Investments**		**15,000**
Kumar's Loan A/c	**15,000**	**Book Debts**	**60,000**	
Loan from D	**1,20,000**	**Less: Prov. for bad debts**	**(6,000)**	**54,000**
Trade Creditors	**30,000**	**Stock**		**36,000**
Bills Payable	**12,000**	**Bank**		**13,500**
Outstanding Salary	**7,500**	**Capital Withdrawn:**		
		Kumar		**32,400**
	3,56,400			**3,56,400**

The following information is given to you:

(i) Realization expenses amounted to ₹ 18,000 out of which ₹ 3,000 was borne by Amit.

(ii) A creditor agreed to takeover furniture of book value ₹ 12,000 at ₹ 10,800. The rest of the creditors were paid off at a discount of 6.25%.

(iii) The other assets realized as follows:

Furniture	-	**Remaining taken over by Kumar at 90% of book value**
Stock	-	**Realized 120% of book value**
Book Debts	-	**₹ 12,000 of debts proved bad, remaining were fully realized**
Land & Building	-	**Realized ₹ 1,65,000**
Investments	-	**Taken over by Amit at 15% discount**

(iv) For half of his loan, D accepted Plant & Machinery and ₹ 7,500 cash. The remaining amount was paid at a discount of 10%.

(v) Bills payable were due on an average basis of one month after 31st March 2023, but they were paid immediately on 31st March @ 6% discount "per annum".

Prepare the Realization Account, Bank Account and Partners' Capital Accounts in the books of Partnership firm.

Personal Note :-

Question 3: (Basic Dissolution) **[SM ILL. 9]**

P and Q were partners sharing profits equally of in LLP Their Balance Sheet as on March 31, 2021 was as follows:

Balance Sheet as on 31st March, 2021

Equity and Liabilities		₹	Assets	₹
Capitals:			Bank	30,000
P	1,00,000		Debtors	25,000
Q	50,000	1,50,000	Stock	35,000
Creditors		20,000	Furniture	40,000
Q's current account		10,000	Machinery	60,000
Reserves		15,000	P's current account	10,000
Bank overdraft		5,000		
		2,00,000		2,00,000

The firm was dissolved on the above date:

P took over 50% of the stock at 10% less on its book value, and the remaining stock was sold at a gain of 15%. Furniture and Machinery realized for ₹ 30,000 and ₹ 50,000 respectively; There was an unrecorded investment which was sold for ₹ 25,000; Debtors realized 90% only and ₹ 1,245 were recovered for bad debts written off last year; There was an outstanding bill for repairs which had to be paid for ₹ 2,000.

You are required to prepare Realization Account, Partners' capital accounts (including transfer of current account balances) and Bank Account in the books of the firm.

Personal Note :-

Question 4: (Insolvency of a Partner = Fixed Capital) **[PEQ. June 24, 8 Marks] [SM ILL. 2]**

P, Q and R were partners sharing profits and losses in the ratio of 3:2:1, no partnership salary or interest on capital being allowed. Their balance sheet on 30th June, 2023 is as follows:

Liabilities		Rs.	Assets		Rs.
Fixed Capital			Fixed assets:		
P	20,000		Trademark		40,000
Q	20,000		Freehold Property		8,000
R	10,000	50,000	Plant and Equipment		12,800
Current Accounts :			Motor Vehicle		700
P	500		Current Assets		
Q	9,000	9,500	Stock		3,900
Loan from P		8,000	Trade Debtors	2,000	
Trade Creditors		12,400	Less: Provision	(100)	1,900
			Cash at bank		200
			R's Current Account		400
			Profit and Loss Account		12,000
		79,900			79,900

On 1st July, 2023 the partnership was dissolved. Motor Vehicle was taken over by Q at a value of Rs. 500 but no cash passed specifically in respect of this transaction. Sale of other assets realised the following amounts:

	Rs.
Trademark	Nil
Freehold Property	7,000
Plant and Equipment	5,000
Stock	3,000
Trade Debtors	1,600

Trade Creditors were paid Rs. 11,700 in full settlement of their debts. The costs of dissolution amounted to Rs. 1,500. The loan from P was repaid, P and Q were both fully solvent and able to bring in any cash required but R was forced into bankruptcy and was only able to bring 1/3 of the amount due.

You are required to show:

(a) Cash and Bank Account,

(b) Realisation Account, and

(c) Partners Fixed Capital Accounts (after transferring Current Accounts' balances).

Personal Note :-

Question 5: (Insolvency of a Partner = Fixed Capital) **[SM PQ. 2]**

Thin', 'Short' and 'Fat' were in partnership sharing profits and losses in the ratio of 2:2:1. On 30th September, 2023 their Balance Sheet was follows:

Liabilities		Rs.	Assets	Rs.
Capital Accounts :			Premises	50,000
Thin	80,000		Fixtures	1,25,000
Short	50,000		Plant	32,500
Fat	20,000	1,50,000	Stock	43,200
Current Accounts			Debtors	54,780
Thin	29,700			
Short	11,300			
Fat (Dr.)	(14,500)	26,500		
Sundry Creditors		84,650		
Bank Overdraft		44,330		
		3,05,480		3,05,480

'Thin' decides to retire on 30th September, 2023 and as 'Fat' appears to be short of private assets, 'Short' decides that he does not wish to take over Thin's share of partnership, so all three partners decide to dissolve the partnership with effect from 30th September, 2023. It then transpires that 'Fat' has to no private assets whatsoever.

The premises are sold for Rs. 60,000 and the plant for Rs. 1,07,500. The fixtures realize Rs. 20,000 and the stock is acquired by another firm at book value less 5%. Debtors realise Rs. 45,900. Realisation expenses amount to Rs. 4,500.
The Bank overdraft is discharged and the creditors are also paid in full.

You are required to write up the following ledger accounts in the partnership books following the rules in Garner vs. Murray:
(i) Realisation Account;
(ii) Partners' Current Account
(iii) Partners' Capital Accounts showing the closing of the firm's books.

Personal Note :-

Question 6: (Insolvency of a Partner = Fluctuating Capital)

[MTP JAN. 25, 12 Marks] [PEQ. Nov. 11, 16 Marks]

P,Q,R and S had been carrying on business in partnership sharing profit & Losses in the ratio of 4:3:2:1. They decide to dissolve the partnership on the basis of following Balance Sheet as on 30th April, 2023:

Liabilities		Amount (Rs.)	Assets		Amount (Rs.)
Capital Accounts			Land & Building		2,46,000
P	1,68,000		Furniture & Fixtures		65,000
Q	1,08,000	2,76,000	Stock		1,00,000
General Reserve		95,000	Debtors		72,500
Capital Reserve		25,000	Cash in hand		15,500
Sundry Creditors		36,000	Capital overdrawn:		
Mortgage Loan		1,10,000	R	25,000	
			S	18,000	43,000
		5,42,000			5,42,000

(i) The assets were realized as under:

	Rs.
Land & Building	2,30,000
Furniture & Fixture	42,000
Stock	72,000
Debtors	65,000

(ii) Expenses of dissolution amounted to Rs. 7,800.

(iii) Further creditors of Rs. 18,000 had to be met.

(iv) R became insolvent and nothing was realized from his private estate.

Applying the principles laid down in Garner Vs. Murray, prepare the Realisation Account, Partner's Capital Accounts and Cash Account.

Personal Note :-

Question 7: (Insolvency of a Partner = Fluctuating Capital) **[SM 1LL. 4]**

A, B, C and D sharing profits in the ratio of 4:3:2:1 decided to dissolve their partnership on 31st March 2023 when their balance sheet was as under:

Liabilities		Rs.	Assets	Rs.
Creditors		15,700	Bank	535
Employees provident Fund		6,300	Debtors	15,850
Capital Account :-			Stock	25,200
A	40,000		Prepaid Expenses	800
B	20,000	60,000	Plant & Machinery	20,000
			Patents	8,000
			C's Capital A/c	3,200
			D's Capital A/c	8,415
		82,000		82,000

Following information is given to you:-

1. One of the creditors took some of the patents whose book value was Rs. 5,000 at a valuation of Rs. 3,200. Balance of the creditors were paid at a discount of Rs. 400.
2. There was a joint life policy of Rs. 20,000 (not mentioned in the balance sheet) and this was surrendered for Rs. 4,500.

3. The remaining assets were realised at the following values: - Debtors Rs. 10,800; Stock Rs. 15,600; Plant and Machinery Rs. 12,000; and Patents at 60% of their book-values. Expenses of realisation amounted Rs. 1,500.
D became insolvent and a dividend of 25 paise in a rupee was received in respect of the firms claim against his estate. Prepare necessary ledger accounts.

Personal Note :-

CONCEPT NOTE ON QN : 7

(1) Employee Provident Fund (EPF) is an outside liability. Even if question is silent, pay it off.

(2) **Q is silent about prepaid expenses". We generally assume that if question is silent about any asset, we assume that the said asset shall be realized at book value but prepaid exps. is exception of this rule. If Q is silent about prepaid exps. we assume that its realisaed value is NIL.**

The reason is that prepaid exps are Exps. paid in advance for service to be rendered in future. Now if your firm is dissolved, you are not going to get back the prepaid amt.

(3) Rs. 20000 of JLP is Policy amount. It is useless. Surrender value of 4500 is pure Profit for which entry will be :-

Cash	Dr.	4500
To Realisation		4500

Question 8: (Insolvency of a Partner) **[SM ILL. 5]**

M/s X, Y, and Z who were in partnership sharing profits and losses in the ratio of 2:2:1 respectively, had the following Balance Sheet as on December 31, 2021:

Liabilities		**₹**	**₹**	**Assets**	**₹**	**₹**
Capital:	X	29,200		Fixed Assets		40,000
	Y	10,800		Stock		25,000
	Z	10,000	50,000	Book Debts	25,000	
Z's Loan			5,000	Less: Provision	(5,000)	20,000
Loan from Mrs. X			10,000	Cash		1,000
Sundry Trade Creditors			25,000	Advance to Y		4,000
			90,000			90,000

The firm was dissolved on the date mentioned above due to continued losses. After drawing up the balance sheet given above, it was discovered that goods amounting to ₹ 4,000 have been purchased in November, 2021 and had been received but the purchase was not recorded in books.

Fixed assets realized ₹ 20,000; Stock ₹ 21,000 and Book Debt ₹ 20,500. Similarly, the creditors allowed a discount of 2% on average. The expenses of realization come to ₹ 1,080. X agreed to take over the loan of Mrs. X. Y is insolvent, and his estate is unable to contribute anything.
Give accounts to close the books; work according to the decision in Garner vs. Murray.

Personal Note :-

Question 9: (Insolvency of all Partners) **[SM ILL. 3]**

Amal and Bimal are in equal partnership. Their Balance Sheet stood as under on 31st March, 2023 when the firm was dissolved:

Liabilities	₹	Assets	₹
Creditors A/c	4,800	Plant & Machinery	2,500
Amal's Capital A/c	750	Furniture	500
		Debtors	1,000
		Stock	800
		Cash	200
		Bimal's drawings	550
	5,550		5,550

The assets realized as under:

Particulars	₹
Plant & Machinery	1,250
Furniture	150
Debtors	400
Stock	500

The expenses of realization amounted to ₹ 175. Amal's private estate is not sufficient even to pay his private debts, whereas Bimal's private estate has a surplus of ₹ 200 only.

Show necessary ledger accounts to close the books of the firm.

Personal Note :-

Question 10: (GRPD - HRCM) **[SM ILL. 8]**

A partnership firm was dissolved on 30th June, 2018. Its Balance Sheet on the date of dissolution was as follows:

Capitals:			Cash	21,600
A	1,52,000		Sundry Assets	3,78,400
B	96,000			
C	72,000	3,20,000		
Loan A/c – B		20,000		
Sundry Creditors		60,000		
		4,00,000		4,00,000

The assets were realized in instalments and the payments were made on the proportionate capital basis. Creditors were paid ₹ 58,000 in full settlement of their account. Expenses of realization were estimated to be ₹ 10,800 but actual amount spent was ₹ 8,000. This amount was paid on 15th September. Draw up a statement showing distribution of cash, which was realized as follows:

	₹
On 5thJuly, 2018	50,400
On 30thAugust, 2018	1,20,000
On 15thSeptember, 2018	1,60,000

The partners shared profits and losses in the ratio of 2 : 2 : 1. Prepare a statement showing distribution of cash amongst the partners by 'Highest Relative Capital' method.

Personal Note :-

Question 11: (GRPD - Max. Loss) **[PEQ. MAY 10, 8 Marks]**

Amar, Akbar and Antony are in partnership. The following is their Balance Sheet as at March 31, 2023 on which date they dissolved their partnership. They shared Profit in the ratio of 5: 3: 2:

Liabilities	**Rs.**	**Assets**	**Rs.**
Creditors	80,000	Plant and machinery	60,000
Loan A/c - Amar	20,000	Premises	80,000
Capital A/c - Amar	1,00,000	Stock	60,000
Akbar	30,000	Debtors	1,20,000
Antony	90,000		
	3,20,000		3,20,000

It was agreed to repay the amounts due to the partners as and when the assets were realised, viz,

April 15, 2023	Rs.	60,000
May 1, 2023	Rs.	1,46,000
May 31, 2023	Rs.	94,000

Prepare a statement showing how the distribution should be made under maximum loss method.

Personal Note :-

Question 12: (GRPD - Max. Loss) **[SM ILL. 6]**

A, B and C are partners sharing profits and losses in the ratio of 5:3:2. Their capitals were Rs. 9600; Rs.6000 and Rs.8400 respectively.

After paying creditors, the liabilities and assets of the firm were :

	Rs.		Rs.
Liability for interest on		Investments	1000
loans from :		Furniture	2000
Spouses of partners	2000	Machinery	1200
Partners	1000	Stock	4000

The assets realized in full in the order in which they are listed above. B is insolvent.

You are required to prepare a statement showing the distribution of cash as and when available, applying maximum possible loss procedure.

Personal Note :-

HOMEWORK QUESTIONS

Question 13: (Basic Dissolution – Complete Question)

BALANCE SHEET OF FIRM ON 31/3/24

Liab.		Amt	Asset	Amt
Partner Cap. A/c			L & B	50,000
A	20,000		F & F	20,000
B	20,000		P & M	10,000
C	10,000	50,000	Inventory	5,000
Partner Curr. A/c			Debtor	15,000
A	4,000		Cash/Bank	4,000
B	2,000			
C	1,000	7,000		
General Res.		10,000		
Loan from A		5,000		
Loan from D		9,000		
Sundry Creditor		23,000		
		1,04,000		**1,04,000**

1) PSR = 2:2:1
2) L & B realised ₹ 65,000
3) F & F realised 22,000
4) Plant and machine is given to Mr. D to Discharge loan from D in full settlement.
5) Inventory is given to sundry creditor to Discharge 25% of their liability. Balance creditor are paid at a Discount of 5%.
6) Debtor are taken over by Mr. A at agreed value of 14,000.

[Ans.: Real. Pft – 16,612, PCA - Cash Paid – 20,645, 32,645, 16,322, Cash A/c - Total – 91,000]

Personal Note :-

Question 14: (Basic Dissolution – Complete Question)

BALANCE SHEET OF FIRM

Liab.		Amt.	Asset		Amt.
O/S Salary		500	Furniture		20,000
Bill Payable		6,000	Stock		35,000
S. Creditor		10,000	Debtor	10,000	
D Loan		30,000	(-) PFDD	(2,000)	8,000
Capital	A	20,000	Plant/Machinery		10,000
	B	10,000	Deferrred Advertisement Exp.		2,000
GR		16,500	Capital overdrawn C		3,000
			Cash		15,000
		93,000			**93,000**

1) PSR 2:2:1
2) Furniture of ₹ 5,000 is taken over by a creditor for ₹ 4,800. Balance creditor are paid at a Discount of 5%. Balance furniture is taken over by Mr. A at 90% of book value.
3) 50% stock is taken over by Mr. B at 10% discount and balance stock sold at a gain of 15%.
4) Out of debtor, ₹ 3,000 become bad and balance realised fully. Moreover bad debt Recovered is ₹ 1245.
5) ½ of D loan is settled by giving P & M and 7,500 cash. Balance loan is settled at 10% discount.
6) Bill payable is due after 1 month but they are paid immidiately at a disc. of 6% PA.

[Ans.: Real. Loss – 1,290, PCA – Cash Paid to A = 11,784, Cash Recd. from B & C = 466 & 358, Cash A/c – 44,194]

Personal Note :-

Question 15: (Basic Dissolution) **[SM-ILL. 1]**

X, Y and Z are partner of the firm XYZ and Co., sharing Profits and Losses in the ratio of 4:3:2. Following is the Balance Sheet of the firm as at 31st March, 2023:

Balance Sheet as at 31st March, 2023

Liabilities	Rs.	Assets	Rs.
Partners' Capital:		Fixed Assets	5,00,000
X	4,00,000	Stock in trade	3,00,000
Y	3,00,000	Sundry debtors	5,00,000
Z	2,00,000	Cash in hand	10,000
General Reserve	90,000		
Sundry Creditors	3,20,000		
	13,10,000		13,10,000

Partners of the firm decided to dissolve the firm on the above said date.
Fixed assets realized Rs. 5,20,000 and book debts Rs. 4,40,000.
Stocks were valued at Rs. 2,50,000 and it was taken over by partner Y.
Creditors allowed discount of 5% and the expenses of realization amounted to Rs. 6,000.

You are required to prepare:
(i) Realisation account;
(ii) Partners capital account; and
(iii) Cash account.

Personal Note :-

Question 16: (Basic Dissolution) (Unrecorded assets & Liability) **[SM PQ. 1]**

P, Q and R are partners sharing profits and losses as to 2:2:1. Their Balance Sheet as on 31st March, 2023 is as follows:

Liabilities		Rs.	Assets	Rs.
Partners' Capital:			Plant and Machinery	1,08,000
P	1,20,000		Fixtures	24,000
Q	48,000		Stock	60,000
R	24,000	1,92,000	Sundry debtors	48,000
Reserve Fund		60,000	Cash	60,000
Creditors		48,000		
		3,00,000		3,00,000

They decided to dissolve the business. The following are the amounts realized:

	Rs.
Plant and Machinery	1,02,000
Fixtures	18,000
Stock	84,000
Sundry debtors	44,400

Creditors allowed a discount of 5% and realization expenses amounted to Rs. 1,500. There was an unrecorded asset of Rs. 6,000 which was taken over by Q at Rs. 4,800. A bill for Rs. 4,200 due for GST was received during the course of realization and this was also paid.

You are required to prepare:

(i) Realization account.
(ii) Partners' capital accounts.
(iii) Cash account

Personal Note :-

Question 17: (Basic Dissolution) **[PEQ. Nov. 18 – 16 Marks]**

P, Q, and R are partner sharing profit and losses in the ratio 2:2:1. The partners decided to dissolve the partnership on 31st March, 2018 when their balance Sheet was as under:

Liabilities	Amount	Assets		Amount
Capital Accounts:		Land & Building		90,000
P	40,000	Plant & Machinery		30,000
Q	40,000	Furniture-		17,000
General Reserve	41,000	Investments		10,000
R's Loan A/c	10,000	Book Debts	40,000	
Loan from D	80,000	Less: Prov. for bad debts	(4,000)	36,000
Trade Creditors	20,000	Stock		24,000
Bills Payable	8,000	Bank		9,000
Outstanding Salary	5,000	Deferred Advertisement		
		Expenses		8,000
		Capital withdrawn		
		'R'		20,000
Total	**2,44,000**	**Total**		**2,44,000**

The following information is given to you:

(i) Realisation expenses amounted to Rs. 12,000 out of which Rs. 2,000 was borne by P.

(ii) A creditor agreed to takeover furniture of book value Rs. 8,000 at Rs. 7,200. The rest of the creditors were paid off at a discount of 6.25%.

(iii) The other realized as follows:

Furniture	-	Remaining taken over by R 90% of book value
Stock	-	Realised 120% of book value
Book Debts	-	Rs. 8,000 of debts proved bad, remaining were fully realized
Land & Building	-	Realised Rs. 1,10,000
Investments	-	Taken over by P at 15% discount

(iv) For half of his loan, D accepted Plant & Machinery and Rs. 5,000 cash. The remaining amount was paid at a discount of 10%.

(v) Bills payable were due on an average basis of one month after 31st March, 2018, but they were paid immediately on 31st March, @ 6% discount "per annum".

Prepare the Realisation Account, bank Account and Partners Capital Accounts in columnar form in the books of partnership firm.

Personal Note :-

Question 18: (Basic Dissolution) **(PEQ. June 24, 8 Marks)**

P, Q and R wee partners sharing profit & losses in the ratio of 3:2:1. They decided to dissolve the business as on 31st March, 2024 when their Balance Sheet was as follows:

Liabilities		Amount (₹)	Assets	Amount (₹)
Capital A/c:			Land & Building	4,85,000
P	3,55,000		Machinery	1,88,000
Q	2,20,000		Furniture	1,05,000
R	1,25,000	7,00,000	Stock	55,800
General Reserve		1,50,000	Trade Debtors	1,56,000
Employees Provident Fund		60,000	Cash & Bank	44,200
Trade Creditors		1,24,000		
		10,34,000		10,34,000

The following information is given to you:

(i) There was an unrecorded investment which was sold for ₹ 30,000.

(ii) One of the creditors agreed to take over some items of furniture of Book value ₹ 25,000 at ₹24,000. The rest of the creditors were paid at a discount of 5%.

(iii) Out of the trade debtors ₹ 9,000 proved bad, remaining were fully realized.

(iv) The other assets were realised as under:

Land & Building	₹ 5,25,000
Machinery	₹ 1,70,000
Furniture	Remaining taken over by P at ₹ 75,000
Stock	₹ 60,000

(v) Expenses of dissolution amounted to ₹ 18,700.

(vi) There was an outstanding bill for repairs which had to be paid for ₹ 3,500.

You are required to prepare:

(1) Realisation A/c

(2) Cash & Bank A/c

(3) Partner's Capital A/c in the books of partnership firm.

Personal Note :-

Question 19: (Insolvency of a Partner) **[Inter PEQ. Nov' 19] [15 Marks]**

G, S & J were partners sharing profits and losses in the ratio of 4:3:2, no partnership salary or interest on capital being allowed. Their Balance Sheet as on 31.3.2019 is as follows:

Liabilities	Amount (₹)	Amount (₹)	Assets	Amount (₹)	Amount (₹)
Partners' fixed capital accounts:			Fixed assets:		
G	24,000		Goodwill	48,000	
S	24,000		Land	9,600	
J	12,000	60,000	Plant & Machinery	15,360	
Partners' current accounts:			Motor car	840	73,800
G	600		Current assets:		
S	10,800		Stock		4,680
J	(480)	10,920	Trade debtors	2,400	
Loan from G		9,600	Less: provision	120	2,280
Trade creditors		14,880	Cash at bank		240
			Miscellaneous losses:		
			Profit & loss		14,400
		95,400			95,400

On 1st April, 2019, the partnership was dissolved. Motor car was taken over by G at a value of ₹ 600, but no cash was given specifically in respect of this transaction. Sale of other assets realized the following amounts:

Particulars	₹
Goodwill	Nil
Land	8,400
Plant & machinery	6,000
Stock	3,600
Trade debtors	1,920

Trade creditors were paid ₹ 14,040 in full settlement of their debts. The cost of dissolution amounted to ₹ 1,800. The loan from G was repaid; G and S both were fully solvent and able to bring in any cash required but J was forced into bankruptcy and was only able to bring 1/2 of the amount due.

You are required to prepare:

(i) Cash & Bank account

(ii) Realization account, and

(iii) Partners' Fixed Capital Accounts (after transferring current accounts balances).

Apply Garner Vs. Murray rule.

Personal Note :-

Question 20: (Insolvency of a Partner) **(RTP JAN. 25) [Nov' 2003]**

Neptune, Jupiter, Venus and Pluto had been carrying on business in partnership sharing profits and losses in the ratio of 3:2:1:1. They decide to dissolve the partnership on the basis of the following Balance Sheet as on 30th April, 2023:

Liabilities	Rs.	Rs.	Assets	Rs.	Rs.
Capital Account :			Premises		1,20,000
Neptune	1,00,000		Furniture		40,000
Jupiter	60,000	1,60,000	Stock		1,00,000
			Debtors		40,000
General reserve		56,000	Cash		8,000
Capital Reserve		14,000	Capital Overdrawn :		
Sundry Creditors		20,000	Venus	10,000	
Mortgage loan		80,000	Pluto	12,000	22,000
		3,30,000			3,30,000

(i) The assets were realized as under:

Debtors	24,000
Stock	60,000
Furniture	16,000
Premises	90,000

(ii) Expenses of dissolution amounted to Rs.4000.

(iii) Further Creditors of Rs.12000 had to be met.

(iv) General Reserve, unlike Capital Reserve, was built up by appropriation of profits.

You are required to draw up the Realization Account, Partners Capital Accounts and the Cash Account assuming that Venus became insolvent and nothing was realized from his private estate. Apply the principles laid down in Garner vs. Murray.

Personal Note :-

Question 21: (GRPD - HRCM) **[SM ILL. 7]**

The following is the Balance Sheet of A, B, C on 31st December, 2021 when they decided to dissolve the partnership:

Liabilities	₹	Assets	₹
Creditors	2,000	Sundry Assets	48,500
A's Loan	5,000	Cash	500
Capital Accounts:			
A	15,000		
B	18,000		
C	9,000		
	49,000		49,000

The assets realized the following sums in installments:

I	1,000	
II	3,000	
III	3,900	
IV	6,000	
V	20,100	Includes saving in expenses
	34,000	

The expenses of realization were expected to be ₹ 500 but ultimately amounted to ₹ 400 only. Show how at each stage the cash received should be distributed between partners by highest Relative Capital Method. They share profits in the ratio of 2:2:1.

Personal Note :-

Question 22: (GRPD – Max. Loss) **[SM ILL. 7]**

The following is the Balance Sheet of A, B, C on 31st December, 2021 when they decided to dissolve the partnership:

Liabilities	₹	**Assets**	₹
Creditors	2,000	Sundry Assets	48,500
A's Loan	5,000	Cash	500
Capital Accounts:			
A	15,000		
B	18,000		
C	9,000		
	49,000		49,000

The assets realized the following sums in installments:

I	1,000	
II	3,000	
III	3,900	
IV	6,000	
V	20,100[1]	Includes saving in expenses
	34,000	

The expenses of realization were expected to be ₹ 500 but ultimately amounted to ₹ 400 only. Show how at each stage the cash received should be distributed between partners by maximum loss method. They share profits in the ratio of 2:2:1.

Personal Note :-

Question 23: (GRPD – Max. Loss) **[Gr. I Inter Nov' 19]**

AD, BD & SD are partners sharing profits and losses in the ratio of 5:3:2. There capitals were ₹ 13,440, ₹ 8,400, ₹ 11,760 respectively.

Liabilities and assets of the firm are as under:

Liabilities:	**₹**
Trade creditors	2,800
Loan from partners	1,400
Assets of the firm:	
Patent	1,400
Furniture	2,800
Machinery	1,680
Stock	5,600

The assets realized in full in the order in which they are listed above. BD is insolvent.

You are required to prepare a statement showing the distribution of cash as and when available, applying maximum possible loss procedure.

Personal Note :-

Solution of Homework Questions

Solution 13:

1. Realisation A/C

Particular	Amt	Particular		Amt.
To L & B	50,000	By Loan from D		9,000
To F & F	20,000	BY S. Creditor		23,000
To P & M	10,000	By Cash		
To Inventory	5,000	→ L & B Realised	65,000	
To Debtor	15,000	→ F & F Realised	22,000	87,000
To Cash (Crs.)	16,388	By A Cap.		14,000
To Real Pft. trfd. to PCA				
A 6,645				
B 6,645				
C 3,322	16,612			

2. Cash A/c

Part.	**Amt.**	**Part.**	**Amt.**
To bal. B/F	4,000	By Real A/c	16,388
To Realisation A/c	87,000	By Loan from A	5,000
		By A Cap.	20,645
		By B Cap.	32,645
		By C Cap.	16,322
	91,000		91,000

3. Partner Capital A/c

	A	**B**	**C**		**A**	**B**	**C**
To Real a/c	14,000	-	-	By O/B	20,000	20,000	10,000
To Cash (BF)	20,645	32,645	16,322	By Current a/c	4,000	2,000	1,000
				BY GR(10,000 in 2:2:1)	4,000	4,000	2,000
				By Real a/c	6,645	6,645	3,322

4. Loan from A A/C

To Cash	5000	By O/B	5000

WN

Total creditor	23,000
(-) 25% of 23,000 settled by giving Inventory	(5,750)
Net creditor	17,250
(-) 5% Discount of 17,250	(862.50)
Net Payment to Crs.	16,387.50

Solution 14:

1. Realisation A/c

Particular	Amt.	Particular	Amt.
To Furniture	20,000	By PFDD	2,000
To stock	35,000	By O/s salary	500
To Debtor	10,000	By Bill payable	6,000
To Plant/Machinery	10,000	By S. Creditor	10,000
To Cash (Creditors)	4,940	By D loan	30,000
To Cash(B/P)	5,970	By A Cap. (Furniture)	13,500
To Cash (O/S Salary)	500	By B Cap. (Stock)	15,750
		By Cash (Stock)	20,125
		By Cash (Debtors)	8,245
		By R. loss:	
		A 516	
		B 516	
		C 258	1,290

2. Cash A/c

To O/B	15,000	By R. A/C	4,940
To Realisation a/c	20,125	By R. A/C	21,000
To Realisation a/c	8,245	By R. A/C	5,970
To B Cap.	466	By R. A/C	500
To C Cap.	358	By A Cap.	11,784
	44,194		44,194

3. Partner Capital A/c

	A	B	C		A	B	C
To O/B	-	-	3000	By O/B	20,000	10,000	-
To Deferred Advt. EXP. (2000 in 2:2:1)	800	800	400	By GR (16500 in 2:2:1)	6,600	6,600	3,300
To R. A/C	13,500	-	-				
To R. A/C	-	15,750	-	By Cash (BF)	-	466	358
To R A/C	516	516	258				
To Cash(BF)	11,784	-	-				

WN 1

Total creditor as per B/S	10,000
(-) Agreed value of furniture taken over	(4,800)
Bal. Creditor	5,200
(-) 5% Discount of 5,200	(260)
Actual Payment to Creditors	4940

WN 2

Total furniture as per B/S.	20,000
(-) Book value of furn. given to Crs	(5,000)
Bal. Furniture	15,000
Agree value of furniture taken over by A 15000 X 90%	13500

WN 3	Book value of Total stock	35,000
	B.V. of stock taken over by B 35,000 x 50%	= 17,500
	(-) 10% Discount	(1,750)
	Agreed value of stock taken over by B	15,750
	BV. of stock sold 35000x50%	17,500
	(+) Gain on sale @ 15% of 17,500	2,625
	Sale value of stock	20,125

WN 4	Total Debtor (Gross)	10,000
	(-) Bad debt	3000
	Debtor realised	7000
	(+) Bad debt Recovered	1245
	Total amt. Realised	8245

WN 5	Calculation of Total cash paid to D	
	For 1/2 Loan	7,500
	(+) For Bal. 1/2 Loan (15000-1500)	13,500
	↓ (30000x1/2)	21,000

WN 6	Total amt. of Bill Payable	6,000
	(-) Discount (6,000x6/100x1/12)	(30)
	Actual Payment	5970

WN 7 Question is totally silent about O/S Salary. When Q is silent about any asset/Liab. we assumed Realised/Paid at BV.

Solution 15:

(i) Realization Account

Particulars	₹	Particulars	₹
To Fixed assets	5,00,000	By Creditors	3,20,000
To Stock in trade	3,00,000	By Cash (5,20,000+4,40,000)	9,60,000
To Debtors	5,00,000	By Y (Stock taken over)	2,50,000
To Cash – Expenses	6,000	By Loss transferred to partners' capital accounts	
To Cash -Creditors (3,20,000 x 95%)	3,04,000	x	35,555
		y	26,667
		z	17,778
	16,10,000		16,10,000

(ii) Partners' Capital Accounts

Particulars	X	Y	Z	Particulars	X	Y	Z
	₹	₹	₹	₹	₹	₹	₹
To Realization Account	35,555	26,667	17,778	By Balance b/d	4,00,000	3,00,000	2,00,000
To Realization Account	-	2,50,000	-	By General reserve	40,000	30,000	20,000
To Cash	4,04,445	53,333	2,02,222				
	4,40,000	3,30,000	2,20,000		4,40,000	3,30,000	2,20,000

(iii) **Cash Account**

Particulars	₹	Particulars	₹
To Balance b/d	10,000	By Realization A/c (Expenses)	6,000
To Realization A/c	9,60,000	By Realization A/c (Creditors)	3,04,000
(Fixed assets and		By X	4,04,445
book debts realized)		By Y	53,333
		By Z	2,02,222
	9,70,000		9,70,000

Solution 16:

Realization Account

Particulars		₹	Particulars		₹
To Debtors		48,000	By Creditors		48,000
To Stock		60,000	By Cash A/c (Assets realized):		
To Fixtures		24,000	Plant and Machinery	1,02,000	
To Plant and machinery		1,08,000	Fixtures	18,000	
To Cash A/c (Creditors)		45,600	Stock	84,000	
To Cash A/c (GST)		4,200	Sundry Debtors	44,400	2,48,400
To Cash A/c (Realization expenses)		1,500	By Q (Unrecorded asset)		4,800
To Profit on Realization					
P	3,960				
Q	3,960				
R	1,980	9,900			
		3,01,200			3,01,200

Partners' Capital Accounts

Particulars	P	Q	R		P	Q	R
	₹	₹	₹		₹	₹	₹
To Realization A/c (unrecorded asset)		4,800		By Balance b/d	1,20,000	48,000	24,000
To Cash (Bal. Fig.)	1,47,960	71,160	37,980	By Reserve fund	24,000	24,000	12,000
				By Realization A/c (Profit)	3,960	3,960	1,980
	1,47,960	75,960	37,980		1,47,960	75,960	37,980

Cash Account

Particulars	₹	Particulars	₹
To Balance b/d	60,000	By Realization A/c (Creditors)	45,600
To Realization A/c (Assets)	2,48,400	By Realization A/c (Expenses)	1,500
		By Realization A/c (GST)	4,200
		By P's Capital A/c	1,47,960
		By Q's Capital A/c	71,160
		By R's Capital A/c	37,980
	3,08,400		3,08,400

Solution 17:

Realization Account

	₹		₹
To Land and Building	90,000	By Provision for bad debts	4,000
To Plant and Machinery	30,000	By Loan from D	80,000
To Furniture	17,000	By Trade creditors	20,000
To Investments	10,000	By Bills payable	8,000
To Book debts	40,000	By Outstanding salary	5,000
To Stock	24,000	By R - Furniture taken over (9,000 x .9)	8,100
To Bank (Realization expenses)	10,000	By Bank A/c	
		Stock Realized 28,800	
To P – Realization expenses	2,000	Land & Building 1,10,000	
		Debtors 32,000	1,70,800
To Bank A/c -			
Bill payable	7,960	By P (Investment taken over)	8,500
D's Loan	5,000		
D's Loan	36,000		
Creditors	12,000		
Salary	5,000		
To Profit trs/f to partners' capital Accounts			
P 6,176			
Q 6,176			
R 3,088	15,440		
	3,04,400		3,04,400

Bank Account

	₹		₹
To Balance b/d	9,000	By Realization A/c (payment of liabilities: 7,960+ 5,000 + 36,000 + 10,000 + 12,000 + 5,000)	75,960
To Realization A/c (assets realized)	1,70,800	By R's Loan	10,000
		By P	52,876
To R	18,412	By Q	59,376
	1,98,212		1,98,212

Partners' Capital Accounts

	P	Q	R		P	Q	R
	₹	₹	₹		₹	₹	₹
To Balance b/d.			20,000	By Balance b/d	40,000	40,000	
To Deferred Advertisement expenses written off	3200	3,200	1,600	By General Reserve	16,400	16,400	8,200
To Realization A/c (Investment taken over)	8,500			By Realisation A/c (expense)	2,000		
To Realization A/c (Furniture taken over)			8,100	By Realization A/c (profit)	6,176	6,176	3,088
To Bank A/c	52,876	59,376		By Bank			18,412
Total	64,576	62,576	29,700	**Total**	64,576	62,576	29,700

R's Loan Account

	₹	Loan A/c	₹
To Bank	10,000	By Balance b/d	10,000

Working Notes:

1. Payment to Bills Payable

Particulars	Amount (₹)
Bills Payable as per Balance Sheet	8,000.00
Less: Discount for early payment {8,000 x 6% x (1/12)}	40.00
Amount Paid in Cash	7,960.00

2. Payment to D's Loan

Particulars		Amount (₹)
D's Loan as per Balance Sheet	80,000.00	
50% of Loan adjusted as below:		
Plant & Machinery accepted at Book Value (₹ 30,000) and ₹ 5,000 in cash.		5,000.00
Balance 50% of Loan adjusted as below:		
In cash after allowing discount of 10% i.e. ₹ 40,000 – ₹ 4,000 = ₹ 36,000.		36,000.00

3. Payment to Trade Creditors

Particulars	Amount (₹)
Trade Creditors as per Balance Sheet	20,000.00
Less: Furniture of Book Value ₹ 8,000 accepted at value ₹ 7,200	7,200.00
	12,800.00
Less: Discount @ 6.25%	800.00
Amount paid in Cash	12,000.00

4. Furniture taken over by R

Particulars	Amount (₹)
Furniture as per Balance Sheet	17,000.00
Less: Furniture of Book Value ₹ 8000 accepted by trade creditors	8,000.00
	9,000.00
Less: 10% of Book Value	900.00
Value of Furniture taken over by R	8,100.00

Solution 18:

Realisation Account

Particulars	Amount (₹)	Amount (₹)	Particulars	Amount (₹)	Amount (₹)
To Sundry Assets:			By Creditors		1,24,000
Debtors	1,56,000		By Employee's Provident		60,000
Stock	55,800		Fund		
Furniture	1,05,000		By Bank A/c:		
Plant & Machinery	1,88,000		Land and Building	5,25,000	
Land and Building	4,85,000	9,89,800	Debtors	1,47,000	
To Bank-Creditors: (W.No.1)		95,000	Stock	60,000	
To Bank A/c o/s bill for repairs		3,500	Machinery	1,70,000	
To Bank A/c (expenses)		18,700	Unrecorded Investment	30,000	9,32,000
To Bank (Employee provident Fund)		60,000	By P's Capital A/C		75,000
To Profit transferred to:					
P's Capital A/c	12,000				
Q's Capital A/c	8,000				
R's Capital A/c	4,000	24,000			
		11,91,000			11,91,000

Partner's Capital Accounts

Particulars	P (₹)	Q (₹)	R (₹)	Particulars	P (₹)	Q (₹)	R (₹)
To Realisation A/c - Furniture	75,000			By Bal. b/d	3,55,000	2,20,000	1,25,000
To Bank	3,67,000	2,78,000	1,54,000	By Gen. Reserve	75,000	50,000	25,000
				By Realisation Profit	12,000	8,000	4,000
	4,42,000	2,78,000	1,54,000		4,42,000	2,78,000	1,54,000

Bank Account

Particulars	₹	Particulars	₹
To Balance b/d	44,200	By Realisation A/c:	
To Realisation A/c (Assets realized)	9,32,000	(Liabilities Paid)	1,77,200
		By P's Capital A/c	3,67,000
		By Q's Capital A/c	2,78,000
		By R's Capital A/c	1,54,000
	9,76,200		9,76,200

Working Note:

Payment to Trade Creditors:

Particulars	Amount (₹)
Trade creditors as per Balance sheet	1,24,000
Less: Furniture (Book Value ₹ 25,000 accepted at ₹ 24,000)	24,000
	1,00,000
Less: Discount @ 5%	5,000
Amount Paid to Creditors	95,000

Solution 19:

Cash & Bank Account

		₹		₹
To Balance b/d		240	By Realisation A/c - Creditors	14,040
To Realisation A/c			By Realisation A/c - Expenses	1,800
Land		8,400	By G's Loan A/c	9,600
Plant and Machinery		6,000	By G's Capital A/c	16,280
Stock		3,600	By S's Capital A/c	28,680
Trade Debtors		1,920		
To Capital Accounts:				
G	27,200			
S	20,400			
J	2,640	50,240		
		70,400		70,400

Realisation Account

	₹			₹
To Goodwill	48,000	By Trade Creditors		14,880
To Land	9,600	By Provision for Bad Debts		120
To Plant and Machinery	15,360	By Bank:		
To Motor Car	840	Land	8,400	
To Stock	4,680	Plant and Machinery	6,000	
To Sundry Debtors	2,400	Stock	3,600	
To Bank (Creditors)	14,040	Debtors	1,920	19,920
To Bank (Expenses)	1,800	By G (Car)		600
		By Capital Accounts: (Loss)		
		G	27,200	
		S	20,400	
		J	13,600	61,200
	96,720			96,720

Partners' Fixed Capital Accounts

	G	S	J		G	S	J
	₹	₹	₹		₹	₹	₹
To Current A/c (Transfer)	5,800	—	3,680	By Balance b/d	24,000	24,000	12,000
To Realisation A/c (Loss)	27,200	20,400	13,600	By Current A/c (Transfer)	—	6,000	—
To Realisation A/c (Car)	600	-	—	By Bank	—	—	2,640
To J's Capital A/c (Deficiency)	1,320	1,320		By Bank* (realisation loss)	27,200	20,400	—
To Bank*	16,280	28,680	—	By G & S (Deficiency)	—	—	2,640
	51,200	50,400	17,280		51,200	50,400	17,280

Note:
1. G, S and J will bring cash to make good their share of the loss on realization.
2. As per Garner Vs. Murray rule, solvent partners- G and S have to bear the loss due to insolvency of a partner J in their fixed capital ratio.

*Alternatively, posting may be done for the net amount being received from /paid to G and S respectively.

Working Note:
Current account balances of partners have been arrived after adjusting profit and loss account debit balance as follows:

	Current account balance	Profit & loss		
G	600	(6,400)	5,800	Dr.
S	10,800	(4,800)	6,000	Cr.
J	(480)	(3,200)	3,680	Dr.

Solution 20:

(1) Use of Point (iv) of Q: - This is useless point. Both GR and CR shall be divided among partners in PSR.

The meaning of this point is that GR has been created by appropriation of profit although CR has not been created in this way.

This point is useless because all type of profits are divided among partner in their PSR whether they are of revenue nature or capital nature.

(2) Use of point (iii) of Q: Further Creditor of 12000 has to be met means in addition to creditor of 20000 given in balance sheet, we have to pay 12000. JE of 12000 will be:-

Realisation A/c	Dr.	12000	
To Cash			12000

This 12000 is pure loss.

(3) Question is silent about mortgage loan of 80000 and S. creditor of 20000. We will pay them at book value.

(1) Realisation A/c

		Amt.			Amt.
To Premises		1,20,000	By S creditor		20,000
To furniture		40,000	By M Loan		80,000
To Stock		1,00,000			
To Debtor		40,000	By Cash		
To Cash			Debtor	24,000	
R Exp.	4,000		Stock	60,000	
S Creditor	20,000		Furniture	16,000	
Further Crs.	12,000		Premises	90,000	
M Loan	80,000	1,16,000			1,90,000
			By Realisation Loss Trf to PCA		1,26,000
			N	54,000	
			J	36,000	
			V	18,000	
			P	18,000	
		4,16,000			4,16,000

(2) **Cash Bank A/c**

To Bal B/F	8,000	By Realisation	1,16,000
To Realisation A/c	1,90,000	By N	1,18,857
To N	54,000	By J	73,143
To J	36,000		
To P	18,000		
To P	2,000		
	3,08,000		3,08,000

(3) **PCA**

	N	J	V	P		N	J	V	P
To Bal B/F	--	--	10,000	12,000	By Bal B/F	1,00,000	60,000	--	--
To Ralis. A/c	54,000	36,000	18,000	18,000	By GR (3:2:1:1)	24,000	16,000	8,000	8,000
To V	11,143	6,857	--	--	By CR (3:2:1:1)	6000	4,000	2,000	2,000
To Cash (B/F)	1,18,857	73,143	--		By Cash	54,000	36,000	--	18,000
					By N	--	--	11,143	--
					By J	--	--	6,857	--
					By Cash (B/F)	--	--	--	2,000
	1,84,000	1,16,000	28,000	30,000		1,84,000	1,16,000	28,000	30,000

WN 1: Venus Insolvency Loss = His final Debit
Balance = 10000 + 18000 – 10000 = 18000

WN 2: Capital Ratio of Solvent partners that is N, J, P

	N	J	P
Capital as per B/S	Cr. 1,00,000	Cr 60000	Dr 12000
GR	Cr 24000	Cr 16000	Cr 8000
CR	Cr 6000	Cr 4000	Cr 2000
Capital Ratio	Cr 130000	Cr 80000	Dr 2000

Since P has Debit capital ratio, hence he will not bear insolvency Loss of V even though P is solvent.
Hence insolvency Loss of venue shall be divided between N and J in 13: 8 Ratio.

Share of Insolvency Loss:-

N	=	18000 x 13/21	=	11143
J	=	18000 x 8/21	=	6857
	N	Dr.		11143
	J	Dr.		6857
	To V			18000

WN 3: N, J, P will bring their share of realization Loss in cash. P even if have debit Capital Ratio will bring his share of realization Loss in cash.

Cash	Dr.	108000
To N		54000
To J		36000
To P		18000

Solution 21:

Statement Showing Distribution of Cash

	Cash available	Creditor	A Loan	PCA		
				A	B	C
Balance B/F	500	2000	5000	15000	18000	9000
Assets Realised	1000					
	1500					
Prov. for Dissolution Exp.	(500)					
Bal.	1000					
(-) Paid to creditor	(1000)	(1000)				
Bal.		1000	5000	15000	18000	9000
Assets Realised	3000					
(-) Paid to creditor	(1000)	(1000)				
	2000					
(-) Paid A's Loan	(2000)		(2000)			
Bal.	-	-	3000	15000	18000	9000
Assets Realised	3900					
(-) Paid A's Loan	(3000)		(3000)			
	900					
(-) Paid to B & C (2:1) in (PSR)	900				(600)	(300)
Bal.	-	-	-	15000	17400	8700
Assets Realised	6000					
(-) Paid to B & C						
Rs. 3600/- in PSR (2:1)	3600				(2400)	(1200)
	2400					
(-) Paid to A, B & C Rs. 2400 in PSR (2:2:1)	(2400)			(9600)	(960)	(480)
				14040	14040	7020
Assets Realised	2000					
+ Saving in Exp.	100					
	20100					
(-) Paid to A, B & C 20100 in PSR (2:2:1)	(20100)			(8040)	(8040)	(4020)
Realisation loss				6000	6000	3000

Computation of highest Relative Capital

S. No.	Particular	A	B	C
(a)	Capital As per B/S	15000	18000	9000
(b)	PSR	2	2	1
(c)	Capital Per unit of share of profit	7500	9000	9000
(d)	Prop. Cap. A's Cap. As base	15000	15000	7500
(e)	Excess Cap. (a-d)	Nil	3000	1500
			(2 : 1)	

P/N : Since Excess cap of B & C is in their PSR i.e. 2 : 1

∴ Our table will end. If it would not have been in PSR then Table will go upto point (i). case 17

Scheme of Payment:
(i) Upto 4500 : Pay to B & C in 2:1
(ii) Thereafter amount will be paid to A, B & C in 2:2:1

Solution 22:

Solution of Example

	Cash available	S. Creditor	A Loan	PCA		
				A	B	C
Balance B/F from B/S	500	2000	15000	15000	18000	9000
+ 1st Instalment	1000					
	1500					
(-) Dissolution Exp. Expected	(500)					
(-) Paid to Crs.	1000					
Bal. B/F	(1000)	(1000)				
		1000	5000	15000	18000	9000
2nd Instalment	3000					
(-) Creditor	(1000)	(1000)				
	2000					
(-) A loan	(2000)		(2000)			
Balance B/F	--	--	3000	15000	18000	9000
3rd Instalment	3900					
(-) A Loan	(3000)		(3000)			
	900					
Aggregate Capital 42000 [15000 + 18000 + 9000]						
(-) Cash Available (900)						
Max. Loss in 2 : 2 : 1 41100				(16440)	(16440)	(8220)
Balance				(1440)	1560	780
Deficiency of A 1440 born by B and C in their Capital Ratio ie 2 : 1 ie 18000 : 9000				1440	(960)	(480)
CASH PAID				NIL	600	300
Balance B/S [Partner Capital O/Bal. (-) cash paid] Max. loss and Insolvency loss is useless for computing bal. B/D].	--	--	--	15000	17400	8700
A 15000 – 0 = 15000						
B 18000 – 600 = 17400						
C 9000 – 300 = 8700						
4th Instalment	6000					
Aggregate Capital 41100 [15000 + 17400 + 8700]						
(-) Cash Available (6000)						
Max Loss in 2 : 2 : 1 35100				14040	14040	7020
Balance [Since all partner have positive bal., hence this is cash paid]	(6000)			960	3360	1680
Balance B/F [Previous Capital (-) Cash Paid]				14040	14040	7020
A 15000 – 960 = 14040						
B 17400 – 3360 = 14040						
C 8700 – 1680 = 7020						
4th Instalment	20100					
	20100					
Aggregate Capital 35100 [14040 + 14040 + 7020]						
(-) Cash Available (20100)						
Max. loss in 2 : 2 : 1 15000				6000	6000	3000
Balance Being Cash Paid	(20100)			8040	8040	4020
Actual Realisation Loss [Equal to Last max. loss]				6000	6000	3000

Solution 23:

Statement of Distribution of Cash

	Realization	Trade Creditor	Loans from partners	Partners' Capitals			
				AD	BD	SD	Total
	₹	₹	₹	₹	₹	₹	₹
Balances due (1)		2,800	1,400	13,440	8,400	11,760	33,600
(i) Sale of Patent	1,400	(1,400)	-				
		1,400	1,400				
(ii) Sale of furniture	2,800	(1,400)	(1,400)				
(iii) Sale of machinery	1,680						
Maximum possible loss (total of capitals ₹ 33,600 less cash available ₹ 1,680) allocated to partners in the profit sharing ratio i.e. 5 : 3 : 2	₹ 31,920			(15,960)	(9,576)	(6,384)	(31,920)
Amounts at credit				(2,520)	(1,176)	5,376	1,680
Deficiency of AD and BD written off against SD				2,520	1,176	(3,696)	-
Amount paid (2)				–	–	1,680	1,680
Balances in capital accounts (1 – 2) = (3)				13,440	8,400	10,080	31,920
(iv) Sale of stock	5,600						
Maximum possible loss (₹ 31,920 – ₹ 5,600)	26,320						
Allocated to partners in the ratio 5 : 3 : 2				(13,160)	(7,896)	(5,264)	(26,320)
Amounts at credit and cash paid (4)				280	504	4,816	5,600
Balances in capital accounts left unpaid — Loss (3 – 4) = (5)				13,160	7,896	5,264	26,320

THEORETICAL QUESTIONS

Question 1: **[SM]**

State the circumstances when Garner v/s Murray rule is not applicable.

Answer:

Non-Applicability of Garner vs Murray rule:

1. When the solvent partner has a debit balance in the capital account.
   Only solvent partners will bear the loss of capital deficiency of insolvent partner in their capital ratio. If incidentally, a solvent partner has a debit balance in his capital account, he will escape the liability to bear the loss due to insolvency of another partner.
2. When the firm has only two partners.
3. When there is an agreement between the partners to share the deficiency in capital account of the insolvent partner.
4. When all the partners of the firm are insolvent.

Question 2: **[SM]**

W paid a premium to other partners of the firm at the time of his admission to the firm, with a condition that they will not be dissolved before the expiry of five years. The firm is dissolved after three years. W claims refund of premium.

(i) List the criteria for the calculation of the amount of refund.

(ii) Also list any two conditions when no claim in this respect will arise.

Answer:

If the firm is dissolved before the term expires, as is the case, W being a partner who has paid a premium on admission will have to be repaid/refunded

The criteria for calculation of refund amount are:

(i) Terms upon which admission was made,

(ii) The time period for which it was agreed that the firm will not be dissolved,

(iii) The time period for which the firm has already been in existence.

No claim for refund will arise if:

(i) The firm is dissolved due to the death of a partner,

(ii) If the dissolution of the firm is basically because of misconduct of W,

(iii) If the dissolution is through an agreement and such an agreement does not have a stipulation for a refund of premium.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. Books of accounts are closed in dissolution of partnership.
2. On the dissolution of a partnership, firstly, the assets of the firm are realized. Then the amount realized, is applied first towards repayment of liabilities to outsiders.
3. In event of the dissolution of the firm, the business ceases to end. In event of dissolution of the partnership, the partnership is reconstituted and the business discontinues.
4. Expenses of dissolution on realization of assets are credited to the Realization Account.
5. Revaluation Account is prepared at the time of dissolution of partnership but Realization Account is prepared at the time of dissolution of partnership firm.

Answer:

1. **False:** Books of accounts are not closed in dissolution of partnership but are closed in case of dissolution of partnership firm.
2. **True:** On the dissolution of a partnership, firstly, the assets of the firm, are realized. Then the amount realized, is applied first towards repayment of liabilities to outsiders and loans taken from partners; afterwards, the capital contributed by partners is repaid.
3. **True:** In event of the dissolution of the firm, the business ceases to end. However, in event of dissolution of the partnership, the business continues as usual, but the partnership is reconstituted.
4. **False:** Expenses of dissolution on realization of assets are debited to the Realization Account.
5. **True:** Revaluation Account is prepared at the time of dissolution of partnership but Realization Account is prepared at the time of dissolution of partnership firm.

MULTIPLE CHOICE QUESTIONS (SM)

1. Partnership could be dissolved because of
   (a) Death of a partner. (b) Insolvency of a partner. (c) Either (a) or (b).

2. On the dissolution of partnership, profit or loss on realization of assets and liabilities should be divided among partners
   (a) In the ratio of their capitals.
   (b) In the same ratio in which they share profits.
   (c) Equally.

3. An unrecorded asset realized at the time of dissolution is credited to
   (a) Realization account. (b) Revaluation account. (c) Capital accounts.

4. A liability taken over by a partner at the time of dissolution is credited to
   (a) Profit and loss account. (b) Partners' capital accounts. (c) Realization account.

5. Realization account is a
   (a) Nominal account. (b) Real account. (c) Personal account.

6. Which of the following method/methods is adopted to ensure that distribution of cash among partners is in proportion to their interest in partnership?
   (a) Maximum loss method. (b) Highest relative capital method. (c) Either (a) or (b).

Answer:

1.	(c)	2.	(b)	3.	(a)	4.	(b)	5.	(a)	6.	(c)

Space for Personal Note: